

Auditing & Ethics

Concept-First Notes + Exam Q&A — CA Intermediate

Complete conceptual explanations with worked exam questions & answers

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Chapter 01 — Nature, Objective & Scope of Audit

1. The Problem — Why Does Anyone Need an Audit at All?

Start with a company, not with a textbook.

A company is owned by shareholders. But shareholders do not run it. They hire directors and managers to run it *for* them. This split — **owners who supply the capital** versus **managers who control the capital** — is the seed of every audit problem you will ever study.

The owners hand over money. In return the managers periodically hand back a set of financial statements: "Here is what we did with your money — this much profit, these assets, these liabilities." The owner reads it and must decide: *Do I believe this?*

There is a genuine reason **not** to believe it blindly. Consider the incentives:

- The managers' bonuses, job security, and reputation depend on the numbers *they themselves* prepare. A manager who reports high profits looks successful. So there is a temptation to **overstate income and assets, understate liabilities**.
- The managers know a thousand things about the business the owner does not. The owner sees only the summary. This gap in knowledge is real and permanent.
- Even an honest manager makes mistakes. The accounting is complex, estimates are involved, and errors creep in.

Economists give these two frictions precise names, and you must know them because the whole subject is built on them:

Concept	Plain meaning	Why it creates audit demand
Agency problem	The agent (manager) may act in his own interest, not the principal's (owner's)	Owner cannot trust the agent's self-report of performance
Information asymmetry	The manager knows more than the owner	Owner cannot independently verify what he is told
Stewardship	The manager holds and manages assets <i>belonging to someone else</i> and must account for them	Society demands the steward <i>prove</i> faithful custody, not merely assert it

So the problem is a **trust gap**. The people who need the truth (owners, lenders, tax authorities, employees, the public) are exactly the people who *cannot* generate it themselves, and the people who *can* generate it (management) are exactly the people who are **not neutral** about what the truth says.

You cannot solve this by asking the manager to try harder to be honest. Honesty you cannot observe is worthless — the whole point is that the owner **can't see inside**. You need something structural.

That structural solution is **audit**: insert an *independent, competent, third person* whose only job is to examine the financial statements and give the owner an **informed, unbiased opinion** on whether they can be believed. The auditor is not loyal to management and not dependent on the reported numbers looking good. That independence is the entire value proposition.

First-principles statement of the problem: *Those who must rely on financial statements are not the ones who prepare them, and those who prepare them are not neutral. Audit exists to make the statements credible to the people who could not otherwise verify them.*

Keep this in your head for the rest of the book. Every Standard on Auditing (SA), every procedure, every disclosure requirement is ultimately an answer to *some specific way the trust gap could produce a wrong number the owner relies on*.

2. The Core Idea — What Audit Actually Is

Auditing is defined (per ICAI, drawing on SA 200 and the framework) roughly as:

An audit is the independent examination of financial information of any entity — whether profit-oriented or not, and irrespective of its size or legal form — when such an examination is conducted with a view to expressing an opinion thereon.

Unpack that definition against the problem:

- **Independent** — solves the agency problem. The examiner is not management.
- **Examination of financial information** — it is *evidence-based verification*, not a rubber stamp and not re-doing the accounts.
- **Any entity, any size, any form** — the trust gap exists for a charity, a partnership, a bank, or a listed giant. The concept is universal; only the *legal requirement* to audit varies.
- **Expressing an opinion** — the output is an **opinion**, deliberately. Not a certificate. Not a guarantee. This word is doing enormous work, and Section 4 will explain exactly why it must be "opinion" and nothing stronger.

The core mental model is a triangle of three parties, and you should carry it as a diagram:

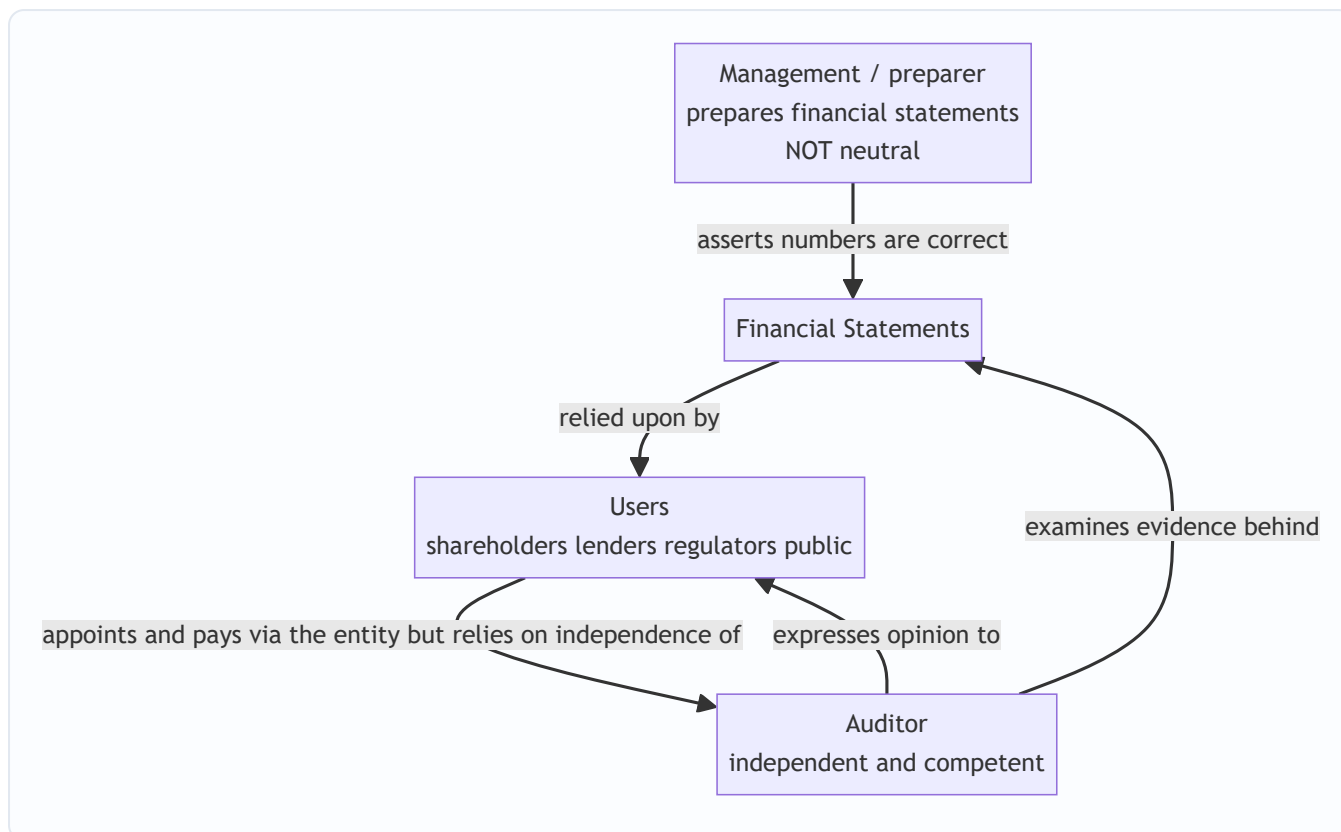


Figure 1 — The audit triangle. The auditor sits between preparer and user, converting an untrustworthy self-report into credible information.

The auditor's opinion adds **credibility**. That is the product being sold. Financial statements *with* a clean audit opinion are believable enough to lend against, invest in, and tax. The same statements *without* one are just management's word.

3. Why It Is Built This Way — The Logic of "Reasonable Assurance"

Here is the crux question a sharp learner asks: *If the point is trust, why doesn't the auditor simply guarantee the accounts are 100% correct? Wouldn't that be more useful?*

The answer is that a guarantee is **impossible**, and pretending otherwise would be a lie. Understanding *why* it is impossible is the key to understanding the entire nature and scope of audit. This is where SA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing*, becomes central.

The concept of assurance

An **assurance engagement** is one where the practitioner expresses a conclusion designed to enhance the confidence of intended users about an outcome (here, the financial statements) against criteria (here, the applicable financial reporting framework — Accounting Standards / Ind AS + Companies Act).

Assurance comes in two grades:

Type	Level	Wording of conclusion	Example
Reasonable assurance	High, but not absolute	Positive — "in our opinion the statements give a true and fair view"	Statutory audit
Limited assurance	Moderate, lower	Negative — "nothing has come to our attention that causes us to believe..."	Review engagement (e.g. review of interim financials, SRE 2400 / 2410)

A statutory **audit provides reasonable assurance** — the *highest* level a practitioner can offer — but crucially **not absolute assurance**. SA 200 is explicit: absolute assurance is **not attainable** because of the **inherent limitations of an audit**.

Why not absolute? The inherent limitations (and their causes)

This is examinable almost every attempt, and it must be understood, not memorized. Absolute assurance is unreachable because of limitations *built into the nature of auditing itself*.

1. **Nature of financial reporting — judgement and estimates.** Financial statements are not pure fact. They contain estimates (provision for doubtful debts, useful life of assets, warranty provisions, fair values). Estimates are inherently uncertain — a *range* of amounts could all be "reasonable". No auditor can prove a single estimate is the one true number, because there *is* no single true number.
2. **Nature of audit evidence — persuasive, not conclusive.** The auditor works mostly with evidence that *persuades* rather than *proves*. He samples; he does not (cannot) test 100% of transactions in a large entity — that would cost more than the company earns and take longer than a year. He relies on inference. Persuasive evidence can be wrong.
3. **Fraud, especially collusion and management override.** Audit procedures are designed to detect *material misstatement*. But a **well-concealed fraud** — forged documents, deliberate misrepresentation by management, **collusion** among several people, or **management override of controls** — is specifically designed to defeat the very procedures an auditor would normally rely on. Detecting a sophisticated fraud is harder than detecting an error, because there is an intelligent adversary hiding it.
4. **Timeliness and cost — the balance principle.** The audit must be finished in a reasonable time and at a reasonable cost, or it is useless (nobody wants a "true and fair" opinion on last decade's accounts). This forces **sampling** and **judgement about materiality**. The relevance of information declines with time; the cost of certainty is prohibitive. So audit is deliberately a *cost-benefit balance*, and that balance means less-than-total checking.
5. **Other areas of inherent limitation** — related party relationships, or the possibility of non-compliance with laws, can be very hard to detect because they too may be deliberately concealed.

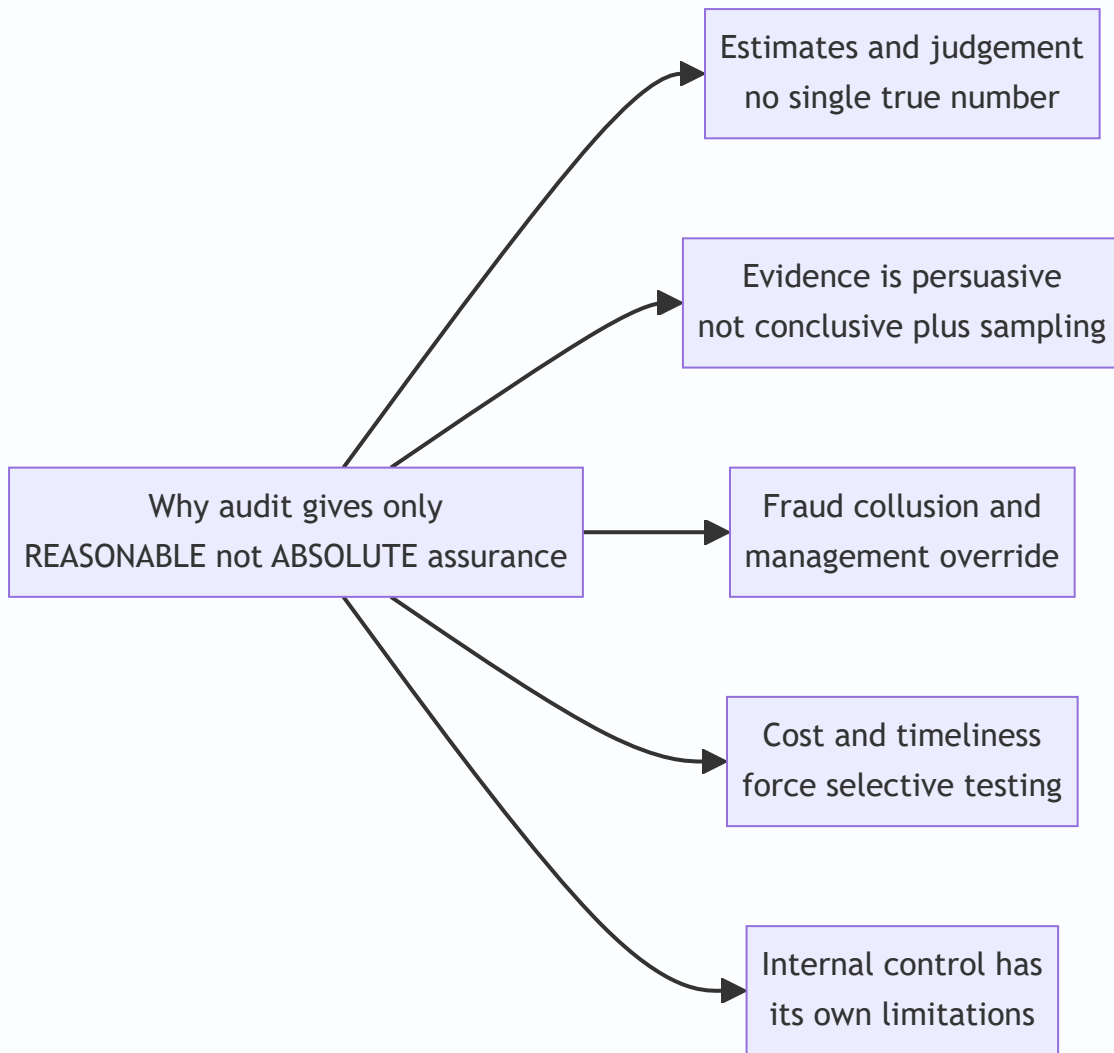


Figure 2 — The five roots of inherent limitation. Because these are inherent, no amount of extra work can ever reach 100 percent — hence "reasonable", not "absolute".

The payoff of the logic

Because certainty is impossible, an honest profession promises the **highest achievable** confidence and *names it honestly* as "reasonable assurance". That is why the output is an **opinion** on whether the statements show a **true and fair view**, expressed with **professional judgement** and **professional skepticism** — not a certificate of arithmetical correctness and not an insurance policy against fraud.

This single design decision — *promise reasonable assurance, express an opinion, admit inherent limits* — is the DNA of the entire subject. Everything technical that follows is the machinery for delivering exactly this much and no more.

4. Full Technical Content — Objectives, Assertions, Standards, and Scope

4.1 The objective of audit per SA 200

SA 200 states the auditor's **overall objectives**:

1. To obtain **reasonable assurance** about whether the financial statements as a whole are **free from material misstatement**, whether due to **fraud or error**, thereby enabling the auditor to express an **opinion** on whether the financial statements are prepared, in all material respects, in accordance with an applicable **financial reporting framework**; and
2. To **report** on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

Where reasonable assurance cannot be obtained and a qualified opinion is insufficient, SA 200 requires the auditor to **disclaim an opinion or withdraw** where withdrawal is legally possible.

Notice the deliberate words:

- **"Free from material misstatement"** — not free from *all* misstatement. **Materiality** (SA 320) is the filter: a misstatement matters only if it could influence the economic decisions of users. Audit chases *material* truth, not trivial perfection. This directly follows from the cost/benefit logic in Section 3.
- **"Whether due to fraud or error"** — the auditor must consider *both*. Fraud is intentional; error is unintentional. SA 240 governs the auditor's responsibilities relating to fraud.
- **"True and fair view"** — the goal is not that every rupee is "correct" but that the statements, *taken as a whole*, present a picture that is not misleading and complies with the framework.

4.2 True and fair — what it means and why it is the standard

"True and fair" is the touchstone of Indian statutory audit (Companies Act 2013, **Section 143(2)** requires the auditor to report whether, in his opinion, the accounts give a **true and fair view**).

- **True** — information is factually accurate and conforms to reality and to the reporting framework; no material misstatement.
- **Fair** — information is presented and disclosed without bias, in a manner that is clear and not misleading; substance over form is respected.

Why "true and fair" rather than "correct and complete"? Because — as established above — accounts contain estimates and judgements, so *absolute* correctness is a myth. "True and fair" is the honest, achievable standard: *fairly presented within an accepted framework*, not *arithmetically perfect*.

4.3 Management assertions — the hidden claims audit tests

Every figure in the financial statements is, in effect, a set of **implicit claims (assertions)** made by management. The auditor's job is to test each claim. Assertions (per SA 315) are the bridge between "the trust problem" and "specific procedures" — you attack *the assertion that is most at risk*.

Assertions about classes of transactions and events (P&L items):

Assertion	Management is claiming...	Risk it counters
Occurrence	Recorded transactions really happened and pertain to the entity	Fictitious/overstated sales
Completeness	All transactions that should be recorded <i>are</i> recorded	Hidden/understated expenses or liabilities
Accuracy	Amounts recorded correctly	Wrong figures, calculation errors
Cut-off	Transactions recorded in the <i>correct period</i>	Window-dressing profit across year-end
Classification	Recorded in the proper accounts	Misclassification to flatter results

Assertions about account balances (Balance Sheet items):

Assertion	Management is claiming...	Risk it counters
Existence	Assets/liabilities actually exist	Fictitious/overstated assets
Rights & obligations	Entity owns the assets / owes the liabilities	Assets shown that don't belong to entity
Completeness	All assets/liabilities are recorded	Off-balance-sheet liabilities hidden
Valuation & allocation	Included at appropriate amounts	Overvalued stock, under-provided doubtful debts

Assertions about presentation and disclosure — occurrence & rights/obligations, completeness, classification & understandability, accuracy & valuation of disclosures.

The genius of assertions: instead of vaguely "checking the accounts", the auditor asks, for each item, *which specific claim is most likely to be false, and what evidence would expose it?* Debtors → biggest risk is **existence/valuation** (do they exist? are they recoverable?), so you confirm balances and test recoverability. Creditors → biggest risk is **completeness** (are liabilities hidden?), so you search for unrecorded liabilities.

4.4 The Standards on Auditing (SA) — organised by the risk each addresses

The SAs are issued by ICAI and are **mandatory** for audits. Do not memorize them as a list; group them by the part of the trust problem they solve.

Group / Series	Key SAs	The risk / need it addresses
200–299 General Principles & Responsibilities	SA 200 (overall objectives), SA 210 (agreeing terms), SA 220 (quality control), SA 230 (documentation), SA 240 (fraud), SA 250 (laws & regulations), SA 260/265 (communication with those charged with governance / control deficiencies)	Establishes <i>what an audit is</i> , the auditor's duties, independence, skepticism, and how responsibility is fixed
300–499 Risk Assessment & Response	SA 300 (planning), SA 315 (identifying & assessing risk via understanding the entity), SA 320 (materiality), SA 330 (responses to assessed risk), SA 402 (service organisations), SA 450 (evaluating misstatements)	The engine room: <i>find where misstatement is likely, then aim procedures there</i>
500–599 Audit Evidence	SA 500 (evidence), SA 501 (specific items — inventory, litigation), SA 505 (external confirmations), SA 510 (opening balances), SA 520 (analytical procedures), SA 530 (sampling), SA 540 (estimates), SA 550 (related parties), SA 560 (subsequent events), SA 570 (going concern), SA 580 (written representations)	<i>How the auditor gets sufficient appropriate evidence</i> to reduce risk to acceptably low
600–699 Using Work of Others	SA 600 (using another auditor), SA 610 (internal auditors), SA 620 (auditor's expert)	Audit cannot do everything alone; addresses the risk of relying on others
700–799 Audit Conclusions & Reporting	SA 700 (forming opinion & reporting), SA 701 (key audit matters), SA 705 (modifications), SA 706 (emphasis of matter / other matter), SA 710 (comparatives), SA 720 (other information)	Converts evidence into the <i>communicated opinion</i> the user relies on
800–899 Specialised Areas	SA 800, 805, 810	Special-purpose frameworks, single statements, summary financials

If unsure of an exact SA number in the exam, state the principle and note "confirm the SA number in ICAI material" — but the numbers above are the standard ICAI set and worth knowing.

4.5 Scope of audit

The **scope** of an audit — how far the auditor's work reaches — is determined by:

1. The **applicable financial reporting framework** (Accounting Standards / Ind AS),
2. The relevant **Standards on Auditing**,
3. The **terms of engagement** and any **statutory/legal requirements** (e.g. Companies Act, and for companies also the reporting under CARO and internal financial controls u/s 143(3)(i)).

Key scope principles:

- The audit should be **organised to cover all aspects** of the entity relevant to the financial statements.
- The auditor should assess the **reliability and sufficiency** of information (accounting records + other sources) and whether it is **properly disclosed**.
- The auditor uses **judgement** to decide what information to test and how much.

- **The scope is NOT restricted by management** — if management imposes a limitation on scope that the auditor cannot overcome, it leads to a **modified opinion** (qualification or disclaimer) under SA 705. The auditor decides the extent of work needed, not the client.
- An audit is **not** a guarantee of the entity's future viability, nor of management's efficiency or effectiveness — it is an opinion on the *financial statements*.

4.6 Types of audit

Auditing is one concept applied in many contexts. Classify along two axes.

By legal requirement:

- **Statutory audit** — required by law (e.g. audit of companies under the Companies Act 2013; banks under Banking Regulation Act; tax audit u/s 44AB of the Income-tax Act). Neither scope nor removal of auditor can be curtailed by agreement — the statute governs.
- **Non-statutory / voluntary audit** — undertaken by choice (e.g. a proprietorship or a small partnership gets audited to satisfy a lender). Scope is set by the engagement contract.

By approach / subject-matter:

Type	What it examines	Risk it serves
Financial audit	Truth & fairness of financial statements	Core trust gap between owners and managers
Cost audit	Cost records and cost statements (Companies (Cost Records & Audit) Rules)	Whether resources are used efficiently; regulated pricing
Management / operational audit	Efficiency and effectiveness of operations	Value-for-money, not just accuracy
Internal audit	Ongoing appraisal of controls & risk <i>by/for management</i> (see 4.7)	Continuous control and governance
Government audit (C&AG)	Public funds, propriety, regularity	Stewardship of taxpayer money
Tax audit	Compliance with income-tax provisions	Correct assessment of taxable income
Special / forensic audit	Specific purpose, often fraud investigation	Deep-dive where fraud is suspected

By coverage/timing: *continuous audit* (checking throughout the year — suits large volumes but risks altered figures after checking), *periodic/final audit* (after year-end in one continuous session), *interim audit* (up to a mid-point, often for interim results), and *balance-sheet audit* (works back from the balance sheet to underlying records).

4.7 Statutory (external) audit vs internal audit — a critical distinction

Examiners love to test whether you can separate these. Both examine, but they serve different masters.

Dimension	Statutory (External) Audit	Internal Audit
Objective	Express opinion on true & fair view to owners/third parties	Improve operations, controls, risk mgmt for management
Appointed by	Shareholders (members)	Management / Board / Audit Committee
Reports to	Members (shareholders)	Management / Audit Committee
Governing law	Companies Act 2013 (Sec 139–147), SAs	Sec 138 (where applicable), internal policies, SIA
Independence	Independent of management — legally protected	Part of the entity; less independent
Scope	Determined by statute + SAs — cannot be restricted by mgmt	Determined by management
Mandatory?	Yes, for every company	Only for prescribed classes (Sec 138 + Rules)

The external auditor *may use* the internal auditor's work under **SA 610**, but only after evaluating the internal auditor's **competence, objectivity, and systematic approach** — and the external auditor **retains sole responsibility** for the opinion. The reason is the agency logic again: internal audit reports to the very management whose statements are being audited, so it cannot supply the *independence* the owner needs.

4.8 Ethical principles — the foundation that makes the opinion worth anything

An audit opinion is only valuable if the auditor is *trustworthy*. The entire value collapses if the auditor is biased, incompetent, or corrupt. Hence the **ICAI Code of Ethics** (built on the IESBA framework) imposes **fundamental principles**, reinforced by SA 200's requirement of **relevant ethical requirements, including those on independence**:

Principle	What it demands	The risk it kills
Integrity	Be straightforward and honest	Auditor lying or misleading destroys credibility
Objectivity	No bias, conflict of interest, or undue influence	Biased opinion = worthless opinion
Professional competence & due care	Maintain skill; act diligently per current standards	Incompetent auditor misses misstatements
Confidentiality	Don't disclose client information without authority	Clients won't give full access if secrets leak
Professional behaviour	Comply with laws; avoid discrediting the profession	Protects trust in the profession as a whole

Sitting above these is **independence** — the crown jewel. It has two aspects:

- **Independence of mind** — the actual state of mind that permits an unbiased conclusion.
- **Independence in appearance** — avoiding circumstances a reasonable third party would think compromise independence.

Independence is not a bonus feature; it is *the whole reason the audit solves the agency problem*. An auditor financially or personally entangled with management is just another insider. That is why the Companies Act disqualifies certain persons from appointment (Sec 141), restricts non-audit services (Sec 144), mandates auditor **rotation** for prescribed companies (Sec 139), and protects the auditor's tenure and removal (removal needs special resolution + Central Government approval). Every one of these rules is a wall protecting independence.

4.9 Professional skepticism and professional judgement

SA 200 requires the auditor to plan and perform the audit with:

- **Professional skepticism** — a questioning mind, alert to conditions that may indicate misstatement due to fraud or error, and a **critical assessment** of evidence. The auditor does *not* assume management is dishonest, but does *not* assume unquestioned honesty either. He treats records and representations as things to be *tested*, not *believed*. This is the auditor's built-in defence against the agency problem at the level of daily work.
- **Professional judgement** — the application of relevant training, knowledge and experience in making informed decisions (about materiality, risk, procedures, and evidence). Because audit is full of estimates and sampling, mechanical rules cannot decide everything; trained judgement must.

5. Applied Scenarios — Reasoning to the Correct Audit Response

Scenario 1 — "You certified our accounts, so how did the fraud happen?" A company's storekeeper and a supplier colluded for two years to record fictitious purchases; the statutory auditor did not detect it. Shareholders argue the auditor "guaranteed" the accounts. *Reasoning:* The auditor gives **reasonable, not absolute, assurance** (SA 200). **Collusive fraud** with forged documents is a recognised **inherent limitation** — audit procedures assume documents are genuine unless indications suggest otherwise. Provided the auditor exercised **professional skepticism**, complied with **SA 240** (assessed fraud risk, responded, evaluated red flags), and obtained **sufficient appropriate evidence**, he is not automatically liable merely because a well-concealed fraud existed. He is an **opinion-giver, not a guarantor**. *Correct response:* the auditor's defence rests on demonstrating, through **documentation (SA 230)**, that he did what a competent, skeptical auditor would do.

Scenario 2 — Management refuses to let the auditor circularise debtors. The auditor wants to send external confirmations to debtors (SA 505). Management says, "Just rely on our ledgers; don't disturb our customers." *Reasoning:* This is a **scope limitation imposed by management**. The auditor decides the extent of procedures, **not** the client — scope **cannot be restricted by management**. Debtors' key assertions are **existence and valuation**; ledgers alone are management-generated (weak evidence). If the auditor cannot obtain alternative sufficient appropriate evidence, this is a limitation on scope leading to a **modified opinion — qualification or disclaimer** under **SA 705**, and possible **withdrawal** if pervasive. *Correct response:* insist on the procedure or perform robust alternatives; if blocked and unable to obtain evidence, modify the opinion.

Scenario 3 — A profitable-looking company may not survive the year. During audit, the auditor notes the company has defaulted on loans and lost its major customer, though the accounts are prepared on a going-concern basis. *Reasoning:* Audit is on the *financial statements*, and **SA 570 (Going Concern)** makes the going-concern assumption an audit matter. But note the boundary of scope: the audit is **not a**

guarantee of future viability. The auditor evaluates whether the going-concern *basis* is appropriate and whether **material uncertainty** exists requiring disclosure. If disclosure is adequate, an **Emphasis of Matter** paragraph (SA 706) is used; if inadequate, the opinion is **modified**. *Correct response:* assess management's plans, obtain evidence, and report on disclosure — without claiming to predict the future.

Scenario 4 — Small trader wants an audit though not legally required. A sole proprietor with turnover below the tax-audit threshold asks a CA to audit his accounts to support a bank loan application. *Reasoning:* The trust gap (here between **borrower and lender**) exists regardless of legal compulsion — this is the universality of audit. This is a **voluntary / non-statutory audit**; its **scope is fixed by the engagement letter (SA 210)**, and the auditor still applies the SAs and ethical principles. *Correct response:* accept only after agreeing terms in writing, and perform to the same professional standard — independence and competence are non-negotiable even when the audit is voluntary.

6. Procedure & Documentation Summary

Even in this conceptual chapter, anchor the *process* the concept produces. A financial statement audit flows as:

Preconditions and engagement
SA 210 agree terms in writing



Understand entity and assess
risk of material misstatement
SA 315 plus SA 300 planning



Set materiality
SA 320



Design responses and procedures
SA 330 aimed at risky assertions



Gather sufficient appropriate
evidence SA 500 series



Evaluate misstatements
SA 450 and conclude



Form opinion and report
SA 700 and if needed 705 or 706



Document throughout
SA 230

Figure 3 — The audit process as a risk-to-opinion pipeline. Every step narrows the risk of an undetected material misstatement.

Documentation (SA 230) — the "if it isn't written, it wasn't done" principle. The auditor must prepare audit documentation sufficient for an *experienced auditor with no previous connection* to understand: the nature, timing and extent of procedures; the results and evidence obtained; and significant matters and conclusions with the professional judgements made. Reason: documentation is the *proof* that reasonable assurance was actually obtained — it protects the auditor (evidence of diligence in disputes like Scenario 1), enforces quality (SA 220), and enables review. Working papers are the auditor's property and are retained (ordinarily a minimum period per SQC 1, generally not less than seven years).

7. Connections — How This Chapter Wires into the Rest of the Subject

- → **Audit strategy & risk (SA 300/315/320/330):** "reasonable assurance" and "materiality" introduced here become the operating dials there. The *risk model* ($\text{Audit Risk} = \text{Inherent Risk} \times \text{Control Risk} \times \text{Detection Risk}$) is the mathematical expression of "how much work to reduce risk to acceptably low."
 - → **Evidence (SA 500 series):** "persuasive not conclusive" and "assertions" here decide *what evidence* and *how much* later.
 - → **Fraud (SA 240):** the fraud inherent-limitation here expands into the auditor's active responsibilities there.
 - → **Company audit (Companies Act 2013):** "true and fair" and "independence" here become concrete Sections — appointment (139), eligibility/disqualification (141), non-audit services (144), powers & duties/reporting (143), remuneration (142).
 - → **Audit report (SA 700/705/706):** the "opinion, not certificate" idea here becomes the actual wording, and scope limitations here become qualifications there.
 - → **Ethics chapter:** the fundamental principles previewed here are the full syllabus of professional ethics.
 - → **Auditing and other disciplines:** auditing draws on **accounting** (you cannot audit what you don't understand), **law** (Companies Act, contracts, tax), **economics & finance** (analytical procedures, going concern), **statistics/mathematics** (sampling — SA 530), **behavioural science** (skepticism, understanding fraud incentives), and increasingly **data analytics/IT** (auditing computerised systems). Auditing is a *user* of all these; accounting *ends* where auditing *begins* — the accountant records and summarizes, the auditor then verifies.
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8. Traps & Examiner Tricks

1. **"Audit certifies / guarantees the accounts."** X Audit *expresses an opinion* and gives *reasonable* assurance. The words *certify, guarantee, absolute, correct in every respect* are traps. The auditor is a **watchdog, not a bloodhound** — and even that old phrase is nuanced now by SA 240's active fraud duties, so state it carefully.
2. **Confusing "reasonable" with "limited" assurance.** Audit = **reasonable (high, positive** wording). Review = **limited (moderate, negative** wording). Mixing these loses marks instantly.
3. **Thinking absolute assurance is merely "expensive but possible."** X It is **inherently unattainable** — because of estimates, persuasive evidence, and concealed fraud — *not* just costly.

4. **"Management can limit the scope of a statutory audit."** X Scope is set by law + SAs; management-imposed limitations trigger **modified opinions**, not a smaller audit.
 5. **True and fair = arithmetically accurate.** X It means *fairly presented within the framework*, tolerant of immaterial errors and legitimate estimate ranges.
 6. **Internal audit vs statutory audit confusion.** Watch *who appoints, who they report to, and whether scope is management-controlled*. Internal audit $\neq$ substitute for statutory audit.
 7. **"Audit guarantees the company will not fail / is well managed."** X Audit opines on financial statements; **going concern** (SA 570) is about the *basis and disclosure*, not a viability guarantee. Efficiency is the domain of *management/operational* audit.
 8. **Forgetting "whether due to fraud OR error."** Objectives always cover *both*; writing only "error" is incomplete.
 9. **Independence treated as optional/ethics-only.** It is *structural* — the reason audit works at all, and legally enforced.
 10. **Listing SAs from memory with wrong numbers.** Safer to state the *principle* and flag "confirm the exact SA number in ICAI material" than to assert a wrong number confidently.
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9. First-Principles Recap

Reconstruct the whole chapter from one sentence and you will never forget it:

Owners can't verify managers (agency + information asymmetry), so society inserts an independent expert to examine the financial statements and give the highest-but-not-perfect confidence (reasonable assurance) that they are true and fair — an opinion, not a guarantee, because estimates, persuasive evidence, and concealable fraud make certainty impossible.

From that sentence, everything unspools:

- *Why an audit?* → the trust/agency gap.
- *Why independent?* → an insider can't close a gap caused by insiders.
- *Why "opinion"?* → certainty is unattainable (inherent limitations).
- *Why "reasonable" not "absolute"?* → estimates + sampling + concealed fraud + cost/timeliness.
- *Why "true and fair" not "correct"?* → accounts contain judgement, not just fact.
- *Why assertions and materiality?* → to aim finite effort at the claims most likely to be materially false.
- *Why SAs and ethics?* → to make the opinion consistent, competent, and credible.
- *Why can't management limit scope?* → that would let the audited control the audit, defeating the purpose.

Learn the reason and the requirement remembers itself.

10. Quick-Revision Sheet

Core definition: Independent examination of financial information of any entity, of any size or form, to express an **opinion**.

Why audit exists: Agency problem · Information asymmetry · Stewardship → **trust gap** → need independent assurance.

Objective (SA 200): Obtain **reasonable assurance** that financial statements as a whole are **free from material misstatement** (fraud or error) and **report** — expressing an opinion on **true & fair view** per the applicable reporting framework.

Assurance grades:

	Level	Wording
Audit	Reasonable (high)	Positive
Review	Limited (moderate)	Negative

Inherent limitations (why NOT absolute): (1) estimates/judgement · (2) persuasive-not-conclusive evidence + sampling · (3) fraud/collusion/management override · (4) cost & timeliness · (5) limitations of internal control.

True & fair: True = accurate & framework-compliant; Fair = unbiased, not misleading. *Not* arithmetical perfection.

Assertions: Transactions — Occurrence, Completeness, Accuracy, Cut-off, Classification. Balances — Existence, Rights & obligations, Completeness, Valuation. Plus Presentation & Disclosure.

Scope determined by: reporting framework + SAs + statute/engagement. **Not restrictable by management;** limitation → modified opinion (SA 705).

Key SAs to name: 200 (objectives), 210 (terms), 220 (quality), 230 (documentation), 240 (fraud), 300 (planning), 315 (risk), 320 (materiality), 330 (responses), 500 (evidence), 505 (confirmations), 530 (sampling), 570 (going concern), 580 (written reps), 700/705/706 (report), 610 (internal audit), 620 (expert).

Types of audit: Statutory vs voluntary; Financial, Cost, Management/Operational, Internal, Government (C&AG), Tax, Forensic; Continuous / Periodic / Interim / Balance-sheet.

Statutory vs Internal audit: appointed by members vs management; reports to members vs management; scope by statute vs by management; independent vs part-of-entity.

Ethical fundamentals (ICAI Code): Integrity · Objectivity · Professional competence & due care · Confidentiality · Professional behaviour — crowned by **Independence** (of mind + in appearance).

Two mandatory mindsets (SA 200): Professional **skepticism** (questioning mind) · Professional **judgement**.

Companies Act anchors: Sec 139 (appointment/rotation) · 141 (eligibility/disqualification) · 143 (powers, duties, reporting — including true & fair, u/s 143(2)) · 144 (prohibited services) · 138 (internal audit). *Confirm exact section text in ICAI material.*

One-line soul of the chapter: *Audit converts management's un-trustable self-report into credible information by inserting an independent expert who gives reasonable — never absolute — assurance that the statements are true and fair.*

Q&A — Nature, Objective & Scope of Audit

CA Intermediate — Auditing & Ethics | Chapter 1 Exam-oriented question bank. Every question is followed by a complete model answer with SA / Companies Act citations. Standards referenced are the Indian Standards on Auditing (SAs) issued by ICAI and provisions of the Companies Act, 2013. No invented standards are used.

SECTION A — Concept-Check Questions (with answers)

A1. Why does an audit exist? Explain the "agency problem" that gives rise to the need for audit.

Answer: In a company, ownership (shareholders) is separated from control (management/directors). Management acts as *steward* of the owners' funds. This separation creates an **agency problem** and **information asymmetry** — management knows more about the true state of affairs than the owners, and its self-interest may not align with the owners'. The financial statements prepared by management are the medium through which they report their stewardship. An **independent audit** adds credibility to those statements, reducing information asymmetry and giving owners reasonable assurance that the accounts are reliable. This is the foundational rationale recognised in **SA 200**.

A2. Define "audit" and identify the three vertices of the "audit triangle".

Answer: Audit is an **independent examination of financial information** of any entity, whether profit-oriented or not, and irrespective of size or legal form, **when such an examination is conducted with a view to expressing an opinion thereon** (ICAI's definition; consistent with **SA 200**). The audit triangle links three elements: 1. **Subject matter** — the financial statements prepared by management. 2. **Criteria** — the applicable financial reporting framework (e.g., Accounting Standards / Ind AS read with the Companies Act, 2013). 3. **Opinion/Assurance** — the auditor's conclusion on whether the subject matter conforms to the criteria, communicated to intended users.

A3. State the overall objectives of the independent auditor as laid down in SA 200.

Answer: Per **SA 200 ("Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with SAs")**, the objectives are: (a) to obtain **reasonable assurance** about whether the financial statements as a whole are free from **material misstatement**, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and (b) to **report** on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

A4. Distinguish between "reasonable assurance" and "absolute assurance". Why can an audit never provide absolute assurance?

Answer: **Reasonable assurance** is a *high, but not absolute*, level of assurance. **Absolute assurance** is not attainable because of the **inherent limitations of an audit**, which (per SA 200) arise from: - The **nature of financial reporting** — involving management judgement and estimates. - The **nature of audit procedures**

— auditor works on **test/sample** basis, and may be given incomplete information or be subject to management fraud/collusion/forgery. - The **need to conduct the audit within a reasonable time and cost**

— audit is not exhaustive; it balances timeliness against a limitless investigation. Additionally, most audit evidence is **persuasive rather than conclusive**. Hence the auditor reduces audit risk to an acceptably low level but cannot eliminate it.

A5. What is meant by "true and fair view"? Which section of the Companies Act, 2013 requires it?

Answer: "True and fair view" means the financial statements are **free from material misstatement** and **faithfully represent** the entity's financial position, performance and cash flows in accordance with the applicable framework. It does not mean arithmetical accuracy alone; it requires proper disclosure and adherence to Accounting Standards. **Section 143(2)** of the Companies Act, 2013 requires the auditor to report whether the accounts give a **true and fair view**, and **Section 129(1)** requires the financial statements to give a true and fair view and comply with the notified Accounting Standards.

A6. What are "assertions"? List the categories of assertions used by the auditor.

Answer: Assertions are representations, explicit or otherwise, embodied in the financial statements by management, used by the auditor to consider the different types of potential misstatements (**SA 315**). They fall into: - **Assertions about classes of transactions and events:** Occurrence, Completeness, Accuracy, Cut-off, Classification (and Presentation). - **Assertions about account balances at period end:** Existence, Rights & Obligations, Completeness, Valuation & Allocation (Accuracy, Classification, Presentation). The auditor designs procedures to obtain evidence supporting each relevant assertion.

A7. Distinguish between a statutory audit and an internal audit (any four points).

Answer:

Basis	Statutory Audit	Internal Audit
Governing law	Mandatory under Companies Act, 2013 (Sec 139)	Sec 138 (for prescribed companies); largely a management tool
Appointed by	Shareholders (members)	Management/Board (Audit Committee)
Objective	Express opinion on true & fair view	Evaluate and improve internal control, risk and governance
Scope	Determined by statute; cannot be restricted	Determined by management
Reporting to	Members/shareholders	Management/Board
Independence	External and independent	Employee/outsourced; less independent

A8. What is professional skepticism, and how does it differ from professional judgement (SA 200)?

Answer: Professional skepticism is an attitude that includes a **questioning mind**, being **alert to conditions** that may indicate possible misstatement due to fraud or error, and a **critical assessment of**

audit evidence (SA 200). **Professional judgement** is the application of relevant **training, knowledge and experience** in making informed decisions about appropriate courses of action throughout the audit. Skepticism is the *mindset* (do not accept representations at face value); judgement is the *reasoned application* of expertise to decisions (materiality, nature/extent of procedures, evaluating evidence).

SECTION B — Applied Scenario Questions (Situation → Audit Response with Reasoning)

B1. During the audit, the CFO says: "Trust us, our internal team already checked all invoices — no need to test again." How should the auditor respond?

Answer: The auditor must apply **professional skepticism (SA 200)** and **not accept management's representation as a substitute for audit evidence**. Management representations are corroborative, not conclusive (**SA 580** cautions that written representations are not sufficient appropriate evidence on their own). The auditor should design and perform independent substantive and control-testing procedures on a sample basis (**SA 500 — Audit Evidence**). Reliance on internal team's work is permissible only after evaluating internal controls (**SA 315**) and, if relying on internal audit, applying **SA 610 (Using the Work of Internal Auditors)**. Reasoning: an audit provides *independent* assurance; blanket reliance would compromise independence and defeat the audit's purpose.

B2. A client, a small proprietorship, asks the auditor to "check every single transaction" so the accounts are "100% correct and guaranteed error-free." Can the auditor promise this?

Answer: No. The auditor can offer only **reasonable assurance, not absolute assurance (SA 200)**, because of **inherent limitations** — audit is conducted on a **test basis**, evidence is **persuasive not conclusive**, and there are constraints of **time and cost**. Even a 100% check cannot guarantee detection of misstatements arising from **collusion, forgery, or management override of controls**. The auditor should manage expectations, explain the concept of materiality and reasonable assurance, and document the scope in the **engagement letter (SA 210)**. Reasoning: promising a guarantee would create an "expectation gap" and expose the auditor to unwarranted liability.

B3. Midway through the audit, management refuses to give the auditor access to certain board minutes and bank confirmations, saying they are "confidential." What is the implication for scope?

Answer: This is a **limitation on the scope of the audit**. Under **Section 143(1)** of the Companies Act, 2013, the auditor has a **right of access at all times to the books, accounts and vouchers** and is entitled to require information and explanations. A management-imposed scope limitation prevents the auditor from obtaining **sufficient appropriate audit evidence (SA 500)**. If the possible effects are **material but not pervasive**, the auditor issues a **qualified opinion**; if **material and pervasive**, a **disclaimer of opinion (SA 705)**. Reasoning: the auditor cannot express an unmodified opinion where scope is restricted and evidence is unavailable.

B4. The auditor detects a suspicious round-sum journal entry passed on the last day of the year by a senior manager, bypassing normal approval. What should the auditor do?

Answer: This is a **fraud risk indicator — management override of controls**, an area SA 240 specifically requires the auditor to address. Applying **professional skepticism (SA 200)** and **SA 240 (The Auditor's Responsibilities Relating to Fraud)**, the auditor should: (i) test the **appropriateness of journal entries** and other adjustments; (ii) investigate the business rationale for significant unusual transactions; (iii) obtain corroborating evidence; and (iv) if fraud is suspected, communicate with **Those Charged With Governance (SA 260)** and consider reporting under **Section 143(12)** of the Companies Act, 2013 (fraud reporting to the Central Government / Audit Committee above the prescribed threshold). All work is documented per **SA 230**. Reasoning: the auditor must maintain skepticism precisely where management can override controls.

SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "An audit is an independent examination of financial information conducted with a view to expressing an opinion thereon." Explain the key features of an audit implicit in this definition. (5 marks)

Answer: The definition (aligned with **SA 200**) contains the following key features: 1. **Audit is independent** — the examiner must be free from bias and influence to lend credibility. 2. **Examination of financial information** — the subject matter is financial statements/records. 3. **Of any entity** — profit or non-profit, irrespective of size, constitution or objective. 4. **Systematic and scientific** — conducted through planned procedures to gather sufficient appropriate evidence. 5. **Objective is opinion formation** — the end product is an **opinion on true and fair view**, not certification of accuracy. 6. **Based on evidence** — the opinion rests on audit evidence, judgement and skepticism. The audit thus enhances the **degree of confidence** of intended users in the financial statements (SA 200).

C2. Explain the inherent limitations of an audit as recognised in SA 200. (6 marks)

Answer: Per **SA 200**, an auditor cannot obtain absolute assurance because of inherent limitations arising from: 1. **Nature of financial reporting** — Financial statements involve **subjective decisions, judgements and estimates** by management (e.g., provisions, fair values), which are inherently uncertain. 2. **Nature of audit procedures** — The auditor works on a **test (sample) basis**; there is a possibility that management may not provide complete information; and evidence may be concealed through **fraud, collusion, or forgery**. Audit evidence is largely **persuasive rather than conclusive**. 3. **Timeliness and cost-benefit** — The audit must be completed within a **reasonable time and at reasonable cost**; it is not practicable to examine everything exhaustively. 4. **Other limitations** — Areas like **related party relationships, non-compliance with laws**, and **future events / going concern** carry higher inherent limitation because evidence is harder to obtain. Because of these, the audit provides **reasonable, not absolute, assurance** and reduces audit risk to an acceptably low level.

C3. Discuss the scope of an audit of financial statements. What matters should the auditor consider in determining scope? (6 marks)

Answer: The **scope** of an audit refers to the audit procedures deemed necessary to achieve the objective of the audit. In determining scope, the auditor considers: 1. **Requirements of relevant legislation** — e.g., the Companies Act, 2013, and any special statute governing the entity. 2. **Pronouncements of ICAI** — the **Standards on Auditing (SAs)**, Guidance Notes and the Code of Ethics. 3. **Terms of the engagement** — but the terms **cannot restrict** the auditor's statutory duties or override the SAs. 4. **Coverage of all aspects** —

the audit should cover all aspects of the entity relevant to the financial statements. 5. **Reliability and sufficiency of evidence** — obtained through study/evaluation of internal controls and substantive procedures. 6. **No restriction** — where the auditor's work is restricted such that sufficient appropriate evidence cannot be obtained, the auditor should consider modifying the report (**SA 705**). The scope should never be constrained by any limitation that would cause the auditor to disclaim responsibility without justification.

C4. Classify audits on different bases and give examples. (5 marks)

Answer: Audits may be classified as follows:

On the basis of legal requirement (organisation): - **Statutory audits** — mandatory by law (e.g., company audit under Companies Act, 2013; bank audit; insurance audit; co-operative societies). - **Non-statutory / voluntary audits** — undertaken by choice (e.g., audit of a sole proprietor or partnership firm not required by law).

On the basis of specific objective/purpose: - **Tax audit** (Sec 44AB, Income-tax Act), **cost audit** (Sec 148, Companies Act), **management audit**, **operational audit**, **secretarial audit** (Sec 204).

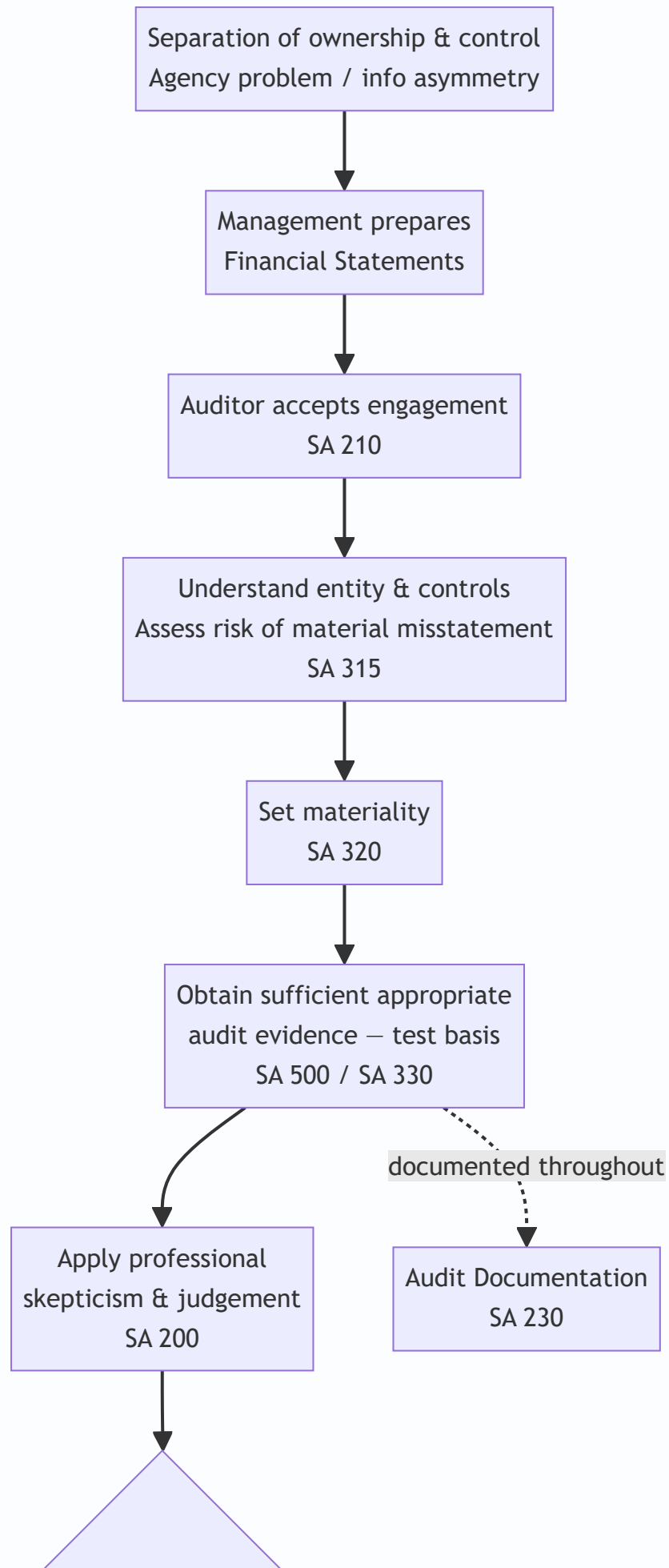
On the basis of function/who performs: - **External/independent audit** and **internal audit** (Sec 138).

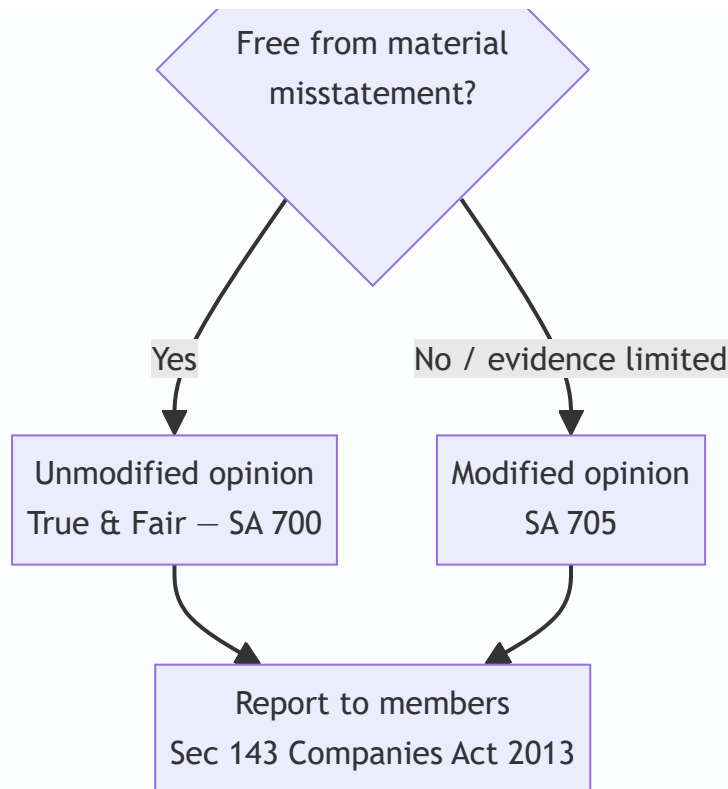
On the basis of degree of independence and appointment the audit may further be **government audit** (by C&AG). This classification shows that audit, though rooted in a common objective, is applied across varied statutory and voluntary contexts.

C5. Explain the relationship between "materiality" and "reasonable assurance", and how they shape the auditor's opinion. (4 marks)

Answer: The auditor's objective (SA 200) is reasonable assurance that the statements are free from **material** misstatement — not *any* misstatement. **Materiality (SA 320)** is the threshold above which misstatements, individually or in aggregate, could reasonably be expected to **influence the economic decisions** of users. Because assurance is targeted at material items and is *reasonable* (high but not absolute), the auditor accepts a low level of **audit risk (SA 320/SA 200)** rather than zero risk. If uncorrected misstatements exceed materiality, or scope limitations prevent evidence on material items, the opinion is **modified under SA 705**; otherwise an **unmodified (clean) opinion** is expressed. Thus materiality operationalises reasonable assurance in forming the opinion.

Process Diagram — Flow of an Audit (Objective to Opinion)





Procedure & Documentation Summary (SA 230)

C6. State the purpose and essentials of audit documentation under SA 230. (4 marks)

Answer: SA 230 ("Audit Documentation") requires the auditor to prepare documentation (working papers) that is **sufficient to enable an experienced auditor, having no previous connection with the audit, to understand**: (a) the **nature, timing and extent** of procedures performed; (b) the **results** and evidence obtained; and (c) **significant matters** and conclusions reached, including significant professional judgements. Key points: - **Purpose**: provides evidence of the auditor's basis for the opinion and evidence that the audit was **planned and performed in accordance with SAs**; assists in planning, supervision, review, quality control and future references; helps discharge accountability. - **Timely preparation**: documentation should be prepared on a timely basis. - **Assembly of final file**: within **60 days** after the date of the auditor's report. - **Retention**: ordinarily **not shorter than 7 years** from the date of the auditor's report. - Identify the **preparer and reviewer**, and record who performed the work and the date.

SECTION D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. The overall objectives of the auditor are laid down in which Standard on Auditing? (a) SA 210 (b) SA 200 (c) SA 230 (d) SA 700 **Answer: (b) SA 200** — it prescribes the overall objectives and governs the conduct of an audit per SAs.

D2. An audit provides: (a) Absolute assurance (b) No assurance (c) Reasonable assurance (d) Limited assurance **Answer: (c) Reasonable assurance** — high but not absolute, owing to inherent limitations (SA 200).

D3. The right of the auditor to access books of account "at all times" flows from: (a) Sec 129 (b) Sec 143(1) (c) Sec 139 (d) Sec 134 **Answer: (b) Section 143(1), Companies Act, 2013** — grants the auditor the statutory right of access.

D4. "Existence", "Rights and obligations", "Completeness" and "Valuation" are assertions relating to: (a) Classes of transactions (b) Account balances at period end (c) Presentation only (d) Audit evidence **Answer: (b) Account balances at period end** — as classified under SA 315.

D5. A questioning mind and critical assessment of audit evidence describes: (a) Professional judgement (b) Professional skepticism (c) Due diligence (d) Materiality **Answer: (b) Professional skepticism** — defined in SA 200.

D6. Audit documentation should ordinarily be retained for a period not shorter than: (a) 3 years (b) 5 years (c) 7 years (d) 10 years **Answer: (c) 7 years** — from the date of the auditor's report (SA 230).

D7. Case Scenario: M/s XYZ Ltd's management asks the auditor to sign the report before evidence on a material litigation is available, promising a representation letter instead. The auditor should: (a) Sign, relying on the representation letter (b) Refuse; obtain sufficient appropriate evidence and modify if unavailable (c) Sign with a note (d) Resign immediately **Answer: (b)** — Written representations are not a substitute for audit evidence (SA 580); if material evidence is unavailable, modify the opinion under SA 705.

D8. Case Scenario: During audit, the auditor selects only a sample of the thousands of sales invoices rather than all of them. This reflects: (a) Negligence (b) A scope limitation imposed by management (c) The test-basis inherent limitation of audit (d) A violation of SA 500 **Answer: (c)** — Auditing on a **test/sample basis** is an inherent limitation recognised in SA 200; it is normal audit practice, not negligence.

SECTION — Connections, Traps, First-Principles Recap & Quick Revision

Connections

- **SA 200** (objectives, assurance, skepticism) is the umbrella; **SA 210** (engagement terms) → **SA 315/320** (risk & materiality) → **SA 500/330** (evidence & responses) → **SA 700/705** (opinion) → **SA 230** (documentation throughout). The Companies Act, 2013 supplies the statutory duties (**Sec 143**), the true-and-fair mandate (**Sec 129**), and appointment (**Sec 139**).

Traps & Examiner Tricks

- **Trap:** "Audit guarantees accounts are 100% accurate." → **False**; only *reasonable assurance of true and fair* view.
- **Trap:** Confusing **true and fair** with **arithmetical accuracy** — true & fair requires proper disclosure and AS compliance, not mere accuracy.

- **Trap:** Treating **skepticism** and **judgement** as the same — skepticism is the mindset; judgement is applied expertise.
- **Trap:** Assuming management representation (SA 580) can replace audit evidence — it cannot.
- **Trap:** Citing a wrong SA number — objectives are **SA 200**, documentation is **SA 230**, evidence is **SA 500**, opinion modification is **SA 705**. Never invent standards.
- **Trap:** Believing engagement terms can shrink statutory scope — they cannot override the Companies Act or SAs.

First-Principles Recap

Ownership is separated from control → information asymmetry → owners need credible accounts → an **independent** examiner tests the financial statements against a **framework** and expresses an **opinion**. Because reporting involves judgement, evidence is sampled and persuasive, and time/cost are finite, the opinion offers **reasonable (not absolute) assurance** that the statements show a **true and fair view**, free from **material** misstatement.

Quick-Revision Sheet

- **Definition:** Independent examination of financial information → opinion (SA 200).
- **Audit triangle:** Subject matter (FS) — Criteria (framework) — Opinion (assurance).
- **Objective (SA 200):** Reasonable assurance FS free of material misstatement (fraud/error) + report.
- **Assurance:** Reasonable, not absolute — due to inherent limitations (reporting nature, test basis, time/cost, persuasive evidence).
- **True & fair:** Sec 129 (prepare) & Sec 143(2) (report), Companies Act 2013.
- **Assertions (SA 315):** Transactions — OCCAC; Balances — ExRiCoVa; Presentation & disclosure.
- **Skepticism:** questioning mind + alert + critical evaluation (SA 200).
- **Statutory vs internal:** law-mandated opinion vs management control tool (Sec 139 vs Sec 138).
- **Fraud:** SA 240; report under Sec 143(12).
- **Documentation:** SA 230 — experienced-auditor test; file assembly 60 days; retain min 7 years.
- **Opinion:** Unmodified (SA 700) vs Modified (SA 705).

Chapter 02 — Audit Strategy, Planning & Materiality

1. The Problem — You Cannot Check Everything, And Not Everything Deserves Checking

Imagine you are handed the books of a company with ₹800 crore of turnover, three lakh sales invoices, a lakh purchase entries, seven factories, two subsidiaries, inventory in nine warehouses, and a ledger with four thousand accounts. You have a team of six people and about eight weeks. Now answer honestly: **can you verify every transaction?**

You cannot. Not in eight weeks, not in eight years. And here is the deeper trap — even if you *could* check everything, it would be **wasteful and pointless**, because most of those transactions are tiny, routine, low-risk, and even if a few were wrong, it would not change the decision of a single investor or banker reading the accounts.

So the auditor faces two problems at once:

1. **The scarcity problem** — finite time, finite people, finite fees, versus an ocean of transactions. If you spread your effort evenly like butter on toast, you will look at everything shallowly and catch nothing.
2. **The relevance problem** — some errors matter and some do not. A ₹2,000 misclassification in a company with ₹50 crore profit changes nobody's mind. A ₹5 crore overstatement of revenue might turn a loss into a profit and mislead every shareholder.

Recall the trust/agency problem from Chapter 1: owners cannot verify managers, so they hire an independent expert to give **reasonable assurance** that the financial statements are free from **material** misstatement. Note the two load-bearing words — *reasonable*, not absolute; and *material*, not perfect. The entire architecture of planning and materiality flows from unpacking those two words.

The risk this chapter addresses: an auditor who does not plan will either (a) run out of time and give an opinion on statements he barely examined, or (b) burn his hours on trivial areas and completely miss the one account where management had both the *motive* and the *opportunity* to lie. Both outcomes mean a **wrong opinion attached to a clean-looking signature** — the exact failure the audit exists to prevent.

Planning and materiality are therefore not administrative housekeeping. They are the auditor's answer to the question: *given that I can't check everything, how do I make sure that what I do check is enough to catch the misstatements that would actually mislead a user?*

2. The Core Idea — Aim Effort Where Money Is Both Large and Likely to Be Wrong

The core idea has two blades that cut together:

Materiality tells you how big a misstatement must be before it matters. Risk tells you where misstatements are most likely to hide. Planning is the act of pointing your scarce audit effort at the intersection — large amounts that are also risky.

Everything else is detail. If an amount is trivially small, you do little, because even if it's wrong nobody is misled. If an amount is large but sits in a rock-solid, low-risk area (say, share capital that hasn't changed in years), you do a bit. If an amount is large **and** risky (revenue recognition, provisions, related-party dealings, inventory valuation), you throw the bulk of your effort there.

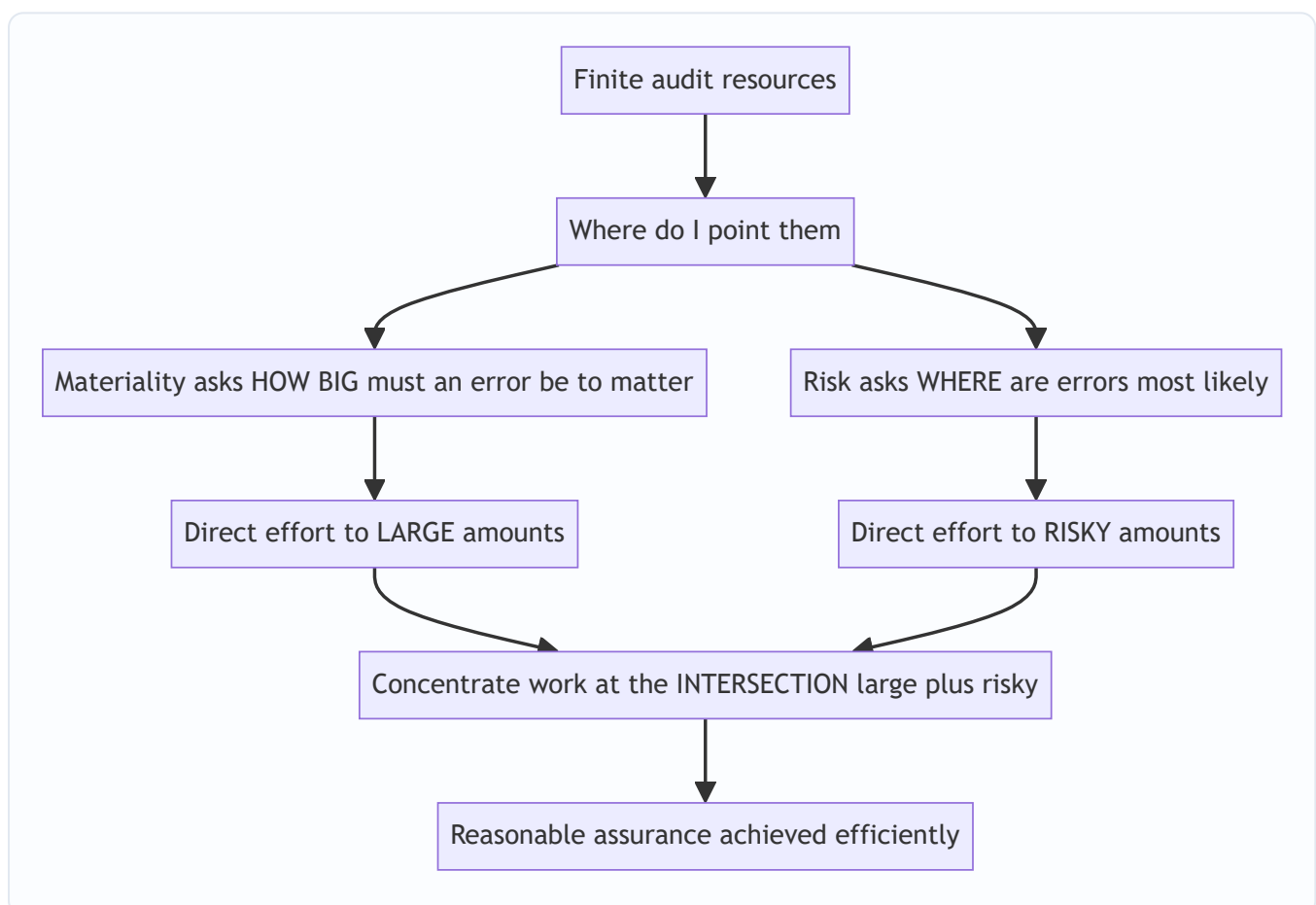
This is why an auditor's file for a company is never a uniform grid. It is deliberately **lopsided** — thick where money and risk concentrate, thin where they don't. That lopsidedness is not laziness; it is the *whole point*. A file that is evenly thick everywhere is the mark of an auditor who never planned.

Two standards operationalise this idea:

- **SA 300 — Planning an Audit of Financial Statements:** gives you the *machinery* — build an overall audit strategy, then a detailed audit plan.
- **SA 320 — Materiality in Planning and Performing an Audit:** gives you the *threshold* — how big is big enough to matter, and how to set a safety-margin below it.

They are joined at the hip: you cannot plan effort without knowing what "matters," and knowing what matters is useless unless you translate it into a plan of action.

Figure 2.1 — The two blades of the core idea: materiality sets the size threshold, risk sets the location, planning aims effort at their intersection.



3. Why It's Built This Way — The Logic Behind Each Requirement

Before the technical content, let's earn each rule from first principles, so nothing has to be memorised.

Why plan at all, formally and in writing? Because human effort left unplanned drifts toward the easy and the familiar, not the important. A junior will happily vouch a hundred petty-cash slips because it's comfortable, while the ₹10 crore revenue-cut-off question goes untouched. A documented plan forces the engagement to confront risk *before* fieldwork begins, when there is still time to allocate senior staff and specialist attention to the hard areas. Planning is a **commitment device** against the natural gravity toward trivia.

Why split strategy from plan? Because scope-and-direction decisions (which offices, which subsidiaries, what timing, which specialists, how big the team) are a *different kind* of thinking from procedure-level decisions (do I confirm receivables or examine subsequent receipts). Mixing them produces mush. Strategy is the *aerial map*; the plan is the *street-by-street route*. You must draw the map before the route, because the route depends on where you've decided to go.

Why a materiality threshold instead of chasing every rupee? Because the user of accounts is a *decision-maker*, not an accountant seeking perfection. Materiality is defined by reference to whether a misstatement, individually or in aggregate, could reasonably be expected to **influence the economic decisions** of users taken on the basis of the financial statements. If it wouldn't change a decision, chasing it wastes the audit's scarce resources and delays the report that users actually need. The threshold is the auditor's formal recognition that *the goal is a reliable decision, not a flawless ledger*.

Why performance materiality — a number below materiality? This is the most beautiful piece of logic in the chapter, so slow down. Suppose materiality for the financial statements as a whole is ₹1 crore. If you set your working threshold at exactly ₹1 crore, you'd ignore every individual error under ₹1 crore. But **errors aggregate**. Fifty different accounts each understated by ₹5 lakh — every one "below materiality" — sum to ₹2.5 crore, which is *materially* wrong. Also, your sampling only *tests a portion*; undetected errors lurk in the untested remainder. So you deliberately work to a **lower** number (performance materiality) to leave a cushion, so that the sum of (a) uncorrected small errors you did catch and (b) undetected errors you never saw still stays under overall materiality. Performance materiality is a **buffer against aggregation and against the imperfection of sampling**. It is risk management expressed as a number.

Why benchmarks and percentages? Because "how big is big" is meaningless in the abstract — ₹1 crore is catastrophic for a small trader and a rounding error for a conglomerate. Materiality must be *relative* to the entity, so we anchor it to a benchmark that reflects what users care about (profit, revenue, or net assets, depending on the business) and apply a judgement-based percentage.

Why document all of this? Because judgement that isn't written down cannot be reviewed, cannot be defended if the audit is questioned years later, and cannot guide the team. Documentation converts one person's private reasoning into the engagement's shared, reviewable, defensible plan.

4. Full Technical Content — The Standards, By Purpose

4.1 SA 300 — Planning an Audit of Financial Statements

Purpose (the "why" of the whole standard): to ensure the audit is conducted in an *effective manner* — meaning attention is devoted to important areas, potential problems are identified and resolved on a timely basis, and the engagement is properly organised, staffed, directed and supervised.

SA 300 spells out the benefits of planning, and each benefit maps to a risk it defeats:

Benefit of planning (SA 300)	The risk it defeats
Helps devote appropriate attention to important areas	Effort scattered on trivia; big risks missed
Helps identify and resolve problems on a timely basis	Nasty surprises discovered too late to address before the report deadline
Helps organise and manage the engagement efficiently	Duplicated work, idle staff, blown budgets and fees
Assists in selecting team members with appropriate capabilities and competence, and assigning work to them	A junior sent to audit a complex derivatives portfolio he cannot understand
Facilitates direction and supervision of the team and review of their work	Team members work in the dark; errors in their work go uncaught
Assists in coordinating work done by component auditors and experts	The valuation expert's work arrives too late or doesn't fit the audit's needs

Preliminary engagement activities (do these *before* planning): SA 300 requires the auditor, at the *beginning* of the current audit, to: - perform procedures regarding the **continuance** of the client relationship and the specific engagement (is this client still one we want, with acceptable integrity?); - evaluate compliance with **ethical requirements**, including **independence** (SA 220 / the Code); and - establish an **understanding of the terms of the engagement** (SA 210 — the engagement letter).

Why first? Because there's no sense planning an audit you shouldn't accept, or that you're not independent to perform. These gate-keeping checks come before you invest in strategy.

The two-layer output of SA 300:

(a) The Overall Audit Strategy — sets the **scope, timing and direction** of the audit and guides the development of the detailed plan. In establishing it, the auditor: - identifies the **characteristics of the engagement that define its scope** (financial reporting framework applicable, industry-specific reporting, locations/components, reliance on internal audit); - ascertains the **reporting objectives to plan the timing** of the audit and the nature of communications required (deadlines for interim and final reporting, key dates for meetings with those charged with governance); - considers the **factors that, in the auditor's professional judgement, are significant** in directing the team's efforts (determination of materiality, preliminary identification of high-risk areas, results of previous audits, evidence of management's commitment to sound internal control); - considers the results of **preliminary engagement activities**; and - ascertains the **nature, timing and extent of resources** necessary to perform the engagement (how many people, how experienced, when deployed, budget).

Think of the strategy as answering four questions: **What are we auditing? When must it be done? Where are the risky areas that should shape our effort? Who and how much do we need?**

(b) The Audit Plan — more detailed than the strategy; it converts strategy into specific procedures. It must include a description of: - the **nature, timing and extent of planned risk assessment procedures** (as per SA 315); - the **nature, timing and extent of planned further audit procedures** at the assertion level (as per SA 330) — i.e., tests of controls and substantive procedures; and - **other planned procedures** required to comply with the SAs.

Relationship between the two: The strategy sets the broad approach; the plan details the procedures that, if performed, achieve that approach. They are **not linear and once-off** — the standard stresses that planning

is **continuous and iterative**. As the audit progresses and you learn things (a control you expected to rely on fails; a new risk emerges), you **update and change** the strategy and plan. Planning is a dial you keep turning, not a switch you flip once.

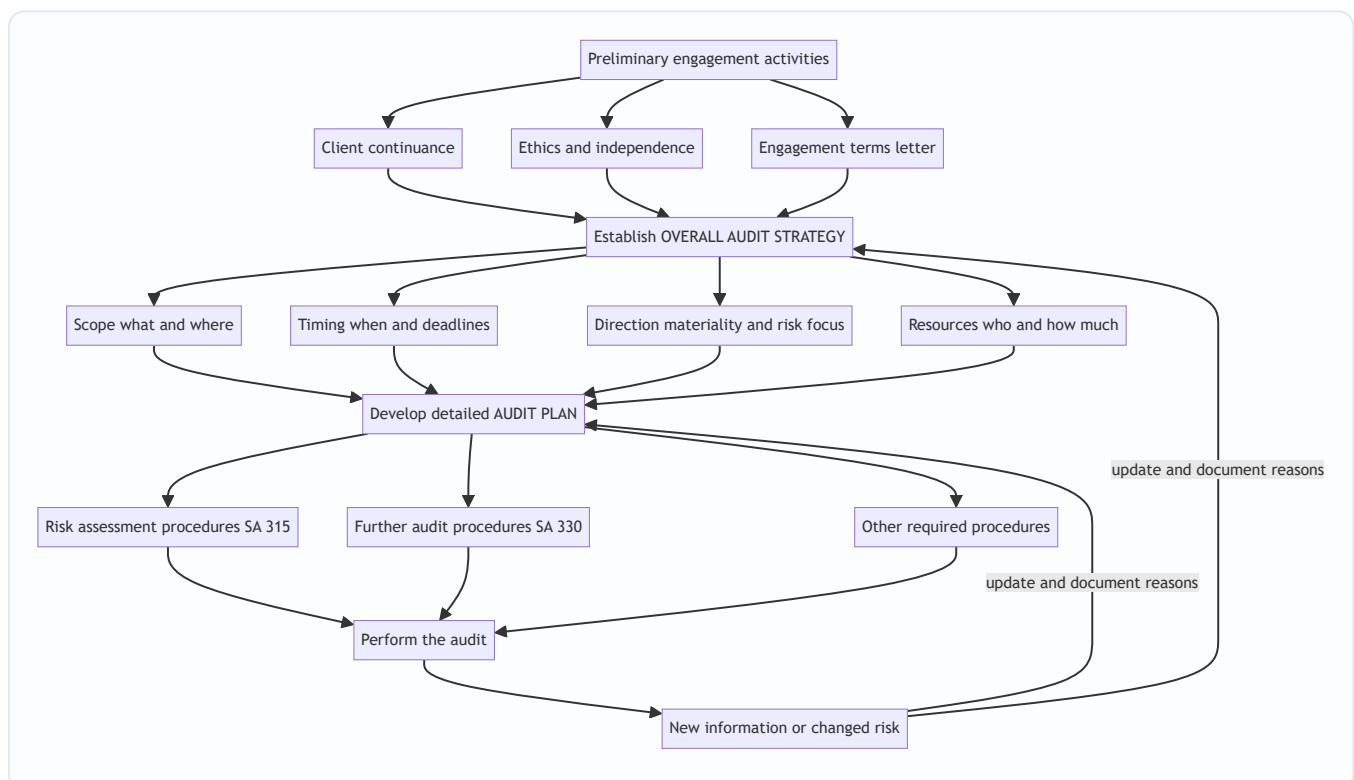
Direction, supervision and review: SA 300 requires the auditor to plan the **nature, timing and extent of direction and supervision** of team members and the **review** of their work. The extent scales with risk and staff competence — a risky area worked by a junior needs close supervision; a low-risk area worked by an experienced manager needs less. (This dovetails with SA 220, Quality Control.)

Documentation (SA 300 para on documentation): the auditor shall document: - the **overall audit strategy**; - the **audit plan**; and - any **significant changes** made during the engagement to the strategy or plan, and the **reasons** for such changes.

Why document changes and reasons? Because a change of plan mid-audit is exactly where things go wrong and exactly what a later reviewer or regulator will scrutinise. Recording *why* you changed course shows the change was a reasoned response to new information, not drift.

Additional considerations for initial (first-year) audits: SA 300 flags that an *initial* audit needs *more* planning, because the auditor has no prior cumulative knowledge of the entity. Extra activities include arrangements with the **predecessor auditor** (e.g., review of prior working papers) and procedures on **opening balances** (SA 510).

Figure 2.2 — SA 300 flow: gate-keeping first, then strategy, then plan, with a continuous feedback loop back into both.



4.2 SA 320 — Materiality in Planning and Performing an Audit

Purpose: to apply the concept of materiality appropriately in *planning and performing* the audit. (A companion standard, **SA 450 — Evaluation of Misstatements Identified During the Audit**, deals with materiality when *evaluating* the effect of misstatements found and uncorrected. SA 320 is about setting the yardstick; SA 450 is about measuring against it at the end.)

The concept (rooted in the financial reporting framework): Misstatements, including omissions, are considered **material** if they, individually or in the aggregate, could reasonably be expected to **influence the economic decisions of users** taken on the basis of the financial statements. Three features of this definition carry all the weight:

1. **It's about users' decisions**, not the auditor's convenience — materiality is judged from the standpoint of a reasonable user relying on the accounts.
2. **Individually or in aggregate** — small errors that sum to a large one are material together even if each is immaterial alone. (This is the seed of performance materiality.)
3. Judgements about materiality are made in light of surrounding circumstances and are affected by the **size and/or nature** of a misstatement — quantitative *and* qualitative.

Assumptions about users (why we can generalise): SA 320 lets the auditor assume users: - have a **reasonable knowledge** of business and accounting and a **willingness to study** the information with reasonable diligence; - understand that statements are prepared and audited to **levels of materiality** (i.e., not to perfection); - recognise the **uncertainties** inherent in measuring amounts based on estimates and judgement; and - make **reasonable economic decisions** on the basis of the statements.

Why this matters: it frees the auditor from designing the audit for a hypothetical user who needs every rupee correct. The audit serves the *reasonable, diligent* user — and that is who the threshold is calibrated for.

The three materiality figures SA 320 requires you to determine:

(i) Materiality for the financial statements as a whole ("overall materiality"). Set when establishing the overall strategy. Usually computed as a **percentage applied to a chosen benchmark**.

Choosing the benchmark — the standard lists factors: - the **elements** of the financial statements (assets, liabilities, equity, revenue, expenses); - whether there are items on which **users tend to focus** for the particular entity; - the **nature of the entity**, where it is in its life cycle, and the industry/economic environment; - the entity's **ownership structure and financing** (e.g., debt-financed entities → users focus on assets and claims rather than earnings); and - the **relative volatility** of the benchmark.

Common benchmarks and their logic (percentages are indicative ranges used in practice / ICAI illustrations — **confirm current ICAI-quoted figures**, as SA 320 itself does not fix numbers):

Benchmark	Typical range	When it's the right choice — the logic
Profit before tax	~5%	Profit-oriented entity; users (investors) focus on earnings
Total revenue / turnover	~0.5% – 1%	Profit is small, volatile, or near break-even, making PBT an unstable base; or a growth/loss-making company where revenue is what users watch
Total assets	~1% – 2%	Asset-intensive or balance-sheet-driven entity
Net assets / equity	~1% – 5%	Investment entities, funds where net asset value is the headline number
Gross profit / total expenses	varies	Not-for-profit or entities where expenditure is the focus

Why not always use PBT? Because if profit is near zero, 5% of it is almost nothing, and you'd set an absurdly tiny materiality that makes the audit un-performable. When the natural benchmark is unstable, switch to a

steadier one (often revenue). The benchmark must reflect *what users of this particular entity actually care about* and must be *stable enough to be a reliable yardstick*.

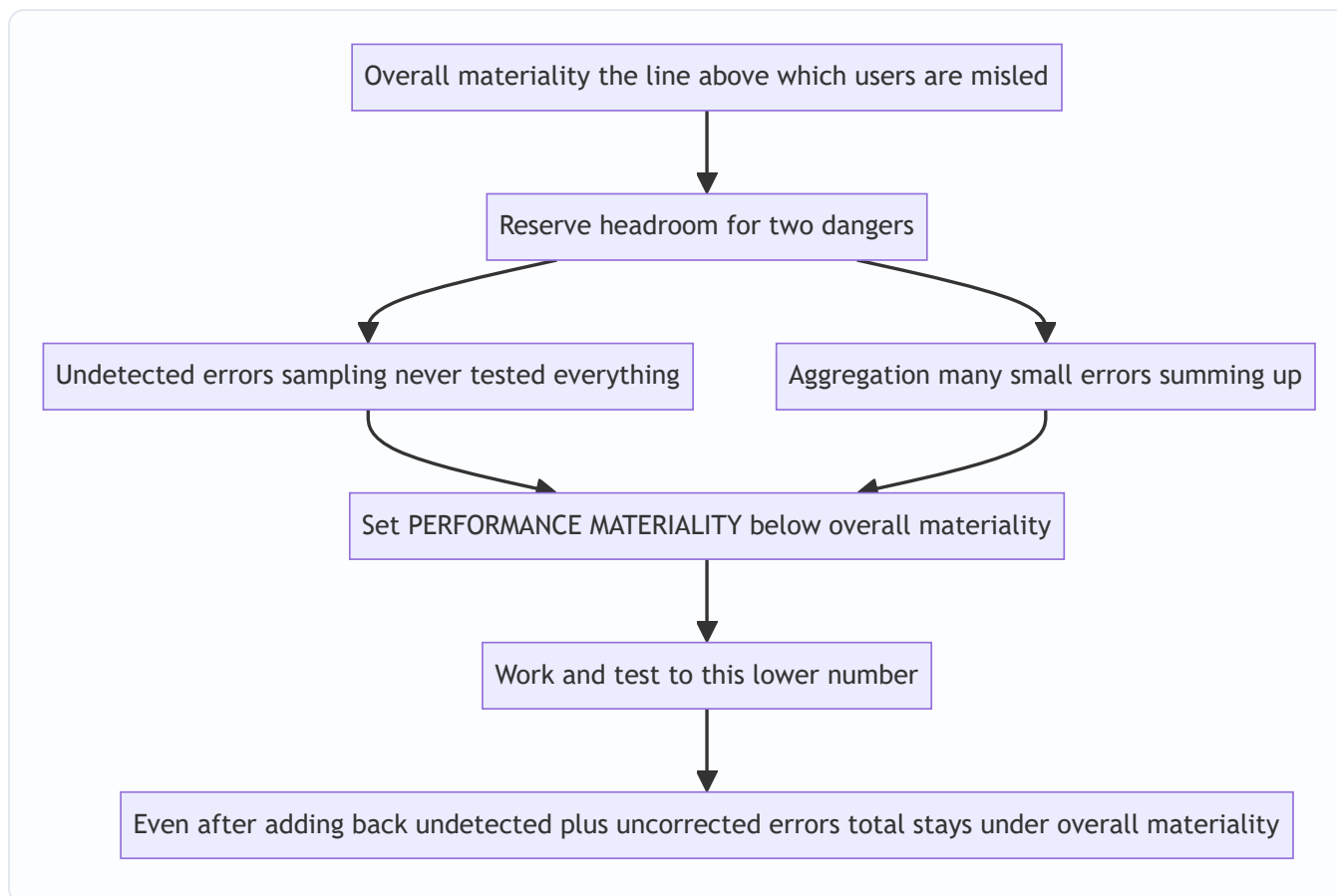
(ii) Materiality level(s) for particular classes of transactions, account balances or disclosures — where applicable. Sometimes a misstatement *below* overall materiality would *still* influence users if it hits a **specific sensitive area**. Examples: **related-party transactions**; **directors' remuneration** (a legally sensitive disclosure); a figure that determines compliance with a **loan covenant** or a **regulatory ratio**; the amount at which a company just crosses from loss to profit. For such items you set a *lower, specific* materiality. *Why*: the sensitivity here is **qualitative** — the *nature* of the item, not just its size, makes even a small error decision-relevant.

(iii) Performance materiality. Defined as an amount (or amounts) set at *less than* materiality for the financial statements as a whole (and less than any specific materiality for particular areas) to **reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality** for the statements as a whole.

Break that definition into its two jobs: - **Aggregation cushion**: many individually-immaterial misstatements can add up past overall materiality; working to a lower number means you catch and consider more of them. - **Undetected-error cushion**: you sample; the untested population may contain errors you never saw. The gap between performance materiality and overall materiality is the room left for those.

In practice, performance materiality is often set at **50%–75% of overall materiality** (some firms use down to ~50% for higher-risk engagements, up to ~75% for lower-risk). *The higher the risk / the more misstatements you expect, the LOWER you push performance materiality* — a bigger cushion for a riskier audit. **Confirm the specific percentages in current ICAI material**; SA 320 fixes the *principle*, not the number.

Figure 2.3 — Why performance materiality sits below overall materiality: it reserves headroom for undetected and aggregated errors.



Materiality and audit risk are inversely related — a crucial linkage. The *lower* you set materiality, the *more* misstatements become "material," so the *more* evidence you must gather to be confident none exceed it — hence *more* work, driving detection risk down. Materiality is therefore not just a reporting threshold; it is a **dial that directly sets how much audit work you do**. Set it too high and you might miss decision-relevant errors; set it too low and you drown in un-performable work. (This connects to the audit risk model — Chapter 3.)

Revision as the audit progresses (SA 320 requirement): The auditor shall **revise** materiality (and, if applicable, specific and performance materiality) if he becomes aware of information during the audit that would have caused a *different* initial determination — e.g., actual results diverge sharply from the estimates used to set materiality (you used *projected* profit of ₹20 crore; actuals come in at ₹8 crore). *Why*: materiality set on stale numbers is a yardstick made of rubber. And if revised *downward*, the auditor must reconsider whether performance materiality is still appropriate and whether the **nature, timing and extent of further procedures** remain adequate — often meaning *more* work.

Documentation (SA 320 requirement): the auditor shall document the amounts and the *factors considered* in their determination: - materiality for the financial statements as a whole; - materiality level(s) for particular classes/balances/disclosures, if applicable; - performance materiality; and - any **revision** of the above as the audit progressed.

Why record the factors, not just the numbers? Because the number is a conclusion; the *factors* are the reasoning. A reviewer must be able to see *why* PBT was chosen over revenue and *why* 5% and not 3% — otherwise the figure is an unaccountable guess.

4.3 How Materiality Directs Effort — Tying It Back to Assertions

Materiality doesn't float above the audit; it lands on **specific assertions** in **specific accounts**. Recall the assertions (SA 315) that management implicitly makes about the numbers:

Category	Assertion	Plain meaning
Transactions/events	Occurrence	It really happened and pertains to the entity
	Completeness	Nothing that should be recorded is left out
	Accuracy	Amounts recorded correctly
	Cut-off	Recorded in the correct period
	Classification	Recorded in the right accounts
Account balances	Existence	The asset/liability really exists
	Rights and obligations	The entity owns it / owes it
	Completeness	All balances recorded
	Valuation and allocation	Recorded at an appropriate value
Presentation/disclosure	Occurrence, completeness, classification, accuracy, valuation	Disclosed events happened, all needed disclosures made, clearly and correctly

Planning uses materiality **plus** the risk to each assertion to decide *where and how much* to test. For **revenue**, the risky assertions are usually **occurrence** (fictitious sales inflating revenue) and **cut-off** (sales of next year pulled into this year). For **inventory**, it's **existence** and **valuation** (does it exist, and is it worth what's stated after obsolescence?). For **liabilities and provisions**, it's **completeness** (the temptation is to *hide* liabilities, so you hunt for the *unrecorded* ones). Naming the assertion at risk is what turns "audit revenue" into a targeted procedure — you design the test to attack the specific lie management would be tempted to tell.

5. Applied Scenarios — Reasoning to the Audit Response

Scenario 1 — The break-even benchmark trap. *Facts:* GreenGro Ltd, an agri-inputs company, had PBT of ₹18 crore last year but this year, after a bad monsoon, expects PBT of only ₹40 lakh on turnover of ₹520 crore. The junior proposes materiality of 5% of PBT = ₹2 lakh.

Reasoning: ₹2 lakh materiality on a ₹520 crore business is absurd — nearly every account would be "material," the audit becomes un-performable, and the tiny threshold reflects a one-off profit dip, not what users care about. PBT here is **volatile and near break-even**, disqualifying it as a stable benchmark. Switch to a steadier base users would focus on for a company in a rough patch — **revenue**. At, say, 0.75% of ₹520 crore, overall materiality $\approx$ ₹3.9 crore, a sensible yardstick. Document *why* the benchmark was changed. *Lesson:* the benchmark must be stable and user-relevant; a collapsing PBT triggers a switch, usually to revenue.

Scenario 2 — The qualitatively material small number. *Facts:* For MetroBuild Ltd, overall materiality is ₹1.2 crore. The auditor finds directors' remuneration is overstated by ₹9 lakh, and separately a related-party loan of ₹15 lakh to a director's firm is undisclosed. Both are far below ₹1.2 crore. The manager says "immaterial, ignore."

Reasoning: Wrong. **Nature can make a small amount material.** Directors' remuneration and related-party transactions are legally and governance-sensitive disclosures (also tied to Companies Act requirements); a misstatement here can influence users' judgement about stewardship and conflicts regardless of size. These call for a **specific (lower) materiality** under SA 320, and the misstatements should be evaluated as **qualitatively material**. The auditor should seek correction/disclosure and, if refused, consider the impact on the opinion. *Lesson:* materiality is size **and/or** nature — sensitive disclosures pierce the quantitative threshold.

Scenario 3 — Mid-audit surprise forces revision. *Facts:* At planning, PixelSoft Ltd was budgeted to earn ₹30 crore PBT; materiality was set at 5% = ₹1.5 crore, performance materiality at 75% = ₹1.125 crore (low-risk assessment). During fieldwork, a major customer goes insolvent; actual PBT will be ₹9 crore, and the auditor now suspects aggressive revenue recognition.

Reasoning: Two things changed — the **benchmark magnitude** (actual profit far below projection) and the **risk** (fraud risk in revenue is now higher). SA 320 requires **revising overall materiality downward** to reflect real PBT (5% of ₹9 crore = ₹45 lakh). Because materiality dropped and risk rose, **performance materiality must be pushed lower** (toward 50% given higher risk), and the auditor must reconsider whether the planned **nature, timing and extent** of procedures on revenue are still sufficient — almost certainly expanding substantive testing and adding cut-off and occurrence procedures. Every change and its reason goes into the documentation. *Lesson:* materiality is a live figure; divergence of actuals from estimates and emerging risk both force revision, and revision cascades into more work.

Scenario 4 — The evenly-thick file. *Facts:* A reviewer opens the audit file of a manufacturing client and finds roughly equal working-paper volume on share capital (unchanged for six years), petty cash, revenue, and inventory valuation.

Reasoning: This is a **planning failure**, not thoroughness. Share capital and petty cash are low-risk, low-impact; revenue (occurrence/cut-off) and inventory valuation (obsolescence) are high-risk, high-value. A properly planned audit under SA 300, driven by materiality and risk, would be **lopsided** toward revenue and inventory. Equal effort everywhere means senior attention was *not* directed to where misstatement is both likely and large. *Lesson:* the shape of the file should mirror the map of risk × materiality; uniform effort is a red flag.

6. Procedure / Documentation Summary

The planning workflow, start to finish:

1. **Preliminary engagement activities** — client continuance; ethics and independence evaluation; confirm/agree engagement terms (engagement letter, SA 210).
2. **Obtain/update understanding of the entity and its environment** (SA 315) sufficient to identify risk areas — feeds both strategy and materiality.
3. **Set overall materiality** — choose benchmark, justify the percentage, compute; document benchmark rationale.
4. **Set specific materiality** for sensitive classes/balances/disclosures where a smaller misstatement would influence users; document.
5. **Set performance materiality** below overall (and below specific) materiality, calibrated to expected risk; document the percentage logic.

6. **Establish the overall audit strategy** — scope, timing, direction, resources.
7. **Develop the detailed audit plan** — planned risk-assessment procedures (SA 315) and planned further procedures at assertion level (SA 330), plus other required procedures.
8. **Plan direction, supervision and review** proportionate to risk and staff competence.
9. **Execute, monitoring continuously**; when new information or changed risk appears, **update strategy/plan and revise materiality**, documenting the change and the reason.
10. **At/near completion**, use SA 450 to evaluate whether uncorrected misstatements, individually or in aggregate, exceed materiality.

What must be in the file:

Document	Source SA	Must record
Overall audit strategy	SA 300	Scope, timing, direction, resources
Audit plan	SA 300	Nature/timing/extent of risk-assessment and further procedures
Significant changes to strategy/plan	SA 300	The change and the reasons for it
Materiality determinations	SA 320	Overall materiality; specific materiality (if any); performance materiality; and the factors considered
Revision of materiality	SA 320	Revised amounts and reasons; reconsideration of further procedures

7. Connections

- **Chapter 1 (Nature & objective of audit):** planning and materiality are the operational answer to *reasonable* assurance and *material* misstatement — the qualifiers baked into the audit's objective.
- **SA 315 (Identifying and assessing risks):** supplies the *risk map* that planning aims at; you cannot direct effort without first understanding the entity and its risks. Planning and risk assessment are inseparable.
- **SA 330 (Auditor's responses to assessed risks):** the audit plan's "further procedures" are literally SA 330 responses; higher assessed risk → more persuasive, more extensive procedures.
- **Audit risk model ($AR = IR \times CR \times DR$):** materiality and detection risk are inversely linked; setting materiality is one lever, evidence quantity is the other. Explored fully in Chapter 3.
- **SA 450 (Evaluating misstatements):** the back-end partner of SA 320 — you set the yardstick in planning and measure found misstatements against it at completion.
- **SA 220 / SQC 1 (Quality control):** direction, supervision and review planned under SA 300 are quality-control mechanisms; competent staffing is both a planning and a quality decision.
- **SA 210 (Engagement terms) and client acceptance:** the preliminary activities that gate the whole planning process.
- **Companies Act 2013:** materiality interacts with statutory disclosures — e.g., director's remuneration (Sec 197), related-party transactions (Sec 188), and CARO reporting — where *nature* makes small amounts material; also the auditor's Sec 143 duties presuppose a properly planned audit.

8. Traps & Examiner Tricks

1. **"Materiality is a fixed rule / a single percentage."** *False.* SA 320 fixes no numbers; it's a matter of **professional judgement** using benchmarks. Any answer quoting "materiality = 5% always" loses marks. Say the number is *judgement-based* and *entity-specific*.
 2. **Forgetting the qualitative dimension.** Examiners love a *small* amount in a *sensitive* area (director's pay, related parties, an amount that flips loss to profit, a covenant breach). The trap answer says "immaterial — ignore." The right answer invokes **nature-based materiality** and specific materiality.
 3. **Confusing overall vs performance vs specific materiality.** Overall = the top-line threshold for the statements; **performance = a lower working figure** to buffer aggregation and undetected error; **specific = a lower figure for particular sensitive areas**. Mixing these up is a classic slip. Performance materiality is always **below** overall.
 4. **Getting the risk–materiality direction backwards.** Higher risk → **lower** performance materiality (bigger cushion), and lower materiality → **more** audit work. Some students write the inverse. Reason it: more risk means more room needed for undetected error, so tighten the working threshold.
 5. **Treating planning as a one-time event.** SA 300 stresses planning is **continuous and iterative**; the plan is revisited and revised. "Plan once at the start and never touch it" is wrong.
 6. **Strategy vs plan mix-up.** Strategy = scope/timing/direction/resources (the map). Plan = detailed procedures (the route). If a question asks for contents of the *strategy*, do not list audit procedures; if it asks for the *plan*, do not list resource/timing decisions.
 7. **Forgetting to revise materiality when actuals diverge.** If the exam gives you a *projected* profit at planning and *actual* profit later that's very different, the examiner is testing whether you know SA 320 **requires revision** — and that downward revision triggers reconsideration of procedures.
 8. **Omitting documentation.** Every planning and materiality decision — including **the reasons/factors** and any **changes** — must be documented. Answers that stop at "the auditor decides X" without "and documents it" leave marks on the table.
 9. **Thinking planning means all work is done before fieldwork.** No — planning is *not* a discrete phase that finishes before evidence-gathering; it continues throughout, and *some* substantive procedures may even begin during planning.
 10. **"Planning is only for large/complex audits."** Scale of planning varies with the entity's size and complexity, but *every* audit is planned. A small audit needs less, not zero.
-

9. First-Principles Recap

Strip everything away and here is the skeleton:

- You **cannot** check everything (scarcity), and you **shouldn't** (relevance). So you must aim.
- To aim, you need to know **what size of error matters** (materiality — set by users' decisions, anchored to a stable, entity-relevant benchmark) and **where errors hide** (risk — from understanding the entity and its assertions).
- Point effort at the **intersection of large and risky**. That is planning.
- Because errors **aggregate** and because you only **sample**, work to a threshold **below** the one that matters — that safety margin is **performance materiality**.

- Because *nature* can make a *small* error decision-relevant, carve out **specific materiality** for sensitive areas.
- Because facts change, treat both the plan and the materiality figures as **living**, revising and documenting as you learn.
- **SA 300** is the machinery (strategy then plan, continuously updated, documented). **SA 320** is the threshold (overall, specific, performance, revised, documented).

Every rule in this chapter is a defence against one failure: **signing a clean opinion on statements that were, in a way that would have changed a user's decision, wrong.**

10. Quick-Revision Sheet

Key Standards

SA	Title	One-line purpose
SA 300	Planning an Audit of Financial Statements	Build overall strategy + detailed plan so effort hits important areas; document both and any changes
SA 320	Materiality in Planning and Performing an Audit	Set overall, specific and performance materiality by judgement; revise as needed; document amounts and factors
SA 450	Evaluation of Misstatements Identified During the Audit	(Back-end) measure found misstatements against materiality
SA 315	Identifying and Assessing the Risks of Material Misstatement	Supplies the risk map planning aims at
SA 330	The Auditor's Responses to Assessed Risks	The "further procedures" the plan schedules

SA 300 — Overall Strategy sets four things

Element	Question answered
Scope	What/where are we auditing (framework, components, locations)
Timing	When — deadlines, interim vs final, reporting to TCWG
Direction	Materiality + preliminary risk areas that focus effort
Resources	Who (team size, skill), how much (budget), when deployed

SA 300 — Audit Plan details three things: planned risk-assessment procedures (SA 315); planned further procedures at assertion level (SA 330 — tests of controls + substantive); other required procedures. *Plan direction/supervision/review too.*

Preliminary engagement activities (before planning): client continuance; ethics + independence; engagement terms (SA 210).

SA 320 — Three materiality figures

Figure	What	Why
Overall materiality	% × benchmark for FS as a whole	Threshold above which users are misled
Specific materiality	Lower figure for sensitive classes/balances/disclosures	<i>Nature</i> makes small errors decision-relevant
Performance materiality	Below overall (often ~50–75%)	Cushion for aggregation + undetected (sampling) error

Benchmarks: PBT ~5% (profit-focused); Revenue ~0.5–1% (volatile/near-break-even/loss-making); Total assets ~1–2% (asset-heavy); Net assets ~1–5% (funds). *Confirm exact ICAI-quoted percentages; SA 320 fixes no numbers.*

Key relationships: - Materiality ↓ ⇒ audit work ↑ (inverse). - Risk ↑ ⇒ performance materiality ↓ (bigger cushion). - Materiality = **size AND/OR nature** (quantitative + qualitative).

Revise materiality when actuals diverge from planning estimates or new info emerges; downward revision ⇒ reconsider nature/timing/extent of procedures.

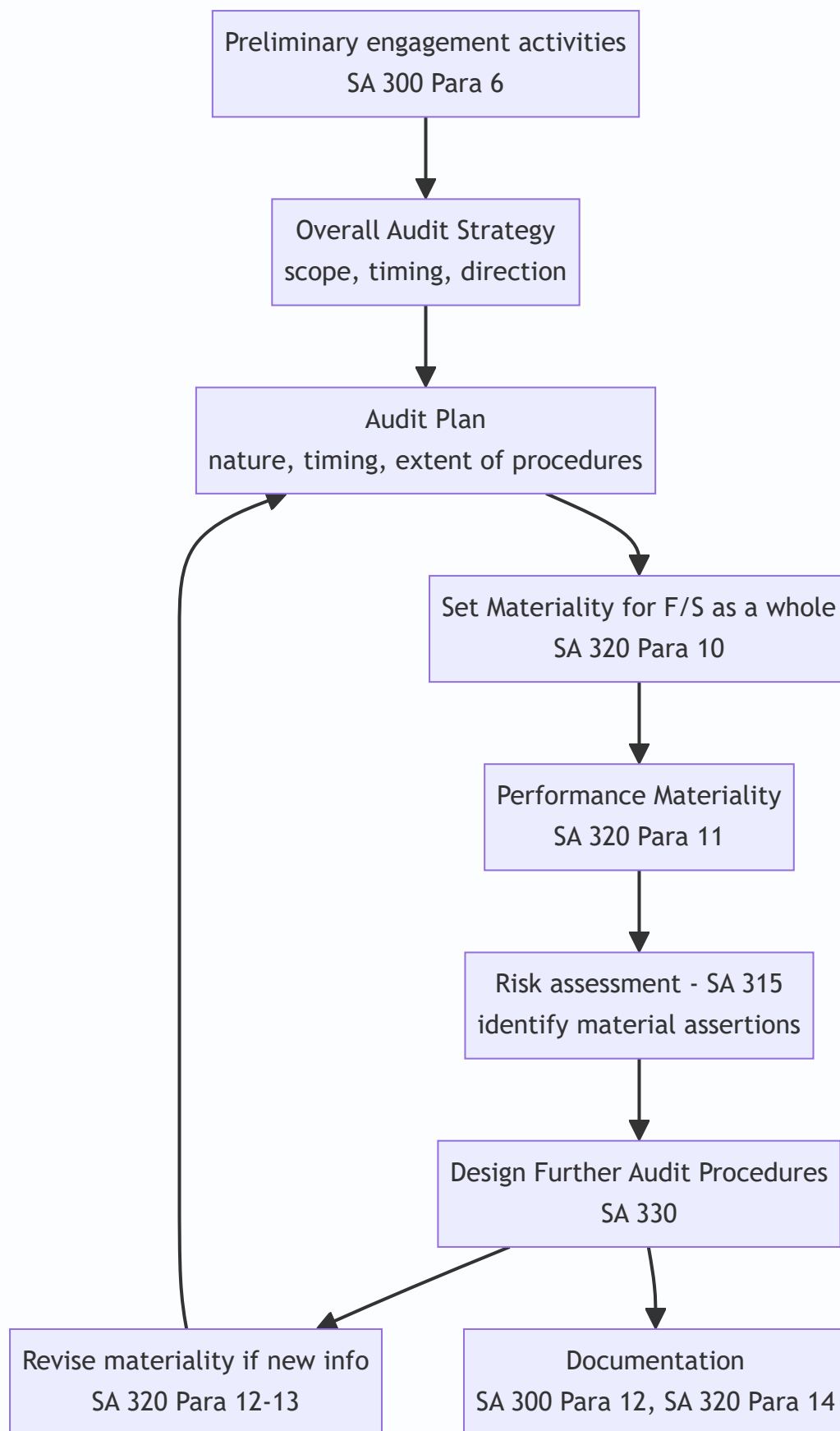
Documentation checklist: overall strategy; audit plan; significant changes + reasons; overall/specific/performance materiality + **factors**; materiality revisions.

The one sentence: *Because you can't check everything and not everything matters, plan your scarce effort onto amounts that are both large (materiality) and likely wrong (risk), work to a buffer below what matters (performance materiality), and keep both the plan and the threshold alive and documented.*

Q&A — Audit Strategy, Planning & Materiality

CA Intermediate — Auditing & Ethics. Coverage: SA 300 (Planning an Audit of Financial Statements) and SA 320 (Materiality in Planning and Performing an Audit). All standards cited are Indian Standards on Auditing issued by ICAI. Companies Act references are to the Companies Act, 2013.

How the whole thing fits together (read this first)



The examiner's favourite one-liner: **strategy sets the scope and direction (the "what and how much"), the plan sets the detailed procedures (the "how"), and materiality decides where the effort is worth spending.**

Section A — Concept-Check Questions (with answers)

A1. Distinguish between the "overall audit strategy" and the "audit plan" under SA 300.

Answer: Under **SA 300 (Para 7–9)**, the **overall audit strategy** sets the *scope, timing and direction* of the audit and guides development of the detailed plan — it deals with characteristics of the engagement (reporting framework, industry), reporting objectives (deadlines, key dates of communication) and allocation of resources (where, when and how much effort). The **audit plan** is more detailed and includes the *nature, timing and extent* of (a) planned risk assessment procedures (SA 315) and (b) planned further audit procedures at the assertion level (SA 330), plus other procedures needed to comply with SAs. The strategy is the broad framework; the plan converts it into specific procedures. The two are interrelated — a change in one changes the other.

A2. Is planning a discrete phase performed only at the start of the audit? Cite the standard.

Answer: No. **SA 300 (Para 2 and A2)** clarifies that planning is a **continual and iterative process** that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current engagement. The plan is updated and changed as necessary during the course of the audit.

A3. Define "materiality for the financial statements as a whole" and "performance materiality" under SA 320.

Answer: Per **SA 320**: Misstatements are material if, individually or in aggregate, they could **reasonably be expected to influence the economic decisions of users** taken on the basis of the financial statements (Para 2). **Materiality for the financial statements as a whole (Para 10)** is the amount(s) set by the auditor at the planning stage. **Performance materiality (Para 9, definition)** means the amount(s) set at *less than* materiality for the financial statements as a whole, to reduce to an appropriately low level the probability that the aggregate of *uncorrected and undetected* misstatements exceeds materiality for the financial statements as a whole. It may also refer to amounts set below the materiality level for particular classes of transactions, account balances or disclosures.

A4. Why is performance materiality set *lower* than overall materiality? Give the logic.

Answer: Because the auditor never audits 100% of items; some misstatements will remain **undetected**, and some detected ones may be **left uncorrected** (below a threshold). If procedures were designed only to catch misstatements at the overall materiality figure, the *aggregate* of undetected + uncorrected errors could easily push total misstatement *above* materiality. **Performance materiality (a buffer)** builds in a cushion so the aggregate stays below materiality with a low probability of failure (SA 320 Para 9 & A12–A14). It is a matter of professional judgement affected by the auditor's understanding of the entity and the nature/extent of misstatements in prior audits.

A5. What are the qualitative factors that make an otherwise "small" misstatement material?

Answer: SA 320 (Para 2, A1) recognises materiality has a **qualitative dimension**. A numerically small item may be material because of its *nature or the circumstances*: e.g., it converts a profit into a loss (or vice versa), affects compliance with loan covenants or regulatory requirements, relates to related-party transactions, involves fraud or illegality, changes a trend/EPS, affects management remuneration, or relates to sensitive disclosures (director's remuneration, related parties). The examiner tests that materiality is **not purely a percentage exercise**.

A6. What is the relationship between materiality and audit risk?

Answer: They have an **inverse relationship**. The lower the materiality level, the greater the amount of evidence required, hence more work and (unless procedures increase) higher detection risk unless mitigated. Materiality and audit risk are considered together throughout the audit (SA 200 and SA 320): materiality is used both to *plan* the nature, timing and extent of procedures and to *evaluate* the effect of identified misstatements.

A7. List benchmarks commonly used to determine materiality and the factors affecting the choice.

Answer: Per **SA 320 (Para A3–A9)**, common benchmarks include **profit before tax, total revenue, gross profit, total expenses, total equity or net asset value**. Factors affecting the choice: (i) elements of the financial statements (assets, liabilities, equity, revenue, expenses); (ii) items on which users tend to focus; (iii) nature of the entity, its life-cycle stage, industry and economic environment; (iv) the entity's ownership and financing structure (e.g., debt-financed entities may focus on assets/claims rather than earnings); and (v) the relative volatility of the benchmark. For a **profit-oriented entity, profit before tax from continuing operations** is often used; where PBT is volatile, an alternative such as gross profit or total revenue may be more appropriate.

A8. What must the auditor document regarding planning and materiality?

Answer: **SA 300 (Para 12)** requires documentation of: (a) the overall audit strategy; (b) the audit plan; and (c) any **significant changes** made during the audit to the strategy or plan, and the **reasons** for such changes. **SA 320 (Para 14)** requires documenting the following amounts and the factors considered: (a) materiality for the financial statements as a whole; (b) if applicable, materiality level(s) for particular classes of transactions, account balances or disclosures; (c) performance materiality; and (d) any **revision** of the above as the audit progressed.

A9. What are the benefits of planning an audit? (SA 300)

Answer: SA 300 (Para 2) — adequate planning helps to: identify and devote appropriate attention to **important areas**; identify and **resolve problems on a timely basis**; **organise and manage** the engagement so it is performed effectively and efficiently; assist in **selecting engagement team members** with appropriate capabilities and competence and **assigning work** to them; facilitate **direction, supervision and review**; and assist in **coordination** of work done by auditors of components and experts.

A10. What is the "clearly trivial" threshold and how does it differ from materiality?

Answer: SA 450 (linked concept) refers to matters that are "**clearly trivial**" — misstatements that are clearly inconsequential, whether individually or in aggregate, judged by size, nature or circumstances, and need not be accumulated. This is **not** a smaller expression of materiality or performance materiality — clearly trivial is an order of magnitude smaller and no accumulation is expected. Anything not clearly trivial must be accumulated for evaluation against materiality.

Section B — Applied Scenario Questions (situation → audit response with reasoning)

B1. Volatile benchmark. *Situation:* You are auditing a manufacturing company whose profit before tax has swung from ₹4 crore profit to ₹0.5 crore loss to ₹2 crore profit over the last three years. Management proposes 5% of current-year PBT as the materiality benchmark. Comment and state your response.

Response: Using PBT is questionable here because it is **highly volatile**, so a small change would swing materiality wildly and a near-zero PBT would produce an unusably tiny materiality figure. Per **SA 320 Para A7–A9**, when the chosen benchmark is volatile, the auditor should consider a **more stable benchmark** such as **normalised/averaged PBT, gross profit, or total revenue**. Reasoning: materiality should reflect the magnitude that would influence users' decisions on a normal-operations basis, not be distorted by a one-off swing. I would document the benchmark chosen, the percentage applied, and the reason for departing from raw PBT (SA 320 Para 14).

B2. A "small" error that flips the result. *Situation:* During completion, you find an unrecorded expense of ₹6 lakh. Overall materiality was set at ₹15 lakh. But recording it converts the reported profit of ₹4 lakh into a loss. Management says it is below materiality. Your view?

Response: Although ₹6 lakh is numerically below the ₹15 lakh materiality, it is **material by nature/circumstance** because it **changes profit into loss** — a qualitative factor explicitly recognised in **SA 320 Para 2 and A1**. Such a misstatement could reasonably influence users' economic decisions. Response: treat it as a material misstatement; request correction (SA 450). If management refuses, consider the effect on the auditor's opinion (SA 705). The purely quantitative comparison is misleading here.

B3. New information mid-audit. *Situation:* Materiality was based on budgeted PBT of ₹10 crore. At year-end, actual PBT is only ₹4 crore due to a large impairment. Fieldwork is substantially complete. What must you do?

Response: **SA 320 Para 12–13** requires the auditor to **revise materiality** (and performance materiality) if, during the audit, information comes to light that would have caused a different figure to be set initially. Since actual results differ materially from those used to set materiality, I must **recompute** materiality on the revised base. If the revised (lower) materiality means the extent of further audit procedures already performed is **insufficient**, I must perform **additional procedures**. All revisions and reasons are documented (SA 320 Para 14).

B4. Lower materiality for a specific balance. *Situation:* A listed company must disclose managerial remuneration and related-party transactions. Overall materiality is ₹50 lakh. Would you audit these balances to the same ₹50 lakh threshold?

Response: No. **SA 320 Para 10 and A10–A11** allow setting a **separate, lower materiality** for particular classes of transactions, account balances or disclosures where misstatements of *lesser amounts* could reasonably influence users' decisions. Managerial remuneration (governed by **Sections 197/198, Companies Act 2013**) and related-party transactions (Section 188 / relevant disclosure requirements) are sensitive and law-driven; users focus on them regardless of amount. I would set a lower specific materiality and design more sensitive procedures for these items, documenting the rationale.

B5. Direction, supervision and review for a first-year audit. *Situation:* Your firm has been newly appointed for a mid-size company. The team is largely new to the client. How does this affect your overall strategy?

Response: Under **SA 300 Para 8–9 and A8–A11**, the strategy must account for **resource allocation and the extent of direction, supervision and review**. A first-year engagement with unfamiliar staff needs **more experienced team members on high-risk areas, more supervision and review**, opening-balance procedures (**SA 510**), and possibly earlier interim work. The lack of cumulative audit knowledge increases risk, so more attention is directed to obtaining understanding of the entity (**SA 315**). This is documented as part of the strategy.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "The auditor shall establish an overall audit strategy that sets the scope, timing and direction of the audit." Explain the matters the auditor considers in establishing the overall audit strategy. (SA 300)

Model Answer: Per **SA 300 Para 8**, in establishing the overall audit strategy the auditor shall: 1. **Identify the characteristics of the engagement that define its scope** — the financial reporting framework, industry-specific requirements, expected audit coverage, locations/components, nature of business segments, availability of internal audit work, and use of experts. 2. **Ascertain the reporting objectives to plan the timing and nature of communications** — statutory/other deadlines for interim and final reporting, key dates for expected communications with management and those charged with governance, and timing of team discussions. 3. **Consider the factors that, in the auditor's professional judgement, are significant in directing the team's efforts** — determination of materiality (**SA 320**), preliminary identification of areas with higher risk of material misstatement, results of previous audits, and evidence of management's commitment to sound internal control. 4. **Consider the results of preliminary engagement activities** (**SA 300 Para 6** — continuance, ethics/independence, terms of engagement per **SA 210**) and knowledge from other engagements. 5. **Ascertain the nature, timing and extent of resources** necessary to perform the engagement — team selection, assignment of work (e.g., experienced staff to high-risk areas), engagement budgeting, and the extent of direction, supervision and review. The strategy and plan must be documented (**Para 12**).

C2. Explain the concept of materiality and the use of benchmarks in determining materiality for the financial statements as a whole. (SA 320)

Model Answer: **SA 320 Para 2** describes materiality by reference to the applicable financial reporting framework's perspective: misstatements are material if they, individually or in aggregate, could **reasonably be expected to influence the economic decisions of users** taken on the basis of the financial statements. Materiality involves the auditor's professional judgement and is affected by the auditor's perception of the common information needs of users **as a group** (not particular users).

Under **Para 10**, when establishing the overall strategy, the auditor determines materiality for the financial statements as a whole. **Para A3–A9** explain that this often involves applying a **percentage to a chosen benchmark**. Considerations in selecting a benchmark: - **Elements** of the financial statements (assets, liabilities, equity, income, expenses); - **Items on which users focus** for the particular entity; - **Nature of the entity**, industry, economic environment, and stage in its life-cycle; - **Ownership structure and financing** (a debt-financed entity's users may focus on assets and claims rather than earnings); - **Relative volatility** of the benchmark.

Examples of benchmarks: **profit before tax from continuing operations, total revenue, gross profit, total expenses, total equity, net asset value**. For profit-oriented entities, **PBT from continuing operations** is frequently used; where it is volatile, gross profit or revenue may be more appropriate. The percentage applied is a matter of professional judgement, and the relationship between the percentage and the benchmark chosen is also a matter of judgement. The auditor then determines **performance materiality (Para 11)** at less than this amount.

C3. Explain the auditor's responsibility to revise materiality as the audit progresses. (SA 320)

Model Answer: Per **SA 320 Para 12**, the auditor shall **revise materiality** for the financial statements as a whole (and, where applicable, materiality level(s) for particular classes of transactions, account balances or disclosures) in the event of becoming aware, during the audit, of **information that would have caused the auditor to have determined a different amount initially**. Examples: a decision to dispose of a major part of the business, or actual results differing materially from anticipated results used at planning.

Per **Para 13**, if the auditor concludes that a **lower materiality** than that initially set is appropriate, the auditor shall determine whether it is necessary to **revise performance materiality**, and whether the **nature, timing and extent of further audit procedures remain appropriate** — performing additional procedures if the previously planned extent is now insufficient. All revisions and the reasons are documented (**Para 14**).

C4. What documentation does SA 300 require in respect of planning, and why is such documentation important?

Model Answer: **SA 300 Para 12** requires the auditor to include in the audit documentation: (a) the **overall audit strategy**; (b) the **audit plan**; and (c) any **significant changes** made during the audit to the overall strategy or plan, together with the **reasons** for such changes. Para A16–A19 clarify that the strategy documentation records the key decisions considered necessary to properly plan the audit and to communicate significant matters to the team; the plan documentation records the planned nature, timing and extent of risk assessment and further audit procedures at the assertion level. Recording significant changes and the reasons demonstrates the auditor's **appropriate response to significant events, conditions and results**. Importance: it evidences that the audit was **properly planned** (a quality control

requirement, SA 220 / SQC 1), supports **direction, supervision and review**, and provides an accountability trail for regulators and peer review.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. The overall audit strategy is documented as required by which standard? (a) SA 315 (b) SA 320 (c) SA 300 (d) SA 230 **Answer: (c) SA 300** — Para 12 requires documentation of the strategy, plan and significant changes.

D2. Performance materiality is: (a) equal to overall materiality (b) higher than overall materiality (c) set at less than materiality for the F/S as a whole (d) fixed at 5% of revenue **Answer: (c)** — SA 320 defines it as an amount set below overall materiality to create a buffer for undetected/uncorrected misstatements.

D3. A misstatement of ₹2 lakh (materiality ₹10 lakh) that breaches a debt covenant is: (a) immaterial as it is below ₹10 lakh (b) material by nature/circumstance (c) clearly trivial (d) ignored **Answer: (b)** — SA 320 Para 2/A1 recognise qualitative materiality; covenant breach can influence users' decisions.

D4. Which is generally the most appropriate benchmark for a profit-oriented entity with stable earnings? (a) Total assets (b) Profit before tax from continuing operations (c) Number of employees (d) Share capital **Answer: (b)** — SA 320 A7 identifies PBT from continuing operations as commonly used for profit-oriented entities.

D5. Planning an audit is best described as: (a) a one-time activity at year-end (b) performed only after fieldwork (c) a continual and iterative process (d) the manager's job only **Answer: (c)** — SA 300 Para 2/A2: planning is continual and iterative from prior-year completion to current-year completion.

D6. The audit plan is more detailed than the strategy and includes the nature, timing and extent of: (a) only substantive procedures (b) risk assessment procedures and further audit procedures at the assertion level (c) only test of controls (d) the audit fee **Answer: (b)** — SA 300 Para 9 links the plan to SA 315 risk assessment and SA 330 further audit procedures.

D7. Case Scenario. XYZ Ltd, a listed company, has PBT of ₹20 crore. The auditor sets overall materiality at ₹1 crore and performance materiality at ₹65 lakh. During the audit, a major litigation loss reduces PBT to ₹8 crore. (i) The auditor's immediate obligation is to: (a) issue the report as planned (b) revise materiality and reassess procedures (c) resign (d) ignore, as fieldwork is done **Answer: (b)** — SA 320 Para 12–13: new information warranting a different figure requires revision and reassessment of procedure sufficiency. (ii) Setting performance materiality at ₹65 lakh (below ₹1 crore) is intended to: (a) increase the audit fee (b) create a buffer against undetected/uncorrected misstatements (c) reduce audit work (d) satisfy management **Answer: (b)** — that is the definitional purpose of performance materiality under SA 320.

D8. Which of the following is a preliminary engagement activity relevant to planning? (a) Signing the audit report (b) Performing procedures on client continuance and evaluating compliance with ethical requirements including independence (c) Filing Form ADT-1 (d) Circulating the balance sheet **Answer: (b)** — SA 300 Para 6 requires client continuance, ethics/independence, and understanding the terms (SA 210) before planning.

Quick-Revision Trigger List

- **SA 300** = *Planning*: preliminary activities (Para 6) → strategy (Para 7–8) → plan (Para 9) → update (Para 10) → direction/supervision/review (Para 11) → documentation (Para 12).
- **SA 320** = *Materiality*: define (Para 2) → overall materiality (Para 10) → performance materiality (Para 11) → revise (Para 12–13) → document (Para 14).
- **Buffer logic**: performance materiality < overall materiality because undetected + uncorrected misstatements accumulate.
- **Qualitative override**: small ₹ can still be material (loss/profit flip, covenant, related party, remuneration, fraud).
- **Benchmarks**: PBT (profit entities), revenue/gross profit (if PBT volatile), net assets (asset-heavy/financed entities).
- **Companies Act hooks**: Sec 197/198 (managerial remuneration), Sec 188 (related-party transactions) → often trigger lower specific materiality.
- **Examiner trap**: strategy = scope/timing/direction; plan = nature/timing/extent of procedures. Do not swap.

Chapter 03 — Risk Assessment & Internal Control

1. The Problem — You Cannot Check Everything, and Some Things Are Designed to Fool You

Chapter 1 established *why* audit exists: owners cannot verify managers, so an independent expert gives assurance. But now confront the operational nightmare that assurance actually creates.

A mid-size manufacturing company has 40,000 sales invoices, 12,000 purchase entries, 3,000 journal vouchers, a fixed-asset register with 900 line items, inventory in four warehouses, and a bank reconciliation touching 15,000 transactions a year. The financial statements it produces are a *summary* of all this — and the auditor must give an opinion on whether that summary is free from **material misstatement**.

Here is the trap that a naive person walks straight into: "**I'll just check everything.**" You cannot. 100% examination of every transaction would take years, cost more than the company earns, and *still* not guarantee correctness — because some misstatements are not in the transactions at all but in the *estimates*, the *disclosures*, and the *deliberate concealment* by management. Audit is, by economic necessity, a **sampling and judgement exercise**. And the moment you accept that you will examine only *some* of the evidence, you have accepted **risk** — the risk that the bit you didn't look at was exactly where the error hid.

So the real problem of Chapter 3 is this:

How does an auditor deploy limited time and resources to catch material misstatement, when misstatement is unevenly spread, sometimes deliberately hidden, and impossible to fully examine?

The answer cannot be "work harder everywhere." Effort spread evenly is effort wasted. The answer must be **targeting** — pour audit effort *where the danger of misstatement is greatest* and go light where danger is low. To target, you must first *measure the danger*. That measurement is called **risk assessment**, and the machinery a company uses to keep its own numbers honest — the thing that raises or lowers the danger — is called **internal control**. This entire chapter is the science of pointing the audit torch at the right corner of a dark room.

2. The Core Idea — Audit Risk Is a Product You Manage Down to an Acceptable Level

The single most important idea in modern auditing is that the auditor does **not** try to achieve certainty. Certainty is impossible and uneconomic. Instead the auditor accepts a small, defined chance of being wrong — called **audit risk** — and then *engineers* the audit so that this chance stays low.

Audit risk (AR) = the risk that the auditor expresses an *inappropriate opinion* (typically: says the statements are fine when they are materially misstated).

The genius of the framework is that audit risk is broken into components that behave like a **multiplication chain**:

$$AR = IR \times CR \times DR$$

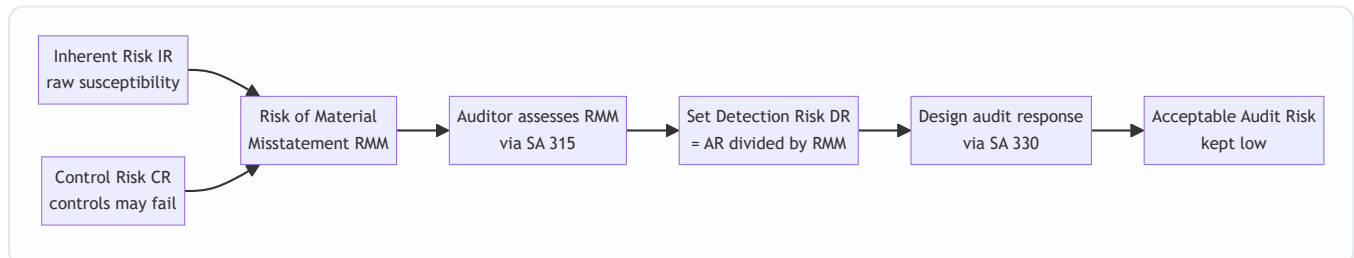
Audit Risk = Inherent Risk × Control Risk × Detection Risk

- **Inherent Risk (IR):** the susceptibility of a balance or transaction to material misstatement *before* considering any controls — the raw danger. Cash is more tempting than land; estimates are riskier than routine invoices; a complex derivative is riskier than a salary payment.
- **Control Risk (CR):** the risk that the company's own internal controls *fail* to prevent or detect a misstatement. Weak controls → high CR. Strong controls → low CR.
- **Detection Risk (DR):** the risk that the auditor's *own procedures* fail to catch a misstatement that exists. This is the **only** component the auditor controls directly.

The first two — IR and CR — belong to the *entity*. Together they are the **Risk of Material Misstatement (RMM = IR × CR)**. The auditor cannot change them; they exist independently of the audit. The auditor can only *assess* them. Detection risk is the auditor's lever: by doing more/better work, DR falls; by doing less, DR rises.

The core mental move: you decide the acceptable AR (kept low, e.g. conceptually ~5%). You *assess* RMM (IR × CR) by understanding the entity. Then you *set* DR = AR ÷ RMM, and design procedures to hit it. High RMM forces low DR forces *more* audit work. Low RMM permits higher DR permits *less* work. That is targeting, expressed as arithmetic.

Figure 1 — The audit risk model as a torch-pointing device: assess the entity's risk, then set your own effort to compensate.



3. Why It's Built This Way — The Logic Behind Every Piece

Before any Standard, understand *why the profession chose this exact structure*. Every design choice answers a specific failure it was trying to prevent.

Why split risk into IR, CR, DR at all? Because lumping them hides the lever. If you only knew "total risk is high," you wouldn't know *what to do about it*. Splitting reveals that some risk is the *entity's* (IR, CR — you can only react) and some is *yours* (DR — you can control). The split converts a vague worry into an action plan: "RMM is high here, so I must drive my DR down here."

Why is DR inversely related to RMM? This is the whole point of assessment. If a company has weak controls over revenue (high CR) and revenue is easily manipulated (high IR), then RMM is high — misstatement is *likely to exist and unlikely to be caught by the company*. The auditor cannot rely on the company's safety net, so the auditor's *own* net must be tighter: lower DR, meaning more extensive, more reliable, more year-end-focused procedures. Conversely, strong controls let the auditor lean on them and do

less substantive testing. **DR is the compensating variable.** The inverse relationship is not a formula to memorize — it is the logic of a safety system: if one net has holes, the other must be finer.

Why understand *controls* rather than just test balances directly? Because controls are a *force multiplier of evidence*. If you prove a control operated effectively all year (e.g., every dispatch is matched to an approved order before invoicing), you gain assurance over *thousands* of transactions at once, cheaply. Testing balances directly (substantive testing) gives assurance transaction-by-transaction — thorough but expensive. Understanding controls lets the auditor *choose the cheaper route where it's safe*.

Why is understanding the entity mandatory (not optional)? Because you cannot assess IR without knowing the business. Is inventory perishable? Is the industry in decline (going-concern pressure)? Are there related parties? Is management compensated on profit (incentive to overstate)? Risk lives in *context*. SA 315 makes "understanding the entity" compulsory precisely because a risk you don't understand is a risk you will misprice — you'll over-audit the safe areas and under-audit the dangerous ones, which is exactly the failure the whole model exists to prevent.

Why does a control *deficiency* trigger a separate communication duty (SA 265)? Because the auditor, in doing the audit, becomes the person in the best position to see control weaknesses — and those who govern the company (owners, audit committee) have a right to know their safety system has holes, even though fixing controls is *not* the auditor's job. This is the trust/agency problem again: the auditor is the owners' eyes.

4. Full Technical Content — The Standards, By the Risk Each One Counters

4.1 SA 315 — Identifying and Assessing the Risks of Material Misstatement Through Understanding the Entity and Its Environment

The risk it counters: the risk that the auditor *misprices danger* — either misses a high-risk area entirely or wastes effort on low-risk areas — because they never understood the business. You cannot aim a torch in a room you've never entered.

The core requirement: the auditor **shall** perform **risk assessment procedures** to obtain an understanding of the entity, its environment, and its internal control, sufficient to identify and assess RMM at two levels:

1. **Financial statement level** — pervasive risks affecting many assertions (e.g., weak overall control environment, going-concern doubt, management with an incentive to misstate). These often demand an *overall response* (e.g., more experienced staff, heightened professional skepticism).
2. **Assertion level** — risks tied to specific classes of transactions, account balances, and disclosures (e.g., "revenue may be overstated through cut-off errors"). These demand *specific* procedures.

Risk assessment procedures (the three tools):

Procedure	What it is	Risk it addresses
Inquiry	Asking management, internal audit, employees, those charged with governance	Surfaces management's own view of risk and where processes are weak; but inquiry alone is weak evidence (people can mislead)
Analytical procedures	Studying plausible relationships in data (ratios, trends, expectations)	Flags <i>unusual</i> items — a margin that jumped, a ratio out of line — pointing the torch at anomalies
Observation and inspection	Watching processes operate; inspecting documents, records, premises	Corroborates inquiry with what actually happens, not what's claimed

Trap-proofing note: Risk assessment procedures **by themselves do not provide sufficient appropriate audit evidence** on which to base the opinion. They *scope* the audit; they don't *conclude* it. The evidence for the opinion comes later, from SA 330 responses.

Understanding the entity — what must be understood: - **Industry, regulatory, and external factors** (including the applicable financial reporting framework) - **Nature of the entity** — operations, ownership, governance, investments, structure, financing (this is where *related parties* and complex structures surface) - **Entity's selection and application of accounting policies** - **Objectives, strategies, and related business risks** that may cause RMM - **Measurement and review of financial performance** (internal/external pressure to hit targets = incentive to misstate) - **Internal control** relevant to the audit (see 4.2)

Significant risks (a critical SA 315 concept): some identified risks are, in the auditor's judgement, **significant risks** requiring *special audit consideration*. In deciding, the auditor considers (among others) whether the risk involves **fraud**, is related to recent **economic/accounting developments**, involves **complexity**, involves **significant related-party transactions**, involves a high degree of **estimation/subjectivity**, or involves **significant non-routine transactions**. For significant risks, the auditor **shall** obtain an understanding of the *controls* relevant to that risk, and substantive procedures **shall** be specifically responsive to it (see SA 330). *Revenue recognition* is presumed to carry a fraud risk (from SA 240) unless rebutted.

Confirm in ICAI material: the 2021 revision of SA 315 (effective for periods beginning on/after 1 April 2023 in India) restructured the control components and introduced "inherent risk factors" and a spectrum-of-inherent-risk concept; the ICAI study material may present either the older five-component framing or the revised one — know both framings.

4.2 Components of Internal Control — What You Are Actually Assessing

The risk it counters: control risk (CR). To assess whether controls will catch misstatement, you must know *what a control system is made of*. The traditional framework (COSO, adopted in SA 315) has **five components**:

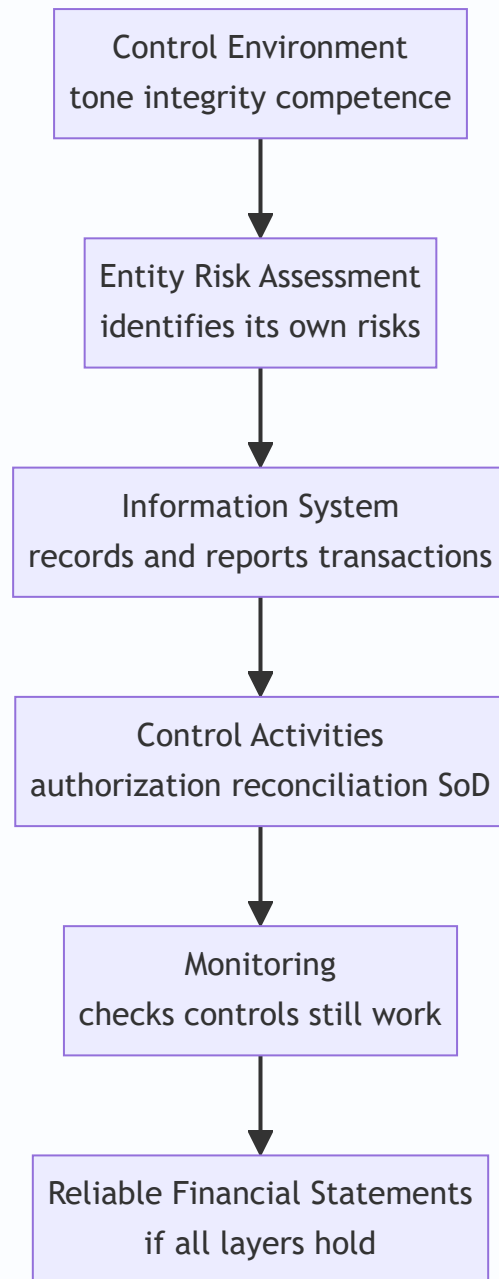
#	Component	What it is	Why it matters to the auditor
1	Control Environment	The tone at the top — integrity, ethical values, competence, governance oversight, management philosophy, assignment of authority	The <i>foundation</i> . If the environment is rotten (management overrides controls, no ethics), every other control is unreliable. A weak control environment is a financial-statement-level risk
2	Entity's Risk Assessment Process	How the entity <i>itself</i> identifies and responds to business risks relevant to reporting	If the entity assesses its own risks well, misstatements are less likely; if it doesn't, the auditor must
3	Information System & Communication	The processes and records that initiate, record, process, and report transactions (including the accounting system) and how roles/responsibilities are communicated	This is the <i>plumbing</i> that produces the numbers. The auditor must understand how a transaction flows from origin to the financial statements
4	Control Activities	The specific policies/procedures that enforce management directives — authorizations, reconciliations, segregation of duties, physical controls, IT application controls, performance reviews	These are the individual "catches" the auditor may test and rely on
5	Monitoring of Controls	The process of assessing control effectiveness over time (including internal audit)	Controls decay; monitoring is the entity's self-repair mechanism

Mnemonic-free way to hold this: think of it as a **house**. The *control environment* is the foundation (values). *Risk assessment* is the owner deciding where the locks go. The *information system* is the wiring and pipes that carry activity. *Control activities* are the individual locks, gates, and checks. *Monitoring* is the maintenance crew checking the locks still work. A lock (control activity) on a house with no foundation (bad environment) is worthless — which is *why* the auditor weighs the environment first.

Limitations of internal control (why CR can never be zero): Every control system has inherent limits, and the auditor must never assume controls make substantive testing unnecessary: - **Management override** — those who run the controls can bypass them (the classic fraud route) - **Collusion** — two people defeating a segregation-of-duties control - **Human error** — fatigue, misunderstanding, carelessness - **Cost-benefit** — management won't spend more on a control than the risk is worth - **Non-routine transactions** — controls are built for routine, and miss the unusual - **Manual controls** subject to judgement lapses; **IT controls** vulnerable to program changes and unauthorized access

This is precisely why **detection risk can never be reduced to zero** and why *some* substantive procedures are **always** required regardless of how strong controls appear.

Figure 2 — Internal control as a layered house; the auditor tests upward from foundation to individual locks.



4.3 SA 330 — The Auditor's Responses to Assessed Risks

The risk it counters: the risk that the auditor *assesses* danger correctly (via SA 315) but then *does nothing appropriate about it* — a diagnosis with no treatment. SA 330 is the **treatment**: it converts risk assessments into procedures.

SA 330 mandates responses at **two levels**, mirroring SA 315:

(A) Overall responses — to financial-statement-level risks. Examples: - Emphasize **professional skepticism** to the engagement team - Assign **more experienced staff** or those with specialized skills; use experts - Provide **more supervision** - Incorporate **unpredictability** in the selection of procedures (so management can't anticipate and conceal) - Make **general changes** to the nature, timing, or extent of procedures (e.g., shift work to year-end)

A weak control environment pushes the auditor toward *more substantive procedures, more work at period-end rather than interim, and broader-scope evidence.*

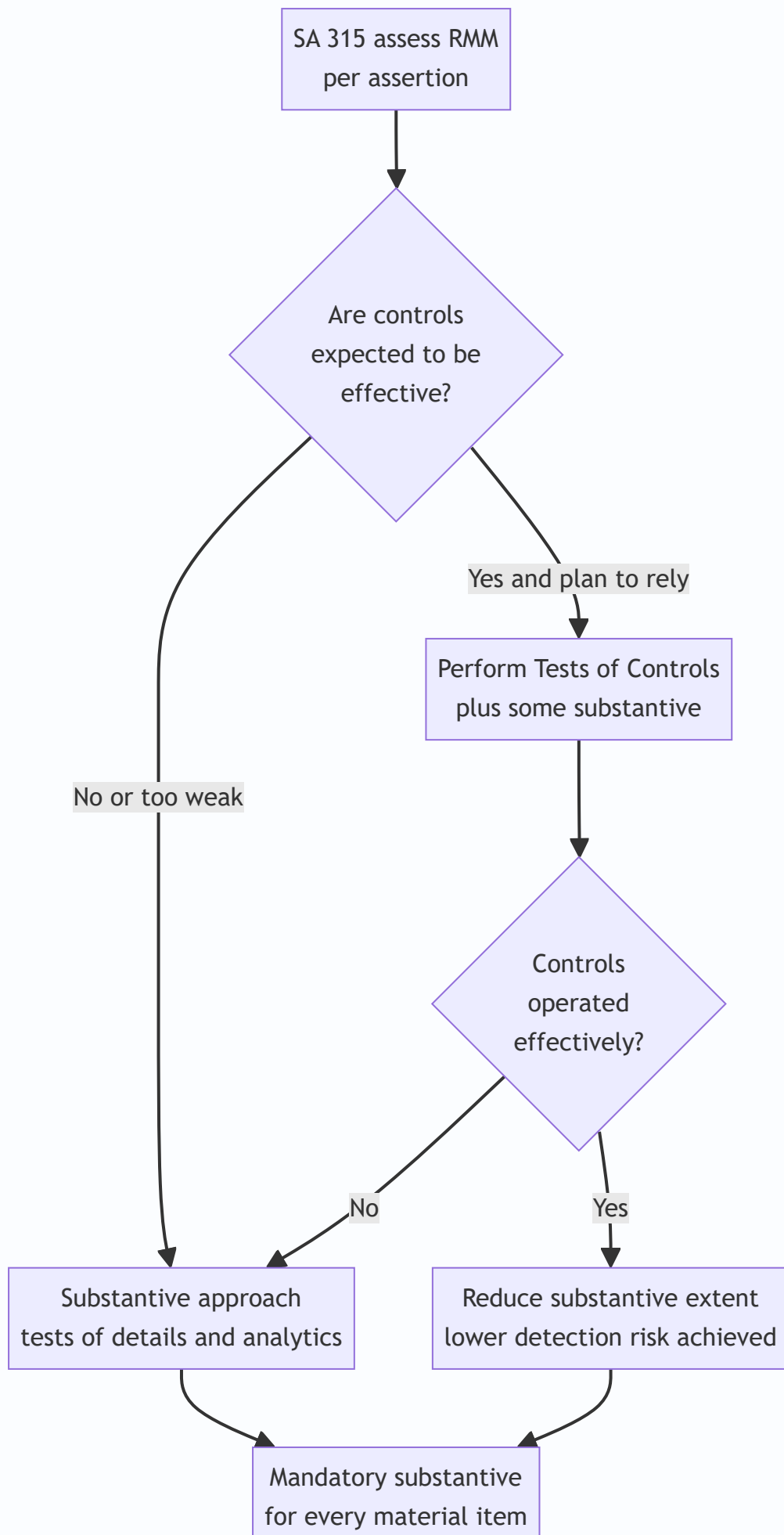
(B) Further audit procedures — to assertion-level risks. These are designed responsive to the assessed RMM for each relevant assertion, and come in **two types**:

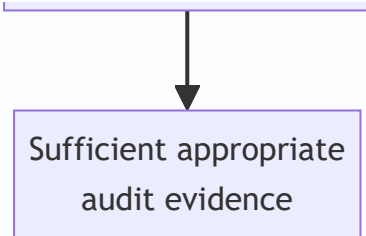
1. **Tests of Controls (ToC)** — test whether a control *operated effectively* throughout the reliance period.
2. **Substantive Procedures (SP)** — test the *monetary correctness* of the underlying amounts/disclosures directly.

The auditor chooses the **nature, timing, and extent** (the "NTE") of procedures in response to risk: - **Nature** = *what kind* of procedure and its purpose/reliability (e.g., external confirmation is more reliable than inquiry; inspection of a document more reliable than observation). Higher risk → more reliable nature. - **Timing** = *when* performed (interim vs period-end). Higher risk → push toward **period-end** (less chance for post-interim misstatement to go undetected). - **Extent** = *how much* (sample size, number of items). Higher risk → **larger extent**.

The golden rule — irrespective of assessed risk, SA 330 requires that the auditor perform substantive procedures for each *material* class of transactions, account balance, and disclosure. You can *never* rely on controls alone for material items. And for **significant risks**, if the auditor's approach is substantive-only, those procedures **shall include tests of details** (not analytics alone).

Figure 3 — SA 315 to SA 330: from diagnosis to treatment, choosing the audit route.





Sufficient appropriate
audit evidence

4.4 Tests of Controls vs Substantive Procedures — When Each, and Why

This is the operational heart of the chapter. Two routes to assurance; the auditor picks based on **risk and economics**.

Tests of Controls (ToC) — evidence about whether a control *worked*.

- **Purpose:** to support a *lower* assessment of control risk (i.e., to justify relying on controls and thereby doing less substantive work).
- **When required (mandatory):** (a) when the auditor's assessment of RMM *includes an expectation that controls operate effectively* — i.e., the auditor **intends to rely** on them; **or** (b) when substantive procedures **alone cannot** provide sufficient appropriate evidence at the assertion level. Situation (b) is common in **highly automated, paperless environments** (e.g., high-volume e-commerce) where there is *no substantive audit trail* — you *must* test the automated controls because there are no documents to substantively vouch.
- **What they test:** *operating effectiveness* — did the control operate as designed, consistently, throughout the period, and by whom? (Distinct from *implementation*, which SA 315 checks — "does the control exist and is it in use?")
- **Methods:** inquiry (weakest, never alone) *combined with* inspection, observation, **re-performance**, and inspection of evidence of control operation.
- **Timing & the reliance question:** if tested at an **interim** date, the auditor must obtain evidence about the **remaining period**. Under the "rotational" concept, controls tested and found effective in prior audits may be tested less frequently, but a control **must be tested at least once in every third audit**, and controls mitigating a **significant risk must be tested in the current period** (no reliance on prior-year testing for significant-risk controls).
- **Deviations:** if tests reveal deviations, the auditor must investigate and consider whether reliance is still justified — deviations may force a switch to a substantive approach.

Substantive Procedures (SP) — evidence about the *monetary accuracy* of the numbers themselves. Two sub-types:

1. **Tests of Details (ToD):** examining supporting evidence for individual items — vouching, tracing, external confirmation, physical verification, recalculation. Direct, reliable, expensive.
2. **Substantive Analytical Procedures (SAP):** evaluating financial information by studying plausible relationships (e.g., estimating interest expense from average loan balance × rate; expecting a stable gross margin). Efficient, best where relationships are *predictable* and volumes are *large* (e.g., payroll, rent).

The decision — controls route vs substantive route:

Situation	Preferred approach	Why
Strong, tested controls; high transaction volume; routine	ToC + reduced SP (reliance approach)	Testing controls once covers thousands of transactions cheaply; efficient
Weak/absent controls; poor control environment	Substantive approach (heavy ToD)	Cannot rely on a broken safety net; must verify amounts directly
Highly automated, no paper trail	ToC mandatory (SP alone insufficient)	No documents to substantively test; assurance only obtainable via automated-control testing
Significant risk	ToC of relevant controls (current year) + substantive incl. tests of details	Special consideration demanded; analytics alone not enough
Material item, any risk	Some SP always	SA 330 mandate — controls can never fully replace substantive work on material items

Why not always test controls (it's cheaper)? Because ToC is only worthwhile if (i) controls are actually well-designed and implemented, and (ii) the efficiency gain in reduced substantive work exceeds the cost of the control testing. For a *small* population or *weak* controls, it's cheaper to just substantively test the items. Reliance is an *economic bet*: spend on ToC only when it buys a bigger reduction in SP.

4.5 SA 265 — Communicating Deficiencies in Internal Control to Those Charged With Governance and Management

The risk it counters: the risk that the auditor *sees* a hole in the company's control system during the audit but *fails to tell the people who could fix it* — leaving owners exposed to future misstatement and fraud they don't know about. It also counters the confusion between "the auditor found a weakness" and "the auditor is responsible for fixing controls" (they are **not**).

Key definitions: - A **deficiency in internal control** exists when (a) a control is *designed, implemented, or operated* such that it is *unable to prevent, or detect and correct*, misstatements on a timely basis; **or** (b) a *necessary* control is *missing*. - A **significant deficiency** is a deficiency (or combination) that, in the auditor's *professional judgement*, is of *sufficient importance to merit the attention of those charged with governance* (TCWG).

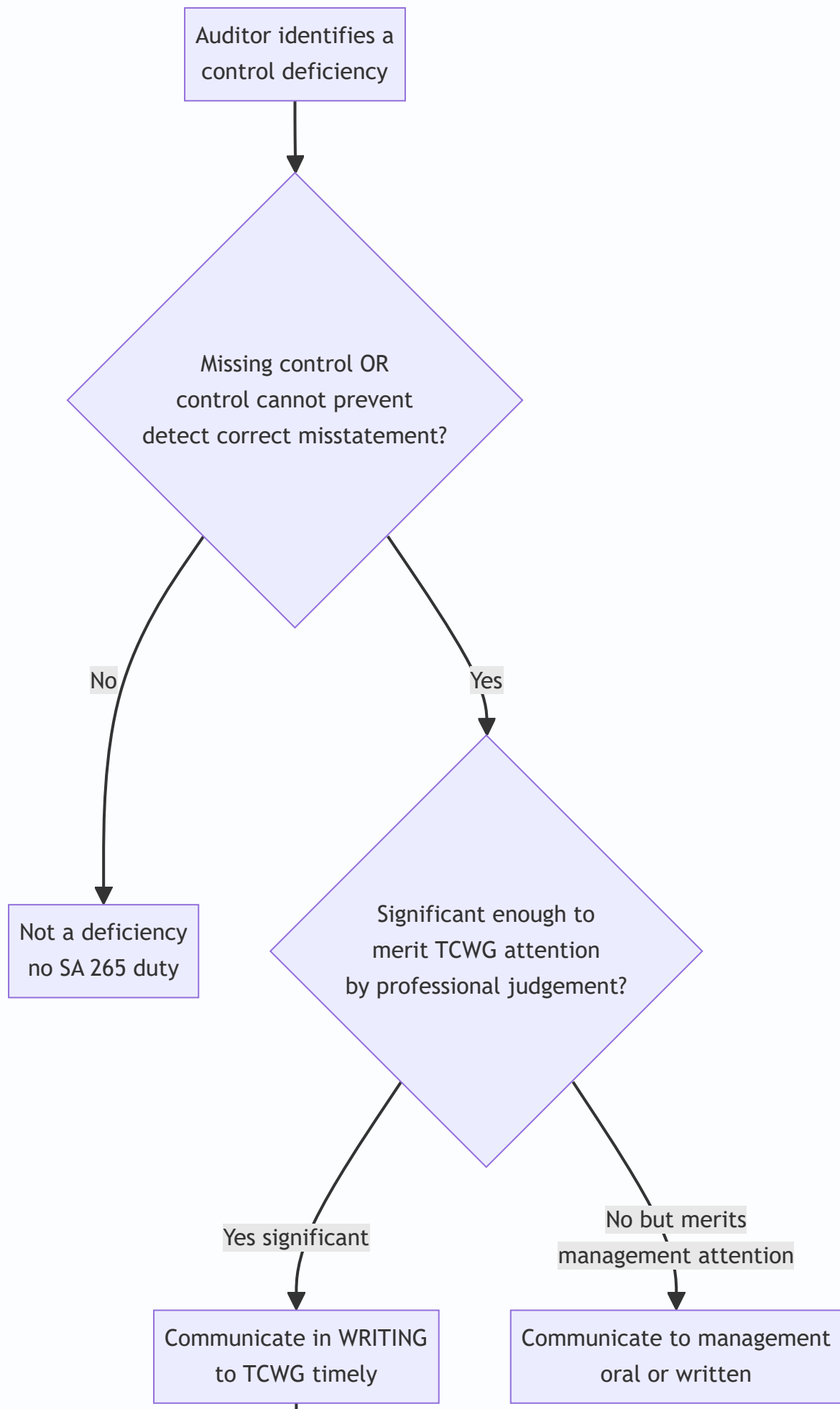
Requirements: 1. The auditor **shall determine** whether identified deficiencies, individually or in combination, constitute *significant* deficiencies. 2. The auditor **shall communicate in writing** *significant* deficiencies to **TCWG** on a timely basis. 3. The auditor **shall also communicate** (in writing or orally) to **management** at an appropriate level: (a) significant deficiencies communicated/to be communicated to TCWG, and (b) *other* deficiencies not communicated to TCWG that, in the auditor's judgement, are of sufficient importance to merit management's attention.

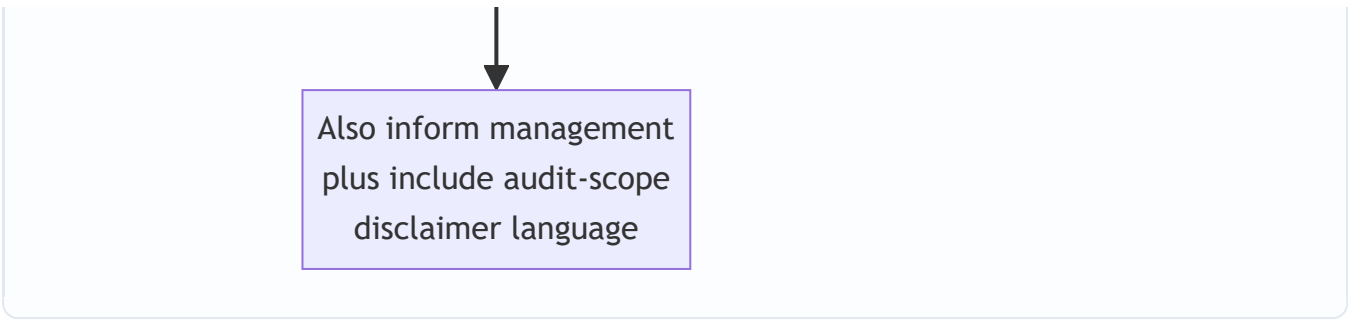
Contents of the written communication of significant deficiencies: - A **description** of the deficiencies and an **explanation of their potential effects**; and - Sufficient **information to enable TCWG and management to understand the context**, specifically that: the purpose of the audit was to express an opinion on the financial statements; the audit **considered internal control relevant to the audit** in order to design appropriate procedures, **not** to express an opinion on the effectiveness of internal control; and the matters reported are limited to deficiencies the auditor identified and considered significant.

Why the disclaimer language matters: without it, TCWG might assume the auditor has *comprehensively* evaluated and blessed the control system. The auditor looked at controls *only to plan the audit*. The communication must not create false assurance — the trust problem again: honest scoping of what was and wasn't done.

Judging severity — factors that make a deficiency *significant* include: susceptibility to loss/fraud; subjectivity of related amounts; volume of activity exposed; interaction with other deficiencies; the *importance* of the control to the reporting process; and whether it has already resulted in a misstatement. A deficiency can be significant *even if no misstatement has yet occurred* — the potential is enough.

Figure 4 — SA 265 decision tree: from a spotted weakness to the right communication.





Also inform management
plus include audit-scope
disclaimer language

5. Applied Scenarios — Reasoning From Risk to Response

Scenario A — The Fast-Growing Software Company With No Paper Trail

Facts: CloudBill Ltd sells SaaS subscriptions entirely online. Customers self-provision, payments flow through an automated gateway, revenue is recognized by software on a rateable basis. There are **no sales invoices in the traditional sense** and no manual approvals — the system does everything. Revenue is Rs. 400 crore and is the largest, most sensitive figure.

Reasoning: Revenue carries a **presumed fraud/significant risk** (SA 240/315), and the **inherent risk is high** (rateable recognition involves timing judgement; high volume; automated). Critically, there is **no substantive audit trail** — you cannot vouch 2 million micro-transactions to paper. Under **SA 330**, when substantive procedures *alone* cannot provide sufficient appropriate evidence, **tests of controls become mandatory**. The auditor must test the **automated application controls** (correct rating logic, interface completeness between billing and GL, access controls preventing unauthorized revenue changes) and the **IT general controls** that keep those application controls reliable (change management, access, operations).

Correct response: ToC over automated revenue controls **plus** substantive analytical procedures (e.g., building an independent expectation of revenue from subscriber counts × plan prices × active days) **plus** tests of details on a sample around **cut-off**. Because revenue is a significant risk, substantive procedures **must include tests of details**, and the relevant controls must be tested **in the current period**.

Scenario B — The Family-Run Trader Where the Owner Signs Everything

Facts: Bharat Traders is run by its promoter, who personally approves every payment, signs every cheque, and also keeps the books with one clerk. Segregation of duties is effectively **absent**; the promoter can **override** any control.

Reasoning: The **control environment** is dominated by one person; **control risk is high** because *management override* is unconstrained and *segregation of duties* is missing (one person initiates, records, and authorizes). Testing controls would be pointless — there is little to rely on, and relying on controls a single person can override is unjustifiable. RMM is high, driven by both IR (small entity, informal) and CR (weak controls).

Correct response: Adopt a **predominantly substantive approach** (SA 330 overall response to a weak environment). Increase the **extent** of tests of details, push **timing** to period-end, increase **professional skepticism**, and specifically design procedures for **management override of controls** (per SA 240: test journal entries, review estimates for bias, scrutinize significant unusual transactions). Under **SA 265**, the absence of segregation of duties is very likely a **significant deficiency** — communicate it **in writing to TCWG** (here, effectively the promoter, but the written record and disclaimer language still stand).

Scenario C — Strong Controls at Interim, But a New ERP Went Live in December

Facts: Sterling Manufacturing had well-designed controls tested effectively at the **September interim** visit; the auditor planned a **reliance (ToC) approach** to reduce year-end substantive work. In **December**, the company migrated to a new ERP system. Year-end is March.

Reasoning: Reliance on interim ToC requires evidence about the **remaining period** (Oct–Mar). A **system migration is a significant change** to the information system component of internal control — the controls tested in September may **no longer be the controls operating** in Jan–Mar. The auditor cannot blindly extend September's conclusion across a control break. This also raises **data-integrity risk** (did balances migrate completely and accurately?).

Correct response: Update the understanding of the **new** control environment; perform **tests of controls on the post-migration system** for the remaining period (or, if that's impractical, extend **substantive procedures** to cover Dec–Mar). Perform **specific substantive procedures over the data migration** (completeness and accuracy of opening balances in the new system — reconcile pre- and post-migration totals). The migration itself may be a **significant risk** (complex, non-routine) requiring special consideration and current-period testing.

Scenario D (bonus) — Analytical Anomaly During Risk Assessment

Facts: During SA 315 analytical procedures, gross margin jumped from 22% to 31% with no change in product mix or prices, while inventory days doubled.

Reasoning: This is a **risk-assessment red flag**, not a conclusion. A margin spike with ballooning inventory is a classic signature of **inventory overstatement** (or purchases/cost understatement) — which would inflate profit. This elevates **inherent risk** for inventory valuation and existence assertions.

Correct response: Raise assessed RMM for inventory; design **responsive substantive procedures** (attend the physical count, test valuation and net realizable value, examine slow-moving/obsolete provisions, test purchase cut-off). The analytics **scoped** the risk; the response **resolves** it.

6. Procedure & Documentation Summary — What Must Be On File

Audit is a discipline of *evidence*, and evidence that isn't documented didn't happen (SA 230). For this chapter, the working papers must show the *chain from risk to response*:

Risk assessment documentation (SA 315 requires the auditor to document): 1. The **discussion among the engagement team** (including how/when it occurred and significant decisions) about the susceptibility of the statements to material misstatement, including from fraud. 2. **Key elements of the understanding** obtained regarding the entity, its environment, and each internal control component; the **sources** of that information; and the **risk assessment procedures** performed. 3. The **identified and assessed RMM** at the financial-statement level and the assertion level. 4. The **risks identified** and related **controls** about which the auditor obtained an understanding, and any **significant risks** and significant-risk-related controls.

Response documentation (SA 330 requires the auditor to document): 5. The **overall responses** to FS-level risks, and the **nature, timing, and extent** of further audit procedures. 6. The **linkage** of those procedures with the assessed risks at the assertion level (the audit-quality inspector must be able to trace *this procedure* back to *that risk*). 7. The **results** of the procedures, and — where relying on controls tested in **prior** audits — the **conclusions** about that continued reliance.

Deficiency documentation (SA 265): 8. **Written communication** of significant deficiencies to TCWG; record of communication to management of other deficiencies of sufficient importance.

Procedure checklist for the chapter's workflow: - Perform inquiry + analytical procedures + observation/inspection (risk assessment procedures). - Understand each of the five control components; evaluate **design** and **implementation** of relevant controls (walkthroughs). - Assess RMM at both levels; flag **significant risks**. - Decide route per assertion: reliance (ToC) vs substantive; ensure **some substantive for every material item**. - If relying: test **operating effectiveness**; consider interim vs period-end and remaining-period coverage. - Perform substantive procedures (tests of details and/or substantive analytics). - Evaluate results; revisit risk assessment if evidence contradicts it (assessment is **iterative**, not one-and-done). - Identify deficiencies; grade severity; communicate per SA 265.

7. Connections — How This Chapter Wires Into the Rest of Auditing

- ← **SA 200 (Chapter 1/2):** "Reasonable assurance" and "material misstatement" are *defined* there; the audit risk model is the *mechanism* by which reasonable (not absolute) assurance is delivered. $AR = IR \times CR \times DR$ is SA 200's philosophy made operational.
 - ↔ **SA 320 (Materiality):** materiality sets the *threshold* of what "matters"; risk assessment identifies *where* misstatement above that threshold is likely. Materiality and risk together set sample sizes (higher risk or lower materiality → larger samples). They are the two dials of audit **extent**.
 - ↔ **SA 240 (Fraud):** significant risks frequently *are* fraud risks; revenue recognition carries a presumed fraud risk; "management override of controls" is a mandatory fraud response that lives inside the SA 330 response set. Chapter 3 supplies the *risk machinery* that Chapter on fraud exploits.
 - → **SA 500 (Audit Evidence) & SA 530 (Sampling):** SA 330's "nature, timing, extent" is *executed* through SA 500's reliability hierarchy and SA 530's sampling methods. Extent = sample size = risk-driven.
 - → **SA 520 (Analytical Procedures):** appears twice — as a *risk assessment* tool (SA 315) and as a *substantive* tool (SA 330). Same technique, different job.
 - → **SA 402 (Service Organizations):** when controls are outsourced (e.g., cloud payroll), understanding "internal control" extends into the service provider — a direct SA 315/330 extension.
 - ↔ **Companies Act 2013: Section 143(3)(i)** requires the auditor to report on whether the company has **adequate internal financial controls (IFC) with reference to financial statements** and their **operating effectiveness** (for applicable companies) — this is a *statutory* mandate to do exactly the control evaluation SA 315/330 describe. **Section 134(5)(e)** puts the *responsibility for IFC* on the directors. **Section 177** requires an **audit committee** (TCWG) for prescribed companies — the very body SA 265 communicates deficiencies to. **CARO 2020** requires specific comments on internal controls, and **Section 138** mandates **internal audit** for prescribed companies (feeding the "monitoring" component). *Confirm exact applicability thresholds for IFC operating-effectiveness reporting and internal audit in current ICAI/Act material.*
-

8. Traps & Examiner Tricks

1. **"Risk assessment procedures give the audit evidence for the opinion."** *False.* They **scope**; they never, by themselves, provide sufficient appropriate evidence for the opinion. The opinion rests on SA 330 further procedures.

2. **Confusing "implementation" with "operating effectiveness."** SA 315 checks a control is *designed and implemented* (exists and is used) via walkthroughs. SA 330 **tests of controls** check it *operated effectively throughout the period*. An exam scenario that says "we saw the control exists" has **not** established reliance.
3. **"If controls are strong, we can skip substantive procedures on revenue."** *False*. SA 330 requires **substantive procedures for every material item** regardless of control strength. Controls **reduce** but never **eliminate** substantive work.
4. **Assuming DR moves the same direction as RMM.** DR is **inverse**: high RMM → low DR (more work). Students routinely flip this.
5. **"The auditor's control weakness communication means the auditor opines on internal control."** *False* — SA 265 requires explicit disclaimer language that controls were considered *only to design audit procedures*, **not** to opine on control effectiveness (except where a *separate* IFC report under Sec 143(3)(i) is required — don't conflate the two).
6. **Reliance on prior-year control testing for a significant risk.** *Not allowed*. Controls addressing a **significant risk must be tested in the current period**. And any control relied upon must be tested at least **once every third year**.
7. **For significant risks, substantive analytics alone suffice.** *False* — substantive procedures for a significant risk **must include tests of details**.
8. **Treating a deficiency as significant only if a misstatement already happened.** *Wrong* — a deficiency can be **significant on potential alone**; actual misstatement is just one factor.
9. **"Small company, so internal control isn't relevant."** The *components* still exist (often informally); a weak control environment in a small entity **raises** CR and pushes toward a substantive approach — it doesn't excuse assessment.
10. **Testing controls when you never intended to rely on them.** ToC is only required if you **plan to rely** or substantive evidence alone is impossible. Testing controls you won't rely on is wasted effort — an efficiency trap examiners probe.
11. **Interim testing without covering the remaining period.** Evidence from an interim ToC/SP must be *rolled forward* with evidence for the gap to period-end; forgetting this is a classic error.
12. **Inquiry alone as a test of controls.** Inquiry is *never* sufficient by itself for operating effectiveness — it must be combined with inspection, observation, or re-performance.

9. First-Principles Recap

Strip away every Standard number and this is what remains, rebuildable from scratch:

- You **cannot examine everything**, and some misstatement is **deliberately hidden**. So audit must **target** effort at danger. (The Problem.)
- To target, **measure the danger**: split it into what the *entity* brings (**inherent** susceptibility × the chance its **controls fail** = risk of material misstatement) and what *you* bring (**detection** risk — the chance your own work misses it). **AR = IR × CR × DR**.
- IR and CR you can only **assess**, not change → so you **understand the entity and its controls** (SA 315) to price them.

- DR is your **lever**. Set it *inversely* to RMM: where danger is high, drive your detection risk **down** with more, better, later-timed work. Where danger is low, do less. That inverse relationship *is* targeting.
- Controls come in **five layers** (environment → entity risk assessment → information system → control activities → monitoring), and they have **inherent limits** (override, collusion, error) — which is why **some substantive testing is always required** and DR is **never zero**.
- Convert assessment into action (SA 330): **overall responses** to pervasive risk, and **further procedures** — either **test the controls** (cheap leverage where controls are strong or no paper trail exists) or **test the amounts directly** (where controls are weak) — choosing **nature, timing, extent** by risk.
- When you spot **holes in the entity's controls**, tell the **owners/governance** (SA 265), while being honest that you looked at controls only to plan the audit.

Everything else — every requirement, every procedure — is a detailed answer to a specific way misstatement could slip past you.

10. Quick-Revision Sheet

Key Standards at a glance

SA	Title (short)	The risk it counters	Core requirement to remember
SA 200	Overall objectives / reasonable assurance	Expecting impossible certainty	$AR = IR \times CR \times DR$; reasonable, not absolute, assurance
SA 315	Identifying & assessing RMM via understanding entity & controls	Mispricing danger; blind torch	Perform risk assessment procedures; understand entity + 5 control components; assess RMM at FS & assertion level; flag significant risks
SA 330	Responses to assessed risks	Diagnosis with no treatment	Overall responses + further procedures (ToC and/or SP); choose nature/timing/extent by risk; substantive for every material item ; significant risk → tests of details
SA 265	Communicating control deficiencies	Seeing holes but not telling owners	Grade deficiencies; write to TCWG for significant ones; disclaim control-opinion scope
SA 520	Analytical procedures	Missing anomalies / inefficient testing	Used both to assess risk (315) and substantively (330)
SA 240	Fraud	Deliberate concealment / override	Revenue = presumed fraud risk; test journal entries & management override
Sec 143(3) (i)	Companies Act — IFC reporting	Directors' controls unverified	Report on adequacy & operating effectiveness of IFC (where applicable)

The risk model — one line

AR = IR × CR × DR; RMM = IR × CR (entity's, only assessed); **DR = AR ÷ RMM** (auditor's lever, **inverse** to RMM).

Five components of internal control

1. Control **Environment** (tone/integrity)
2. Entity's **Risk Assessment** process
3. **Information System** & communication
4. **Control Activities** (authorization, reconciliation, segregation of duties, physical, IT)
5. **Monitoring** of controls.

ToC vs SP — when

- **Tests of Controls** when: you **plan to rely** on controls, **or** substantive evidence alone is impossible (no paper trail). Tests **operating effectiveness**; inquiry never alone; significant-risk controls tested **current year**; retest at least every **3rd** year.
- **Substantive Procedures** always for **material** items; **tests of details + substantive analytics**; **significant risk** → **must include tests of details**.

Nature / Timing / Extent — higher risk means

- **Nature** → more **reliable** procedures (external confirmation, re-performance)
- **Timing** → shift toward **period-end**
- **Extent** → **larger** samples

Inherent limitations of control (why CR ≠ 0, DR ≠ 0)

Management **override**, **collusion**, human **error**, **cost-benefit** limits, failure on **non-routine** transactions.

SA 265 — deficiency ladder

Deficiency (control can't prevent/detect/correct, or is missing) → if **significant** (professional judgement, potential is enough) → **written** communication to **TCWG** + inform management + scope disclaimer.

Overall responses to a weak control environment

More skepticism · more experienced staff · more supervision · **unpredictability** · shift to period-end · heavier substantive.

Confirm the following in current ICAI material: the revised SA 315 (2021) component framing and "inherent risk spectrum"; exact IFC operating-effectiveness and internal-audit (Sec 138) applicability thresholds; and any CARO 2020 internal-control clause wording.

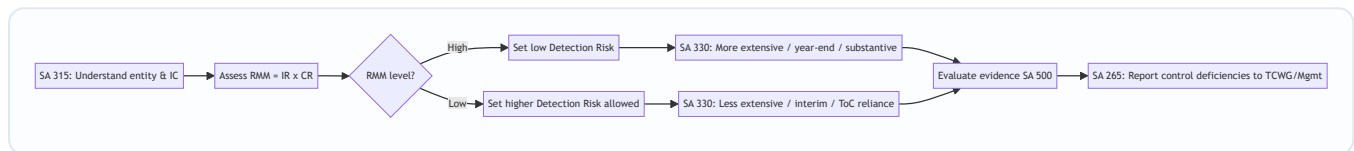
Q&A — Risk Assessment & Internal Control

CA Intermediate — Auditing & Ethics | Chapter: Risk Assessment & Internal Control Standards in play: SA 315, SA 330, SA 265, with links to SA 200, SA 240, SA 320, SA 402, SA 500, SA 520, SA 530; Companies Act 2013 Sec 143(3)(i), 134, 138, 177; CARO 2020.

The one equation to anchor everything

Audit Risk (AR) = Inherent Risk (IR) × Control Risk (CR) × Detection Risk (DR).

IR and CR are the **Risk of Material Misstatement (RMM)** — they exist in the client and the auditor only assesses them. DR is the only lever the auditor *controls*, by varying the nature, timing and extent of procedures. For a target AR, DR moves **inversely** to RMM: high RMM → low DR required → more/better evidence.



Section A — Concept-Check (with answers)

A1. Define audit risk and its components. Audit risk is the risk that the auditor expresses an inappropriate opinion when the financial statements are materially misstated (SA 200). $AR = IR \times CR \times DR$. IR = susceptibility of an assertion to misstatement before controls; CR = risk that a misstatement will not be prevented/detected by internal control on a timely basis; DR = risk that the auditor's procedures fail to detect an existing misstatement.

A2. Which components make up the Risk of Material Misstatement? IR and CR together constitute RMM. These are the entity's risks and are assessed, not created, by the auditor. DR is a function of audit effectiveness and is the only component the auditor manages directly.

A3. Explain the inverse relationship between RMM and DR. For a given acceptable audit risk, DR must be set inversely to assessed RMM. When RMM is high, acceptable DR is low, so the auditor performs more persuasive, more extensive, and often year-end substantive procedures. When RMM is low, a higher DR is tolerable and less extensive testing suffices. This is the mechanical basis of the SA 330 "responsive" design.

A4. List the five components of internal control per SA 315. (1) Control environment, (2) Entity's risk assessment process, (3) Information system and communication relevant to financial reporting, (4) Control activities, (5) Monitoring of controls.

A5. Distinguish Test of Controls (ToC) from Substantive Procedures. ToC test **operating effectiveness** of controls to support a reduced CR assessment (SA 330). Substantive procedures detect misstatements at the assertion level and comprise (a) tests of details and (b) substantive analytical procedures (SA 330 read with SA 520). Substantive procedures are **mandatory** for each material class of transactions, account balance and disclosure regardless of assessed risk; ToC are performed only when the auditor intends to rely on controls or substantive procedures alone cannot provide sufficient evidence.

A6. When are Tests of Controls mandatory? When the auditor's risk assessment includes an expectation that controls operate effectively (i.e., intends to rely), OR when substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level (SA 330 para 8) — typically in highly automated, low-paper environments.

A7. What is a "significant risk" and what does it require? A significant risk is an identified and assessed RMM that, in the auditor's judgement, requires special audit consideration (SA 315). It usually relates to non-routine or judgemental matters and fraud. For a significant risk the auditor must (a) evaluate the design of related controls, and (b) perform substantive procedures **specifically responsive** to it; substantive analytical procedures alone are not sufficient (SA 330).

A8. Differentiate a "significant deficiency" from a "deficiency" under SA 265. A deficiency in internal control exists when a control is unable to prevent/detect misstatements, or a needed control is missing. A significant deficiency is one that, in professional judgement, is of sufficient importance to merit the attention of Those Charged With Governance (TCWG). SA 265 requires significant deficiencies to be communicated **in writing** to TCWG, and other deficiencies to management.

A9. What must the auditor document under SA 315/330? The understanding of the entity and its IC, the assessed RMM at financial statement and assertion levels, significant risks identified, the overall responses and the linkage of further procedures to assessed risks, and the results of procedures (SA 315 & SA 330 documentation requirements; overarching SA 230).

A10. Does a strong control environment reduce the need for substantive procedures to nil? No. Substantive procedures for material items are always required (SA 330). A strong control environment may lower assessed CR and reduce extent, but cannot eliminate substantive testing.

Section B — Applied Scenario Questions (situation → audit response with reasoning)

B1. SaaS client, no paper trail. A subscription-software company recognises revenue entirely through an automated billing engine; there are no invoices or delivery notes to vouch. *Response:* Substantive procedures alone cannot yield sufficient evidence, so SA 330 para 8 makes **Tests of Controls mandatory**. The auditor understands the automated revenue system (SA 315), tests automated application controls and relevant IT General Controls (access, change management, data integrity), and combines re-performance/CAATs on the full transaction population with substantive analytical procedures on subscriber counts × price. Reliability of system-generated reports must itself be tested (SA 500).

B2. Owner-override, family trading business. The proprietor personally authorises all payments, keeps the master vendor file, and can post journal entries. *Response:* This is a control environment weakness with high **management override** risk — an inherent significant/fraud risk (SA 240). Controls cannot be relied upon, so assessed CR is high, DR must be low, and the auditor shifts to extensive substantive testing: 100%/large-sample vouching, testing journal entries (mandatory under SA 240), related-party scrutiny (SA 550), and unpredictable procedures. Deficiency in segregation of duties is a significant deficiency reportable in writing under SA 265.

B3. Mid-year ERP migration. The client moved from a legacy system to a new ERP on 1 October; opening balances were converted. *Response:* Two control environments operate in one period, raising RMM around cut-over. The auditor evaluates data-migration controls (completeness/accuracy of converted balances), tests

controls **separately** for the pre- and post-migration periods since reliance for the whole year cannot rest on one system (SA 330), reconciles converted opening balances to legacy closing balances, and performs cut-over testing around 30 September/1 October. IT change-management controls are assessed.

B4. Analytical anomaly. Gross margin jumped from 22% to 34% with no change in business model.

Response: Under SA 520 an unexpected fluctuation is a risk indicator. The auditor investigates by inquiry of management and, crucially, **corroborates** the explanation with other evidence rather than accepting it (SA 520 para 7). It may signal a significant risk (overstated inventory/revenue) demanding targeted tests of details (SA 330); substantive analytics alone are insufficient for a significant risk. Consider fraud implications (SA 240).

B5. Service organisation. Payroll is fully outsourced to a third-party processor whose reports feed the ledger. *Response:* SA 402 governs. The auditor obtains understanding of services affecting the FS, and either obtains a Type 1/Type 2 assurance report on the service organisation's controls or performs procedures at the service organisation. A Type 2 report supports reliance on operating effectiveness; without it, the auditor must design substantive procedures on payroll.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Detection risk is the only element within the auditor's control." Discuss with reference to how the auditor manages it. *Model answer:* $AR = IR \times CR \times DR$ (SA 200). IR and CR are properties of the entity and its environment; the auditor can only assess them via SA 315 risk-assessment procedures. DR alone depends on the effectiveness of the audit and is managed by altering the **nature** (more reliable procedures, e.g., external confirmation over inquiry), **timing** (year-end rather than interim), and **extent** (larger samples, per SA 530) of further audit procedures (SA 330). Because AR is held to an acceptably low level, DR is set **inversely** to assessed RMM: higher RMM compels lower DR and hence more persuasive evidence. DR can never be reduced to zero because of sampling and non-sampling limitations inherent in any audit.

C2. Explain the auditor's responsibilities under SA 265 for communicating deficiencies in internal control. *Model answer:* SA 265 requires the auditor, having identified deficiencies during the audit, to determine whether individually or in combination they constitute **significant deficiencies**. Significant deficiencies must be communicated **in writing** to TCWG on a timely basis; the communication states a description of the deficiencies, their potential effects, and sufficient information for TCWG to understand the context (it is not a comprehensive list nor an opinion on effectiveness). Other, less severe deficiencies are communicated to the appropriate level of management. The auditor is not required to search for deficiencies but reports those noted while forming the audit opinion. This does not diminish the auditor's own responsibility for the opinion.

C3. Describe the five components of internal control under SA 315 and their audit relevance. *Model answer:* (1) **Control environment** — governance attitude, integrity and ethical values; sets the foundation and influences assessed CR. (2) **Entity's risk assessment process** — how management identifies and responds to business risks relevant to reporting. (3) **Information system and communication** — the procedures and records that initiate, record, process and report transactions and maintain accountability; understanding the flow of transactions is essential to identify where misstatements can arise. (4) **Control activities** — policies/procedures such as authorisation, reconciliation, segregation of duties, and IT application controls; these are the controls the auditor may test. (5) **Monitoring of controls** —

ongoing/separate evaluations, including internal audit. The auditor must understand each component to identify and assess RMM and design responses (SA 330).

C4. What are the auditor's responses to assessed risks at (a) the overall financial-statement level and (b) the assertion level? (SA 330) *Model answer:* (a) **Overall responses** address pervasive risks: emphasising professional scepticism, assigning more experienced staff, greater supervision, incorporating unpredictability, and modifying nature/timing/extent generally. (b) **Assertion-level responses** are further audit procedures whose nature, timing and extent are **responsive** to the assessed RMM for each material class/balance/disclosure — comprising tests of controls (only where reliance is intended or substantive testing alone is insufficient) and substantive procedures. Irrespective of assessed risk, the auditor must perform substantive procedures for each material item, and for **significant risks** perform substantive procedures specifically responsive to that risk (analytics alone being inadequate).

C5. Link internal-control audit work to the Companies Act 2013. *Model answer:* Under **Sec 143(3)(i)**, the auditor of specified companies must report on whether the company has an adequate **Internal Financial Controls with reference to financial statements (IFCoFR)** and their operating effectiveness — directly building on SA 315/330 control work. **Sec 134(5)(e)** requires the directors' responsibility statement (listed companies) to assert that adequate internal financial controls were laid down and operating effectively. **Sec 177** empowers the **Audit Committee** (a TCWG channel for SA 265 communication) to evaluate internal financial controls. **Sec 138** mandates **internal audit** for prescribed companies — relevant to the monitoring component and to SA 610 reliance. CARO 2020 additionally requires reporting on specified control-related matters (e.g., internal audit system adequacy).

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. In $AR = IR \times CR \times DR$, which is the only component the auditor can directly control? (a) IR (b) CR (c) DR (d) RMM **Ans: (c) DR** — managed via nature/timing/extent of procedures; IR and CR are the entity's (SA 200).

D2. Tests of controls become **mandatory** when: (a) controls look strong (b) substantive procedures alone cannot give sufficient evidence (c) the client requests it (d) never **Ans: (b)** — SA 330 para 8, typical of highly automated, low-paper environments.

D3. A significant deficiency in internal control must be communicated: (a) orally to management (b) in writing to TCWG (c) in the audit report only (d) to shareholders **Ans: (b)** — SA 265 requires timely **written** communication to TCWG.

D4. For a **significant risk**, which is NOT sufficient on its own? (a) tests of details (b) substantive analytical procedures alone (c) targeted substantive procedures (d) evaluating design of controls **Ans: (b)** — SA 330 prohibits reliance on analytics alone for significant risks.

D5. Which is a substantive procedure? (a) observing segregation of duties (b) re-performing a bank reconciliation as a test of the control (c) external confirmation of receivables (d) inspecting the authorisation matrix **Ans: (c)** — confirmations are tests of details detecting misstatements; the others test control operation.

D6. Substantive procedures for material items are: (a) optional if CR is low (b) always required (c) required only for significant risks (d) replaced by ToC **Ans: (b)** — SA 330 mandates substantive procedures for every material class/balance/disclosure.

D7. A gross-margin spike investigated by inquiry, where management's explanation is accepted without corroboration, breaches: (a) SA 530 (b) SA 520 (c) SA 402 (d) SA 610 **Ans: (b)** — SA 520 requires corroboration of management explanations for significant fluctuations.

D8. Case scenario. An auditor of a fully automated e-commerce firm assesses controls as strong, decides to rely on them, but performs **no** substantive procedures on material revenue, arguing CR is very low. Evaluate. **Ans:** Incorrect. Even with low assessed CR and effective ToC, SA 330 requires substantive procedures for material revenue; controls reliance reduces **extent**, not existence, of substantive work. Revenue also carries a presumed fraud risk (SA 240), a significant risk requiring specifically responsive substantive procedures.

D9. Case scenario. During a listed company audit, the CFO can post and approve journals unilaterally. Which combination is correct? (a) Report as significant deficiency (SA 265) + test journals (SA 240) + relevant to Sec 143(3)(i) (b) Ignore since automated (c) Only oral note to CFO (d) Reduce substantive testing **Ans: (a)** — segregation failure is a significant deficiency (written to TCWG/Audit Committee under SA 265), invokes mandatory journal-entry testing (SA 240), and bears on the IFCoFR opinion under Sec 143(3)(i).

D10. Reliance on a service organisation's operating effectiveness is best supported by: (a) a Type 1 report (b) a Type 2 report (c) the client's assurance (d) a brochure **Ans: (b)** — under SA 402 a Type 2 report covers operating effectiveness over a period; Type 1 covers design at a point in time only.

Traps & Examiner Tricks (rapid list)

1. Writing $AR = IR + CR + DR$ — it is **multiplicative**.
 2. Saying the auditor "controls" IR or CR — the auditor only **assesses** them.
 3. Getting the DR direction wrong — DR is **inverse** to RMM.
 4. Claiming ToC can replace substantive procedures — substantive work is always required for material items.
 5. Using analytics alone for a **significant risk** — prohibited (SA 330).
 6. Forgetting ToC are **mandatory** where substantive evidence alone is insufficient (SaaS/automated).
 7. Communicating significant deficiencies orally — must be **in writing** (SA 265).
 8. Confusing "deficiency" (to management) with "significant deficiency" (to TCWG).
 9. Treating a strong control environment as eliminating fraud/override risk (SA 240).
 10. Accepting management's analytical explanation without corroboration (SA 520).
 11. Mixing up SA 315 (assess) with SA 330 (respond) — know which number does what.
 12. Ignoring service-organisation controls (SA 402) and IT general controls in automated setups.
-

First-Principles Recap

You cannot check everything, and some misstatement is deliberately hidden. So you accept a small, defined chance of being wrong (audit risk), split that risk into what the client brings (IR, CR = RMM) and what you can manage (DR), and then spend audit effort inversely to the client-side risk. SA 315 tells you how to **look and assess**; SA 330 tells you how to **respond**; SA 265 tells you how to **report** the control weaknesses you found along the way. Everything else (SA 240, 320, 500, 520, 530, 402 and the Companies Act sections) hangs off this spine.

Quick-Revision Sheet — SA Summary Table

Standard / Section	One-line role in this chapter
SA 200	Defines audit risk; overall objectives, professional scepticism
SA 315	Identify & assess RMM by understanding entity and IC (5 components); significant risks
SA 330	Auditor's responses : overall + assertion-level; ToC & substantive; NTE inverse to RMM
SA 265	Communicate control deficiencies ; significant ones in writing to TCWG
SA 240	Fraud; management override; mandatory journal-entry testing; revenue presumption
SA 320	Materiality — the yardstick for "material" misstatement
SA 500	Sufficient appropriate audit evidence; reliability of information used
SA 520	Analytical procedures; corroborate management explanations
SA 530	Audit sampling — governs extent of testing
SA 402	Service organisations; Type 1 vs Type 2 reports
Sec 143(3)(i)	Report on adequacy & operating effectiveness of IFCoFR
Sec 134(5)(e)	Directors' responsibility statement on internal financial controls (listed cos.)
Sec 177	Audit Committee — evaluates IFC; TCWG channel
Sec 138	Mandatory internal audit — monitoring component
CARO 2020	Additional control/internal-audit reporting clauses

Key points to keep on top: RMM = IR × CR; DR is the only lever; substantive procedures always for material items; ToC mandatory when substantive alone is insufficient; significant risks need targeted substantive tests; significant deficiencies go to TCWG in writing.

Chapter 04 — Audit Evidence

1. The Problem — An Opinion Is Only as Good as What It Stands On

Go back to the founding wound of this whole subject. The owners of a company cannot see inside it. They handed their money to managers, and now managers hand them back a set of financial statements that say, in effect, "trust us, this is what happened." The auditor exists to break that stalemate — to give the owners an *independent* reason to believe the numbers.

But here is the uncomfortable question the examiner is really testing: **on what basis does the auditor believe the numbers?** The auditor did not run the business. He did not pack the inventory, sign the sales invoices, or watch every rupee move. He arrives after the fact, is given a set of books prepared *by the very people whose honesty is in question*, and is asked to bless them. If the auditor simply reads what management wrote and repeats it, he has added nothing — he is just a second signature on management's assertions.

So the auditor faces a **verification gap**. The trust problem is not solved by the auditor's good character; it is solved only if the auditor gathers *something outside management's own say-so* that either corroborates or contradicts the figures. That "something" is **audit evidence**.

Now sharpen the risk. Financial statements can be wrong in two flavours:

- **Error** — an honest mistake (a mis-cast total, a wrong depreciation rate).
- **Fraud** — a deliberate deception (fictitious sales to inflate profit, hidden liabilities to hide insolvency).

Both produce **misstatement**. The auditor's job is to reduce the risk that *material* misstatement survives undetected to an acceptably low level. He can only do that by holding, at the end, a body of evidence strong enough that a reasonable, informed person would reach the same conclusion. If the evidence is thin, the opinion is a bluff — and when the company later collapses, the auditor is the one in the witness box being asked, "What did you actually check?"

That single question — *what did you actually check, and was it enough?* — is the entire content of this chapter.

2. The Core Idea — Sufficient Appropriate Evidence, Organised by Assertion

The whole discipline of audit evidence rests on one sentence from **SA 500 — Audit Evidence**:

The auditor shall design and perform audit procedures to obtain **sufficient appropriate audit evidence** to be able to draw reasonable conclusions on which to base the audit opinion.

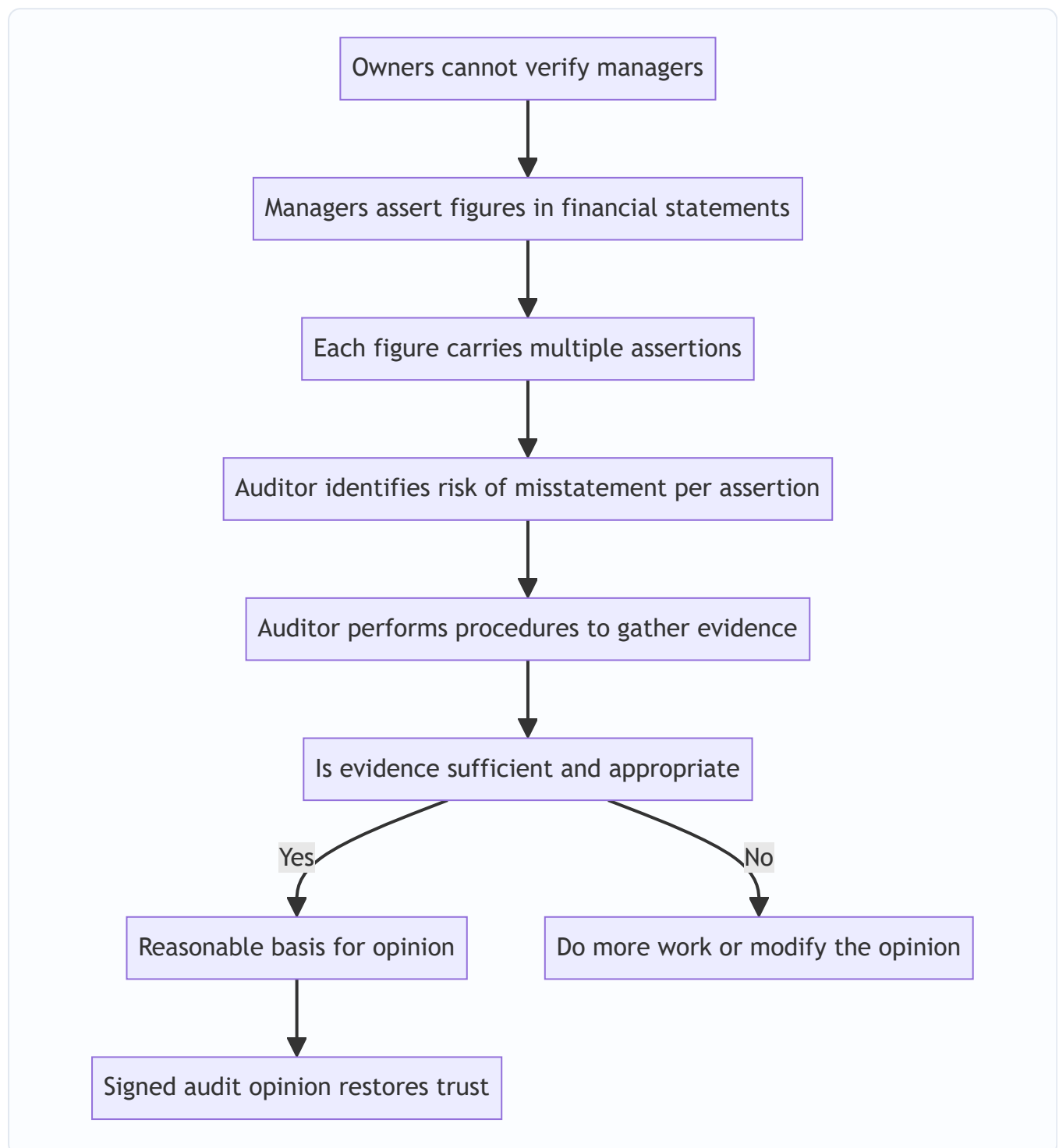
Two words carry the load, and they are deliberately different things:

- **Sufficient** = the *quantity* of evidence. How much?
- **Appropriate** = the *quality* of evidence, which itself splits into **relevance** (does it test the right thing?) and **reliability** (can it be trusted?).

These two are not independent — they trade off. The *more reliable* the evidence, the *less* of it you need. The *riskier* the area, the *more* evidence you need. A single confirmation direct from a bank tells you more than a stack of internally photocopied statements.

The second core idea — and the one that separates a professional from a clerk — is that the auditor does not think "let me check the numbers." He thinks in **assertions**. Every figure in the financial statements is management *asserting several distinct claims at once*. "Inventory ₹50 lakh" is really management asserting: *it exists, we own it, we counted it all, it's worth what we say, and we've disclosed it properly*. Each of those is a separate claim that can fail independently, and each needs its own evidence. Assertions are the auditor's coordinate system: they turn a vague "verify inventory" into a precise checklist of *what could be wrong and how I'd catch it*.

Figure 1 — The chain from trust gap to signed opinion; evidence is the load-bearing middle.



3. Why It's Built This Way — The Logic Behind Each Requirement

Why insist on *both* sufficiency and appropriateness? Because each guards against a different failure. If you demanded only quantity, an auditor could bury the file in thousands of internally-generated vouchers and claim diligence while proving nothing — volume of weak evidence is still weak. If you demanded only quality, an auditor might rely on one immaculate confirmation for a whole population and miss that it was unrepresentative. You need enough of the right kind.

Why *reliability*? Because evidence is only useful in proportion to how hard it would be to fake or distort. Management controls its own records; it does *not* control what an independent bank, customer, or lawyer will say. So evidence that originates *outside* the entity, or that the auditor *generates himself*, is inherently harder for a dishonest management to corrupt. That single insight generates the entire reliability hierarchy in Section 4.

Why think in **assertions** rather than just "checking numbers"? Because misstatements are *directional and specific*. Management that wants to inflate profit will *overstate* assets and revenue and *understate* liabilities and expenses. So the risk on assets is chiefly **existence and valuation** (is it really there and really worth this?), while the risk on liabilities is chiefly **completeness** (have you hidden some?). If the auditor tests every account for every assertion with equal energy, he wastes effort where risk is low and under-tests where it is high. Assertions let him aim.

Why does SA 500 let the auditor use evidence produced by a **management's expert** (say, a valuer of property) but require him to *evaluate* that expert's competence, objectivity, and methods? Because the auditor cannot personally be a metallurgist, an actuary, and a real-estate valuer. Society accepts specialisation. But an expert *hired and paid by management* is not automatically independent, so the auditor cannot swallow the expert's report whole — he must satisfy himself the expert is competent and unbiased and that the work is appropriate. The requirement mirrors the founding logic: never trust an assertion just because someone with an interest made it.

4. Full Technical Content — The Standards, By the Risk Each One Solves

4.1 SA 500 — Audit Evidence (the master standard)

The risk it counters: an opinion built on evidence that is too little or too weak to support it.

Key requirements and their reasons:

Requirement of SA 500	What it means	Why it exists
Obtain sufficient appropriate evidence	Enough evidence of the right quality	Directly closes the verification gap; a thin file cannot support an opinion
Consider relevance and reliability	Does the evidence test the right assertion, and can it be trusted	Irrelevant evidence tests nothing; unreliable evidence proves nothing
When using information produced by the entity , evaluate whether it is sufficiently reliable — test its accuracy and completeness	E.g. an ageing report used to test receivables must itself be checked	Management-produced data can be manipulated to hide the very problem you're testing
When using a management's expert , evaluate competence, capability, objectivity; understand the work; assess appropriateness	Don't rubber-stamp the valuer/actuary	The expert is paid by management and may be biased or wrong
If evidence is inconsistent or reliability is doubtful, determine what modifications or additions are needed	Chase contradictions; don't ignore them	A red flag ignored is how frauds slip through

The audit procedures SA 500 recognises (the toolkit — every procedure is just one of these):

Procedure	What the auditor does	Primary assertions it addresses
Inspection	Examine records, documents, or physical assets	Existence (physical), rights/obligations, valuation (documents)
Observation	Watch a process being performed (e.g. inventory count)	Existence; whether controls actually operate
External confirmation	Obtain a direct written response from a third party (see SA 505)	Existence, rights/obligations, completeness of certain items
Recalculation	Check the arithmetic of documents/records	Accuracy / valuation
Reperformance	Independently execute a control or procedure	Whether a control operates (accuracy, completeness)
Analytical procedures	Evaluate relationships among data; investigate deviations	Completeness, occurrence, reasonableness overall
Inquiry	Seek information from knowledgeable persons	Supports all, but weak alone — must be corroborated

A crucial exam point: **inquiry on its own is never sufficient**. Asking management "is everything fine?" and being told "yes" is not evidence — it is the very assertion under test, repeated. Inquiry must always be corroborated by other procedures.

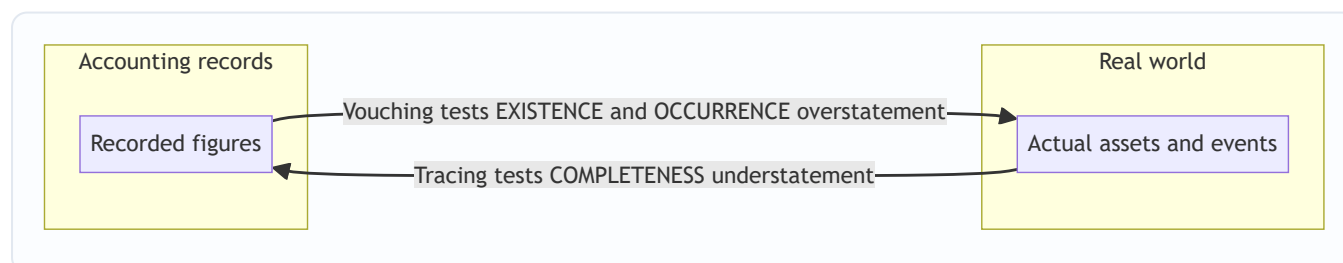
4.2 Assertions — the auditor's coordinate system

Assertions are grouped by what they attach to. The syllabus recognises assertions about **classes of transactions** (the P&L, during the period), about **account balances** (the balance sheet, at period end), and about **presentation and disclosure**.

Assertion	The claim management is making	The misstatement risk it guards	Typical evidence/procedure
Existence (balances) / Occurrence (transactions)	The asset/liability really exists; the recorded transaction really happened	<i>Overstatement</i> — fictitious assets, fake sales	Physical inspection, external confirmation, vouch to source
Completeness	<i>Everything</i> that should be recorded is recorded — nothing omitted	<i>Understatement</i> — hidden liabilities, unrecorded sales	Trace from source documents <i>into</i> the books; cut-off tests; analytical review
Valuation / Accuracy & Allocation	Amounts are recorded at the correct value, correctly measured and allocated	Wrong figures, missing provisions, no impairment	Recalculation, valuation review, ageing, expert reports
Rights & Obligations	The entity owns the assets and owes the liabilities	Assets pledged/leased shown as owned; others' goods shown as ours	Title deeds, loan/charge registers, confirmations
Presentation & Disclosure (incl. Classification, Occurrence and rights, Completeness, Accuracy and valuation, Understandability)	Items are correctly classified, described, and disclosed per the framework	Misclassification; missing/misleading disclosure	Read statements against checklist; verify note support

Why direction matters (memorise the logic, not the list): to *test overstatement* you start from the recorded figure and go *out* to reality — "you say this receivable exists; prove it" (vouching, confirmation). To *test understatement/completeness* you start from *reality* and come *into* the books — "here is a supplier invoice / a subsequent payment; is the liability recorded?" (tracing). This directionality is the single most tested idea in the whole topic.

Figure 2 — Vouching versus tracing: the direction of the test decides which assertion you prove.



4.3 Sources and the reliability hierarchy

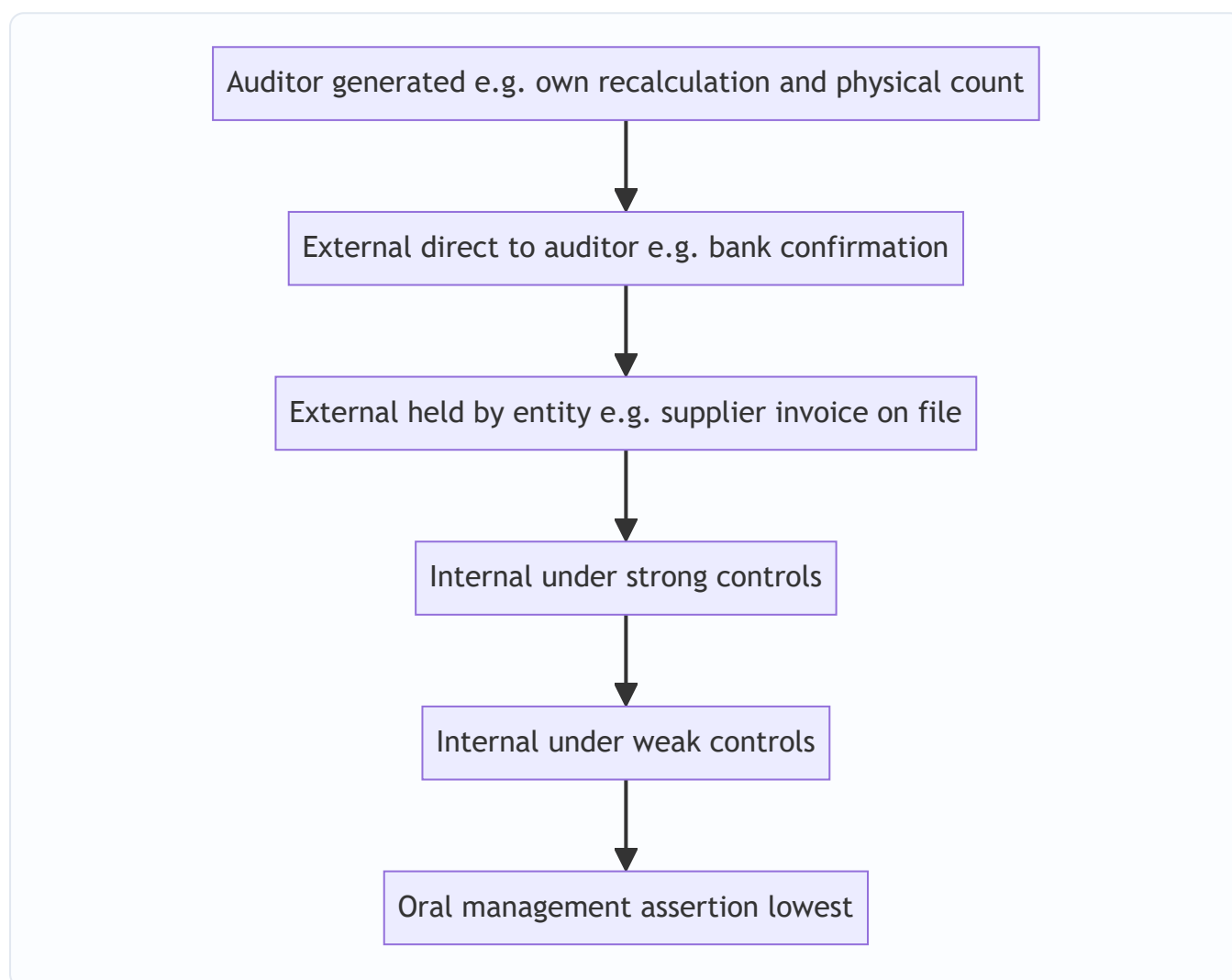
SA 500 gives generalisations on reliability. Learn them as *principles*, each with a reason:

- 1. External is more reliable than internal.** Evidence from an independent outside source (bank, customer, lawyer) is harder for management to fabricate than evidence management itself created. *Reason: management does not control third parties.*

2. **Effective internal controls make internal evidence more reliable.** If the entity's controls work, its own records are more trustworthy. *Reason: controls reduce the chance of error/manipulation.*
3. **Evidence the auditor obtains directly is more reliable than evidence obtained indirectly or by inference.** Watching the count beats being told the count happened. *Reason: fewer hands to distort it.*
4. **Documentary evidence beats oral.** A written confirmation beats a verbal assurance. *Reason: writing is verifiable and harder to deny later.*
5. **Original documents beat photocopies/faxes/scans.** *Reason: copies can be altered undetectably.*

A vital qualifier: reliability is a **generalisation, subject to exceptions**. An external confirmation can be unreliable if the third party is a related party or colludes; an original document can be a forgery. The auditor stays sceptical.

Figure 3 — Reliability increases as evidence moves away from management's exclusive control.



4.4 SA 505 — External Confirmations

The risk it counters: management fabricating or overstating balances that only a third party can independently verify — chiefly receivables (existence) and bank balances/loans.

Core mechanics: - The auditor **controls the whole process** — selects who to confirm, designs the request, sends it, and receives the reply *directly* (not via management). *Reason: if management touches the request or the reply, the independence that makes confirmation powerful is destroyed.* - **Positive confirmation** asks the

party to reply whether they agree *or not* — used when risk is higher. **Negative confirmation** asks the party to reply *only if they disagree* — weaker (silence is ambiguous), used only when risk is low, controls are strong, and large populations of small homogeneous balances exist. - **If management refuses to allow a confirmation:** the auditor inquires into the reasons, evaluates whether the refusal is reasonable, and performs **alternative procedures**. If the refusal is unreasonable, it is a **scope limitation** — potential qualification/disclaimer, and a signal of possible fraud. - **Non-responses:** perform alternative procedures (e.g. inspect subsequent cash receipts, shipping documents, sales invoices). - **Exceptions** (party disagrees) must be investigated — they may be timing differences or genuine misstatements. - **Doubts over reliability of a response** (e.g. it arrived via management, or looks altered): investigate; a response received electronically or orally may need verification of its source.

4.5 SA 510 — Initial Audit Engagements: Opening Balances

The risk it counters: in a *first-year* audit, the closing balances of last year (which are this year's opening balances) were **never audited by this auditor**. If they are wrong, this year's figures and the profit are wrong too — yet they sit outside the current period's testing.

Requirements: - Read the **most recent prior-year financial statements** and the **predecessor auditor's report** for information relevant to opening balances. - Obtain **sufficient appropriate evidence** that opening balances contain no misstatement materially affecting the current statements, by: (a) determining whether prior-period closing balances were correctly brought forward; (b) determining whether **accounting policies are consistently applied**; and (c) obtaining evidence — either from the prior auditor's work, or by performing current-period procedures that *incidentally* give evidence on openings (e.g. collection of opening receivables proves their existence/valuation), or by specific procedures. - If opening balances contain a material misstatement not properly dealt with, or policies are inconsistent, **modify the opinion** (qualified or adverse). - If unable to obtain sufficient evidence on openings, that is a **scope limitation** → qualified opinion or **disclaimer on results of operations**.

4.6 SA 550 — Related Parties

The risk it counters: transactions with parties connected to management (directors, their relatives, group companies) can be used to **siphon value, hide losses, or manufacture profit** on non-arm's-length terms — and because the parties are friendly, ordinary evidence (confirmations, contracts) may itself be tainted. Fraud famously hides in related-party dealings.

Requirements: - **Understand** the entity's related-party relationships and transactions; remain **alert** for undisclosed ones while inspecting records (e.g. bank confirmations revealing unknown guarantees, unusual transactions). - Where the framework requires **arm's-length** disclosure, obtain evidence about **management's assertion** that terms were equivalent to arm's length — do not accept the label at face value. - **Identified but previously undisclosed related parties/transactions** must be communicated to the team and treated as a **significant risk** — a red flag for fraud. - Obtain **written representations** from management that they have disclosed all related parties and transactions. - Evaluate the **business rationale** of significant related-party transactions outside the normal course — is it genuine, or a device to misstate/steal?

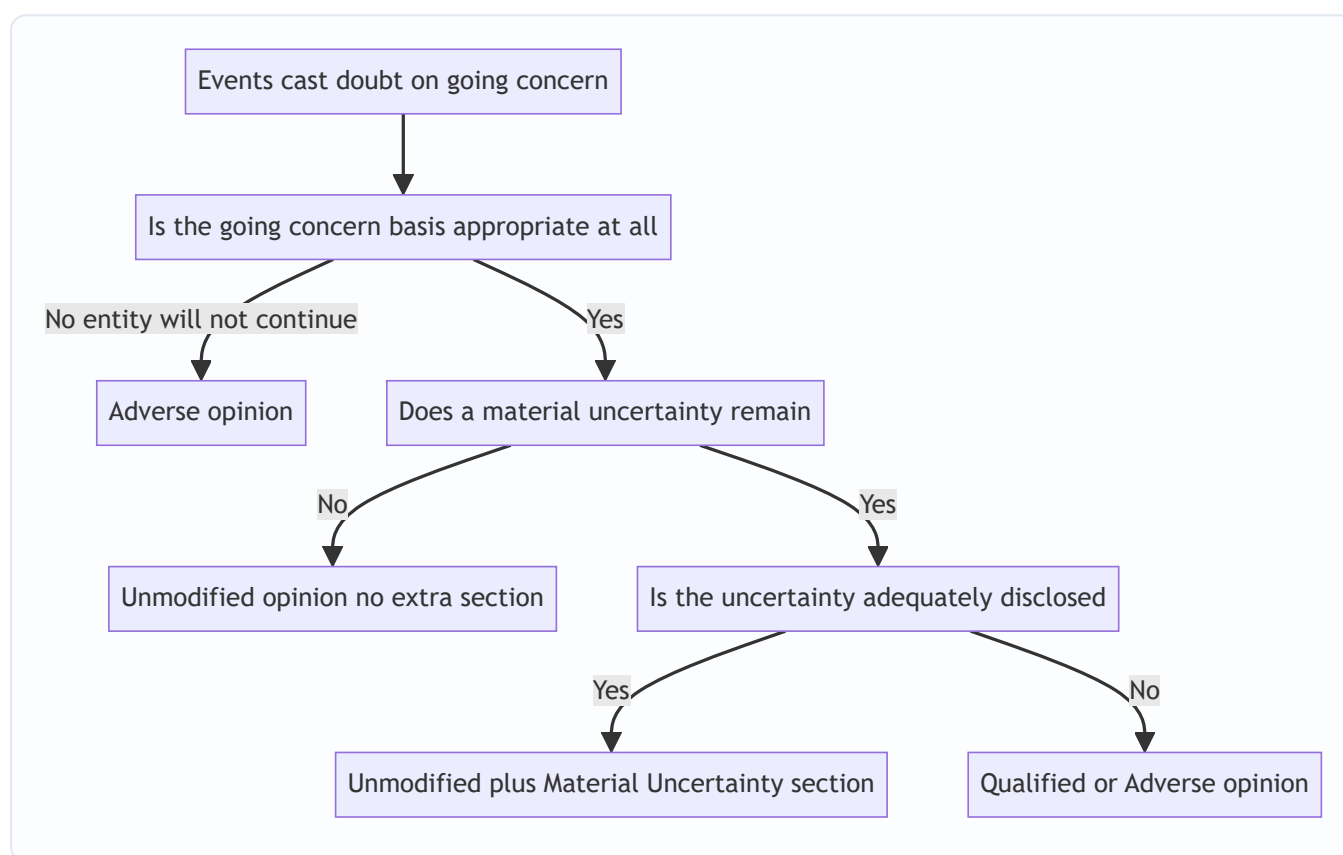
4.7 SA 570 — Going Concern

The risk it counters: financial statements are prepared assuming the entity will **continue in operation** (assets at cost, not fire-sale value; liabilities as normal). If that assumption is false and the company is about

to fail, the *entire basis* of the statements is misleading — users lend and invest into a corpse.

Requirements: - Management makes a **going-concern assessment**; the auditor **evaluates** it and remains alert throughout for **events or conditions** casting doubt (e.g. net-worth erosion, recurring losses, defaults on loans, inability to pay creditors, loss of a key market or licence, adverse legal judgments). - Where doubt exists, obtain **sufficient appropriate evidence** on whether a **material uncertainty** exists — evaluate management's plans (financing, asset sales, restructuring), test the **cash-flow forecast** and its assumptions, seek **written representations** on plans and their feasibility. - **Reporting decision tree:** - Use of the going-concern basis is *appropriate* but a **material uncertainty exists** and is **adequately disclosed** → unmodified opinion **with a separate "Material Uncertainty Related to Going Concern" section**. - Material uncertainty exists but **not adequately disclosed** → **qualified or adverse** opinion. - Going-concern basis is used but is **inappropriate** (entity will not continue) → **adverse** opinion. - Management **unwilling to make or extend** its assessment → possible scope limitation → **qualified/disclaimer**.

Figure 4 — Going-concern reporting logic driven by the risk to users.



4.8 SA 580 — Written Representations

The risk it counters: some matters (management's intentions, completeness of disclosures, knowledge of fraud) live *only inside management's head* — no external evidence exists. The auditor needs management to *put its assertions in writing* and thereby take formal responsibility.

Key points — and the sharpest trap in the chapter: - Obtain a written representation that management has **fulfilled its responsibility** for the financial statements and for providing **all relevant information and access**, and that **all transactions are recorded**. - Obtain specific representations required by other SAs (e.g. SA 240 fraud, SA 550 related parties, SA 570 plans). - **Date** near, but not after, the auditor's report; addressed to the auditor. - **Written representations are audit evidence — but they are NOT sufficient appropriate evidence on their own about the matters they concern.** A representation that receivables are collectible

does not replace testing collectibility. *Reason: it is still a management assertion — the exact thing whose reliability is in question.* Representations *complement* other evidence; they never substitute for it. - If management **refuses** to provide a required representation, or the auditor **doubts management's integrity** such that representations are unreliable, this casts doubt on *all* representations and evidence — potentially a **disclaimer of opinion**.

4.9 Management's expert vs auditor's expert (SA 500 / SA 620 link)

- A **management's expert** (valuer, actuary, engineer engaged *by management*) produces information used *as evidence*; under SA 500 the auditor must evaluate the expert's **competence, capability and objectivity**, understand the expert's work, and assess whether it is **appropriate** for use as audit evidence.
- An **auditor's expert** (engaged *by the auditor*, governed by **SA 620**) helps the auditor *obtain* evidence in a specialised field. Confirm the exact scope in ICAI material, but the guiding logic is identical: expertise the auditor lacks may be borrowed, but responsibility for the opinion is **never** delegated.

5. Applied Scenarios — Reasoning to the Right Response

Scenario A — The confirmation that came back through the finance manager. An auditor sends positive confirmations to 40 debtors. Thirty replies arrive; but the auditor notices *all* replies were collected by the client's finance manager and handed over in a bundle, several on fresh identical letterheads. *Reasoning:* SA 505's power comes from the auditor **controlling the process** and receiving replies **directly**. Here management sat in the pipeline, so the confirmations are compromised — reliability is doubtful (Section 4.4, 4.3). *Response:* treat these as unreliable; re-send under the auditor's own control, verify the third parties' addresses independently, and perform **alternative procedures** (subsequent receipts, dispatch documents). The bundled fresh letterheads are a **fraud red flag** — heighten scepticism across the file.

Scenario B — First-year audit, healthy-looking books. A newly appointed auditor for FY 2025-26 finds current-year work clean. But opening inventory of ₹80 lakh and opening receivables were audited by a predecessor whose working papers management "cannot locate." *Reasoning:* SA 510 — opening balances were never audited by *this* auditor, and if wrong they distort current profit. Absence of predecessor evidence means the auditor must get evidence *himself*. *Response:* perform current-period procedures that shed light on openings — e.g. examine sale/consumption of opening inventory and collection of opening receivables (proving existence/valuation), verify consistent accounting policies. If he *cannot* obtain sufficient evidence on openings, that is a **scope limitation** → **qualified opinion or disclaimer on results of operations**, even though the current-year testing looked fine.

Scenario C — Profitable sales to a company owned by the MD's brother. Year-end sales spike; 30% of Q4 revenue is to Zeta Ltd, owned by the managing director's brother, at unusually high prices, with payment terms of 270 days. *Reasoning:* SA 550 — a related party, a transaction *outside normal terms*, used potentially to **inflate revenue and profit**. The friendly counterparty means a confirmation from Zeta may itself be unreliable. *Response:* treat as a **significant risk**; evaluate the **business rationale**; test whether goods actually moved (occurrence/existence) and whether they might be returned next year (window-dressing); scrutinise the arm's-length assertion rather than accept the disclosure label; obtain **written representation** (SA 580) that all related parties/transactions are disclosed — while remembering that representation is **not sufficient on its own**. Assess disclosure adequacy for presentation.

Scenario D — The forecast that saves the company on paper. A manufacturer has negative net worth and defaulted on a term loan. Management's cash-flow forecast shows recovery based on a "new large export

order" and a promoter capital infusion, neither yet documented. *Reasoning*: SA 570 — clear events casting **going-concern doubt**. Management's plans rest on *unsupported* assumptions. *Response*: test the forecast's assumptions; seek **evidence** for the export order (contract) and the infusion (commitment); obtain **written representation** on feasibility of plans. Then apply the decision tree: if a **material uncertainty** remains and is **adequately disclosed**, unmodified opinion **plus a Material Uncertainty section**; if inadequately disclosed, **qualified/adverse**; if the basis itself is untenable, **adverse**.

6. Procedure & Documentation Summary

For each material area the auditor should be able to show a clean chain: **assertion at risk** → **procedure chosen** → **evidence obtained** → **conclusion**.

Step	What is done	What is documented
Identify assertions at risk	Map each material balance/class to its high-risk assertions	Risk-assessment working papers (links to SA 315)
Select procedures	Choose from inspection, observation, confirmation, recalculation, reperformance, analytics, inquiry	Audit programme with rationale
Confirmations (SA 505)	Auditor-controlled requests; track responses, exceptions, non-responses, refusals	Confirmation control log; alternative-procedure notes
Opening balances (SA 510)	Prior statements/report read; consistency and B/F checked; evidence obtained	Notes on predecessor work and current-period corroboration
Related parties (SA 550)	Understand relationships; test significant/abnormal transactions; rationale	List of related parties; significant-risk memos
Going concern (SA 570)	Evaluate events, plans, forecast; conclude on material uncertainty	Going-concern assessment file; forecast testing
Written reps (SA 580)	Obtain dated, signed representation letter	The representation letter on file
Evaluate sufficiency	Step back — is evidence sufficient <i>and</i> appropriate; chase inconsistencies	Conclusion memo per area and overall

Documentation reason (link to SA 230): if it is not documented, it is treated as not done. The file is the auditor's defence when the "what did you check?" question comes.

7. Connections

- **SA 315 / SA 330** (risk assessment and responses): assertions and risks identified there *drive* which evidence you gather here — this chapter is the "response" half.
- **SA 240** (fraud): related parties (550), confirmation refusals (505), and doubts over management integrity (580) are all fraud signals; evidence is how fraud risk is answered.
- **SA 320** (materiality): "sufficient" is measured against materiality — you gather more where a misstatement would matter.
- **SA 230** (documentation): evidence unrecorded is evidence unheld.

- **SA 700/705/706** (the report): sufficiency failures and scope limitations from 505/510/570/580 convert directly into **modified opinions** and the going-concern section.
- **SA 620** (auditor's expert): the mirror image of the management's-expert rule in SA 500.

8. Traps & Examiner Tricks

- **"Inquiry alone is enough."** Never. Inquiry must be corroborated. Classic wrong answer.
- **Written representations as a substitute.** SA 580 reps are evidence but **never sufficient on their own** about the matters they cover. If a question says the auditor "relied on the management letter" for collectibility/existence, that is the error.
- **Negative vs positive confirmations.** Negatives are *weak* (silence $\neq$ agreement) and allowed only under low risk + strong controls + many small homogeneous balances. Don't recommend negatives for risky receivables.
- **Confirmation received via management.** Destroys reliability — the auditor must control the process and receive replies directly.
- **Sufficient $\neq$ appropriate.** A huge file of weak internal vouchers is not sufficient appropriate evidence. Quantity cannot cure poor quality.
- **First-year audit smugness.** Clean current-year work does **not** cover opening balances (SA 510). Missing opening evidence = scope limitation.
- **Going-concern reporting mix-up.** Adequately-disclosed material uncertainty → **unmodified opinion with a Material Uncertainty section**, *not* a qualification. Qualification/adverse only when disclosure is inadequate or the basis is wrong.
- **Reliability rules are generalisations.** An external confirmation from a colluding related party, or an "original" that is forged, can still be unreliable. Scepticism overrides the hierarchy.
- **Direction of testing.** Overstatement (existence) → vouch outward. Understatement (completeness) → trace inward. Reversing these is a favourite trap.
- **Management's expert $\neq$ auditor's expert.** Different engager, different standard (SA 500 vs SA 620), same non-delegation of responsibility.
- **Refusal to confirm / refusal to represent.** Both are red flags: evaluate reasonableness, do alternative work, and consider scope limitation — potentially disclaimer if integrity is in doubt.

9. First-Principles Recap

Start again from the wound and rebuild the whole chapter in one breath. Owners cannot verify managers, so an independent auditor must give assurance — but the auditor arrives after the fact and is handed records made by the very people under scrutiny. His only escape from that trap is **evidence**: something beyond management's say-so. That evidence must be **sufficient** (enough) and **appropriate** (relevant + reliable), because too little or too weak cannot support an opinion (SA 500). Reliability rises the further evidence sits from management's control — external and auditor-generated beats internal and oral — so the auditor prizes third-party confirmations and things he checks himself. He organises the whole search by **assertions**, because each figure makes several separable claims and misstatement is directional: assets and revenue tend to be overstated (test existence by vouching), liabilities understated (test completeness by tracing). Where only a third party knows the truth, he confirms directly and controls the process (SA 505). Where the year is his first, he cannot ignore unaudited opening balances (SA 510). Where transactions run through friendly

related parties, he treats them as a significant fraud risk and probes rationale (SA 550). Where the entity may not survive, he tests the very assumption the statements rest on and reports the uncertainty precisely (SA 570). Where truth lives only in management's mind, he takes it in writing — but never lets that writing replace real evidence (SA 580). And where he lacks the expertise, he borrows a specialist but never delegates the opinion. Every rule is the same rule: *trust nothing merely because an interested party asserts it; get evidence proportionate to the risk.*

10. Quick-Revision Sheet

Master rule (SA 500): Sufficient (quantity) + Appropriate (relevance + reliability) audit evidence → reasonable basis for opinion.

Procedures (memory: "I ORREAL"): Inspection, Observation, Recalculation, Reperformance, External confirmation, Analytical procedures, Inquiry. *Inquiry alone never sufficient.*

Assertions & direction: - Existence/Occurrence → overstatement → **vouch outward** (books → reality). - Completeness → understatement → **trace inward** (reality → books). - Valuation, Rights & Obligations, Presentation & Disclosure round out the set.

Reliability hierarchy (high → low): Auditor-generated → External direct to auditor → External on entity's file → Internal (strong controls) → Internal (weak controls) → Oral. *All are generalisations, subject to exceptions.*

SA	Title	Risk it counters	Signature rule
500	Audit Evidence	Opinion on thin/weak evidence	Sufficient + appropriate; inquiry alone insufficient; evaluate entity data & management's expert
505	External Confirmations	Fabricated balances only 3rd party can verify	Auditor controls process, receives replies directly; positive vs negative; refusal = scope limit; do alternatives
510	Opening Balances (initial engagements)	First-year unaudited openings distort current figures	Check B/F + policy consistency; get evidence; else qualify/disclaim on results
550	Related Parties	Value siphoning / manufactured profit via connected parties	Treat undisclosed RP as significant risk; test rationale & arm's-length; written rep
570	Going Concern	Statements assume survival that may be false	Evaluate events/plans/forecast; disclosed material uncertainty → unmodified + MU section; else qualify/adverse
580	Written Representations	Matters known only to management	Get it in writing; never sufficient alone ; refusal/doubt → possible disclaimer
620	Auditor's Expert	Auditor lacks specialised expertise	Borrow expertise, never delegate the opinion (confirm scope in ICAI material)

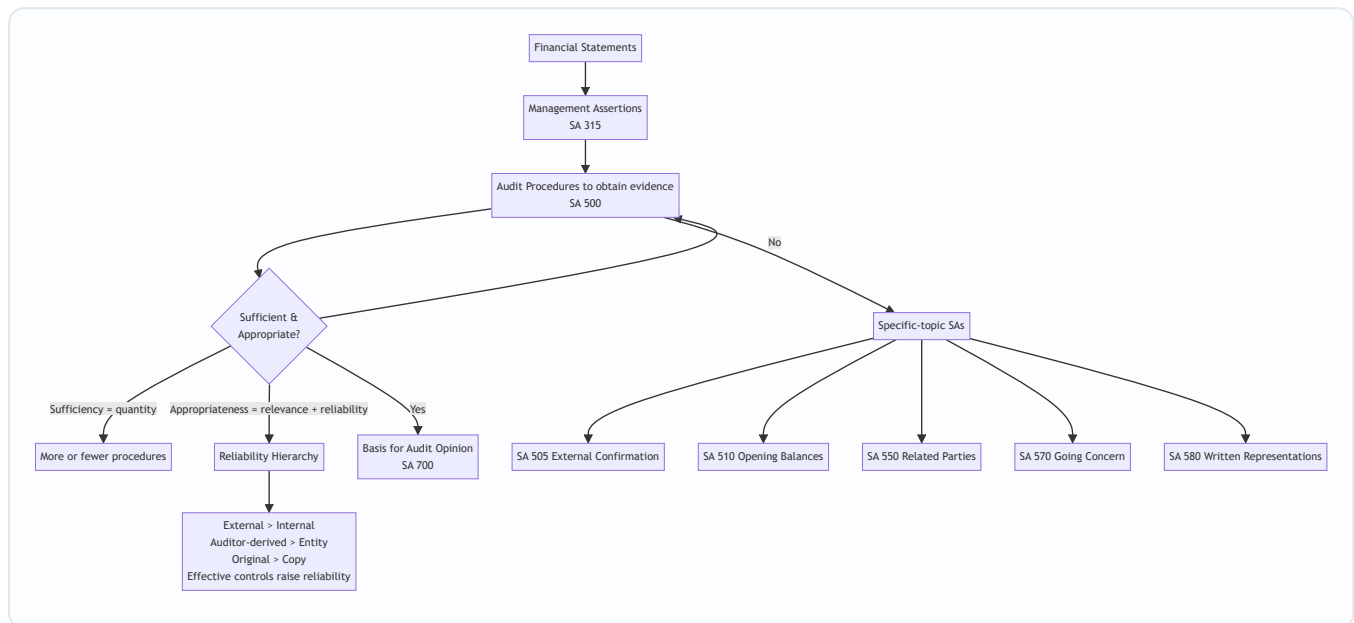
Reporting quick-links: confirmation refusal, missing opening evidence, undisclosed going-concern uncertainty, refused representation → all can force **modified opinions** (SA 705) or the **Material Uncertainty** section (SA 570).

If any SA number or the exact split of presentation/disclosure assertions differs in the latest ICAI module, confirm against current ICAI material — the underlying logic in this chapter holds regardless.

Q&A — Audit Evidence

CA Intermediate — Auditing & Ethics | Chapter: Audit Evidence Coverage: SA 500, SA 501, SA 505, SA 510, SA 550, SA 560, SA 570, SA 580 (with links to SA 230, SA 315/330). All standards are Indian Standards on Auditing issued by ICAI. No standard cited here is invented.

How the pieces fit (process map)



Section A — Concept Check (with answers)

A1. Define "audit evidence" and state its two quality dimensions. Audit evidence is all information used by the auditor in arriving at the conclusions on which the audit opinion is based (**SA 500**). It includes information in the accounting records *and* other information. Its two quality dimensions are **sufficiency** (measure of *quantity*, affected by risk of material misstatement and quality of evidence) and **appropriateness** (measure of *quality* — its **relevance** and **reliability** in supporting the conclusions).

A2. What are financial statement assertions? Name the three categories under SA 315. Assertions are representations by management, explicit or otherwise, embodied in the financial statements. The three categories are: (i) assertions about **classes of transactions and events** (occurrence, completeness, accuracy, cut-off, classification); (ii) assertions about **account balances** at period end (existence, rights and obligations, completeness, valuation and allocation); and (iii) assertions about **presentation and disclosure**.

A3. State the reliability hierarchy of audit evidence (SA 500). Reliability is influenced by source and nature. Generalisations (subject to exceptions): (a) evidence from **independent external sources** is more reliable than internally generated; (b) internally generated evidence is more reliable when related **controls are effective**; (c) evidence obtained **directly by the auditor** (e.g., observation) is more reliable than obtained indirectly/by inference; (d) evidence in **documentary form** (paper/electronic) is more reliable than oral; (e) **original documents** are more reliable than photocopies or facsimiles.

A4. List the audit procedures for obtaining evidence. Under SA 500 and SA 330: **Inspection, Observation, External Confirmation, Recalculation, Reperformance, Analytical Procedures, and Inquiry.** Inquiry alone does not provide sufficient appropriate evidence and must be corroborated.

A5. Distinguish "relevance" from "reliability". Relevance deals with the **logical connection** between the procedure and the assertion tested (e.g., inspecting inventory tests *existence*, not necessarily *completeness*). Reliability deals with the **trustworthiness** of the evidence based on its source and nature. A piece of evidence must be both relevant and reliable to be appropriate.

A6. When may the auditor use information produced by a management's expert (SA 500)? When such information is used as audit evidence, the auditor shall, to the extent necessary, (a) evaluate the **competence, capabilities and objectivity** of the expert; (b) obtain an understanding of the **work** of that expert; and (c) evaluate the **appropriateness of the expert's work** as audit evidence for the relevant assertion.

A7. What is a positive vs a negative external confirmation request (SA 505)? A **positive** request asks the party to respond in **all cases** — agreeing or disagreeing — giving more reliable evidence. A **negative** request asks the party to respond **only if they disagree**; a non-response provides only weak evidence and is used only when risk is low, controls are effective, a large number of small homogeneous balances exist, and a low exception rate is expected.

A8. What are "written representations" and can they substitute for other evidence (SA 580)? Written representations are written statements by management to confirm certain matters or support other evidence. They are **necessary** audit evidence but **do not by themselves** provide sufficient appropriate evidence; nor do they affect the nature/extent of other evidence the auditor obtains.

Section B — Applied Scenarios (situation → audit response with reasoning)

B1. Situation: For trade receivables, the client provides an internally-generated ageing schedule and refuses to allow external confirmations, saying "the ledger is enough." **Response & reasoning:** Per **SA 505**, external confirmation is more reliable (independent external source) than internal records. If management **refuses to allow** a confirmation request, the auditor shall inquire into reasons, evaluate their validity, and evaluate implications on assessed risk and on the nature/timing/extent of other procedures. If reasons are unreasonable, or alternative procedures cannot yield sufficient appropriate evidence, communicate with those charged with governance (SA 260) and consider implications for the opinion (SA 705).

B2. Situation: A confirmation reply is received by fax and appears altered near the balance amount. **Response & reasoning:** **SA 505** — the auditor must consider the **reliability** of responses. Factors doubting reliability (indirect route, altered figures) require the auditor to obtain **further evidence** (e.g., contact the confirming party directly, verify address/source). If reliability cannot be established, treat as a non-response and perform alternative procedures.

B3. Situation: It is a first-year audit (a new appointment). The auditor must deal with opening balances of inventory and fixed assets. **Response & reasoning:** **SA 510** — obtain sufficient appropriate evidence that (a) opening balances contain no misstatements materially affecting current statements, and (b) appropriate **accounting policies** are consistently applied. Read the **predecessor auditor's report** and financials, review prior-year working papers where permitted, and perform current-year procedures that also give evidence of opening balances (e.g., current collections evidence opening receivables). If opening balances are misstated, or a scope limitation exists, modify the opinion under SA 705.

B4. Situation: During audit, you find the entity sold goods to a company owned by the managing director's brother at a price 40% below market. **Response & reasoning: SA 550** (Related Parties) — a **significant related party transaction outside the normal course of business**. Inspect underlying contracts for business rationale, evaluate whether it may indicate fraud, confirm terms, evaluate proper **authorisation and approval** (Section 188, Companies Act 2013), and check **disclosure** adequacy (AS 18 / Ind AS 24). Obtain a written representation (SA 580) that related parties and transactions are fully disclosed.

B5. Situation: The company has negative net worth, defaulted on loan repayments, and lost its largest customer. **Response & reasoning: SA 570** (Going Concern) — these are **financial/operating events casting significant doubt**. Evaluate management's assessment covering at least 12 months from the balance sheet date, obtain cash-flow forecasts, review borrowing facilities and management's plans, and obtain **written representations** on feasibility of plans. If a **material uncertainty** exists and is adequately disclosed → unmodified opinion with a **"Material Uncertainty Related to Going Concern"** section. If not disclosed → qualified/adverse. If going concern assumption is inappropriate → **adverse** opinion.

B6. Situation: Inventory is material; management values a portion using an actuarial-type valuation model prepared by an in-house engineer. **Response & reasoning:** The engineer is a **management's expert**. Under **SA 500**, evaluate the expert's competence, capabilities and objectivity; understand the model, assumptions and source data; and test the appropriateness of the output as evidence for the **valuation** assertion. Do not rely blindly; corroborate key inputs. For physical inventory count attendance, apply **SA 501**.

B7. Situation: Management gives an oral assurance that all liabilities are recorded and declines to put it in writing. **Response & reasoning: SA 580** — the auditor **shall request written representations** for matters material to the statements where other evidence cannot reasonably be expected to exist. If management **refuses to provide** requested written representations, this is a **scope limitation**; the auditor shall discuss with management, re-evaluate integrity, and **disclaim** or otherwise modify the opinion, since reliability of other representations also becomes doubtful.

Section C — Past-Paper-Style Descriptive Questions (model answers)

C1. "Sufficiency and appropriateness of audit evidence are interrelated." Explain. (SA 500) Sufficiency is the measure of the **quantity** of audit evidence. The quantity needed is affected by the auditor's **assessment of the risks of material misstatement** (higher risk → more evidence) and by the **quality** of the evidence (higher quality → less may be required). Appropriateness is the measure of the **quality** of evidence — its relevance and reliability. The two are interrelated: merely obtaining more evidence (sufficiency) cannot compensate for poor quality (appropriateness). The auditor must obtain evidence that is **both** sufficient and appropriate to reduce audit risk to an acceptably low level and to draw reasonable conclusions supporting the opinion. Professional judgement and professional scepticism govern the assessment of whether enough appropriate evidence has been obtained.

C2. Explain the audit procedures used to obtain audit evidence under SA 500 / SA 330. (i) **Inspection** — examining records/documents (internal or external) or physical examination of an asset; reliability varies with nature and source. (ii) **Observation** — watching a process or procedure performed by others (e.g., inventory count); limited to the point in time observed. (iii) **External Confirmation** — direct written response from a third party (SA 505). (iv) **Recalculation** — checking mathematical accuracy of documents/records. (v) **Reperformance** — the auditor's independent execution of procedures or controls originally performed as part of internal control. (vi) **Analytical Procedures** — evaluation through analysis of plausible relationships

among financial and non-financial data. (vii) **Inquiry** — seeking information from knowledgeable persons; must be **corroborated** as it is not sufficient alone. These may serve as risk assessment procedures, tests of controls, or substantive procedures.

C3. Write a note on external confirmation, its types and the auditor's duties on management refusal.

(SA 505) External confirmation is audit evidence obtained as a **direct written response** to the auditor from a third party (the confirming party), in paper or electronic form. Because it comes from an independent external source and directly to the auditor, it is highly reliable. **Types:** *positive* (respond in all cases) and *negative* (respond only on disagreement). The auditor **maintains control** over the confirmation process — selecting items, designing requests, sending them, and receiving responses. On **management's refusal** to allow a confirmation: inquire into reasons and evaluate their validity and reliability implications; perform **alternative procedures**; if reasons are unreasonable or alternatives are inadequate, communicate to those charged with governance and consider the impact on the opinion. The auditor must also evaluate whether **results** of confirmations provide relevant and reliable evidence, investigating **exceptions** and treating unreliable responses as non-responses.

C4. Discuss the auditor's responsibilities regarding opening balances in an initial audit engagement.

(SA 510) An initial audit engagement is one where prior-period statements were **not audited** or were audited by a **predecessor**. The auditor must obtain sufficient appropriate evidence that: (a) opening balances do **not contain misstatements** materially affecting the current period; and (b) appropriate **accounting policies** reflected in opening balances have been **consistently applied**, and changes are properly accounted for and disclosed. Procedures: read the most recent financial statements and predecessor's report; determine whether opening balances reflect proper policies; and either review the predecessor's working papers or perform specific procedures. If evidence cannot be obtained → **qualified opinion or disclaimer**; if opening balances contain a material misstatement affecting the current period and not properly dealt with → **qualified/adverse**; if a change in accounting policy is not properly accounted for/disclosed → modify accordingly.

C5. Explain going concern responsibilities of the auditor, including reporting outcomes. (SA 570)

Financial statements are ordinarily prepared on the **going concern basis**. The auditor must (a) remain **alert** throughout the audit for events/conditions casting significant doubt, (b) **evaluate management's assessment** (period of at least twelve months from the date of the financial statements), and (c) conclude on the **appropriateness** of the assumption and on any **material uncertainty**. Where events/conditions are identified, obtain sufficient appropriate evidence via additional procedures — cash flow forecasts, review of plans, subsequent-events review, and **written representations** on plans. **Reporting outcomes:** (1) Going concern appropriate, no material uncertainty → unmodified. (2) Material uncertainty exists and **adequately disclosed** → unmodified opinion with a separate "**Material Uncertainty Related to Going Concern**" paragraph. (3) Material uncertainty **not adequately disclosed** → qualified or adverse opinion. (4) Going concern basis **inappropriate** → **adverse** opinion. (5) Management unwilling to make/extend its assessment → consider implications (possible qualification/disclaimer).

C6. State the purpose and limits of written representations. (SA 580) Written representations are information provided by management/those charged with governance in writing to **confirm certain matters or support other audit evidence**. Purposes: obtain representation that management has **fulfilled its responsibility** for preparation of the financial statements and for completeness of information provided, and to support specific assertions where warranted. **Limits:** they are necessary but **not sufficient on their own**; they do not relieve the auditor of obtaining other evidence and do not affect the nature/extent of other procedures. If representations are **inconsistent** with other evidence, the auditor investigates and

reconsiders reliability. If management **does not provide** requested representations or its integrity is in doubt, the auditor may **disclaim** the opinion.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. Sufficiency of audit evidence is the measure of its — A. Quality B. Relevance C. **Quantity** D. Reliability

Ans: C — Sufficiency = quantity; appropriateness = quality (relevance + reliability). (SA 500)

D2. Which is generally the MOST reliable audit evidence? A. Photocopy of a supplier invoice held by client B. **Bank confirmation received directly by the auditor** C. Oral statement of the accountant D. Client's internal ageing schedule **Ans: B** — External, direct, documentary source ranks highest in the reliability hierarchy. (SA 500/505)

D3. Inquiry alone — A. Is always sufficient B. **Does not provide sufficient appropriate evidence** C. Is more reliable than inspection D. Replaces confirmation **Ans: B** — Inquiry must be corroborated with other procedures. (SA 500)

D4. A confirmation request requiring the party to respond only if they disagree is a — A. Positive request B. **Negative request** C. Blank request D. Statutory request **Ans: B** — Negative confirmation; used only in low-risk, homogeneous populations. (SA 505)

D5. In an initial audit, the standard governing opening balances is — A. SA 550 B. SA 570 C. **SA 510** D. SA 560 **Ans: C** — SA 510 deals specifically with opening balances.

D6. Management's assessment of going concern must cover a period of at least — A. 6 months B. **12 months from the date of the financial statements** C. 24 months D. The next AGM **Ans: B** — Minimum twelve months from the date of the financial statements. (SA 570)

D7. Case: A confirmation reply agreeing the balance is received, but the auditor learns the confirming party is controlled by the client's promoter. The auditor should — A. Accept it as reliable B. **Doubt reliability and obtain further evidence / treat with scepticism** C. Ignore the relationship D. Issue an adverse opinion **Ans: B** — Reliability of confirmation is reduced where the party is not truly independent; SA 505 requires evaluating reliability and, potentially, SA 550 related-party scrutiny.

D8. Case: Management refuses to sign the written representation letter on completeness of liabilities. The most appropriate action is — A. Issue unmodified opinion B. Ignore, since oral assurance was given C. **Treat as a scope limitation and consider disclaimer of opinion** D. Withdraw the audit report **Ans: C** — Refusal to provide required written representations is a limitation on scope, casting doubt on other representations. (SA 580)

D9. Evidence obtained directly by the auditor through observation of a control is more reliable than — A. External confirmation B. **Evidence obtained indirectly or by inference** C. Original documents D. Recalculation **Ans: B** — Directly obtained evidence outranks indirectly obtained evidence. (SA 500)

D10. Case: A material related-party sale below market price is properly disclosed but lacks board approval under Section 188. The auditor should — A. Do nothing since it is disclosed B. **Evaluate authorisation, business rationale and possible fraud/non-compliance, and consider reporting implications** C. Confirm only the balance D. Rely on management's oral explanation **Ans: B** — SA 550 requires evaluating authorisation, rationale, and fraud indicators; non-compliance with Section 188 has reporting consequences.

One-line examiner traps to remember

- "More evidence" (sufficiency) **cannot** cure poor quality (appropriateness).
- Inspection of inventory proves **existence**, not **completeness/valuation**.
- Negative confirmations: a **non-response is not evidence** that the balance is correct.
- Written representations **support** but never **substitute** substantive evidence (SA 580).
- Going concern period = **minimum 12 months from the date of the financial statements** (SA 570).
- Management's expert $\neq$ auditor's expert; SA 500 governs use of a **management's** expert.

Chapter 05 — Audit Sampling & Analytical Procedures

1. The Problem — Two Trust Gaps the Auditor Cannot Close by Brute Force

Return, for a moment, to why audit exists at all. The owners of a company hand their money to managers and then cannot watch what the managers do with it. The financial statements are the managers' *own* account of their stewardship — and a self-report from the party being judged is exactly the report you should distrust most. The auditor is the independent expert who stands between the two and says: *I have tested this account and I give you reasonable assurance it is not materially misstated.*

But "I have tested this" runs straight into a wall of arithmetic.

Trust gap #1 — the volume gap. A mid-size company posts 400,000 sales invoices, 90,000 purchase entries, 12,000 journal vouchers and a fixed-asset register of 6,000 lines in a single year. To *vouch every one* — trace it to a supporting document, check the amount, check the account, check the period — would take a team decades and cost more than the company is worth. The owners will not pay for that, and even if they did, the audit would be delivered years too late to be of any use. So the auditor **physically cannot examine 100% of most populations**. Yet the opinion must cover the *whole* account balance, not the fraction actually looked at. How does an auditor form a conclusion about 400,000 invoices after examining 60 of them without that being a reckless guess?

Trust gap #2 — the plausibility gap. Even the items you *do* look at, you look at one at a time, in isolation. Vouching invoice #227 tells you invoice #227 is genuine. It tells you nothing about whether *total* revenue makes sense given that the factory ran at 70% capacity, power consumption fell 15%, and the sales team shrank. A cleverly constructed set of fictitious invoices can each pass individual vouching and still, in aggregate, produce a revenue figure that is economically impossible. Detailed testing is myopic: it stares at documents and misses the shape of the whole. How does an auditor catch a misstatement that is invisible in any single transaction but glares out of the *relationships between* numbers?

These two gaps are answered by the two techniques of this chapter. **Audit sampling (SA 530)** answers the volume gap: how to examine a subset and rigorously project the conclusion to the whole. **Analytical procedures (SA 520)** answer the plausibility gap: how to test whether the numbers, taken together, tell a coherent story. They are complementary — one drills down, the other steps back — and a competent audit uses both.

2. The Core Idea

Sampling — the core idea. If a population is reasonably homogeneous, then a *properly selected* subset behaves like the whole. Examine a representative sample, measure the rate or amount of error in it, and *project* that error to the population. The projection is only honest if every item had a chance of selection (so the sample is not rigged) and the sample is large enough that the projection is not swamped by luck. The residual uncertainty — that the sample, by chance, was not representative — is a real and *unavoidable* cost of not testing everything. Auditing does not pretend this cost is zero; it *measures and controls* it, and calls it **sampling risk**.

Analytical procedures — the core idea. Meaningful financial and non-financial data move together in predictable ways. Revenue and cost of goods sold rise together; interest expense tracks the loan balance and the rate; payroll tracks headcount; production tracks power and raw-material consumption. These relationships are *expected to persist* unless something has changed. So the auditor builds an **independent expectation** of what a figure should be, compares it to what is recorded, and treats any **unexpected difference** as a red flag that must be chased down. A relationship that *should* hold but doesn't is either a real business event — or a misstatement wearing a disguise.

Both techniques rest on the same deeper move: **the auditor does not accept the client's numbers passively; the auditor generates an independent basis for comparison** — a projected error rate, or an expected value — and holds the recorded figure against it.

3. Why It's Built This Way — The Logic Behind the Requirements

Why not just test whatever the auditor feels like and stop when tired? Because that reintroduces exactly the arbitrariness the audit was supposed to remove. If the auditor could pick items at whim, a lazy or captured auditor could quietly avoid the risky items, and no one could tell. The Standards therefore *constrain* how sampling and analytics are done, and each constraint traces to a specific failure it prevents:

- **"Every sampling unit must have a chance of selection" (SA 530).** *Why:* if some items can never be picked, the conclusion cannot honestly cover them. A sample that excludes, say, all year-end entries cannot support an opinion on year-end cut-off. Representativeness is what licenses projection.
- **Sample size must respond to risk, tolerable error and expected error.** *Why:* the sample is the auditor's evidence budget; it must be *bigger* where the stakes (risk of material misstatement) are higher and the room for error (tolerable misstatement) is smaller. A fixed "test 25 items" rule would over-test safe accounts and dangerously under-test risky ones.
- **Projected errors must be evaluated against tolerable misstatement, not just counted.** *Why:* one error found in a sample is not one error in the population — it implies many. Failing to *extrapolate* is the classic way auditors fool themselves into signing off on a materially wrong balance.
- **Analytical expectations must be independent and precise (SA 520).** *Why:* if the auditor merely notes "revenue went up, seems fine," with no independent estimate of *how much* it should have gone up, the procedure detects nothing. The rigour lives in the precision of the expectation — a vague expectation cannot be violated, and so can never raise an alarm.
- **Every significant deviation must be investigated (SA 520 and SA 530).** *Why:* the entire value of both techniques is destroyed if the auditor spots an anomaly and then accepts management's first soothing explanation without corroboration. The anomaly is the *signal*; waving it away is how frauds survive audits.

The through-line: the Standards convert judgement into *disciplined* judgement. The auditor still decides, but must decide within a structure that leaves an evidence trail and blocks the easy ways of cheating oneself or the reader.

4. Full Technical Content — SAs by Purpose, with the "Why" Wrapped In

4.1 SA 500 — Audit Evidence (the parent that makes sampling legitimate)

Before sampling, understand *why testing a subset is even allowed*. **SA 500 (Audit Evidence)** permits the auditor to select items for testing by several means; sampling is one of them. It also introduces the idea that evidence must be **sufficient (quantity)** and **appropriate (quality = relevant + reliable)**. Sampling is a tool for achieving *sufficiency* efficiently. **SA 330** (auditor's responses to assessed risks) is the reason we test at all — it requires further audit procedures whose *nature, timing and extent* respond to risk; "extent" is precisely what sample size governs. So SA 530's sample-size logic is SA 330's "extent" made operational.

SA 500 identifies three ways to select items for testing: 1. **Selecting all items (100% examination)** — appropriate for small populations of large-value items, or when data is electronically processed and inexpensive to test in full (e.g., a computer-assisted re-performance). 2. **Selecting specific items** — the auditor's *judgemental* selection of high-value items, all items over a threshold, unusual or suspicious items, or items to obtain information. **Important trap:** this is targeted testing, **not audit sampling**, because non-selected items had *no* chance of selection — so the result **cannot be projected** to the whole population. 3. **Audit sampling** — the subject of SA 530: applying procedures to less than 100% of a population *such that all sampling units have a chance of selection*, enabling a conclusion about the *entire* population.

4.2 SA 530 — Audit Sampling

Purpose (the risk it answers): to provide a reasonable basis for a conclusion about a whole population when testing everything is uneconomic, while *controlling* the risk that the sample misleads.

Key definitions (know these precisely — the exam tests the wording):

Term	Meaning	Why it matters
Audit sampling	Applying procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection , to draw a conclusion about the entire population	The "chance of selection" is what makes projection valid
Population	The entire set of data from which a sample is drawn and about which the auditor wishes to conclude	Must be complete and appropriate to the objective, or the conclusion is worthless
Sampling unit	The individual items constituting the population (an invoice, a debtor balance, a line, a rupee)	Choice of unit shapes the method (e.g., monetary-unit sampling)
Sampling risk	The risk that the auditor's conclusion based on the sample differs from the conclusion had the whole population been tested	The <i>unavoidable</i> cost of sampling; reduced by larger samples
Non-sampling risk	The risk of a wrong conclusion for any reason unrelated to sample size — e.g., using an unsuitable procedure, or missing an error in an item actually tested	<i>Not</i> fixed by bigger samples; fixed by planning, supervision, training
Tolerable misstatement	A monetary amount set by the auditor to obtain appropriate assurance that the actual misstatement does not exceed it	The benchmark against which projected misstatement is judged; $\leq$ performance materiality
Tolerable rate of deviation	A rate of deviation from a prescribed control the auditor is willing to accept	The benchmark for tests of controls
Anomaly	A misstatement or deviation demonstrably not representative of the population	Rare; must be <i>proven</i> , not assumed — see 4.2.6
Statistical sampling	Sampling using (a) random selection and (b) probability theory to measure sampling risk	Lets you <i>quantify</i> sampling risk
Non-statistical sampling	Any approach lacking either feature	Sampling risk judged, not computed — but the <i>rigour</i> is still required

4.2.1 Sampling risk and its two faces

Sampling risk cuts both ways, and the two directions have very different consequences:

For **tests of controls**: - **Risk of over-reliance** (risk the control is *more* effective than it really is) — *Why it's dangerous*: the auditor relies on a control that is actually failing, reduces substantive testing accordingly, and a real misstatement sails through. This affects **audit effectiveness** — it can lead to a **wrong opinion**. - **Risk of under-reliance** (control judged *less* effective than it is) — leads to more work than necessary. Affects **audit efficiency** only.

For **tests of details (substantive)**: - **Risk of incorrect acceptance** (concluding a materially misstated balance is *not* misstated) — the dangerous one; affects **effectiveness**, risks a wrong opinion. - **Risk of incorrect rejection** (concluding a fairly stated balance *is* misstated) — leads to extra work; affects **efficiency**.

The examiner's favourite point: the auditor is far more worried about over-reliance and incorrect acceptance, because those threaten the *validity of the opinion*; the efficiency risks merely waste money. But the Standard requires that sampling risk be controlled in **both** directions.

4.2.2 Statistical vs. non-statistical sampling — and why the choice is not the point

Feature	Statistical	Non-statistical
Selection	Must be random/probabilistic	Any (may be haphazard, judgemental)
Sampling risk	Measured mathematically	Assessed judgementally
Sample-size basis	Formula/tables from statistics	Auditor's professional judgement
Objectivity of projection	Quantified, defensible with numbers	Reasoned, not numerically precise
Cost/skill	Higher; needs statistical competence and often software	Lower; simpler to apply

The crucial equaliser (frequently misunderstood): SA 530 applies to **both** approaches. Both require a *representative* sample, both require *projection* of errors, both require *evaluation* against tolerable misstatement. The **only** thing statistical sampling adds is the ability to *quantify and control* sampling risk mathematically. A non-statistical approach is **not** a licence to be sloppy — it must be equally disciplined, only with judgement standing in for the formula. **Trap:** students think non-statistical = "just pick some and eyeball it." Wrong. The rigour is identical; the measurement of risk differs.

4.2.3 What drives sample size (learn the *direction* of each relationship, not a formula)

Tests of controls:

Factor	Effect on sample size	Why
↑ auditor's intended reliance on the control	↑	More reliance demands stronger evidence
↑ tolerable rate of deviation	↓	More room for error means fewer items needed
↑ expected rate of deviation	↑	Must test more to distinguish an acceptable control from a failing one
↑ desired confidence level	↑	Higher assurance needs more evidence
Number of items in population	Negligible effect (for large populations)	Counter-intuitive but true — see note below

Tests of details (substantive):

Factor	Effect on sample size	Why
↑ risk of material misstatement (RMM)	↑	Riskier accounts need more evidence
↑ use of <i>other</i> substantive procedures for the same assertion	↓	Evidence from analytics/other tests reduces reliance on the sample
↑ desired assurance that tolerable misstatement is not exceeded	↑	More assurance = larger sample
↑ tolerable misstatement	↓	More tolerance = smaller sample
↑ expected misstatement	↑	Expecting more error demands more testing to pin it down
Stratification of the population	↓ (per stratum efficiency)	Grouping like items reduces variability, needs fewer items
Number of items in population	Negligible effect (large populations)	Same counter-intuitive point

The counter-intuitive point examiners love: for large populations, the **absolute size** of the population has almost **no effect** on the required sample size. Assurance comes from the *sample size*, not the *ratio* of sample to population. Testing 60 items gives roughly the same assurance whether the population is 10,000 or 1,000,000. Students who "scale up the sample because the population is huge" have misunderstood the statistics.

4.2.4 Methods of selecting the sample

Method	How it works	When suitable / why
Random selection	Random number generator/tables map numbers to items	Pure statistical sampling; every item equal chance
Systematic selection	Fixed sampling interval = population ÷ sample size; pick a random start, then every <i>n</i> th item	Efficient and easy. Danger: if the population has a <i>pattern</i> coinciding with the interval, the sample is biased — check first
Monetary Unit Sampling (MUS) / value-weighted	The sampling unit is the individual rupee ; probability of selecting an <i>item</i> is proportional to its value	Automatically emphasises large-value items — ideal for testing overstatement of assets/income where big items carry the risk
Haphazard selection	Auditor selects without conscious bias, but not by a structured random method	Acceptable for non-statistical sampling only; not valid for statistical sampling because it isn't truly random. Auditor must avoid conscious/unconscious bias (e.g., always skipping hard-to-find or corner items)
Block selection	Selecting a contiguous <i>block</i> of items (e.g., all of March)	Generally inappropriate as a primary method — a block is not representative because items near each other tend to share characteristics; a fraud confined to another month is entirely missed

Stratification (a companion technique): divide the population into sub-populations (strata) of similar value or risk, then sample each. *Why*: it reduces variability within each stratum, so a smaller total sample achieves the same assurance, and it lets the auditor concentrate effort on the high-value stratum where misstatement hurts most.

4.2.5 Performing procedures, and the special problem of items you *can't* examine

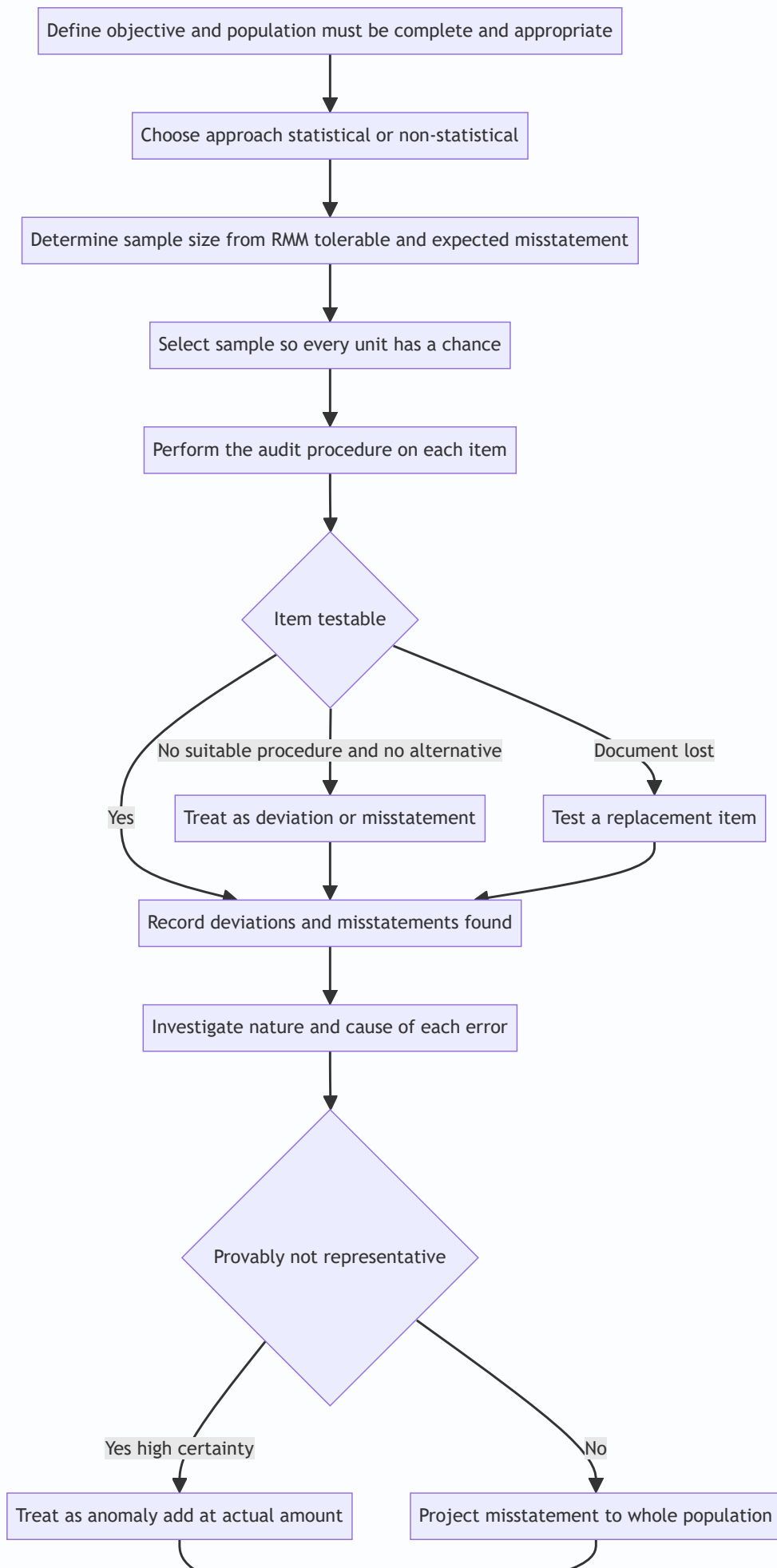
The auditor performs the planned audit procedure on **each item selected**. Two practical wrinkles the Standard addresses directly:

- **If the procedure cannot be applied to a selected item** (e.g., the voucher is lost): the auditor must perform the procedure on a **replacement item**. *Why not just skip it?* Because dropping an item silently shrinks the population's coverage and — worse — *a missing document could itself be the misstatement*. You cannot let an item escape scrutiny merely because it's inconvenient.
- **If a suitable procedure cannot be applied to the selected item and no alternative exists**: the auditor treats that item as a **deviation** (for controls) or a **misstatement** (for details). *Why*: an untestable item is, for evidentiary purposes, a failure — assurance not obtained is assurance denied.

4.2.6 Evaluating results — the heart of the Standard

This is where audits are won or lost. Four disciplined steps:

1. **Investigate the nature and cause** of every deviation/misstatement found, and consider its effect on the audit. *Why*: an error's *cause* matters more than its existence — is it a one-off keying slip, or the visible tip of a systematic control breakdown or fraud? A pattern (e.g., all errors on one clerk's entries, or all near year-end) signals something the raw count hides.
2. **The "anomaly" is nearly forbidden**. The auditor may treat a misstatement/deviation as an **anomaly** (and exclude it from projection) **only when able to demonstrate, with a high degree of certainty, that it is not representative** of the population — e.g., an error caused by a computer glitch on a single known date, now fixed. *Why the high bar*: labelling an error "anomalous" is the great escape hatch — it lets the auditor ignore what the sample is screaming. So the Standard demands *proof of non-representativeness*, including examining additional items to confirm the error didn't recur elsewhere. **Anomalies are rare; assume an error is representative unless proven otherwise.**
3. **Project misstatements (tests of details)**. The auditor must **extrapolate** the misstatement found in the sample to the whole population. *Why*: the sample stands for the population; ₹X of error in the sample implies a much larger figure across the population. (An identified *anomaly*, having been proven unrepresentative, is added separately at its actual amount but **not** projected.) For **tests of controls**, no explicit projection is needed — the *sample deviation rate is itself the projected rate* for the population.
4. **Compare and conclude**. Set **projected misstatement (+ any anomalous misstatement)** against **tolerable misstatement**. Two outcomes: - Projected + anomalous is **comfortably below** tolerable → the population is *probably* acceptable, but consider whether it's *close* — the smaller the buffer, the higher the risk that *actual* (unknown) misstatement exceeds tolerable. - Projected approaches or **exceeds** tolerable → the sample does **not** support the population as fairly stated. The auditor must **re-assess** the sampling approach, **extend** procedures (larger sample), perform **alternative** procedures, and/or ask management to **investigate and correct**. *Why*: the audit cannot conclude on evidence that points the wrong way; more assurance must be obtained before an opinion is possible.



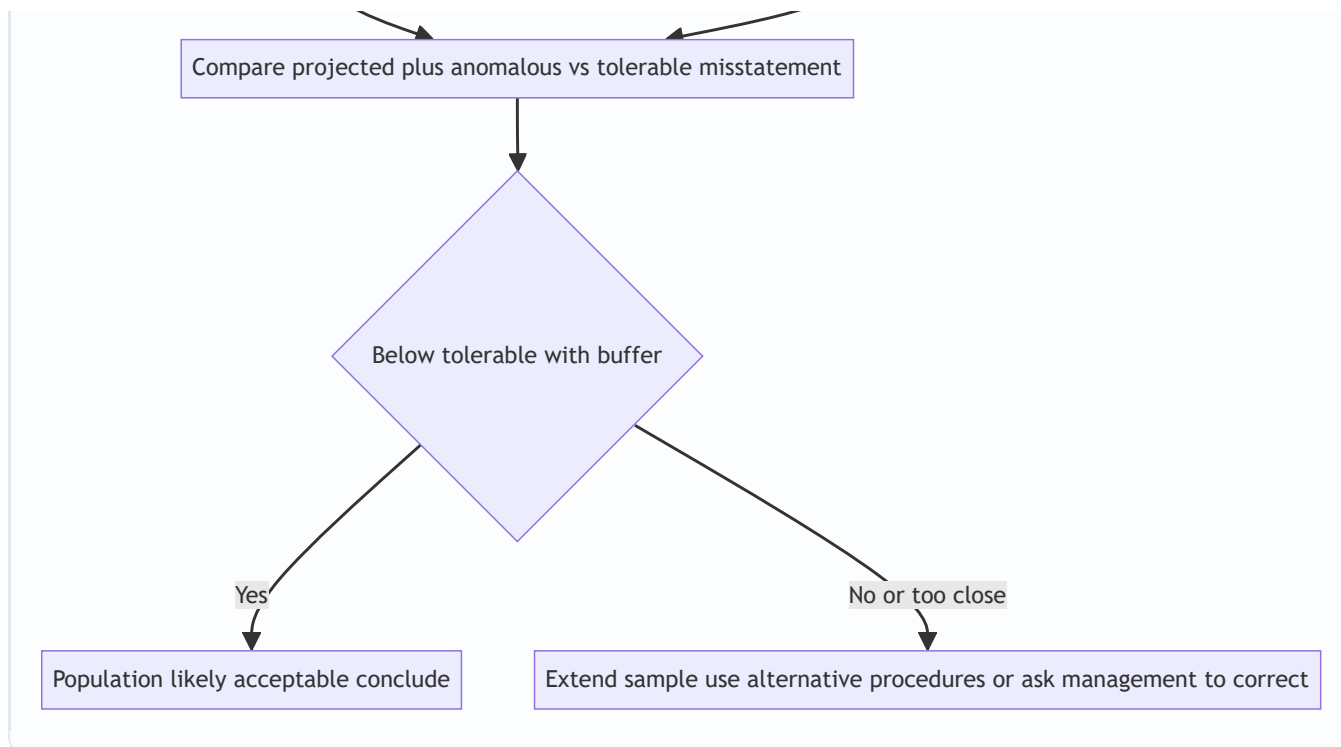


Figure 5.1 — The SA 530 sampling process from defining the population to projecting errors and comparing against tolerable misstatement.

4.3 SA 520 — Analytical Procedures

Definition: analytical procedures means **evaluations of financial information through analysis of plausible relationships among both financial and non-financial data**, including the necessary **investigation of identified fluctuations or relationships that are inconsistent with other information or that differ from expected values by a significant amount.**

Purpose (the risk it answers): the *plausibility gap* of Section 1. Detailed testing checks items in isolation and misses misstatements visible only in aggregate relationships. Analytics test whether the numbers, as a whole, hang together.

4.3.1 Why analytical procedures work — the engine

The technique rests on one assumption: **plausible relationships among data can reasonably be expected to exist and continue, in the absence of known conditions to the contrary.** Gross margin percentage is stable across years unless pricing, product mix or cost changed. Interest expense = average loan × rate. Payroll ≈ headcount × average wage. Because these relationships are *predictable*, a **deviation from the expectation is informative**: it is either a genuine business change (which the auditor corroborates) or a *misstatement* (which the auditor must correct). The whole power of the method is that a well-built expectation turns an invisible misstatement into a visible fluctuation.

4.3.2 The three points in the audit where analytics appear

When	SA reference	Mandatory	Purpose / why
Risk assessment (planning)	SA 315 (via 520 spirit)	Yes — required	Understand the entity and identify areas of higher risk of material misstatement; direct the audit where the numbers already look odd
Substantive procedures	SA 520 (para 5)	Optional (auditor's choice of response)	Obtain <i>substantive</i> evidence about assertions — a substantive analytical procedure
Overall review near the end	SA 520 (para 6)	Yes — required	Form an overall conclusion on whether the financial statements are consistent with the auditor's understanding — a final "does the whole picture make sense" check before signing

Exam-critical: analytical procedures are **mandatory at two stages — risk assessment and final overall review — and optional as a substantive procedure**. Students frequently get this backwards.

4.3.3 Substantive analytical procedures — the four conditions (SA 520.5)

The Standard does not let the auditor "do a ratio and relax." When *relying* on analytics as substantive evidence, the auditor must:

1. **Determine suitability** of the particular substantive analytical procedure for the given **assertions**, considering the assessed RMM and any tests of details for the same assertion. *Why:* analytics suit assertions with **predictable relationships over time** (e.g., completeness of interest expense, reasonableness of payroll). They are **poor** for accounts that are volatile, subject to management discretion, or made up of unrelated items (e.g., litigation provisions) — those need tests of details.
2. **Evaluate the reliability of the data** from which the expectation is built — considering **source, comparability, nature and relevance, and controls over its preparation**. *Why:* an expectation is only as trustworthy as its inputs. **Deadly trap:** if you build your expectation from data produced by the *same* system that produced the figure you're auditing, and that system is unreliable, the procedure is worthless — the error is baked into both sides. Independent or separately-controlled data is what gives the expectation teeth. Non-financial data (units produced, headcount, floor area, kilowatt-hours) is especially valuable precisely because it comes from *outside* the financial ledger.
3. **Develop an expectation** of recorded amounts and assess whether it is **precise enough** to identify a misstatement that, individually or aggregated, could be material. *Why:* precision is everything. "Revenue should be about the same" cannot detect a 4% overstatement. A precise expectation ("revenue should be ₹512 crore ± ₹8 crore, built from units shipped × contracted price") *can*. The finer the expectation, the smaller the misstatement it catches.
4. **Set the acceptable difference** — the amount of any difference from the expected value that can be accepted **without further investigation** — in advance, having regard to materiality and desired assurance. *Why:* deciding the threshold *before* seeing the number stops the auditor from rationalising whatever difference turns up as "close enough." Higher assurance and lower materiality ⇒ smaller acceptable difference.

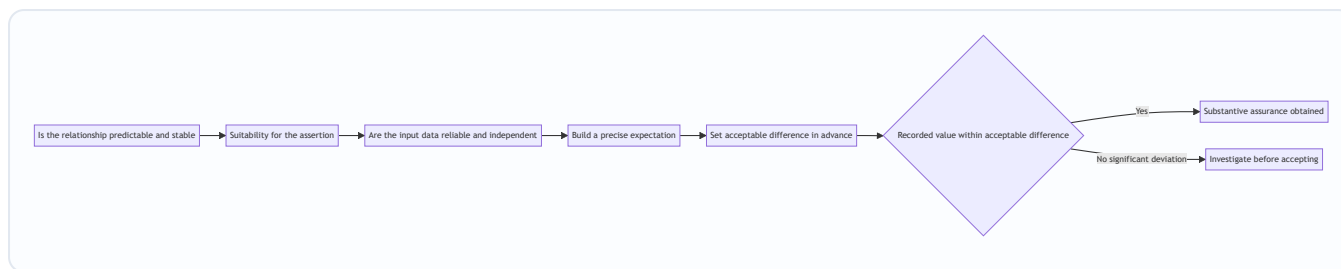


Figure 5.2 — The four SA 520.5 gates a substantive analytical procedure must pass, ending in the investigation of any significant deviation.

4.3.4 Techniques used in analytical procedures (the toolkit)

- **Trend analysis** — comparing a figure with prior periods (e.g., this year's repairs vs. last three years').
- **Ratio analysis** — gross-margin %, current ratio, receivables turnover / debtor days, inventory turnover, debt-equity, interest coverage. *Why powerful:* a ratio normalises for scale and exposes relationships (e.g., a rising debtor-days ratio hints at fictitious sales or uncollectible receivables).
- **Reasonableness tests / predictive testing** — building an *independent estimate* from a relationship: interest expense $\approx$ average borrowings $\times$ average rate; depreciation $\approx$ asset base $\times$ rate; hostel revenue $\approx$ rooms $\times$ occupancy $\times$ tariff. *Why the strongest form:* it produces a specific expected number, giving maximum precision.
- **Comparison with budgets/forecasts**, with **industry data**, and **relationships among elements** of financial information (e.g., payroll to headcount) and between financial and **non-financial** information (e.g., sales to units shipped).

4.3.5 Investigating results (SA 520.7) — the step that gives analytics their bite

When analytical procedures identify fluctuations or relationships **inconsistent with other information or differing significantly from expected values**, the auditor must investigate by:

1. **Inquiring of management** and obtaining explanations, **and**
2. **Corroborating** those explanations with **other audit evidence**, **and**
3. Performing **other audit procedures** if the explanation cannot be corroborated or is inadequate.

The non-negotiable point: management's explanation is a *starting hypothesis*, *not evidence*. "Margins rose because we changed suppliers" must be checked against the actual new supplier contracts, GRNs and prices. *Why:* the whole purpose of raising the flag is defeated if the auditor lowers it on management's say-so — that is precisely the trust gap that created the need for an auditor. **An unexplained or uncorroborated significant fluctuation is a signal of possible material misstatement (including fraud) and cannot simply be accepted.**

4.3.6 Assertions — how both techniques attach to what's being proved

Every substantive procedure exists to test an **assertion** (SA 315) — management's implicit claims embedded in the financial statements. Both sampling and analytics must be *pointed at* the right assertion, or they prove nothing relevant.

Assertion (class of transactions / balances)	Meaning	Better tested by
Occurrence / Existence	Recorded items really happened / really exist	Sampling → vouching (recorded → document); MUS good for overstatement
Completeness	Everything that should be recorded <i>is</i>	Analytics (e.g., interest expense reasonableness) and tracing (document → records); sampling for understatement
Accuracy / Valuation	Amounts are correct and appropriately valued	Sampling (re-computation) and analytics (reasonableness tests)
Cut-off	Transactions in the correct period	Targeted/specific selection around year-end (a <i>directional</i> , not random, concern)
Classification	Recorded in the proper accounts	Sampling of entries; analytics of account relationships
Rights & Obligations	Entity owns assets / owes liabilities	Tests of details (title deeds, confirmations)
Presentation & Disclosure	Properly described and disclosed	Review procedures; analytics for overall consistency

Directional testing insight (why the method must match the assertion): to test **overstatement** of an asset or income (the usual fraud direction for revenue/assets), sample **from the recorded balance** and vouch outward — value-weighted MUS is ideal because it targets big items. To test **understatement/completeness** (the usual concern for liabilities/expenses), you must start **outside** the ledger — trace source documents *in*, or use analytics — because items wrongly omitted are *not in the recorded population* and can never be caught by sampling the ledger. **Trap:** vouching a sample of recorded purchases can never detect *unrecorded* purchases; only tracing from source documents or an analytical reasonableness test can.

5. Applied Scenarios — Reasoning to the Correct Audit Response

Scenario A — The "one small error, ignore it" temptation

Facts: Auditor CA Meena tests a sample of 100 sales invoices (population 50,000, tolerable misstatement ₹20 lakh) and finds **two** overstatement errors totalling ₹1,600 (₹1,000 + ₹600). She reasons: "₹1,600 is trivial against ₹20 lakh tolerable — the account is fine." Is she right?

Reasoning: No — she has committed the classic failure to **project**. The two errors are not ₹1,600 in the population; they represent a *rate* of error. Crude projection: ₹1,600 found in a sample covering (say) ₹2 lakh of value, projected across a ₹1 crore population, could imply **₹80,000+** of misstatement — and more importantly she must first **investigate the cause** (SA 530). If the two errors share a cause (both are the same product mispriced), that points to a *systematic* error affecting *all* such invoices, and projected misstatement could dwarf the raw ₹1,600. Only if she could *demonstrate with high certainty* an error is a non-recurring anomaly may she exclude it — and two similar errors are the opposite of anomalous.

Correct response: investigate cause → project the misstatement → compare projected (+ any anomalous) against ₹20 lakh tolerable → if close or exceeding, extend the sample or ask management to investigate and correct. **The number found in the sample is never the number in the population.**

Scenario B — The reassuring margin that shouldn't reassure

Facts: A manufacturer's revenue rose 22% year-on-year, and gross margin *improved* from 28% to 34%. Management explains the margin jump as "better cost control." Power consumption, however, fell 9% and the workforce shrank 12%. Should the auditor accept the explanation?

Reasoning: This is SA 520 territory. Build an **independent expectation**: a 22% revenue rise from *genuine* higher volume should be accompanied by *higher* power and material consumption and roughly stable-or-slightly-improving margins — not a simultaneous **fall** in the physical inputs of production. Rising revenue with *falling* power and headcount is economically incoherent for a manufacturer and is a classic footprint of **fictitious/inflated sales** (revenue booked with no corresponding production). The margin *improvement* is a red flag, not comfort — fictitious sales carry no real cost, so they mechanically inflate margin.

Correct response: the fluctuation is **inconsistent with non-financial data** and differs significantly from expectation. Under SA 520.7: inquire of management, then **corroborate** — but "better cost control" does *not* explain rising revenue with falling inputs, so it fails corroboration. The auditor must perform **further procedures**: examine underlying sales contracts, dispatch/GRN records, confirm receivables directly, test cut-off, and treat this as a **fraud risk** (link to SA 240). The non-financial data is the auditor's most powerful weapon here precisely because management does not control it as easily as the ledger.

Scenario C — Systematic selection walks into a trap

Facts: CA Rohit tests the completeness/accuracy of a control that the cashier stamps every receipt. Population is 3,650 daily cash sheets for the year; he wants a sample of 50, so interval = 73. He picks a random start and every 73rd sheet. Later it emerges the anomaly: **every** sample item is a *weekday*, and the fraud he was meant to catch — unstamped **Sunday** cash sheets where a relief cashier skips the control — is entirely absent from his sample. What went wrong?

Reasoning: **Systematic selection** is efficient but fails when the population contains a **periodic pattern that coincides with the sampling interval**. With a 7-day week and an interval of 73 (= 10 weeks + 3 days... in this constructed case aligning to weekdays), the sample systematically excluded a category. The result is a **non-representative** sample — violating the bedrock requirement that the sample represent the population — so any conclusion drawn cannot honestly cover Sundays.

Correct response: before using systematic selection, the auditor must **verify the population has no structure aligned with the interval**; where such a pattern exists, use **random selection** instead, or **stratify** (e.g., weekday vs. weekend) and sample each. This also illustrates **non-sampling risk** cousin: choosing an unsuitable *method* is a design failure, not something a bigger sample of the same flawed method would cure.

Scenario D — Wrong direction of testing

Facts: To gain assurance that **liabilities are not understated** (completeness of trade payables), a junior auditor selects a sample of 40 recorded payables from the ledger and vouches each to a supplier invoice — all match. He concludes payables are complete. Correct?

Reasoning: No — this is a **directional error**. Sampling *from the recorded ledger* can only ever confirm that what is recorded is genuine (occurrence/existence). It is **structurally incapable** of detecting a **missing** liability, because an unrecorded payable is *not in the population being sampled*. Completeness of liabilities must be tested by starting **outside** the ledger — a **search for unrecorded liabilities** (examining post-year-end payments, unmatched GRNs, supplier statements) and **analytical reasonableness** (e.g., expected purchases vs. recorded).

Correct response: redirect the procedure. Match the *technique to the assertion*: overstatement/existence → sample the ledger and vouch out; understatement/completeness → trace source documents in and use analytics.

6. Procedure & Documentation Summary

Sampling — procedure checklist (SA 530): 1. Define the **objective** and the **assertion** being tested. 2. Define the **population**; confirm it is **complete and appropriate** to the objective. 3. Choose **statistical or non-statistical**; both require representativeness and projection. 4. Determine **sample size** from RMM, tolerable misstatement/deviation, expected misstatement, and assurance from other procedures. 5. **Select** items so every unit has a chance (random / systematic / MUS / haphazard for non-statistical); consider **stratification**. 6. **Perform** the procedure on each item; use **replacements** for missing documents; treat truly untestable items as **deviations/misstatements**. 7. **Investigate** nature and cause of each error; assess for **patterns**. 8. Treat as **anomaly** only if **provably non-representative** (rare; examine more items to confirm). 9. **Project** misstatement to the population (tests of details); for controls, the **sample deviation rate is the projected rate**. 10. **Compare** projected (+ anomalous) against **tolerable**; if too close/exceeding → **extend, use alternatives, or seek correction; re-evaluate** whether the population is acceptable.

Analytical procedures — procedure checklist (SA 520): 1. Confirm the **stage**: risk assessment (**mandatory**), substantive (**optional**), overall review (**mandatory**). 2. For substantive use, pass the **four gates**: suitability for assertion → data reliability & independence → precise expectation → acceptable difference set in advance. 3. **Compute** the expectation using trend/ratio/reasonableness techniques and, wherever possible, **non-financial** and **independent** data. 4. Compare recorded vs. expected; where the difference is **significant: inquire** → **corroborate** → **perform further procedures** if not corroborated. 5. Conclude on the assertion / overall consistency of the statements.

What must be documented (SA 230 links): the population and sampling unit; how the sample size and method were determined; items selected; procedures performed and errors found; cause analysis and anomaly justification; projection and the comparison against tolerable misstatement; for analytics — the expectation, the data source and reliability assessment, the acceptable difference, the differences found, and the investigation and corroboration of significant fluctuations. *Why:* under SA 230, if it isn't documented, it wasn't done — and both techniques rest on judgements a reviewer must be able to retrace.

7. Connections

- **SA 500 / SA 501** (Audit Evidence): sampling is one of three ways to select items for testing; analytics is a *type* of substantive procedure. Both must yield **sufficient and appropriate** evidence.
- **SA 330** (Responses to assessed risks): "extent" of procedures = sample size; sampling and analytics are the operational tools of the auditor's *response*.

- **SA 315** (Risk assessment): analytical procedures are a **required** risk-assessment procedure; assessed RMM *drives* sample size.
 - **SA 320** (Materiality): **tolerable misstatement** ($\leq$ performance materiality) is the benchmark against which projected error is judged; **acceptable difference** in analytics derives from materiality.
 - **SA 240** (Fraud): unexplained analytical fluctuations and error *patterns* in samples are fraud signals; directional testing (overstatement of revenue/assets) is fraud-aware.
 - **SA 230** (Documentation): both techniques generate specific documentation obligations.
 - **SA 520 ↔ SA 530 relationship**: they are *substitutes and complements* — strong substantive analytics **reduce** required sample size for the same assertion (a factor in 4.2.3), and each covers the other's blind spot (isolation vs. aggregate; existence vs. completeness).
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8. Traps & Examiner Tricks

- **"Non-statistical = casual."** False. SA 530 applies fully to both; the only difference is whether sampling risk is *measured* or *judged*. Representativeness and projection are mandatory in both.
- **Failure to project.** Treating errors found in the sample as the total error in the population. Errors must be **extrapolated**.
- **Over-using "anomaly."** The anomaly exemption is *rare* and requires **proof of non-representativeness with high certainty**, including testing more items. Do not use it to wave away inconvenient errors.
- **Population size drives sample size.** For large populations it does **not** — assurance comes from sample size, not the sample-to-population ratio.
- **Sampling risk vs. non-sampling risk.** Sampling risk shrinks with bigger samples; **non-sampling risk does not** — it is countered by planning, supervision, competence and suitable procedures.
- **Effectiveness vs. efficiency risks.** Over-reliance and incorrect acceptance threaten the **opinion** (effectiveness); under-reliance and incorrect rejection only waste effort (efficiency). Know which is which.
- **When are analytics mandatory?** At **risk assessment** and **final overall review** — **not** as a substantive procedure (that's optional). Frequently reversed by students.
- **Building the expectation from unreliable/dependent data.** If the expectation's inputs come from the same weak system as the audited figure, the procedure proves nothing. Prefer **independent** and **non-financial** data.
- **Accepting management's explanation uncorroborated.** SA 520.7 requires **corroboration**; an oral explanation is a hypothesis, not evidence.
- **Precision of expectation.** A vague expectation can never be violated and detects nothing. The finer the expectation, the smaller the misstatement caught.
- **Directional testing.** Vouching the recorded ledger cannot detect **omissions** (understatement/completeness). Match the technique to the assertion's *direction*.
- **Block and haphazard selection.** Block selection is generally inappropriate (not representative); haphazard is fine for **non-statistical** only and must avoid bias — never for statistical sampling.
- **Systematic selection + periodic pattern = biased sample.** Always check for structure that aligns with the interval.
- **Specific-item selection is not sampling.** Judgementally picking all items over ₹X is **targeted testing**; its results **cannot be projected** because unselected items had no chance of selection.

9. First-Principles Recap

Audit exists because owners cannot verify managers, so an independent expert gives assurance on the managers' self-report. That assurance runs into two hard limits, and this chapter is the disciplined answer to each.

The **volume limit** — you cannot test everything — is met by **sampling (SA 530)**: examine a *representative* subset in which every item had a chance of selection, find and *investigate* errors, **project** them to the whole, and compare the projection against **tolerable misstatement**. The residual uncertainty (that the sample was, by luck, unrepresentative) is **sampling risk**, which the auditor *measures* (statistically) or *judgets* (non-statistically) but never ignores. Errors that resist projection because you can't test them, or that hide in patterns, or that point the wrong direction, are all traps this discipline is built to close.

The **isolation limit** — item-by-item testing misses misstatements visible only in aggregate — is met by **analytical procedures (SA 520)**: because meaningful data move together predictably, the auditor builds an **independent, precise expectation** and treats any **significant, uncorroborated deviation** as a signal of possible misstatement, mandatory at planning and final review and optional as substantive evidence. Its power is exactly proportional to the *precision* of the expectation and the *independence* of its data — which is why non-financial data is gold.

Both techniques enforce the same non-negotiable move: the auditor manufactures an **independent yardstick** — a projected error, an expected value — and refuses to accept the client's number, or the client's explanation, without holding it against that yardstick. That refusal is the audit.

10. Quick-Revision Sheet

Key Standards

SA	Title	Core requirement / why
SA 500	Audit Evidence	Three ways to select items: all / specific / sampling ; evidence must be sufficient + appropriate
SA 530	Audit Sampling	Test <100% with every unit having a chance; project errors; compare to tolerable misstatement; control sampling risk
SA 520	Analytical Procedures	Evaluate plausible relationships; mandatory at risk assessment + overall review, optional substantive; investigate + corroborate significant deviations
SA 315	Risk assessment	Analytics required ; RMM drives sample size
SA 330	Responses to risk	"Extent" = sample size
SA 320	Materiality	Tolerable misstatement ≤ performance materiality
SA 240	Fraud	Fluctuations and error patterns are fraud signals
SA 230	Documentation	Record population, method, size, errors, projection, expectation, investigation

Sampling — must-knows - Sampling risk = risk sample conclusion ≠ whole-population conclusion; **shrinks with sample size**. Non-sampling risk = wrong conclusion for other reasons; **not** fixed by size. - Dangerous directions: **over-reliance** (controls) and **incorrect acceptance** (details) → affect the **opinion**. Their opposites affect only **efficiency**. - Statistical = random selection + probability theory (measures risk). Non-statistical = judgement; **same rigour**, risk not quantified. - Sample size ↑ with: RMM, expected error, desired assurance/confidence, intended reliance. Sample size ↓ with: tolerable misstatement/deviation, other substantive evidence, stratification. **Population size: negligible for large populations**. - Selection methods: random, systematic (beware periodic patterns), MUS/value-weighted (targets overstatement), haphazard (non-statistical only), block (avoid). - Evaluate: investigate cause → **anomaly only if provably unrepresentative** → **project** → compare to tolerable → extend/alternatives/correct if too close. - **Specific-item selection ≠ sampling** (no projection). **Directional testing**: overstatement → sample ledger & vouch out; completeness → trace in / analytics.

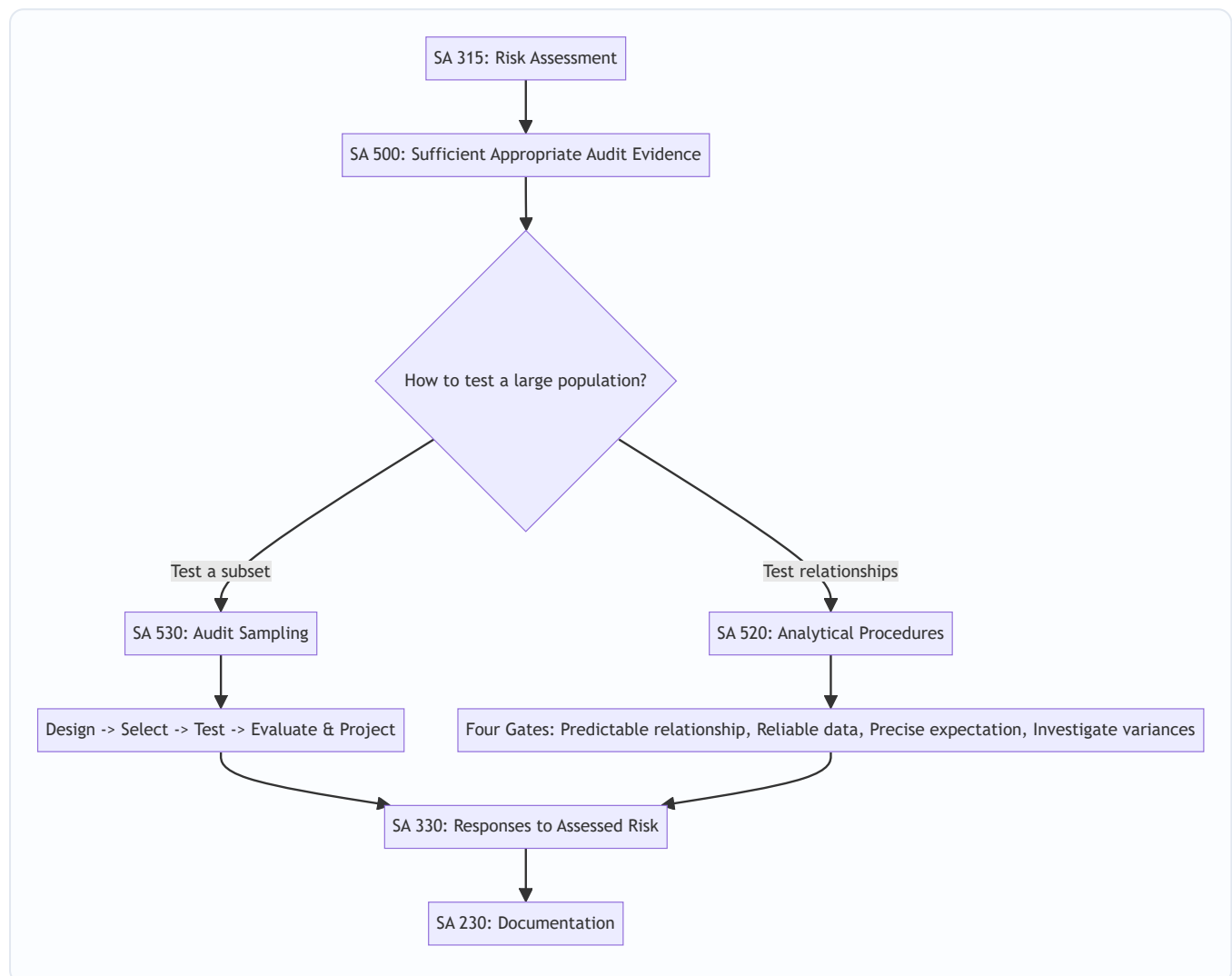
Analytical procedures — must-knows - Works because relationships among financial and **non-financial** data are **predictable and persist**. - **Mandatory** at (1) risk assessment and (2) final overall review; **optional** as substantive. - Four gates for substantive use: **suitability** for the assertion → **reliable, independent data** → **precise expectation** → **acceptable difference set in advance**. - Techniques: trend, ratio, reasonableness/predictive tests, budget/industry/inter-element comparisons. - Investigate significant deviations: **inquire** → **corroborate with evidence** → **further procedures**. Never accept an uncorroborated explanation. - Best assertions: **completeness** and reasonableness of accounts with stable relationships; poor for volatile/discretionary accounts (use tests of details).

One-line memory hooks - *Sampling drills down; analytics steps back*. - *The number in the sample is never the number in the population — project it*. - *A vague expectation can never be violated — precision is the whole point*. - *Management's explanation is a hypothesis, not evidence — corroborate it*. - *You cannot sample the ledger to find what was left out of the ledger*.

Q&A — Audit Sampling & Analytical Procedures

CA Intermediate — Auditing & Ethics | Chapter: Audit Sampling & Analytical Procedures Standards in play: **SA 500** (Audit Evidence), **SA 530** (Audit Sampling), **SA 520** (Analytical Procedures), with links to SA 315, SA 320, SA 330, SA 240 and SA 230.

How the pieces fit (read this first)



SECTION A — Concept-Check Questions (with answers)

A1. Define "audit sampling" as per SA 530. Audit sampling is the application of audit procedures to **less than 100%** of the items within a population of audit relevance such that **all sampling units have a chance of selection**, in order to provide the auditor a reasonable basis to draw conclusions about the **entire population**. (SA 530, para 5)

A2. What is the "sampling unit"? The individual items constituting a population — e.g., an invoice, a debtor balance, a voucher. (SA 530, para 5)

A3. Distinguish sampling risk and non-sampling risk. - **Sampling risk**: the risk that the auditor's conclusion based on a sample differs from the conclusion had the **entire population** been tested. It has two aspects — risk of *incorrect acceptance / underreliance* and risk of *incorrect rejection / overreliance*. - **Non-sampling risk**: risk that the auditor reaches a wrong conclusion for **any reason unrelated to sample size** — e.g., using inappropriate procedures or misinterpreting evidence. (SA 530, para 5)

A4. What makes audit evidence "sufficient" and "appropriate" under SA 500? - **Sufficiency** = the **measure of the quantity** of audit evidence. - **Appropriateness** = the **measure of the quality** — its **relevance** and **reliability** in supporting the conclusions. Higher risk usually needs more evidence; higher quality may permit less. (SA 500, para 5)

A5. State the reliability hierarchy of audit evidence (SA 500). Reliability is greater when evidence is: (a) from **independent external sources**; (b) generated under **effective internal control**; (c) obtained **directly by the auditor** (e.g., observation) rather than indirectly; (d) in **documentary** form rather than oral; and (e) **original** documents rather than photocopies/facsimiles. (SA 500, para A31)

A6. Define analytical procedures (SA 520). Evaluations of financial information through analysis of **plausible relationships** among both financial and non-financial data, including the investigation of **fluctuations or relationships that are inconsistent** with other information or that deviate significantly from expected values. (SA 520, para 4)

A7. Name the two broad approaches to sampling. Statistical sampling (random selection + probability theory to evaluate results, allowing measurement of sampling risk) and **non-statistical sampling** (judgemental — does not have both features). (SA 530, para 5)

A8. What is "tolerable misstatement"? A monetary amount set by the auditor for which the auditor seeks to obtain appropriate assurance that the actual misstatement in the population does not exceed it. It is the application of **performance materiality** (SA 320) to a particular sampling procedure. (SA 530, para 5)

A9. What is "tolerable rate of deviation"? A rate of deviation from prescribed internal control procedures set by the auditor, for which he seeks appropriate assurance that the actual deviation rate is not exceeded — used in **tests of controls**. (SA 530, para 5)

A10. When must analytical procedures be used mandatorily? Analytical procedures are **mandatory at the risk-assessment stage** (SA 315) and **mandatory near the end of the audit** to form an overall conclusion on whether the financial statements are consistent with the auditor's understanding (SA 520, para 6). As **substantive procedures** they are **optional** (auditor's choice under SA 520, para 5).

SECTION B — Applied Scenario Questions (Situation → Audit Response with reasoning)

B1. Projection failure. *Situation*: An auditor selects a sample of 60 sales invoices from a population of 6,000 and finds misstatements totalling ₹9,000. He concludes "the misstatement is only ₹9,000, which is below materiality — no issue." *Required*: Comment. *Response*: This is **wrong**. SA 530 (para 14) requires the auditor to **project** misstatements found in the sample to the **entire population**. The ₹9,000 relates only to the 60 items tested; it must be extrapolated (here, roughly $₹9,000 \times 6,000/60 = ₹9,00,000$ projected). Only the projected misstatement — together with any **anomalous** misstatement — is compared with tolerable misstatement. Failing to project defeats the purpose of sampling and understates the population

misstatement. Reasoning anchor: a sample is representative of the whole; conclusions must be drawn about the whole (SA 530, para 5, 14).

B2. Treating a deviation as anomalous. *Situation:* A misstatement in the sample arose from a computer glitch on a single day that has since been corrected and cannot recur. May the auditor exclude it from projection? *Response:* Only if the auditor obtains a **high degree of certainty** that the misstatement/deviation is **not representative** of the population — i.e., it is an **anomaly** (SA 530, para 13). He must perform **additional procedures** to establish the misstatement will not affect the rest of the population. If established as anomalous, it is **excluded from projection** but **still added** to the total misstatement (projected + anomalous) when evaluating results. An anomaly is exceptional; it should not be assumed.

B3. Incoherent gross margin (substantive analytics). *Situation:* During analytical review, gross profit margin jumped from 22% to 38% though selling prices and product mix were unchanged, and there was no obvious reason. *Response:* This is a **significant fluctuation inconsistent with expectations**. Under SA 520 (para 7), the auditor must **investigate**: (a) inquire of management and obtain **corroborating audit evidence** for the explanation, and (b) perform **other audit procedures** if the response is inadequate or unsatisfactory. A margin spike may signal **overstated closing inventory, understated purchases/COGS**, cut-off errors or fictitious sales — a possible **fraud risk** (SA 240). The auditor must not accept management's explanation at face value; he corroborates it.

B4. Systematic selection trap. *Situation:* An auditor uses **systematic (interval) selection** — every 50th voucher — over a payments journal in which every 50th entry happens to be an automated month-end recurring standing-order payment. *Response:* Systematic selection is invalid where the population has a **structure/pattern that coincides with the sampling interval**, because the sample then over-represents one type of item and is **not representative** (SA 530, para A13). The auditor should verify the population has **no pattern**, or switch to **random selection**. Otherwise the sample gives a biased basis for the population conclusion.

B5. Directional testing error. *Situation:* To test **completeness** of purchases (understatement), the auditor picks a sample from the **purchases ledger** and vouches each to a supplier invoice. *Response:* Wrong **direction**. Selecting from the recorded ledger tests **occurrence/existence** (overstatement), not completeness. To test completeness the auditor must start from an **independent, external population** — e.g., goods received notes / supplier statements — and **trace forward** into the ledger to detect **unrecorded** purchases (SA 500 relevance of evidence; SA 315 assertions). The chosen population must match the assertion being tested.

B6. Population not appropriate. *Situation:* To confirm existence of trade receivables, an auditor draws his sample from the **sales day book**. *Response:* Inappropriate population. Existence of receivables must be tested from the **closing debtors balances**, not the sales book, because the sample must be drawn from the population **relevant to the objective** and be **complete** (SA 530, para 6, and SA 500 relevance). Sampling from the sales book could include amounts already settled.

B7. Reliability of data used in analytics. *Situation:* An auditor builds an expectation of interest expense using a loan schedule prepared by the client's finance team whose controls the auditor has not tested. *Response:* SA 520 (para 5(b)) requires the auditor to evaluate the **reliability of data** from which the expectation is developed, considering source, comparability, nature/relevance and controls over preparation. If controls over the schedule are untested, the auditor should **test the source data** or corroborate it (e.g., independent recomputation from sanction letters and bank statements) before relying on the analytical result.

SECTION C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Sample size is not a valid criterion to distinguish statistical from non-statistical sampling."

Discuss the factors affecting sample size in tests of details. (SA 530) *Model answer:* Whether statistical or non-statistical, the **sample size must be sufficient** to reduce sampling risk to an acceptably low level (SA 530, para 7). The distinction lies in **random selection + probability-based evaluation**, not in size. Factors increasing/decreasing sample size for **tests of details** (SA 530, Appendix 3): - **Higher assessed risk of material misstatement** → larger sample. - **Greater reliance on other substantive procedures** for the same assertion → smaller sample. - **Higher required confidence** (assurance) → larger sample. - **Higher tolerable misstatement** → smaller sample. - **Higher expected misstatement** in the population → larger sample. - **Stratification** of the population where appropriate → reduces sample size. - **Number of sampling units** in the population → negligible effect for large populations.

C2. Explain the methods of selecting sample items under SA 530. *Model answer:* (SA 530, para A13 / Appendix 4) 1. **Random selection** — using random number generators/tables; every unit has a known equal chance. 2. **Systematic selection** — a constant **sampling interval** with a random start; avoid where population has a pattern. 3. **Monetary Unit Sampling (MUS)** — value-weighted selection; probability of selection proportional to monetary amount, biasing toward high-value items. 4. **Haphazard selection** — no structured technique but **no conscious bias**; not appropriate for statistical sampling. 5. **Block selection** — selecting contiguous items (e.g., all vouchers of one month); generally **inappropriate** as most populations are not so structured and blocks are unrepresentative.

C3. Discuss the auditor's action when a sample is not representative or when deviations/misstatements are found. (Evaluation of results — SA 530) *Model answer:* Under SA 530 (paras 12–15): - **Investigate nature and cause** of every deviation/misstatement and evaluate its effect on the audit. - Consider whether it is an **anomaly**; if claimed anomalous, obtain **high certainty** through additional procedures. - For **tests of details**, **project** the misstatement to the population; for **tests of controls**, the sample deviation rate is the projected population deviation rate. - Compare projected misstatement (plus anomalous) with **tolerable misstatement**; compare deviation rate with **tolerable rate**. - If results indicate the population **may be materially misstated / control cannot be relied on**, the auditor **re-evaluates**, may **extend the sample**, or perform **alternative/further procedures**. If sampling has not provided a reasonable basis, additional evidence is obtained (SA 500).

C4. State the purposes and stages of analytical procedures in an audit. (SA 520 read with SA 315) *Model answer:* Analytical procedures serve three roles across the audit: 1. **Risk assessment procedures** (SA 315) — **mandatory** at planning, to understand the entity and identify areas of risk / unusual relationships. 2. **Substantive analytical procedures** (SA 520, para 5) — **optional**; used to obtain evidence on assertions where relationships are **predictable** and data reliable, often for large volumes of transactions. 3. **Overall review at the end** (SA 520, para 6) — **mandatory**, to conclude whether the financial statements are consistent with the auditor's understanding of the entity. Techniques include **ratio analysis**, **trend analysis**, **reasonableness tests** and comparison with prior periods, budgets, industry data and non-financial information.

C5. What are the "four gates" (conditions) the auditor must satisfy before relying on substantive analytical procedures? (SA 520, para 5) *Model answer:* 1. **Suitability** — the substantive analytical procedure is **suitable for the assertion**, considering assessed risk and any tests of details for that assertion (para 5(a)). 2. **Reliable data** — evaluate reliability of the data used to develop the expectation (source,

comparability, relevance, controls over preparation) (para 5(b)). 3. **Precise expectation** — develop an expectation **sufficiently precise** to identify a misstatement that, individually or aggregated, could be material (para 5(c)). 4. **Acceptable difference / investigate** — determine the amount of difference from the expectation that is acceptable **without investigation**, and **investigate** differences exceeding it (para 5(d) → para 7).

C6. How does the auditor determine that a population is appropriate for sampling? (SA 530, para 6)

Model answer: The population must be: - **Appropriate** to the objective of the audit procedure, including the **direction of testing** (e.g., completeness vs existence); and - **Complete** — the auditor obtains evidence that the population from which the sample is drawn is complete, so the conclusion validly extends to the whole population. The auditor also considers **stratification** (dividing into sub-populations of similar characteristics) and testing **high-value/key items 100%** separately, with sampling applied to the residual.

SECTION D — MCQs and Case Scenarios (correct option + one-line reasoning)

D1. Audit sampling requires that: (a) only high-value items are selected (b) all sampling units have a chance of selection (c) exactly 10% of items are tested (d) only the auditor's favourite items are tested **Answer: (b)** — SA 530 defines sampling as giving *all* units a chance of selection.

D2. The risk that the auditor's conclusion from a sample differs from the conclusion on the whole population is: (a) non-sampling risk (b) detection risk (c) sampling risk (d) business risk **Answer: (c)** — By definition under SA 530.

D3. "Appropriateness" of audit evidence refers to its: (a) quantity (b) quality — relevance and reliability (c) cost (d) age **Answer: (b)** — SA 500 para 5; sufficiency is quantity, appropriateness is quality.

D4. Analytical procedures are mandatory: (a) only at planning (b) only as substantive tests (c) at risk assessment and at the overall final review (d) never **Answer: (c)** — SA 315 (planning) and SA 520 para 6 (overall conclusion); substantive analytics are optional.

D5. Selecting every 40th item where the population has an embedded recurring pattern at that interval violates the requirement that a sample be: (a) large (b) statistical (c) representative (d) documented **Answer: (c)** — Systematic selection fails when population structure coincides with the interval (SA 530, A13).

D6. A misstatement demonstrably not representative of the population is called: (a) tolerable (b) projected (c) anomalous (d) expected **Answer: (c)** — An anomaly, requiring high certainty (SA 530, para 13); excluded from projection but added to total.

D7. The most reliable of the following audit evidence is: (a) a photocopy of a client-prepared voucher (b) an oral representation by the CFO (c) a bank confirmation received directly by the auditor (d) an internally generated report with weak controls **Answer: (c)** — External, direct, documentary evidence ranks highest (SA 500, A31).

D8. Tolerable misstatement is essentially the application of ____ to a sampling procedure: (a) overall materiality (b) performance materiality (c) trivial threshold (d) audit risk **Answer: (b)** — SA 530 links tolerable misstatement to performance materiality (SA 320).

D9 — Case Scenario. CA Nidhi is auditing Zephyr Ltd. She develops an expectation of power cost using units produced × average tariff, finds actual power cost 30% above expectation, and accepts the CFO's one-line email

saying "rates went up." Which is correct? (a) Accepting the email alone is adequate (b) She must corroborate the explanation with independent evidence and consider other procedures (c) A 30% variance never needs investigation (d) Analytical procedures cannot use non-financial data **Answer: (b)** — SA 520 para 7 requires investigating inconsistent fluctuations by inquiry **plus corroboration** and, if needed, other procedures. (Non-financial data such as units produced is expressly permitted.)

D10 — Case Scenario. During a test of controls over purchase approvals, the tolerable deviation rate was 5%. In a sample of 100, the auditor finds 8 deviations, one of which is a genuine anomaly. Best response? (a) Ignore all deviations as immaterial (b) Treat 7% as the projected deviation rate, note it exceeds tolerable, and reduce reliance / extend testing (c) Exclude all 8 and rely fully on the control (d) Project ₹ value of the deviations **Answer: (b)** — For tests of controls the sample deviation rate is the projected population rate (SA 530, para 14); after removing the anomaly the rate (7%) still exceeds the 5% tolerable rate, so the auditor cannot rely on the control and must respond (SA 330). (Value projection applies to tests of details, not control deviations.)

D11. Which selection method is generally considered inappropriate because populations are rarely structured that way? (a) random (b) monetary unit (c) block selection (d) systematic **Answer: (c)** — Block selection yields unrepresentative contiguous items (SA 530, A13).

D12. Where does the requirement to document the sampling basis, evaluation and conclusions ultimately flow from? (a) SA 240 (b) SA 230 (c) SA 610 (d) SA 700 **Answer: (b)** — SA 230 governs audit documentation of the nature, timing, extent and conclusions of procedures performed.

Quick-Revision One-Liners

- **SA 500** = evidence must be **sufficient (quantity) + appropriate (quality: relevant + reliable)**.
- **SA 530** = test a **representative subset**; sample size driven by **RMM, tolerable & expected misstatement, required confidence, stratification**.
- Selection: **random, systematic, MUS, haphazard, block** (last two weak; block usually inappropriate).
- Always **project** sample misstatement to the population; add **anomalous** separately; compare with **tolerable misstatement**.
- **SA 520 four gates** = suitable procedure, reliable data, precise expectation, investigate significant differences with corroboration.
- **Direction of testing** = existence/occurrence tests from the **books**; completeness tests from **independent/external population**.
- Analytics mandatory at **risk assessment** and **final overall review**; optional as substantive.
- Fraud-flavoured variances → **SA 240**; responses to results → **SA 330**; materiality inputs → **SA 320**; document everything → **SA 230**.

Chapter 06 — Audit of Items of Financial Statements

1. The Problem — Why "audit the balance sheet line by line" is a trap unless you understand what is actually at risk

Return to the founding tension of this whole subject. The owners of a company (shareholders) hand their money to managers (directors) and then go away. The managers prepare a set of financial statements that say, in effect: "*Here is what we own, here is what we owe, and here is how much we earned for you.*" The owners cannot walk into the warehouse and count the boxes, phone every customer to confirm the debt, or re-add every invoice. They are structurally blind. The auditor is the paid, independent expert who does the looking on their behalf and reports whether the statements can be trusted.

So far, so familiar. But here is the specific problem this chapter attacks: **the financial statements are not one claim — they are hundreds of separate claims, and each claim can be false in a *different* way.**

Consider two numbers on the same balance sheet:

- **Revenue ₹500 crore.** How does a dishonest manager distort *this*? Almost always by making it **bigger than reality** — recording sales that did not happen, or pulling next year's sales into this year — because bonuses, share prices and loan covenants all reward high revenue. The risk direction is **overstatement**.
- **Trade payables ₹80 crore.** How does a dishonest manager distort *this*? By making it **smaller than reality** — hiding invoices in a drawer, not recording goods received near year-end — because a smaller liability makes the company look healthier and profit look bigger. The risk direction is **understatement**.

If the auditor used the *same* procedure on both — say, "vouch a sample of recorded entries to supporting documents" — they would catch the revenue fraud (each recorded sale is tested for reality) but **completely miss the payables fraud** (you cannot vouch an invoice that was deliberately never entered). The recorded payables would all be genuine; the problem is the *missing* ones.

That single example is the entire reason this chapter exists. **You cannot audit every line item the same way, because every line item is exposed to a different lie.** The direction of the likely misstatement, the party motivated to commit it, and the evidence that can disprove it all change from one item to the next. A procedure that is powerful against one risk is blind to another.

The risk this chapter counters, then, is the risk of the **wrong-tool auditor** — the auditor who performs lots of activity but aims it in the wrong direction and gives a clean opinion over a materially misstated figure.

2. The Core Idea — Assertions are the bridge from "risk" to "procedure"

The tool that saves us is the concept of the **assertion**, drawn from **SA 315 (Identifying and Assessing the Risks of Material Misstatement)**. Every figure and disclosure in the financial statements is management making a bundle of implicit *representations*. When management writes "Inventory ₹40 crore," they are silently asserting:

- **Existence** — this inventory really is physically there.
- **Rights and obligations** — we actually own it (it is not held on consignment for someone else).
- **Completeness** — all inventory we own is included; nothing has been left out.
- **Valuation / Accuracy** — it is measured correctly (at lower of cost and net realisable value).

- **Presentation / Classification** — it is shown and disclosed properly (e.g., raw material vs finished goods, pledged stock flagged).

For transactions and events (like revenue and expenses) the assertion set is phrased slightly differently:

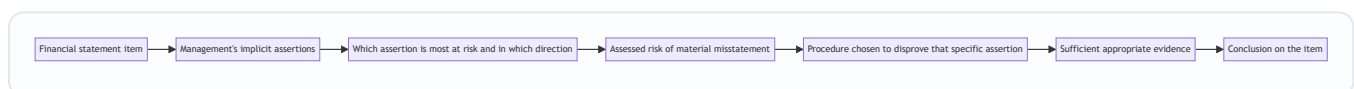
Occurrence, Completeness, Accuracy, Cut-off, Classification (and Presentation).

The core idea of the whole chapter is a three-step chain, applied to every single line item:

For this item, which assertion is most likely to be false, in which direction, because of whose motive? → That is the risk. → Choose the procedure that specifically can disprove *that* assertion.

This is the disciplined form of our guiding law "no requirement before its reason." The "reason" for any verification procedure is *the assertion at risk*. Vouching proves Occurrence. Tracing proves Completeness. Physical inspection proves Existence. External confirmation proves Existence and Rights. Recomputation proves Accuracy and Valuation. Once you internalise which procedure attacks which assertion, you never again have to memorise a list of "audit steps for receivables" — you *derive* them.

Figure 1 — The assertion is the hinge between the risk and the procedure; you never jump straight from item to procedure.



3. Why it's built this way — The logic behind "tailored, direction-aware" procedures

Three structural facts about financial statements force the tailored approach.

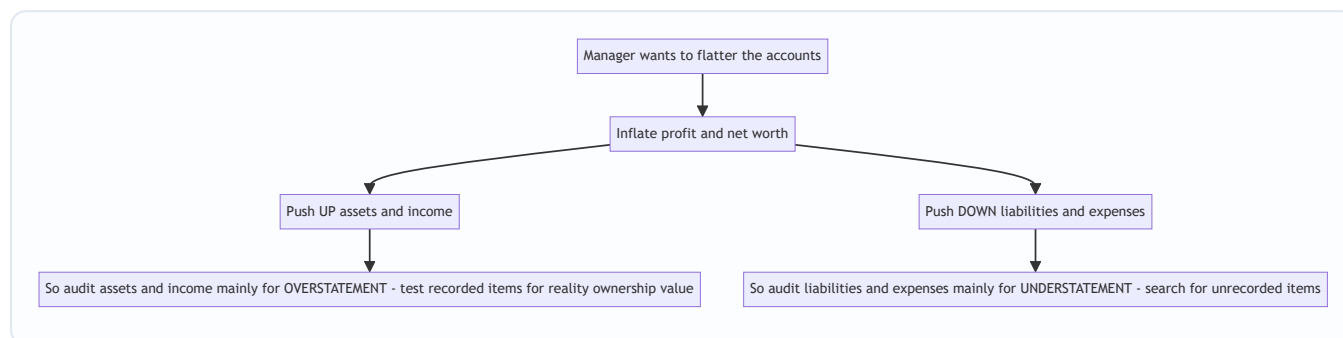
(a) Double-entry means every misstatement has a *motive-driven direction*. Because assets and income sit on one side and liabilities and expenses on the other, inflating profit can be achieved by *overstating* the income/asset side **or** by *understating* the expense/liability side. Fraudsters pick whichever is easier to hide. So the auditor must ask, for each item, "if someone wanted to flatter the accounts, would they push this number up or down?" and aim the testing against that direction. This is why **assets and income are audited primarily for overstatement** (test what is recorded — is it real, is it owned, is it worth this much?) while **liabilities and expenses are audited primarily for understatement** (search for what is *missing* — unrecorded obligations).

(b) The best evidence for one assertion is worthless for another. Existence is a physical fact — so you inspect the physical thing (count the stock, see the machine). Completeness is the absence of something — so inspection is useless; you must *search* using an independent starting point (the goods-received records, the post-year-end payments, the bank statements). Valuation is a measurement judgement — so you recompute and challenge estimates. The evidence has to match the *nature* of the assertion. **SA 500 (Audit Evidence)** governs this: evidence must be *sufficient* (enough) and *appropriate* (relevant to the assertion + reliable in source), and reliability rises when evidence is external, independent, and obtained directly by the auditor.

(c) Some assertions are so high-risk that the profession wrote dedicated Standards. Where a particular assertion for a particular item is both material and historically abused, ICAI did not leave it to general principles — it issued a specific SA. Inventory existence and litigation → **SA 501**. Opening balances in a first

audit → **SA 510**. Accounting estimates and provisions → **SA 540**. External confirmation of receivables/bank/payables → **SA 505**. Related party transactions → **SA 550**. Each of these is simply "a general risk that recurred so often it earned its own rulebook." We teach each one at the item where its risk bites.

Figure 2 — The direction of testing flips depending on which side of the balance sheet you are on, because the motive flips.



4. Full Technical Content — Every item, its assertion at risk, and the procedure that answers it

Below, each item is treated the same disciplined way: **the risk** → **the assertion** → **the procedure** → **the "why"**. SA references are given; where a number should be double-checked against current ICAI material it is flagged.

4.0 The governing Standards you carry into every item

SA	What it gives you for item audit	The risk it addresses
SA 315	Assertions; risk assessment; understanding entity & controls	You'd test blindly without knowing where misstatement is likely
SA 330	The auditor's <i>responses</i> to assessed risk — tests of controls and substantive procedures	Effort must be concentrated where risk is high
SA 500	Audit evidence — sufficient & appropriate; reliability hierarchy	Weak or irrelevant evidence gives false comfort
SA 501	Specific evidence — inventory count attendance, litigation, segment info	Inventory existence & contingent liabilities are chronically misstated
SA 505	External confirmations	Internal records can be manipulated; outsiders are independent
SA 510	Opening balances (initial engagements)	Closing balances are only right if openings were right
SA 520	Analytical procedures	Numbers that "don't move together" flag misstatement cheaply
SA 530	Audit sampling	You cannot test 100%; sample must represent the population
SA 540	Auditing accounting estimates (provisions, fair values, ECL, depreciation)	Estimates are the softest area for manipulation
SA 550	Related parties	Transactions with insiders may be non-genuine or unfairly priced
SA 560	Subsequent events	Conditions after year-end can change reported balances
SA 570	Going concern	Values assume the entity survives

Keep this table in your head; every sub-section below is just these Standards *pointed at one figure*.

4.1 Revenue (Sales of goods / rendering of services)

The risk. Revenue is the single most manipulated line in accounts. The motive is always to make it **bigger** (bonuses, valuations, covenants, listing pressure). Under **SA 240 (Auditor's Responsibilities Relating to Fraud)** there is a **rebuttable presumption that revenue recognition carries a risk of fraud** — the auditor must presume it unless they can justify otherwise. Recognition under **Ind AS 115 / AS 9** turns on transfer of control/risks-and-rewards, so the two favourite tricks are:

- **Fictitious sales** — invoices to fake or colluding customers → attacks **Occurrence**.
- **Cut-off manipulation** — recording next period's sales in this period (or vice versa) → attacks **Cut-off**.

Assertion at risk: primarily **Occurrence** and **Cut-off**; also **Accuracy** and **Completeness** (the last mainly in cash businesses where sales are *suppressed* to evade tax — note the direction reverses when the motive is tax

evasion, not profit inflation).

Procedures and their why:

- **Vouch recorded sales to supporting documents** — trace sample invoices to the customer order, dispatch/delivery challan, gate outward register and the customer's acknowledgement. *Why:* proves the sale actually **occurred** and goods really left. A fictitious sale cannot produce an independent dispatch record.
- **Cut-off testing** — for the last few days before and first few days after year-end, match the date of dispatch (transfer of control) to the date the sale was booked. *Why:* directly tests **Cut-off**; catches sales pulled forward or pushed back.
- **Analytical procedures (SA 520)** — compare gross margin %, month-wise sales trend, sales returns *after* year-end. *Why:* a spike in late-year sales reversed by heavy post-year-end returns is the fingerprint of channel-stuffing.
- **Test credit notes / returns after year-end** — large returns just after closing suggest the original sale was not genuine.
- **Confirm unusual or year-end large customers** where doubt exists.
- **Review revenue recognition policy** against Ind AS 115's five-step model (identify contract → performance obligations → transaction price → allocate → recognise on satisfaction).

Practical verification points: ensure sales are recorded net of GST correctly; check that goods sent on **approval or consignment** are *not* recognised as sales (that is a Rights/Occurrence error); verify discounts and incentives are properly netted.

4.2 Purchases and Expenses

The risk. Mirror image of revenue. To inflate profit, expenses are **understated** (omitted or deferred); to evade tax or siphon funds, expenses are **overstated** with fictitious or personal spending. Purchases feed both cost of sales and inventory, so an error here hits two statements.

Assertion at risk: for profit-inflation, **Completeness** (unrecorded expenses) and **Cut-off** (pushing expenses to next year); for fraud/siphoning, **Occurrence** (fictitious purchases, personal costs booked as business).

Procedures and their why:

- **Search for unrecorded liabilities / expenses** — examine payments made *after* year-end and un-entered supplier invoices to see if they relate to the year under audit. *Why:* the only way to test **Completeness** is to start from a source *outside* the ledger; you cannot vouch an expense that was never recorded.
- **Vouch recorded purchases/expenses** to purchase order, goods-received note (GRN), supplier invoice and payment. *Why:* tests **Occurrence** — that the expense is genuine, business-related and correctly priced.
- **Purchase cut-off** — match GRN dates to the period the purchase/creditor is booked. *Why:* goods received before year-end must appear in *both* purchases and closing inventory; omitting the invoice but counting the stock inflates profit.
- **Analytical review** of expense ratios and each expense head vs prior year and budget. *Why:* a sudden drop in an expense line can reveal deliberate omission; a spike can reveal fictitious or misclassified spend.
- **Scrutinise capital vs revenue classification** — a revenue expense capitalised inflates profit and assets. *Why:* tests **Classification**.

Practical verification points: check TDS is deducted where required (an omission signals unrecorded/unauthorised payments); verify related-party purchases (SA 550) are at arm's length; confirm prepaid and outstanding expenses are correctly split across periods.

4.3 Property, Plant and Equipment (PPE)

The risk. PPE is large and long-lived, so distortions are in *valuation and existence over time*: (i) an asset sold/scrapped but still on the books (**Existence** overstated), (ii) revenue expenses capitalised to boost profit (**Occurrence/Classification**), (iii) wrong depreciation or ignored impairment (**Valuation**), (iv) assets purchased but title unclear or the asset charged as security not disclosed (**Rights & Presentation**).

Assertion at risk: Existence, Valuation, Rights and obligations, Completeness of additions/disposals.

Procedures and their why:

- **Verify additions** to invoices, board approval, installation/commissioning evidence, and capitalisation of only directly attributable costs (per Ind AS 16 / AS 10). *Why:* tests **Occurrence** of additions and correct **Valuation** of cost — blocks revenue-to-capital manipulation.
- **Inspect physically** a sample of high-value assets / reconcile to the **fixed asset register**. *Why:* tests **Existence**; the register-to-floor and floor-to-register walk catches ghost assets and unrecorded disposals.
- **Recompute depreciation** — method, rate/useful life, consistency, and that it starts when the asset is ready for use. *Why:* tests **Valuation** (SA 540 — depreciation is an estimate).
- **Test disposals** — authorisation, sale proceeds, correct gain/loss, removal from register. *Why:* tests **Completeness** of disposals and prevents a sold asset lingering as an overstated asset.
- **Examine title deeds / RC books / ownership documents**; for immovable property, note the Companies Act (Schedule III) disclosure requiring whether **title deeds are held in the company's name**. *Why:* tests **Rights**.
- **Consider impairment (Ind AS 36 / AS 28)** — any indicators of decline. *Why:* tests **Valuation** for overstatement.
- **Check charges/mortgages** registered against assets and their disclosure. *Why:* **Presentation**.

Practical verification points: capital work-in-progress ageing (long-pending CWIP may signal stalled/impaired projects); leased assets classified correctly (Ind AS 116); revaluations supported by a competent valuer's report.

4.4 Inventory — Existence via SA 501, plus Valuation

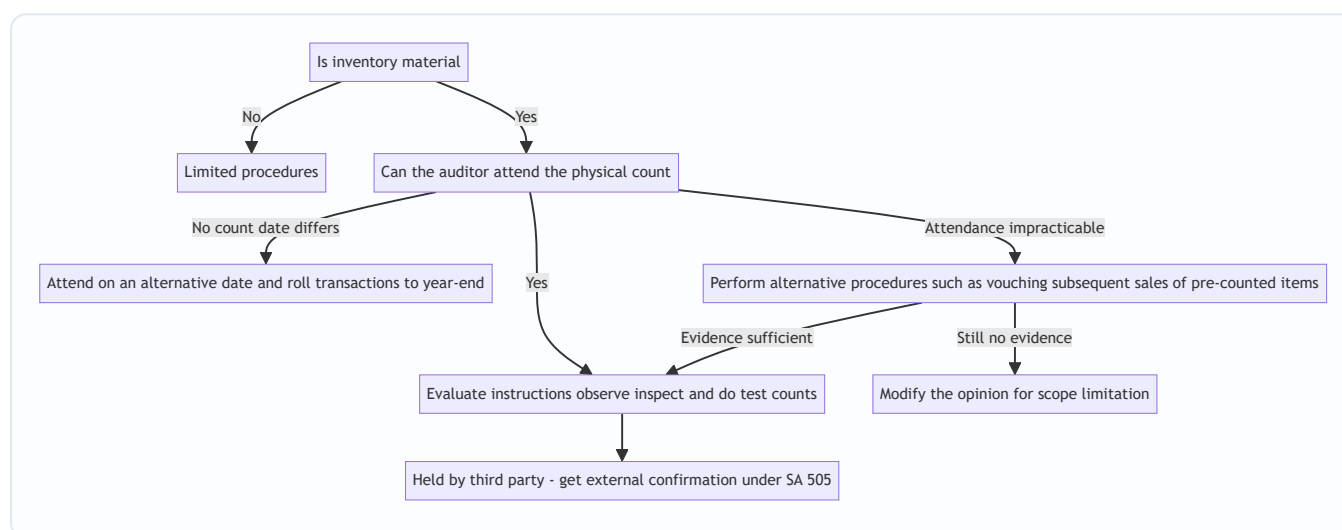
The risk. Inventory is the classic fraud vehicle because it sits at the intersection of the balance sheet *and* the profit calculation: **closing inventory** ↑ ⇒ **cost of sales** ↓ ⇒ **profit** ↑. So the pressure is to **overstate** it — either by claiming stock that isn't there (**Existence**), by ignoring obsolete/damaged stock and carrying it above realisable value (**Valuation**), or by counting third-party goods as your own (**Rights**).

Assertion at risk: Existence (headline), **Valuation, Rights, Completeness, Cut-off**.

SA 501 — the dedicated Standard. Because inventory existence is so material and abused, SA 501 requires the auditor, when inventory is material, to obtain sufficient appropriate evidence about its existence and condition by:

1. **Attending the physical inventory count** (unless impracticable) — to (a) evaluate management's counting *instructions and procedures*, (b) **observe** the count, (c) **inspect** the inventory, and (d) perform **test counts** (from floor to sheets = existence; from sheets to floor = completeness).
2. If the **count date differs** from the balance sheet date, perform procedures on the *intervening transactions* to roll the quantity forward/back.
3. If the auditor **cannot attend** (e.g., appointed after the count), perform or observe counts on an **alternative date** and reconcile.
4. If attendance is **impracticable**, perform **alternative procedures** (e.g., inspect documentation of subsequent sales of specific items counted before year-end); if even that is impossible, **modify the opinion** for a scope limitation.
5. For inventory held by **third parties** (in a warehouse/consignee), obtain **external confirmation (SA 505)** and/or inspect. *Why confirmation*: the goods are not on your premises, so an independent custodian's word is the relevant evidence for **Existence and Rights**.

Figure 3 — SA 501 decision path for obtaining evidence over inventory existence.



Valuation procedures and their why:

- **Recompute cost** using the entity's method (FIFO / weighted average — LIFO is not permitted) and compare cost to **net realisable value (NRV)**; inventory is carried at the **lower** (Ind AS 2 / AS 2). *Why*: tests **Valuation** for overstatement.
- **Test for obsolete, slow-moving, damaged stock** — ageing analysis, physical condition noted during the count. *Why*: prevents dead stock being carried at full cost.
- **Cut-off** — confirm goods received before year-end are *in* inventory and their creditor booked, and goods dispatched (sold) are *out*. *Why*: misaligned cut-off is the easiest way to shift profit.

Practical verification points: reconcile count sheets to the stock ledger and financial statements; verify inventory pledged as security is disclosed; check inclusion of goods in transit and exclusion of goods held on consignment for others.

4.5 Trade Receivables — External confirmation (SA 505)

The risk. Receivables are overstated to inflate assets, or their recoverability is overstated by under-providing for bad debts. So two things can be wrong: the debt may **not exist / not be owed (Existence, Rights)**, or it

may exist but be **uncollectible and over-valued (Valuation)**.

Assertion at risk: Existence, Rights, Valuation (recoverability), Cut-off.

Procedures and their why:

- **External confirmation (SA 505)** — the flagship procedure. Write to a sample of customers asking them to confirm the balance owed *directly to the auditor*. *Why*: the customer is **independent** of the client; their confirmation is far more reliable (SA 500 hierarchy) than the client's own ledger, and it directly proves **Existence and Rights**. Use **positive confirmations** (reply whether they agree or not) for material/risky balances; **negative confirmations** (reply only if they disagree) only for many small, low-risk balances with good controls. **The auditor must control the process** — send and receive replies directly, keeping the client's hands off. If management **refuses to allow** a confirmation, evaluate the validity of the reason, perform **alternative procedures**, and if the refusal is unreasonable treat it as a **scope limitation** and consider communicating with those charged with governance.
- **Alternative procedures when no reply** — inspect **subsequent receipts** (cash received after year-end against the specific invoice), or examine sales invoice + dispatch + customer order. *Why*: subsequent collection is powerful evidence the debt was **real and recoverable**.
- **Test the provision for doubtful debts / expected credit loss (SA 540)** — **age the receivables**, review balances long overdue, disputed accounts, and post-year-end recoveries. *Why*: tests **Valuation** for overstatement.
- **Cut-off** — tie the last sales to the receivable balance.

Practical verification points: watch for credit balances in receivables (should be reclassified to payables/advances, not netted); scrutinise related-party receivables (SA 550) which may be non-genuine or evergreen; review the reasonableness of the ECL model assumptions.

4.6 Investments

The risk. Overstatement of value (carrying an investment above its fair/recoverable amount), and existence/ownership (does the security exist and is it in the company's name and unencumbered?).

Assertion at risk: Existence, Rights, Valuation, Presentation (classification current vs non-current).

Procedures and their why:

- **Physical inspection of securities** in hand, or **confirmation from the depository / custodian (SA 505)** for demat holdings, and inspection of the DP statement. *Why*: independent custodian evidence proves **Existence and Rights**; you cannot rely on the client's own list alone.
 - **Verify valuation** per the applicable framework — fair value through P&L / OCI or cost, per Ind AS 109 / AS 13 — using quoted prices, or for unquoted, the valuation basis and any impairment. *Why*: tests **Valuation**; unquoted investments are estimate-heavy (SA 540).
 - **Check classification** — held for trading vs long-term; current vs non-current. *Why*: **Presentation**.
 - **Verify income** (dividend/interest) is completely and correctly accrued, and that purchases/sales are authorised.
 - **Confirm charges/liens** — investments pledged must be disclosed. *Why*: **Rights/Presentation**.
-

4.7 Cash and Bank Balances

The risk. Cash is the most *liquid* and therefore most *misappropriable* asset — but its financial-statement balance is usually small, so the audit concern splits: **existence of the reported balance** (especially bank) and **fraud/defalcation** in the flows. Classic tricks are **teeming and lading** (lapping) and **window dressing** (temporary year-end inflation of the bank balance).

Assertion at risk: Existence, Completeness, Rights, Cut-off.

Procedures and their why:

- **Bank balance confirmation (SA 505)** — obtain the balance, and details of overdrafts, loans, liens, guarantees and unused facilities *directly from the bank*. *Why:* independent, and covers not just the balance but hidden liabilities and charges.
- **Bank reconciliation review** — examine the year-end BRR; investigate **stale/long-outstanding cheques** issued (may indicate a liability that should be reinstated) and **cheques deposited but not cleared** for a suspiciously long time (window dressing). *Why:* tests **Existence and Cut-off**; reconciling items are where manipulation hides.
- **Cash count** at year-end (or surprise), reconciled to the cash book. *Why:* tests **Existence** of physical cash and deters defalcation.
- **Cut-off of receipts and payments** around year-end. *Why:* to catch cheques recorded as paid (reducing creditors) but not actually issued, or receipts held back.

Practical verification points: verify large round-sum transfers just before year-end reversed just after (window dressing); confirm fixed deposits and their liens; ensure balances with banks having negative balances are shown as borrowings, not netted.

4.8 Borrowings (Loans and other financial liabilities)

The risk. Unlike assets, the primary risk on liabilities is **understatement / omission** — but borrowings are also a *disclosure* minefield (security, terms, defaults, related-party loans) and a **going-concern** signal.

Assertion at risk: Completeness (headline), Accuracy, Rights & obligations, Presentation/Classification, Cut-off (accrued interest).

Procedures and their why:

- **Confirm balances directly with lenders / banks (SA 505)** and reconcile to the loan account. *Why:* independent proof of the amount owed; also surfaces **undisclosed** facilities → **Completeness**.
- **Examine loan agreements** — principal, interest rate, security/charge, repayment schedule, covenants. *Why:* tests **Accuracy** and enables correct **Presentation**.
- **Verify creation and registration of charges** with the Registrar of Companies (Companies Act requires charges to be registered) and their disclosure. *Why:* **Presentation/Rights**.
- **Recompute interest** and confirm accrued interest is provided at year-end. *Why:* tests **Cut-off/Accuracy**; unrecorded interest understates both liability and expense.
- **Classify current vs non-current** correctly, especially where a **covenant breach** makes a long-term loan repayable on demand (reclassify to current). *Why:* **Presentation** — and a trigger for **going-concern (SA 570)** evaluation.
- **Check defaults** in repayment of principal/interest for the Schedule III / CARO disclosure.

4.9 Trade Payables

The risk. The signature liability risk: **understatement through omission** — invoices deliberately or accidentally left unrecorded to lower liabilities and raise profit. Because vouching only tests *recorded* items, it is blind here; the audit must *search for the missing*.

Assertion at risk: Completeness (headline), Existence, Cut-off, Accuracy, Presentation.

Procedures and their why:

- **Search for unrecorded liabilities** — review payments made *after* year-end, unmatched GRNs, supplier statements, and un-entered invoices; ask whether each relates to the audit period. *Why:* the *only* technique that finds an *omitted* creditor — it starts outside the ledger, so it can catch what the ledger doesn't show. This is the direct answer to the Completeness risk.
- **Reconcile supplier statements** to the payables ledger and investigate differences. *Why:* the supplier's statement is external evidence (SA 500) exposing balances the client under-recorded.
- **Confirm balances (SA 505)** — but note the twist: because the risk is *understatement*, don't just confirm large recorded balances; **confirm accounts with *small or nil* recorded balances but high purchase activity** (a major supplier suddenly showing near-zero owed is the red flag). *Why:* tailoring the sample to the *direction* of the risk.
- **Purchase cut-off** — goods received before year-end must have the payable booked. *Why:* **Cut-off/Completeness**.
- **Disclose Micro & Small Enterprise (MSME) dues** per the MSMED Act / Schedule III. *Why:* **Presentation** requirement with penalties.

4.10 Provisions and Contingent Liabilities — SA 540 and SA 501

The risk. Provisions are **estimates**, so they are the softest area for manipulation in either direction: **under-provide** to inflate profit (understate the liability), or **over-provide / create "cookie-jar" reserves** in good years to release in bad years (profit smoothing). Contingent liabilities (litigation, guarantees) are typically **understated / not disclosed** because they are unwelcome.

Assertion at risk: Completeness, Valuation/Accuracy, Presentation.

Procedures and their why (SA 540 for estimates):

- **Understand how management makes the estimate** — the method, assumptions and data — and evaluate whether they are reasonable and consistent (Ind AS 37 / AS 29: recognise a provision when there is a *present obligation from a past event, probable outflow, reliable estimate*). *Why:* tests **Valuation** at its source.
- **Test the data and recompute;** develop an independent estimate or range to challenge management. *Why:* independent challenge counters management bias.
- **Review subsequent events (SA 560)** — outcomes after year-end (e.g., a court ruling, an actual bad-debt) that confirm or revise the estimate. *Why:* the best evidence of a year-end estimate is often what actually happened just after.
- **For litigation and claims (SA 501)** — inquire of management, **review board minutes and legal expense accounts**, and seek **direct communication with the entity's legal counsel/lawyers** where risk

exists. *Why*: the lawyer is the independent expert on the likely outcome; management alone is not reliable on obligations it would rather hide.

- **Evaluate presentation** — provide (probable) vs disclose (possible) vs ignore (remote). *Why*: correct **Presentation** is the whole point of contingent-liability accounting.
-

4.11 Equity / Share Capital and Reserves

The risk. Lower fraud risk but high on **compliance, authorisation and disclosure**: was capital properly issued and authorised, are movements (bonus, buy-back, dividends) lawful under the Companies Act, are reserves correctly classified and restricted amounts (e.g., securities premium, CSR) used only for permitted purposes?

Assertion at risk: Occurrence/Rights (validity of the transaction), Accuracy, Presentation, Completeness of disclosure.

Procedures and their why:

- **Verify share capital movements** to **board and shareholder resolutions**, the Memorandum/Articles, ROC filings (allotment returns), and reconcile to the **register of members**. *Why*: tests that issues/allotments actually **occurred** and were **authorised**.
 - **Check statutory compliance** for buy-back (Sec 68), bonus issue, further issue (Sec 62 rights/preferential), reduction of capital — each has Companies Act conditions. *Why*: an unlawful movement is a reportable non-compliance.
 - **Verify utilisation of securities premium** only for purposes permitted by the Act. *Why*: **Presentation/legal restriction**.
 - **Verify dividends** — declared per Sec 123 out of profits, transferred to the correct bank account within the statutory time, unpaid dividend moved to the Investor Education and Protection Fund where due. *Why*: compliance + **Completeness** of the unpaid-dividend liability.
 - **Reconcile reserves movements** — reserves are the accumulation of profits, so tie the movement to the profit for the year, OCI items, and appropriations. *Why*: **Accuracy/Completeness**.
-

5. Applied Scenarios — reasoning from situation to the correct audit response

Scenario A — The suspicious late-year sales spike

During the audit of Zenith Ltd, revenue in March is 40% higher than any other month, gross margin is unusually high, and in the first three weeks of April there is an abnormally large volume of sales returns from the same customers.

Reason it out. The assertion under threat is **Occurrence/Cut-off** — the pattern (late-year spike + immediate post-year-end returns) is textbook **channel-stuffing** to inflate revenue, and SA 240's presumed fraud risk in revenue is squarely engaged. **Response**: perform detailed **cut-off testing** on March dispatches (match transfer of control dates to booking dates); **vouch** the spike-month sales to dispatch and independent customer acknowledgement; **examine the April credit notes** and link them to March invoices; obtain **external confirmations (SA 505)** from the customers who both bought heavily in March and returned in

April. If the sales lacked genuine transfer of control, they must be reversed; if management refuses, consider a **modified opinion** and report the fraud risk to those charged with governance under SA 240/SA 260.

Scenario B — Auditor appointed after the stock count

Meridian Ltd's inventory is 60% of total assets. The auditor was appointed in May, after the 31 March physical count, which they therefore did not attend.

Reason it out. The at-risk assertion is **Existence** of a highly material inventory, and **SA 501** requires count attendance where inventory is material. Since attendance on the count date is impossible, the auditor moves down the SA 501 ladder: (i) **attend a count on an alternative date** and **roll back** the movements between that date and 31 March to reconstruct the year-end quantity; and/or (ii) perform **alternative procedures** — e.g., inspect records of **subsequent sales** of specific items that were in the 31 March stock, review the count instructions and internal control over the original count, and reconcile count sheets to the ledger. If sufficient appropriate evidence *can* be obtained this way, the opinion is unmodified; if inventory existence **cannot** be verified by any means, this is a **scope limitation** → **qualified or disclaimer of opinion** depending on materiality and pervasiveness.

Scenario C — The oddly small creditor

In auditing Apex Ltd's trade payables, the auditor notices that Supplier X — from whom Apex bought ₹30 crore of raw material during the year — shows a closing balance of only ₹15,000, while smaller suppliers show larger balances.

Reason it out. The direction-aware auditor knows payables are audited for **understatement/Completeness**. A near-nil balance on a high-activity supplier screams *unrecorded invoices*. **Response:** send a **positive external confirmation (SA 505) to Supplier X** (precisely the low-recorded/high-activity account the risk direction demands), **reconcile Supplier X's statement** to the ledger, and perform a **search for unrecorded liabilities** — examine April payments to Supplier X and unmatched GRNs to see if March-received goods were left unbooked. If invoices relating to the audit year were omitted, payables and purchases are both understated and profit overstated; the entries must be corrected.

Scenario D — The under-provided lawsuit

Nova Ltd faces a ₹20 crore product-liability suit. Management has made no provision and disclosed nothing, saying they "expect to win."

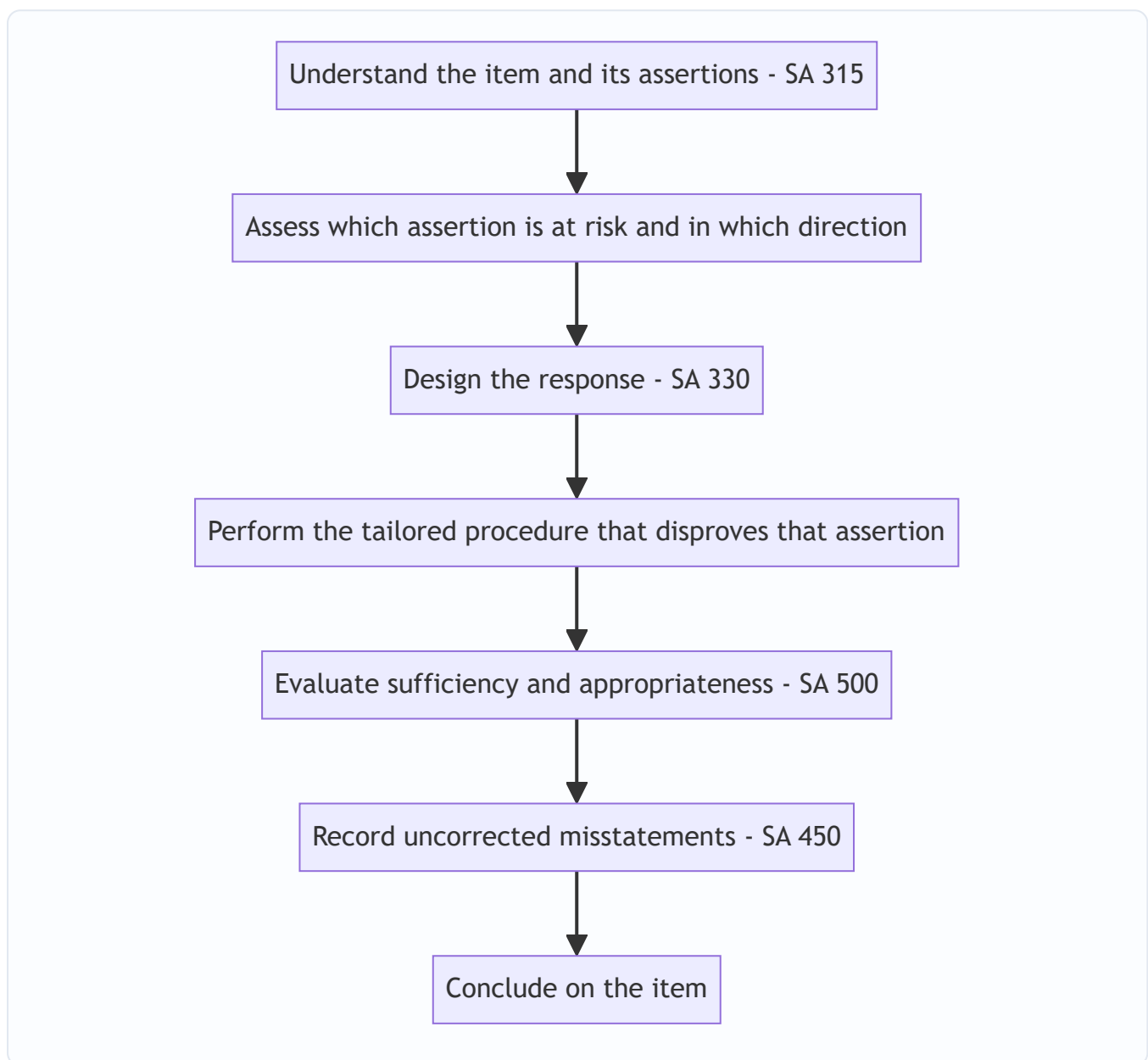
Reason it out. Contingent liabilities are estimate-driven and typically **understated** (assertions: **Completeness of disclosure, Valuation**). Under **SA 540 + SA 501**, management's own optimism is not sufficient evidence. **Response:** review **board minutes and legal-expense ledgers** for the dispute, and obtain **direct written communication from Nova's external legal counsel** on the probable outcome and range of loss. Apply Ind AS 37: if outflow is **probable** and estimable → a **provision** must be recognised; if only **possible** → **disclose** as a contingent liability; only if **remote** may it be ignored. Also review **subsequent events (SA 560)** up to the audit report date. If management refuses to provide/disclose appropriately, it is a misstatement → **modify the opinion**.

6. Procedure / Documentation Summary

For every item, the working papers must evidence the assertion-to-procedure logic (SA 230 Documentation):

- **Lead schedule** per item, agreeing to the trial balance and prior year, with analytical comparison.
- **Risk & assertion note** — which assertion is at risk, direction, and the planned response (links SA 315 → SA 330).
- **Evidence of the tailored procedure** — confirmation control logs and replies (SA 505); inventory count attendance memo, test-count sheets and roll-forward (SA 501); recomputation of depreciation/interest/valuations; cut-off test sheets; search-for-unrecorded-liabilities schedule; estimate-challenge and independent range (SA 540); legal-counsel replies.
- **Sampling basis** (SA 530) — population, method, sample size, results, and treatment of exceptions.
- **Conclusion memo** per item — assertion by assertion — and any uncorrected misstatements carried to the SA 450 evaluation.

Figure 4 — The generic item-audit workflow that repeats for every line, only the tailored procedure box changes.



7. Connections

- **To the risk model (SA 315/330):** item audit is just risk assessment and response applied figure by figure. The assertion is the shared vocabulary.
 - **To fraud (SA 240):** the direction-of-risk thinking is fraud awareness — revenue overstated, payables understated, cash misappropriated.
 - **To evidence & confirmations (SA 500/505):** the reliability hierarchy explains *why* external confirmation beats the client's ledger for existence.
 - **To estimates (SA 540) and subsequent events (SA 560):** valuation of receivables, inventory NRV, provisions, and impairments all rest on estimates confirmed or revised by later events.
 - **To going concern (SA 570):** borrowings, defaults and negative net worth surfaced during item audit feed the going-concern judgement — and all valuations assume survival.
 - **To the Companies Act 2013:** Schedule III drives *classification and disclosure* (current/non-current, title deeds, MSME dues, defaults); **CARO 2020** requires specific reporting on many of these very items (fixed assets & title deeds, inventory, loans, statutory dues, defaults). Item audit is where CARO evidence is gathered.
 - **To the audit report (SA 700/705):** unresolved item misstatements or scope limitations become qualifications, and material uncertain items become **Key Audit Matters (SA 701)**.
-

8. Traps & Examiner Tricks

- **Using the wrong-direction test.** Vouching payables (a Completeness risk) earns no marks — examiners want **search for unrecorded liabilities**. Conversely, "confirm the largest receivables" is right; "confirm the largest payables" is *incomplete* — for payables, chase the *small/nil balances with high activity*.
- **Confusing vouching and tracing.** *Vouching* (record → document) proves **Occurrence/Existence**; *tracing* (document → record) proves **Completeness**. State which and why.
- **Forgetting the SA 240 revenue presumption.** Any revenue question expects you to invoke the **rebuttable presumption of fraud in revenue recognition**.
- **SA 501 escape hatch.** If the auditor can't attend the count, the answer is *not* "qualify immediately" — first go to **alternative date** and **alternative procedures**; qualify only if evidence still can't be obtained.
- **External confirmation control.** Marks are lost if you let the *client* send/receive confirmations. The **auditor must control** the process; a management **refusal** is not the end — evaluate the reason, do alternative procedures, and consider it a scope limitation if unreasonable.
- **Netting.** Debit balances in payables and credit balances in receivables must be **reclassified**, not netted; bank overdrafts are borrowings, not negative cash.
- **Cut-off is bidirectional.** Examiners test *both* sales cut-off (overstatement) and purchase/expense cut-off (understatement) — and remember goods received before year-end must hit *both* inventory and creditors.
- **Positive vs negative confirmation.** Negative confirmations are weak — permitted only for many small, low-risk, well-controlled balances; never for material or risky ones.
- **Physical inspection ≠ ownership.** Seeing an asset proves **Existence**, not **Rights**; you still need title deeds. And counting inventory proves existence, not that it's *yours* (consignment trap) or *worth cost* (NRV trap).

- **Window dressing vs teeming and lading.** Know both: window dressing is temporary balance-sheet flattering at year-end; teeming/lading is ongoing concealment of cash defalcation by lapping receipts.

9. First-Principles Recap

Start from the trust gap: owners can't verify managers, so the auditor verifies *for* them. But the accounts are not one claim — they are a mosaic of **assertions**, and each can fail differently. Because double-entry lets you flatter profit by either inflating the asset/income side or deflating the liability/expense side, **motive gives every misstatement a direction**: assets and income are pushed **up** (audit for **overstatement** — test what's recorded for reality, ownership and value), liabilities and expenses are pushed **down** (audit for **understatement** — *search for what's missing*). The right procedure is simply the one whose evidence *matches the nature of the assertion at risk*: inspect for existence, confirm for existence-and-rights from an independent outsider, trace for completeness, recompute for valuation, challenge estimates for judgemental items. Where a particular assertion is chronically abused, the profession hard-coded a Standard — SA 501 for inventory existence and litigation, SA 505 for confirmations, SA 540 for estimates and provisions, SA 510 for opening balances. Learn the *direction and the assertion*, and every "procedure list" writes itself. That is auditing items of the financial statements from first principles: **not a checklist, but a targeted hunt for the specific lie each number is tempted to tell**.

10. Quick-Revision Sheet

Key Standards

SA	One-line trigger
SA 315	Assertions + risk assessment
SA 330	Responses: controls tests + substantive
SA 500	Sufficient appropriate evidence; external > internal
SA 501	Inventory count attendance; litigation; segments
SA 505	External confirmations; auditor controls the process
SA 510	Opening balances (first audit)
SA 520	Analytical procedures
SA 530	Sampling
SA 540	Estimates / provisions / valuations
SA 550	Related parties
SA 560	Subsequent events
SA 570	Going concern
SA 240	Fraud; revenue-recognition presumption

Item → Assertion at risk → Direction → Signature procedure

Item	Key assertion(s)	Risk direction	Signature procedure
Revenue	Occurrence, Cut-off	Overstate	Vouch to dispatch; cut-off; analytics; SA 240 presumption
Purchases/Expenses	Completeness, Occurrence, Cut-off	Both	Search for unrecorded liabilities; vouch; cut-off
PPE	Existence, Valuation, Rights	Overstate	Register-to-floor inspection; recompute depreciation; title deeds
Inventory	Existence, Valuation, Rights	Overstate	SA 501 count attendance + test counts; lower of cost/NRV; obsolescence
Receivables	Existence, Rights, Valuation	Overstate	SA 505 positive confirmation; subsequent receipts; age + ECL
Investments	Existence, Valuation, Rights	Overstate	Inspect/custodian confirmation; fair value; classification
Cash & Bank	Existence, Completeness, Cut-off	Both	Bank confirmation (SA 505); BRR review; cash count
Borrowings	Completeness, Presentation, Cut-off	Understate	Lender confirmation; agreements; charge registration; accrue interest
Trade payables	Completeness, Cut-off	Understate	Search for unrecorded liabilities; supplier-statement reconciliation; confirm SMALL/nil balances
Provisions/Contingencies	Completeness, Valuation, Presentation	Understate	SA 540 challenge estimate; legal-counsel letters; SA 560 events
Equity	Occurrence, Presentation, Compliance	—	Resolutions + ROC; Companies Act compliance; reconcile reserves

Memory hooks

- **Assets & income** → audit for **OVERSTATEMENT**. **Liabilities & expenses** → audit for **UNDERSTATEMENT**.
- **Vouch = Occurrence; Trace = Completeness; Inspect = Existence; Confirm = Existence + Rights; Recompute = Valuation.**
- **Inventory ladder (SA 501):** attend count → alternative date + roll-forward → alternative procedures → qualify.
- **Confirmations (SA 505):** auditor controls; positive for risky, negative only for small/low-risk; refusal → evaluate + alternatives + maybe scope limitation.
- **Payables trap:** confirm the *small* high-activity balance, not the big one.

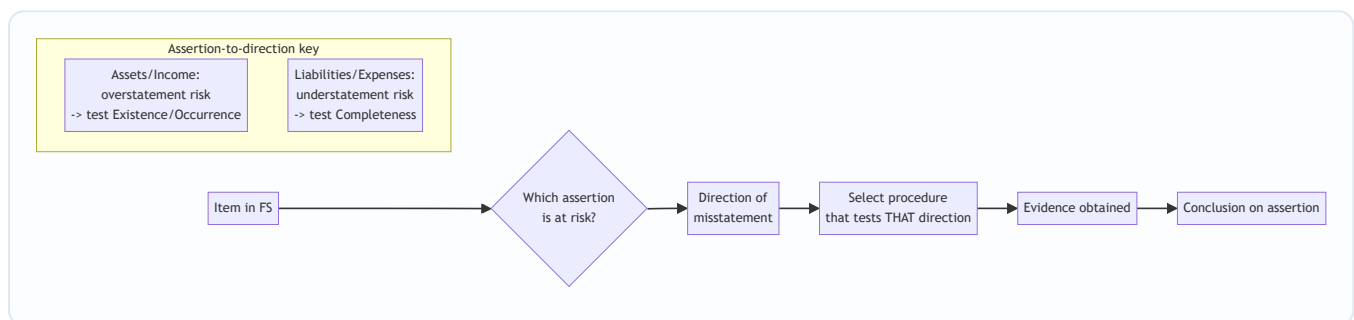
(Where an exact SA clause or Companies Act section number is decisive in your answer, confirm it against current ICAI study material and the latest Schedule III / CARO 2020 wording, as these are periodically updated.)

Q&A — Audit of Items of Financial Statements

CA Intermediate — Auditing & Ethics. Every question is followed by a complete model answer citing the relevant SA/section. Standards referenced are Indian Standards on Auditing (SAs) issued by ICAI and provisions of the Companies Act, 2013. No standards have been invented.

The one-line mental model

The examiner never asks "audit revenue." He asks "audit the **assertion about revenue that is most likely to be misstated in the direction management prefers.**" Assertions are the bridge from *risk* to *procedure*. Pick the wrong assertion and you pick the wrong tool.



First principle (double-entry direction): overstating an asset or income overstates profit; understating a liability or expense also overstates profit. So for **assets and income** the auditor fears *overstatement* and tests **Existence / Occurrence**; for **liabilities and expenses** the auditor fears *understatement* and tests **Completeness**.

Section A — Concept-check (short questions + answers)

A1. What is an "assertion" and why does the auditor care about the *direction* of misstatement?

Assertions are the representations, explicit or implied, that management makes in the financial statements about classes of transactions, account balances and disclosures (per SA 315, "Identifying and Assessing the Risks of Material Misstatement"). They include Existence, Rights & Obligations, Completeness, Valuation/Accuracy, Occurrence, Cut-off, Classification and Presentation. Direction matters because management's incentive is usually to overstate profit — hence assets/income are audited chiefly for *overstatement* (Existence/Occurrence) and liabilities/expenses for *understatement* (Completeness). The assertion at risk dictates the procedure.

A2. Which single assertion is the primary target when auditing revenue, and which SA presumes a fraud risk there? The **Occurrence** assertion (did the sale really happen and belong to this period). SA 240, "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements," creates a **rebuttable presumption of fraud risk in revenue recognition**. Cut-off is the close cousin — recording next-year sales in this year.

A3. When is the auditor *required* to attend physical inventory counting, and under which SA? Under SA 501, "Audit Evidence — Specific Considerations for Selected Items," when inventory is material the

auditor shall attend physical counting (unless impracticable) to: evaluate management's count instructions, observe procedures, inspect the inventory, and perform test counts. This addresses primarily the **Existence** assertion.

A4. If attendance on the counting date is impracticable, what does SA 501 permit? Attend on an **alternative date** and perform audit procedures over **intervening transactions** (roll-back/roll-forward). If attendance itself is impracticable, perform alternative procedures; if even those cannot give sufficient appropriate evidence, **modify the opinion** under SA 705.

A5. What is external confirmation and which SA governs it? Evidence obtained as a direct written response to the auditor from a third party (a confirming party), governed by **SA 505, "External Confirmations."** Positive confirmation asks the party to respond in all cases; negative confirmation asks for a response only if they disagree. It is most useful for the **Existence / Rights** assertion of receivables and bank balances.

A6. Which assertion is the weak point for trade payables and provisions, and why? Completeness. Because management prefers to understate liabilities (to boost profit and net worth), the fear is *unrecorded* payables and *under-provided* obligations — so the auditor searches for unrecorded liabilities rather than merely vouching what is booked.

A7. Which SA governs auditing accounting estimates such as provisions and contingent liabilities? SA 540, "Auditing Accounting Estimates and Related Disclosures." It requires the auditor to evaluate the method, assumptions and data, test how management made the estimate, and consider indicators of management bias. Contingent liabilities and provisions turn on estimation and judgment, so SA 540 drives the work.

A8. Under the Companies Act, 2013, name two clauses of CARO 2020 an auditor cross-checks while auditing PPE. CARO 2020 requires reporting on (a) maintenance of **proper records of Property, Plant & Equipment** showing full particulars including quantitative details and situation, and whether PPE has been **physically verified** at reasonable intervals; and (b) whether **title deeds of immovable property** are held in the company's name. These map to the Existence and Rights & Obligations assertions of PPE.

A9. What is "cut-off" and give the direction of error it guards against for sales and purchases. Cut-off tests that transactions are recorded in the correct period. For **sales**, the risk is recording *next period's* sales in the *current* period (overstatement of income). For **purchases/expenses**, the risk is pushing *current* period costs into the *next* period (understatement of expense). It is tested by examining despatch/GRN documents around the year-end date.

A10. Which assertion dominates the audit of investments, and what evidence supports it? Valuation (are investments carried correctly — at cost, fair value or per applicable AS/Ind AS with impairment) alongside **Existence/Rights**. Evidence: inspection of physical scrips or **demat/DP statements and CDSL/NSDL confirmations**, market quotations for fair valuation, and confirmation for investments held by third parties (SA 505).

Section B — Applied scenarios (situation → audit response with reasoning)

B1. Channel stuffing. A consumer-goods company reports a sharp spike in sales in the last week of March, followed by heavy sales returns in the first week of April. How should the auditor respond? **Response:** This is a classic **Occurrence + Cut-off** red flag, and SA 240 presumes fraud risk in revenue. The auditor should: (i)

examine **despatch documents, gate-pass and lorry receipts** for late-March invoices to verify goods actually left; (ii) test **cut-off** by tracing invoices booked around 31 March to proof of delivery and terms of transfer of control; (iii) review **post year-end sales returns / credit notes** and reverse revenue where sale did not truly occur before year-end; (iv) scrutinise dealer agreements for **right-of-return or "sale-or-return"** arrangements that defeat recognition; (v) consider confirming key dealer balances (SA 505). If revenue is inflated, insist on correction; else evaluate impact on the opinion under SA 705.

B2. Late inventory count. Due to a plant lockout, the company could count inventory only on 10 April instead of 31 March. Inventory is material. What does the auditor do? **Response:** SA 501 permits attendance on an **alternative date**. The auditor attends the 10 April count, performs test counts and observes controls, then audits **intervening transactions** (purchases, sales, production 1–10 April) to **roll back** the 10 April quantities/value to 31 March and reconcile. Verify the reconciliation with GRNs, despatch notes and production records. If the intervening records are unreliable or attendance/alternative procedures cannot yield sufficient appropriate evidence on **Existence**, the auditor modifies the opinion (qualified or disclaimer) under SA 705.

B3. Small creditor / unrecorded liability. During the search for unrecorded liabilities, the auditor finds a goods-received note dated 28 March for which no purchase invoice is booked and no provision made; the supplier is small and the amount modest. Response? **Response:** The assertion at risk for payables is **Completeness**, and the *individually immaterial* amount can be misleading — the auditor evaluates it as one instance in a pattern. Procedure: examine **post year-end payments and unpaid invoices** in April, trace the 28 March GRN to see if the liability belongs to the current year, and check whether goods are included in year-end inventory (if the stock is in but the payable is out, both purchases and creditors are understated). If it belongs to March, propose an adjustment to record the payable/accrual. Aggregate all such findings against materiality before concluding (SA 320 / SA 450).

B4. Under-provided lawsuit. A company is defending a ₹5 crore product-liability suit. Its lawyer says an adverse outcome is "probable" and the likely payout ₹3–4 crore, but the company provides only ₹50 lakh and discloses the rest as a contingent liability. Response? **Response:** This is an **accounting estimate** under **SA 540** and a completeness/valuation issue for provisions. Per AS 29 (Provisions, Contingent Liabilities and Contingent Assets), a **present obligation that is probable and reliably estimable requires a provision**, not mere disclosure. The auditor should: (i) obtain **direct confirmation / legal opinion from the company's lawyers** on likelihood and range; (ii) evaluate management's assumptions and check for **management bias** (under-provisioning to protect profit); (iii) conclude the ₹50 lakh provision is understated and the estimate unreasonable. Request correction to provide the best estimate. If management refuses and the amount is material, **qualify or issue an adverse opinion** under SA 705; obtain written representations (SA 580) but never as a substitute for evidence.

B5. Negative confirmation only. For a large book of small retail debtors with strong controls and low exception history, the audit senior proposes only negative confirmations. Is that acceptable? **Response:** Under SA 505, negative confirmations may be used **only when all** of these hold: risk of material misstatement is **low** and controls are effective, the population is **large and homogeneous with small balances**, a **low exception rate** is expected, and the auditor is not aware of circumstances that would cause recipients to disregard them. Since those conditions are met here, negative confirmation is acceptable as *one* source, but because non-response is treated as agreement, the auditor should **combine** it with other substantive procedures (subsequent receipts testing). If risk were higher, positive confirmations would be required.

Section C — Past-paper-style descriptive questions with model answers

C1. "How would you verify Revenue from the sale of goods?" (Assertions, procedures, SA references.)

Model answer: Revenue is audited principally for **Occurrence, Cut-off, Accuracy and Completeness**, with a fraud presumption under **SA 240**. - **Occurrence:** Vouch a sample of recorded sales to **invoices, despatch documents, customer orders and gate passes**; confirm goods left the premises and control passed. - **Cut-off:** Examine the **last few despatch notes/invoices before and after year-end** to ensure sales are recorded in the correct period; review post-year sales returns. - **Accuracy:** Recompute invoice amounts, check price/quantity to approved price lists and reconcile to the general ledger. - **Completeness:** Trace despatch notes to invoices to ensure all goods sold are billed. - **Analytical procedures (SA 520):** Compare gross margins, monthly sales trends and revenue per unit against prior year and expectation. - **Presentation:** Check disclosure per applicable AS/Ind AS and Schedule III of the Companies Act, 2013.

C2. "State the auditor's duties regarding physical verification of inventory under SA 501." (Detailed.)

Model answer: Under **SA 501**, when inventory is material to the financial statements the auditor shall **attend physical inventory counting**, unless impracticable, and: (a) **Evaluate management's instructions and procedures** for recording and controlling the count; (b) **Observe** the performance of the count procedures; (c) **Inspect** the inventory (condition, obsolescence, damaged/slow-moving items — a **Valuation** concern); (d) Perform **test counts** — trace items from floor to records (Completeness) and from records to floor (Existence). If counting is at a date **other than the balance-sheet date**, perform procedures on **intervening transactions**. If attendance is **impracticable**, perform **alternative procedures**; where inventory is held by a **third party**, obtain **confirmation** from that party (SA 505) and/or inspect. If sufficient appropriate evidence cannot be obtained, **modify the opinion (SA 705)**. Under CARO 2020 the auditor also reports on the reasonableness of coverage and discrepancies of 10% or more.

C3. "Explain external confirmation of trade receivables — process, positive vs negative, and treatment of non-responses." (SA 505.)

Model answer: Per **SA 505**, external confirmation is direct written evidence from a third party. For receivables it tests **Existence and Rights**. - **Control:** The auditor must **control** the confirmation process — select the items, design the request, send them, and receive responses **directly** (never routed through the client). This preserves reliability. - **Positive confirmation:** The debtor responds whether or not they agree; used when risk is higher. **Negative confirmation:** the debtor responds only on disagreement; used only when the four low-risk conditions are met. - **Non-response to positive requests:** Perform **alternative procedures** — inspect subsequent cash receipts, sales invoices and despatch documents. - **Exceptions (disagreements):** Investigate to determine whether they indicate misstatement. - **Management refusal to allow confirmation:** Enquire into reasons, seek other evidence, and evaluate the refusal as a possible **fraud risk factor** (SA 240) and a possible **scope limitation** (SA 705). - **Reliability doubts:** If responses arrive by unreliable means (e.g., unverified email/fax), verify the source and authenticity.

C4. "How does an auditor verify Property, Plant and Equipment (PPE), and what does the Companies Act require?"

Model answer: PPE is audited for **Existence, Rights & Obligations, Valuation and Completeness of additions/deletions**. - **Existence:** Verify **physical verification** by management and review the reconciliation of the fixed-asset register with the ledger. - **Rights:** Inspect **title deeds** for immovable property and invoices/registration for movables; **CARO 2020** requires reporting whether title deeds are in the company's name. - **Additions:** Vouch to **invoices, board approval and capitalisation policy**; ensure revenue vs capital classification is correct. - **Deletions:** Verify **authorisation, sale consideration and profit/loss on disposal**. - **Valuation:** Check depreciation is charged per **Schedule II of the Companies Act, 2013** (useful-life based) and test for **impairment (AS 28 / Ind AS 36)**. - **CARO 2020** additionally requires

reporting on maintenance of proper PPE records with quantitative details and situation, physical verification at reasonable intervals with material discrepancies dealt with, title-deed holding, and revaluation reasonableness.

C5. "Write short notes on auditing (a) borrowings and (b) provisions & contingent liabilities." Model answer: (a) Borrowings — Audited for **Completeness, Obligation, Accuracy and Presentation**. Obtain **confirmations from lenders** (SA 505) for balances and terms; verify **board/ special resolutions** authorising borrowing (Section 179/180, Companies Act, 2013); check **charge creation/registration** with the Registrar (Sections 77–78) and CARO 2020 reporting on **default in repayment** of loans/interest; recompute interest and test cut-off of accruals. Completeness is key — search for unrecorded borrowings. **(b) Provisions & contingent liabilities** — These are **accounting estimates under SA 540** governed by **AS 29**. Distinguish a **provision** (present obligation, probable outflow, reliable estimate → recognise) from a **contingent liability** (possible obligation or not reliably estimable → disclose only). The auditor evaluates the **method, assumptions and data**, tests management's estimation process, checks for **management bias** (under-provisioning), obtains **legal confirmations** for litigation, reviews subsequent events (SA 560), and verifies disclosure. Under-provision that is material and uncorrected leads to modification under SA 705.

Section D — MCQs / case scenarios (correct option + one-line reasoning)

D1. SA 240 creates a rebuttable presumption of fraud risk in: (a) Purchases (b) **Revenue recognition** (c) Payroll (d) Depreciation **Answer: (b)** — SA 240 presumes fraud risk exists in revenue recognition.

D2. The primary assertion tested by attending physical inventory count under SA 501 is: (a) Valuation (b) Rights (c) **Existence** (d) Presentation **Answer: (c)** — Observing and test-counting stock confirms the inventory actually exists.

D3. For trade payables, the assertion of greatest audit concern is: (a) Existence (b) Rights (c) **Completeness** (d) Classification **Answer: (c)** — The risk is *unrecorded* liabilities understating profit.

D4. Negative external confirmations are appropriate only when: (a) Risk is high (b) Balances are few and large (c) **Risk is low, population large and homogeneous, low exception rate expected** (d) Controls are weak **Answer: (c)** — These are the SA 505 conditions for negative confirmations.

D5. A provision must be recognised (not merely disclosed) when the outflow is: (a) Possible (b) Remote (c) **Probable and reliably estimable** (d) Uncertain in timing only **Answer: (c)** — AS 29 requires recognition once outflow is probable and the amount is reliably estimable.

D6. Auditing accounting estimates such as provisions is primarily governed by: (a) SA 501 (b) SA 505 (c) **SA 540** (d) SA 570 **Answer: (c)** — SA 540 deals with auditing accounting estimates and related disclosures.

D7. Case scenario. An auditor finds that goods received on 30 March are included in closing inventory, but the corresponding supplier invoice is booked on 5 April with no year-end accrual. The most likely effect is: (a) Sales overstated (b) **Purchases and trade payables both understated** (c) Inventory understated (d) No effect **Answer: (b)** — Stock is in but the liability is out, so both purchases (expense) and creditors are understated — a Completeness/cut-off failure.

D8. Case scenario. Management refuses to allow the auditor to send confirmations to three large debtors. Per SA 505, the auditor should first: (a) Immediately qualify the opinion (b) **Enquire into the reasons and seek alternative evidence, treating it as a possible fraud risk / scope limitation** (c) Ignore those debtors

(d) Rely on a management representation letter alone **Answer: (b)** — SA 505 requires enquiry, alternative procedures, and evaluation as a fraud-risk factor / scope limitation before any modification.

D9. Depreciation on PPE for a company is to be provided as per: (a) AS 29 (b) **Schedule II of the Companies Act, 2013** (c) SA 501 (d) Schedule III **Answer: (b)** — Schedule II prescribes useful lives for computing depreciation.

D10. The best evidence for existence of quoted investments held in demat form is: (a) Broker's contract note only (b) **DP / demat statement and CDSL-NSDL confirmation** (c) Board minutes (d) Bank statement **Answer: (b)** — The depository statement/confirmation directly evidences existence and ownership.

Trap & examiner-trick checklist

- **Wrong assertion trap:** Being asked to "verify creditors" and reflexively *vouching booked invoices* — that tests Existence, but the real risk is **Completeness (unrecorded liabilities)**.
- **Direction trap:** Assets/income → fear **overstatement**; liabilities/expenses → fear **understatement**. Say the direction explicitly in answers.
- **SA 501 impracticability:** Do **not** jump to a disclaimer — first try alternative date + intervening transactions, then alternative procedures, *then* SA 705.
- **Confirmation control:** State that the auditor must **control** the process and receive replies **directly**; a reply routed via the client is unreliable.
- **Negative confirmation:** Cite the **four conditions** or lose the mark; non-response = deemed agreement, a weakness.
- **Provision vs contingent liability:** Anchor to **AS 29** (probable + reliably estimable = provision) and **SA 540** for the estimation audit.
- **Written representations (SA 580):** Never a *substitute* for available audit evidence.
- **Always cite the SA/section number** — SA 240, 315, 320/450, 501, 505, 520, 540, 560, 580, 705, and Companies Act Schedule II/III, Sections 77–78/179–180, and CARO 2020.

Quick-revision matrix (item → assertion → direction → key procedure → SA)

Item	Primary assertion	Feared direction	Key procedure	Anchor
Revenue	Occurrence / Cut-off	Overstatement	Vouch to despatch docs; cut-off; review returns	SA 240, 520
Purchases/Expenses	Completeness / Cut-off	Understatement	Search for unrecorded liabilities; cut-off	SA 315, 330
PPE	Existence / Rights	Overstatement	Physical verification; title deeds; Sch II depn	CARO 2020, Sch II
Inventory	Existence / Valuation	Overstatement	Attend count; test counts; NRV	SA 501
Receivables	Existence / Rights	Overstatement	Positive/negative confirmation; subsequent receipts	SA 505
Investments	Valuation / Existence	Overstatement	Demat/DP confirmation; fair value	SA 505, AS 13
Cash & bank	Existence	Overstatement	Bank confirmation; reconciliation	SA 505
Borrowings	Completeness / Obligation	Understatement	Lender confirmation; charge registration; default	SA 505, Sec 77
Trade payables	Completeness	Understatement	Unrecorded-liability search; post-year payments	SA 315
Provisions / Contingencies	Completeness / Valuation	Understatement	Legal confirmation; estimate evaluation; bias	SA 540, AS 29
Equity	Rights / Presentation	—	Verify allotment, resolutions, Sch III disclosure	Sec 179/180, Sch III

First-principles recap: Assertion → direction → procedure. Assets and income are audited for *overstatement* (Existence/Occurrence); liabilities and expenses for *understatement* (Completeness). Dedicated SAs — 501 (inventory), 505 (confirmations), 540 (estimates) — exist precisely because those items resist ordinary vouching. Cite the standard, name the assertion, state the direction, and the procedure writes itself.

Chapter 07 — Audit in an Automated Environment

1. The Problem

Return to the founding problem of this whole subject. A company's managers keep the books; the owners (and lenders, tax authorities, the public) must **trust** those books without being able to check every entry themselves. Audit exists to close that trust gap. The auditor gathers evidence, tests it against reality, and forms an independent opinion.

Now change one thing about the world: **the books are no longer written by hand in a ledger**. They live inside a computer system — an ERP like SAP or Oracle, a Tally installation, a bespoke banking core, a cloud accounting platform. A sales invoice is not a signed paper document in a file; it is a row in a database table, generated automatically when a warehouse scanner logs a dispatch. Interest on a savings account is not calculated by a clerk; a program runs overnight and posts thousands of entries in seconds. A three-way match between purchase order, goods receipt and invoice is not done by a human comparing three papers; a rule inside the software either releases the payment or blocks it.

The **trust problem has not changed** — owners still cannot verify the books themselves. But the **shape of the risk has changed completely**, and if the auditor keeps auditing the way one audits a paper world, the audit will silently fail. Here is why:

- **The visible audit trail dissolves.** In a manual system, every step leaves a paper mark — a signed voucher, an initial in the margin, a stamped register. You can *follow* a transaction with your eyes. In an automated system, a transaction may be born, approved, and posted with **no human touch and no printout**. The "trail" is now electronic, may be fleeting, and may be invisible unless you deliberately go and extract it.
- **Controls move inside the machine.** In a manual world, the control "a senior authorises payments above ₹1 lakh" is a person signing. In an automated world, that control is a line of program logic. It works *perfectly and identically every single time* — which is wonderful when the logic is right and **catastrophic and uniform when the logic is wrong**. A human clerk makes random errors; a program makes the *same* error on *every* transaction until someone notices.
- **A single failure becomes pervasive.** Because the whole entity often runs on one system, a weakness in *how the computer environment itself is managed* — who can change programs, who can access data, whether backups work — is not a risk to one account. It is a risk to **everything the system touches at once**. This is why IT risk is called *pervasive*.
- **Speed and volume defeat manual testing.** You cannot vouch a sample of 25 invoices and feel comfortable when the system processes 4 crore invoices, each capable of being wrong in the same programmed way. The sample tells you about the 25; the *program* tells you about the 4 crore.

So the risk this chapter addresses is precise: **In a computerised environment, misstatements can arise silently, uniformly, and at massive scale, from causes (program logic, access rights, data integrity) that are invisible to a paper-style audit.** Everything that follows — SA 315's requirement to understand IT, the split between general and application controls, CAATs, data analytics, the choice to audit *through* rather than *around* the computer — is a designed response to that single risk.

First-principles anchor. The computer did not create new *types* of lies (fraud and error are ancient). It changed *where* they hide, *how consistently* they repeat, and *how fast* they multiply. The audit must follow the risk into the machine.

2. The Core Idea

The core idea of this chapter can be compressed into one sentence:

When accounting moves into a computer, the auditor must move the audit into the computer too — understanding, testing, and using the technology rather than pretending it is a black box.

This unfolds into three linked commitments:

1. **Understand the IT environment as part of understanding the entity (SA 315).** You cannot assess risk in a system you do not understand. The auditor must grasp *how* the numbers are produced by the technology, not just *what* the numbers are.
2. **Distinguish two layers of control, because they fail differently.** - **Application controls** live inside a specific business process (e.g., the purchase system won't accept a negative quantity). They protect *individual* assertions in *individual* processes. - **IT General Controls (ITGCs)** are the environment-wide plumbing — access management, change management, operations, backup. They don't touch any single transaction directly; instead they determine **whether you can rely on the application controls at all**. If anyone can change a program overnight, no application control is trustworthy.
3. **Choose an audit approach that matches the system: through the computer, not merely around it.** Auditing *around* the computer treats the machine as a black box — check inputs, check outputs, ignore the processing. Auditing *through* the computer opens the box: test the logic and controls inside. In modern, high-volume, automated systems, around-the-computer is often *not enough*, and the auditor uses **CAATs and data analytics** to test the processing and the whole population directly.

Hold these three ideas. The rest of the chapter is their justification and mechanics.

3. Why It's Built This Way

Why does the profession structure automated-environment auditing exactly like this — two control layers, a preference for auditing *through*, a toolkit of CAATs? Because each design choice answers a specific weakness of the computerised world.

Why two layers (general vs application)? Because reliability is *conditional*. An application control is only as trustworthy as the environment that hosts it. Imagine a beautifully designed application control that rejects duplicate vendor invoices. Now imagine that the IT environment is so loose that a programmer can log into production at night and switch that control off, run a fraudulent batch, and switch it back on. The application control *looks* perfect in a walkthrough and is *worthless* in reality. So auditors were forced to recognise a foundational layer — ITGCs — whose entire job is to make application controls *dependable*. **You test ITGCs first; only if they hold can you place reliance on application controls.** This dependency is the single most important structural idea in the chapter.

Why prefer auditing *through* the computer? Because in an automated environment the *processing* is where value is added and where risk concentrates. If a program silently drops the second decimal on every interest calculation, inputs look fine and each individual output looks *plausible* — the error is only visible if you interrogate the logic or re-perform on the whole population. Auditing around the computer would miss it. As systems became more integrated and paper outputs vanished, "around" stopped being a real option for large parts of the audit.

Why CAATs and data analytics? Because the auditor's traditional weapon — sampling — is a *concession to human limits*, not a virtue. We sampled because a human could not examine a million vouchers. A computer *can*. CAATs let the auditor examine **100% of the population**, re-perform calculations exactly, and spot patterns (round-sum entries, weekend postings, duplicate payments, gaps in invoice numbering) that no sample would reveal. The technology that created the risk also supplies the tool to audit it.

Why anchor all this in SA 315 and SA 330? Because the profession refuses to bolt "IT auditing" on as a separate exotic activity. It is *the same risk-based audit*: **understand the entity and its environment (including IT) → identify and assess risks of material misstatement → design responses**. SA 315 forces you to understand IT and its controls; SA 330 forces your procedures to *respond* to what you found. Automated-environment auditing is not a new religion; it is the standard risk model, honestly applied to a computerised entity.

4. Full Technical Content

This is the exam-bearing core. Every requirement below is paired with the risk it answers.

4.1 How a computerised environment changes the audit (the drivers)

Change	What it means	Why it matters (the risk)
Loss of visible/paper audit trail	Transactions may leave no printed evidence; the trail is electronic and possibly transient	Auditor cannot "follow the paper"; must extract electronic evidence deliberately, sometimes in real time before it is overwritten
Uniform (systematic) processing	The program treats every like transaction identically	A single logic error is repeated on the <i>entire</i> population — errors become systematic, not random
Automated (programmed) controls	Controls are program logic, not human acts	They are consistent but only as good as the code; a wrong control fails invisibly and pervasively
Potential for unauthorised access & data manipulation	Data is concentrated and remotely reachable	Concealment of fraud, unauthorised changes, loss of segregation of duties
Reduced human involvement / segregation	One system may combine incompatible functions	Traditional manual segregation of duties may be lost; must be enforced by system access rights instead
High speed & volume	Millions of transactions processed instantly	Manual sample testing is inadequate; population-level techniques become necessary
Dependence and pervasiveness of IT	Whole entity relies on the system	An environment-level weakness threatens <i>all</i> financial assertions simultaneously

Exam framing: If asked "how does a computerised environment affect the audit / audit approach," structure your answer around these drivers, each tied to its risk. Do not just list features of computers.

4.2 Relevant Standards on Auditing (SAs)

Automated-environment auditing is not governed by one "IT SA." It is woven through the risk-assessment standards. Know these citations:

- **SA 315 — Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment.** This is the anchor. It **explicitly requires** the auditor to obtain an understanding of the **information system**, including the related business processes and **how the entity uses IT**, and to understand the **controls, including IT general controls and application controls**, relevant to the audit. *Why:* you cannot assess a risk in technology you do not understand. SA 315 also introduces the idea that IT gives rise to specific **risks arising from the use of IT** (e.g., unauthorised access, unauthorised changes, reliance on inaccurate systems).
- **SA 330 — The Auditor's Responses to Assessed Risks.** Once SA 315 tells you *where* the risk is, SA 330 requires your procedures to *respond*. If you intend to **rely on automated controls**, SA 330 requires you to test those controls and, crucially, to test the **IT general controls** that support their **continued effective operation** throughout the period. *Why:* an automated control tested as working on one day is presumed to work all year *only if* change/access controls prevented it from being altered — hence you must test ITGCs.

- **SA 240 — The Auditor's Responsibilities Relating to Fraud.** In an automated environment, fraud can be perpetrated through unauthorised access and data manipulation, and **journal entry testing** (an SA 240 requirement) is often best done using CAATs across the full population.
- **SA 500 — Audit Evidence.** Electronic evidence must still be sufficient and appropriate; its **reliability depends on the controls over its preparation and maintenance** — again pointing back to ITGCs.

Confirm exact wording in ICAI material. Paraphrase the requirements as above for concept clarity, but reproduce SA numbers and titles precisely in the exam; ICAI marks citation accuracy.

4.3 The two control layers

(a) IT General Controls (ITGCs) — the foundation

Definition & purpose: ITGCs are policies and procedures that apply to the IT environment as a whole and **support the continued proper operation of application controls**. They do not process transactions themselves. Their job is to make everything *else* trustworthy. **If ITGCs are weak, you cannot rely on any automated application control** — you must fall back on substantive testing.

The standard ITGC domains, each with its guardian *why*:

ITGC domain	What it controls	The WHY (risk it counters)
Access Security / Logical access	Who can log in, to what, with what rights; passwords, roles, privileged access	Prevents unauthorised viewing/changing of data and programs; enforces segregation of duties that used to be manual. Without it, one person could initiate <i>and</i> approve <i>and</i> conceal
Change Management (Program change controls)	How programs are modified — request, test, approve, migrate to production; separation of dev/test/prod	Ensures only authorised, tested changes reach the live system. Without it, a wrong or malicious change silently corrupts <i>every</i> future transaction
Program Development / SDLC	How new systems are built and implemented	Ensures new applications are correctly designed, tested and authorised before going live
IT Operations	Job scheduling, batch processing, incident management, monitoring	Ensures processes run completely and on time ; failed/duplicated jobs are detected. Without it, batches may be missed or run twice
Backup, Recovery & Business Continuity	Data backups, disaster recovery, restoration testing	Ensures data is not permanently lost and can be recovered — protects completeness and existence of records

The keystone principle: ITGCs and application controls have a **dependency relationship**. Application controls are *effective* only when the underlying ITGCs are *effective*. Therefore the audit sequence is: **test ITGCs → if they operate effectively, place reliance on automated application controls → reduce substantive testing accordingly**. If ITGCs fail, automated controls cannot be relied upon and the auditor increases substantive procedures (often using CAATs).

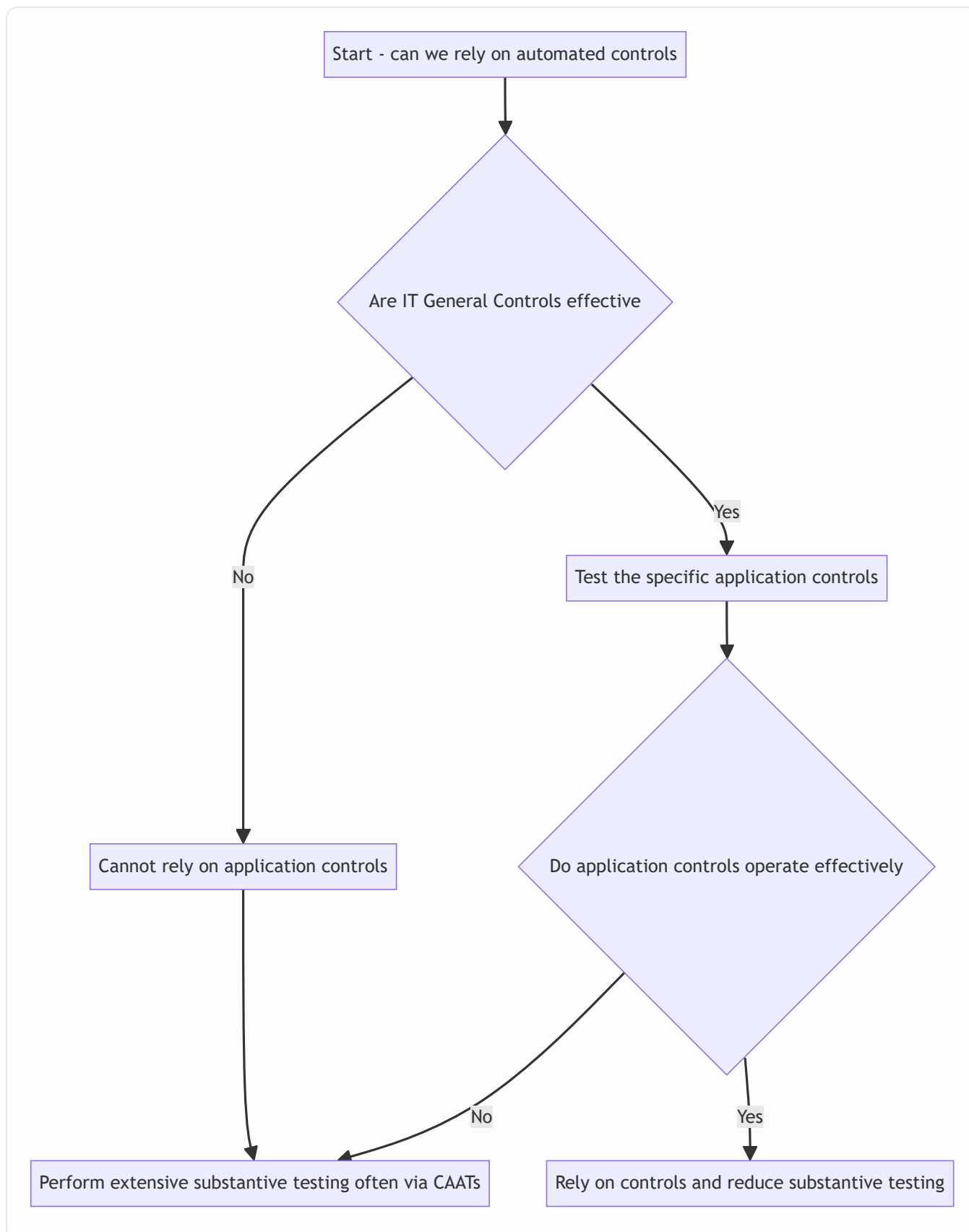


Figure 7.1 — The dependency gate: application-control reliance is unlocked only after IT general controls pass.

(b) Application Controls — the transaction-level guards

Definition & purpose: Application controls are controls embedded within a specific business-process application that operate at the level of **individual transactions**. They may be **automated** (performed by the program), **manual**, or **IT-dependent manual** (a person acts, but relies on a system-generated report — so the control is only as good as the report's integrity). Their purpose is to ensure the **completeness, accuracy, validity and authorisation** of transactions as they are captured, processed and reported.

Classic application-control types, mapped to assertions and *why*:

Control type	Example	Assertion protected	Why
Input controls / validation checks	Field must be numeric; date must be valid; mandatory fields; check digit ; range check; format check	Accuracy, Validity	Stops bad data entering — "garbage in, garbage out" prevention
Existence / validity checks	Vendor code must exist in master file before invoice is accepted	Validity, Occurrence	Prevents transactions against non-existent or unauthorised masters
Reasonableness / limit checks	Reject salary entry above a threshold; flag negative inventory	Accuracy	Catches out-of-range values a human might miss
Sequence / completeness checks	System flags missing invoice numbers; control totals / hash totals ; run-to-run totals	Completeness	Ensures no transaction is lost or duplicated in processing
Duplicate checks	Same invoice number + vendor rejected	Occurrence (no double-count)	Prevents duplicate payments/postings
Authorisation / matching controls	Three-way match PO + GRN + invoice before payment; workflow approval limits	Authorisation, Occurrence	Ensures only approved, genuine transactions proceed
Configuration controls	System-configured tax rates, credit limits, posting rules	Accuracy, Authorisation	The "settings" that drive automated processing — wrong config = systematic error
Output controls	Reconciliation of output to input; restricted distribution of reports	Completeness, Confidentiality	Ensures results are complete and reach only authorised users

Key insight for the exam: An **automated application control** has a superpower and a curse.

Superpower: test it *once*, and (provided ITGCs — especially change management — held all year) you may conclude it worked *all year*. This is the **"benefit of consistency."** Curse: if it is misconfigured, it is wrong on *every* transaction. This is why change-management ITGC is the linchpin: it is what justifies extrapolating a single control test across the whole period.

4.4 Auditing *around* vs *through* the computer

	Around the computer	Through the computer
Treats the system as	A black box	A box to be opened
What is tested	Inputs and outputs only; if outputs reconcile to inputs, processing is <i>assumed</i> correct	The processing, logic and programmed controls themselves
Evidence about processing	Indirect / inferred	Direct
When acceptable	Simple systems; strong visible audit trail; low volume; standard packaged software with reliable outputs	High volume, complex/integrated systems, no paper trail, significant automated controls
Main risk	A processing error that does not disturb the input-output reconciliation goes undetected	Requires IT skill and tools, but gives real assurance
Tools	Manual vouching of documents	CAATs , test data, integrated test facility, data analytics

Auditing around is legitimate only when the system is simple enough and the audit trail visible enough that correct outputs genuinely imply correct processing. As automation, integration and volume rise, this assumption breaks, and the auditor must audit **through** the computer.

A third, modern label you may meet: **auditing with the computer** — using the computer as a *tool* (CAATs, analytics) regardless of approach. In practice, auditing through the computer in a modern audit is done *with* the computer.

4.5 CAATs — Computer-Assisted Audit Techniques

What they are & why: CAATs are the use of computer tools and data to perform audit procedures directly on the entity's electronic data and systems. **Why they exist:** manual procedures cannot cope with electronic-only trails, high volume, and the need to test *processing*. CAATs let the auditor test the **whole population**, re-perform computations exactly, and interrogate the system's own logic.

When CAATs become appropriate / necessary (the drivers): absence of input documents / no visible audit trail; high transaction volume; need to test 100% of a population; need to re-perform complex calculations; testing automated application controls; and improving audit **effectiveness and efficiency**.

Principal CAAT tools:

CAAT	What it does	Why / typical use
Test data	Auditor feeds <i>dummy</i> transactions (both valid and deliberately invalid) through the client's live/copy program to see if programmed controls react correctly	Tests whether application controls actually work — e.g., does the system really reject a negative quantity? Caution: must not corrupt live data
Integrated Test Facility (ITF)	A dummy entity/module is embedded in the <i>live</i> system; auditor's test transactions run alongside real ones and are later reversed	Tests processing under real operating conditions without a separate copy
Parallel simulation	Auditor writes/uses an <i>independent</i> program to re-process the client's <i>real</i> data and compares results to the client's output	Directly verifies processing accuracy on real data
Embedded audit facility / SCARF (System Control and Review File)	Audit routines built into the system continuously capture unusual transactions to an audit log	Continuous auditing ; captures transient transactions that leave no trail
Generalised Audit Software (GAS)	Packaged tools (e.g., IDEA, ACL) that read client data files and let the auditor sort, filter, total, stratify, sample, recompute, find gaps/duplicates	The workhorse for substantive testing on full populations
Utility software / custom scripts / SQL queries	Ad-hoc extraction and analysis	Flexible interrogation of databases

Considerations before using CAATs (exam-favourite list): - **IT knowledge, expertise and experience** of the audit team (may need an **auditor's expert** under SA 620). - **Availability of CAATs and suitable computer facilities**; compatibility with the client's system and file formats. - **Impracticability of manual tests** (does the situation actually *need* CAATs?). - **Effectiveness and efficiency** — will CAATs improve the audit or just add cost? - **Time available** and timing of data availability (some data is transient — capture it before it's overwritten). - **Integrity of data and the environment** — running test data on *live* systems risks corrupting real records; use copies or reversing entries. - **Cost-benefit** and client cooperation / access rights.

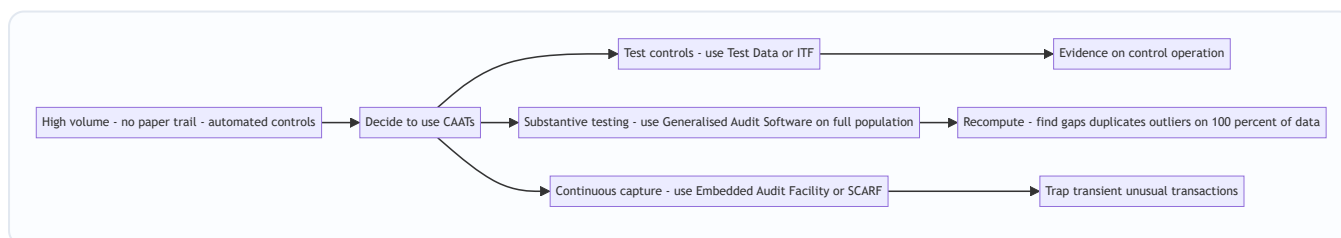


Figure 7.2 — Matching the CAAT tool to the audit objective.

4.6 Data Analytics in Audit

Definition & why: Audit data analytics (ADA) is the science and art of discovering and analysing **patterns, deviations and anomalies, and extracting useful information**, in the data underlying the financial statements — usually through analysis of the **entire population** rather than samples. It is the evolution of

CAATs into richer, visualisation-driven, whole-population analysis. **Why now:** entities generate vast structured data; analysing all of it is more powerful than sampling a sliver of it.

Typical audit uses (and the risk each targets): - **100% testing of a population** instead of sampling — reduces sampling risk to zero for that test. - **Journal entry testing (SA 240)** — flag entries posted on weekends/holidays, by unusual users, to unusual accounts, in round sums, just below approval limits, or with unusual descriptions. *Why:* these are classic fraud fingerprints. - **Three-way match analysis** across PO/GRN/invoice populations — completeness and occurrence of purchases. - **Duplicate payment detection; gap detection** in invoice/cheque sequences. - **Revenue analysis** — cut-off testing, trend and ratio analysis by product/region/customer. - **Ageing and recomputation** of receivables/inventory. - **Benford's Law** analysis to spot fabricated numbers.

Cautions: ADA output is a *lead*, not a *conclusion* — anomalies must be investigated and corroborated. Data must be **complete and reliable** (garbage in, garbage out — so ITGCs matter again). ADA supplements professional judgement; it does not replace it.

4.7 How it all ties to the risk model (SA 315 → SA 330)

The whole chapter is the standard risk-based audit applied to IT:

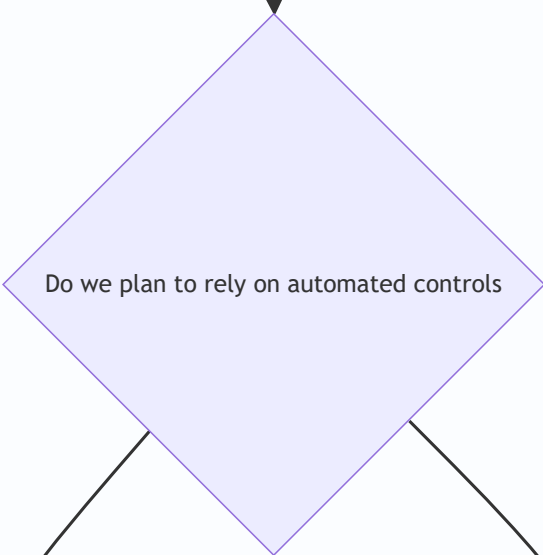
SA 315 - Understand the entity including its IT environment



Identify risks arising from the use of IT



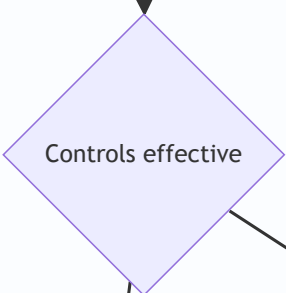
Understand controls - IT general controls and application controls



Yes



SA 330 - Test IT general controls then application controls

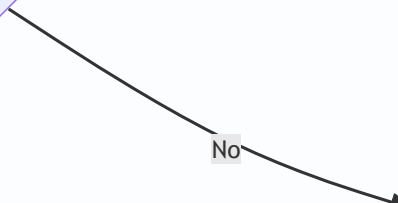


Yes



Reduced substantive testing

No



SA 330 - Substantive approach

No



Extensive substantive procedures using CAATs and data analytics



Form opinion

Figure 7.3 — Automated-environment auditing is the SA 315 / SA 330 risk model, honestly applied to a computerised entity.

5. Applied Scenarios

Scenario 1 — The perfect control that isn't. *During the audit of Zenith Ltd, the team performs a walkthrough of the purchase system and confirms that the ERP automatically blocks any invoice not matching an approved PO and GRN. Delighted, the junior wants to conclude that the completeness and occurrence of purchases are fully controlled and reduce substantive testing to a minimum. Is this justified?*

Answer. Not yet. The automated three-way match is an **application control**, and reliance on it is *conditional* on the supporting **IT general controls**. Before relying, the team must test the ITGCs — particularly **change management** (could the matching logic have been altered during the year?) and **access security** (could a user with excessive rights override the block or edit the PO/GRN master?). Under SA 330, reliance on an automated control tested at a point in time requires evidence that ITGCs kept it operating effectively **throughout the period**. If ITGCs are effective, the team may test the application control (e.g., via **test data** — feed an unmatched invoice and confirm rejection) and then reduce substantive testing. If ITGCs are weak, the control cannot be relied upon regardless of how well it *appears* to work, and the team must perform **substantive procedures, likely using CAATs** on the full purchases population.

Scenario 2 — Vanished trail, huge volume. *Nova Bank posts savings-account interest to 80 lakh accounts through an overnight batch program. There are no vouchers; each posting exists only as a database entry. The auditor must obtain assurance over the accuracy and completeness of interest expense. What approach and tools?*

Answer. This is a textbook case where **auditing around the computer is inadequate** — there is no visible audit trail and the risk lies in the **processing** (the interest calculation logic). The auditor should audit **through the computer** using **CAATs**: - **Parallel simulation / recomputation via Generalised Audit Software**: independently recompute interest for the *entire* 80 lakh population using the applicable rates and day-count, then compare to the bank's postings — directly testing accuracy on 100% of accounts. - **Test data / ITF**: run dummy accounts with known balances and rates to confirm the program applies the correct logic (e.g., correct rate slabs, correct rounding). - **Completeness checks**: reconcile control totals; confirm no accounts were skipped or double-posted using **run-to-run totals** and gap/duplicate analysis. - Because processing is automated and consistent, the auditor must also test **ITGCs** (change and access controls over the interest program) to conclude the tested logic operated unchanged all year. Data must be captured **before overnight overwrites** — a timing consideration for CAATs.

Scenario 3 — Fraud hiding in the journals. *In auditing Orion Ltd, the engagement partner is concerned about management override of controls. The general ledger contains 12 lakh journal entries. How can data analytics discharge the SA 240 requirement to test journal entries, and what are its limits?*

Answer. Manual selection from 12 lakh entries is hopeless; **audit data analytics** can test the **whole population** and target fraud fingerprints. The auditor extracts all journals and flags: entries posted on **weekends/holidays or outside business hours**; entries by **unusual or unauthorised users**; **round-sum** amounts; amounts **just below approval thresholds**; postings to **unusual/sensitive accounts** (e.g., revenue to suspense, entries reversing at period-start); rare or blank **narrations**; and **Benford's Law** deviations.

Limits: each flag is a *lead*, not proof — the auditor must investigate and corroborate each exception with underlying evidence and management inquiry, exercising **professional scepticism**. The reliability of the analysis depends on the **completeness of the extracted data**, which itself depends on **ITGCs** over the GL. Analytics supplements, and does not replace, the auditor's judgement.

6. Procedure / Documentation Summary

A practical, exam-ready sequence for auditing in an automated environment:

1. **Understand the IT environment (SA 315).** Document the applications relevant to financial reporting, the flow of significant classes of transactions from initiation to the general ledger, the degree of automation, interfaces between systems, and reliance on **service organisations** (bringing in **SA 402** if IT is outsourced).
2. **Identify risks arising from the use of IT** — unauthorised access, unauthorised program changes, reliance on inaccurate systems, loss of data, loss of segregation of duties.
3. **Identify relevant controls:** map the **automated application controls** on which financial assertions depend, and the **IT general controls** that support them.
4. **Test IT general controls first** — access security, change management, program development, IT operations, backup/recovery. Document design and operating effectiveness.
5. **If ITGCs are effective, test the application controls** (walkthroughs, **test data**, inspection of configuration, re-performance). Consider the "**benefit of consistency**" to extend point-in-time results across the period.
6. **Determine the audit approach** — around vs through; decide where **CAATs / data analytics** are needed.
7. **Design and run CAATs / ADA** — recomputation, 100% population testing, gap/duplicate detection, journal-entry analysis. Document data source, extraction method, completeness/reliability checks on the data, tools used, parameters, and results.
8. **Investigate exceptions** and corroborate — analytics leads must be followed to underlying evidence.
9. **Conclude on reliance and residual substantive work** — where controls fail, ramp up substantive procedures.
10. **Document everything (SA 230):** understanding of the IT environment, risk assessment, controls tested and results, CAAT methodology and outputs, exceptions and their resolution, and conclusions. If an **auditor's expert** (SA 620) was used for IT, document the evaluation of their work.

Documentation must specifically evidence: the completeness and reliability of any client data used by CAATs; that test data did not corrupt live records; and the linkage from ITGC conclusions to the decision to rely on automated application controls.

7. Connections

- **SA 315 & SA 330 (Chapters on risk assessment & responses):** this chapter is those standards applied to IT. ITGC/application-control testing is the "test of controls" limb of SA 330.
- **SA 240 (Fraud):** journal-entry testing and detection of override are powerfully served by CAATs/analytics; automated environments create new fraud avenues (access, data manipulation).

- **SA 500 (Audit Evidence):** electronic evidence reliability hinges on the controls (ITGCs) over its creation and storage.
 - **SA 402 (Service Organisations):** when IT/accounting is outsourced (cloud, third-party processors), the auditor considers the service organisation's controls, often via a **SOC / Type 2 report**.
 - **SA 620 (Using the Work of an Auditor's Expert):** IT audit specialists are frequently engaged; the auditor evaluates their competence and work.
 - **SA 230 (Documentation):** CAAT methodology, data-integrity checks and results must be documented.
 - **Internal control & risk components (COSO / internal control chapters):** ITGCs and application controls are the IT expression of the entity's internal control system.
 - **Standards on the accounting/AS side:** the *outputs* being tested (interest, revenue, inventory valuation) still answer to the applicable financial reporting framework — the computer changes *how* you test, not *what* correct means.
-

8. Traps & Examiner Tricks

- **Trap: "The automated control worked in our walkthrough, so we can rely on it."** *Wrong without ITGCs.* Reliance on application controls is **conditional on effective IT general controls** (especially change management). State the dependency explicitly.
 - **Trap: confusing the two control layers.** ITGCs are **environment-wide** and support *other* controls; application controls operate at the **transaction level** within a process. A common MCQ gives an example (e.g., "passwords restrict access to the payroll module") and asks which type — that's an **ITGC (access security)**. "Payroll rejects a negative number of hours" is an **application (input) control**.
 - **Trap: "Auditing around the computer is always acceptable / never acceptable."** Neither. It is acceptable **only** for simple systems with a strong visible audit trail; it is inadequate for complex, high-volume, paper-less systems.
 - **Trap: treating test data casually.** Running **test data on a live system can corrupt real records**. Examiners reward mentioning the safeguard (use a copy, or reverse the entries, as in ITF).
 - **Trap: "CAATs give conclusions."** Analytics/CAAT exceptions are **leads to investigate**, not audit conclusions. Data reliability (hence ITGCs) governs their value — *garbage in, garbage out*.
 - **Trap: forgetting the "benefit of consistency" logic.** In manual systems you must re-test controls repeatedly because humans err randomly; for **automated** controls, one test can cover the period **only because** change-management ITGCs prevented alteration. Examiners love this reasoning.
 - **Trap: listing computer features instead of audit impacts.** When asked how a computerised environment affects the audit, answer in terms of **loss of trail, systematic errors, automated controls, pervasive IT risk, volume** — each tied to a risk.
 - **Trap: naming the wrong SA.** The anchor is **SA 315** (understand IT & controls) and **SA 330** (respond/test). Do not attribute the requirement to a fictional "SA on IT."
 - **Trap: pervasiveness.** Remember IT risk is **pervasive** — a general-control weakness affects *many* assertions at once, not one account. This drives the *significance* of ITGC failures.
-

9. First-Principles Recap

Rebuild the whole chapter from the trust problem, without memorising:

1. Audit exists because owners must trust books they cannot verify. **Trust gap** → **independent evidence** → **opinion**.
2. Put the books inside a computer and the *gap stays* but the *risk relocates*: errors and fraud now hide in **program logic, access rights and data**, repeat **systematically**, and multiply at **huge volume**, often with **no paper trail**.
3. To assess a risk you must understand its home, so **SA 315 forces you to understand the IT environment and its controls**.
4. Controls now live in two layers because reliability is conditional: **application controls** guard individual transactions, but they are only trustworthy if the **IT general controls** (access, change, operations, backup) keep the environment honest. **Test ITGCs first; they unlock reliance on application controls**.
5. Because the risk sits in **processing**, you often cannot audit *around* the black box; you must audit **through** it.
6. The very technology that created the risk gives you the tool to meet it: **CAATs and data analytics** let you re-perform logic and test **100%** of the population — abolishing the sampling compromise that only ever existed because humans couldn't count that high.
7. Finally, **SA 330** makes your procedures respond to what you found. None of this is a new religion — it is the **same risk-based audit**, honestly followed into the machine.

If you can narrate those seven steps, you can derive every requirement in the chapter.

10. Quick-Revision Sheet

Why the computer changes the audit (drivers): loss of visible audit trail · systematic/uniform errors · automated (programmed) controls · unauthorised access & data manipulation · reduced segregation · high volume/speed · **pervasive** IT dependence.

Anchor standards: **SA 315** — understand IT environment + controls (ITGCs & application controls) + identify *risks arising from use of IT*. **SA 330** — test ITGCs then application controls if relying; else substantive (CAATs). Also **SA 240** (JE testing), **SA 500** (evidence reliability), **SA 402** (outsourced IT), **SA 620** (IT expert), **SA 230** (documentation).

Two control layers: - **IT General Controls (ITGCs)** — environment-wide; *support other controls*. Domains: **Access security · Change management · Program development/SDLC · IT operations · Backup & recovery**. *Weak ITGCs = cannot rely on ANY automated control*. - **Application controls** — transaction-level within a process. Types: **input/validation (check digit, range, format, mandatory) · existence/validity · reasonableness/limit · sequence/completeness (control & hash totals) · duplicate · authorisation/matching (3-way match) · configuration · output**. May be automated / manual / IT-dependent manual.

Keystone: Test **ITGCs** → **application controls** → **reduce substantive testing**. Automated control's "**benefit of consistency**": test once, cover period — *only because change-management ITGC held*.

Around vs through: *Around* = black box, inputs & outputs only, ok for simple/low-volume/visible-trail systems. *Through* = open the box, test processing & programmed controls; needed for complex/high-

volume/paper-less/automated systems. *With* = using the computer as a tool.

CAATs: Test data (dummy txns test programmed controls — don't corrupt live data) · **Integrated Test Facility (ITF)** (dummy entity in live system, reversed) · **Parallel simulation** (auditor's program re-processes real data) · **Embedded audit facility / SCARF** (continuous capture) · **Generalised Audit Software / GAS** (IDEA, ACL — sort, filter, recompute, gaps, duplicates, sample on full population) · **SQL/utility scripts**. *Use-considerations:* IT skill (SA 620) · availability/compatibility of tools · impracticability of manual tests · effectiveness & efficiency · timing (transient data) · **data integrity / don't corrupt live systems** · cost-benefit.

Data analytics uses: 100% population testing · **journal-entry testing** (weekend/odd-user/round-sum/just-below-limit/unusual account) · 3-way match · duplicate & gap detection · ageing & recomputation · Benford's Law. *Output = leads to investigate, not conclusions; relies on complete/reliable data (→ ITGCs).*

One-line exam mantra: *Move the audit into the computer — understand it (SA 315), test the foundation (ITGCs) before the transaction guards (application controls), audit through not around, and use CAATs/analytics to test the whole population — because in an automated world errors are silent, systematic and vast.*

Q&A — Audit in an Automated Environment

CA Intermediate — Auditing & Ethics. Standards cited are Indian SAs issued by ICAI and provisions of the Companies Act, 2013. No standard has been invented; where a rule is auditor judgement, it is flagged as such.

Section A — Concept-Check (short questions + answers)

A1. What is meant by an "automated environment"? An automated environment is one where the entity's business processes and accounting are carried out using IT systems (ERP, accounting software, databases, interfaces) with little manual intervention. Transactions are initiated, authorised, recorded, processed and reported electronically. Audit relevance: the auditor cannot ignore how IT affects the flow of transactions and the related risks — this is required under **SA 315 (Revised)**, which mandates understanding the entity's information system, including the IT environment.

A2. Name the key considerations an auditor must have in an automated environment. (i) Information systems and business processes; (ii) applications in use; (iii) IT dependencies (automated controls, reports, calculations, interfaces); (iv) IT General Controls (ITGCs); (v) IT risks arising from use of IT; (vi) cyber security/access risks. These flow from **SA 315 (Revised)** para on understanding the information system and controls.

A3. What is an IT dependency? Give examples. An IT dependency is any aspect of the audit that relies on the functioning of the IT system. Four types: (a) **automated controls** (e.g., three-way match in an ERP), (b) **system-generated reports** (aged debtors report used in provisioning), (c) **calculations/interfaces** (auto-computed depreciation, interest), (d) **system configurations**. Identifying dependencies drives the extent of IT audit work under **SA 315** and **SA 330**.

A4. Distinguish ITGCs from application controls. - **IT General Controls (ITGCs):** policies and procedures relating to many applications, supporting the effective functioning of application controls. Five domains — (1) access security/logical access, (2) program change management, (3) program development/SDLC, (4) IT operations (backup, job scheduling), (5) data centre/network. ITGCs are *pervasive/indirect*. - **Application controls:** controls embedded within a specific application relating to individual transactions — e.g., validation checks, input checks, edit checks, three-way match, sequence checks. They are *direct* controls over completeness/accuracy/validity. Key link: application controls can be relied upon **only if** the supporting ITGCs are effective. Weak ITGCs undermine otherwise-good application controls.

A5. Why can weak ITGCs make automated application controls unreliable? Because ITGCs ensure that programs run as designed and are not changed without authorisation. If change management or access controls are weak, a properly designed automated control could have been altered, bypassed, or overridden during the period, so the auditor cannot assume it operated consistently. Hence when ITGCs are ineffective, the auditor treats automated controls as not operating effectively and moves to substantive testing (**SA 330**).

A6. Define "auditing around the computer" and "auditing through the computer". - **Around the computer (black-box):** the auditor ignores processing and reconciles inputs to outputs manually, assuming correct processing. Suitable only for simple, low-volume systems with visible audit trail. - **Through the**

computer (white-box): the auditor tests the actual processing logic and automated controls inside the system, using CAATs, test data, etc. Necessary for complex, high-volume, low-paper-trail systems.

A7. What are CAATs? Computer Assisted Audit Techniques — tools and techniques to apply audit procedures using the computer, e.g., test data, integrated test facility, parallel simulation, and generalised audit software (GAS) such as IDEA/ACL. They allow examining 100% of a population, recalculating, identifying exceptions and duplicates. Recognised under **SA 500** as a means of obtaining audit evidence.

A8. What is the difference between CAATs and data analytics (ADA)? CAATs are traditional, targeted computer techniques (test a control, recalculate a field). **Audit Data Analytics (ADA)** is broader — analysing large/whole data sets to discover patterns, anomalies, correlations and trends to inform risk assessment and substantive testing. Both serve the objective of obtaining **sufficient appropriate audit evidence (SA 500)**.

A9. State the audit risk model and how IT affects it. Audit Risk = Risk of Material Misstatement (Inherent Risk × Control Risk) × Detection Risk. IT can *increase* inherent risk (complex calculations, interfaces) and can *reduce or increase* control risk depending on ITGC strength. The model is applied via **SA 315** (assess RMM) and **SA 330** (respond so as to reduce detection risk to acceptable level).

A10. How does IT relate to fraud risk under SA 240? IT creates fraud opportunities — unauthorised access, privileged/generic user IDs, ability to override automated controls, and manipulation of data directly at the database level bypassing the application. **SA 240** requires the auditor to consider risk of management override of controls, which in an automated environment includes back-end data changes; the auditor tests journal entries (often via CAATs) as a mandatory response.

Section B — Applied Scenario Questions (situation → response with reasoning)

B1. Situation: A manufacturing company uses SAP for the entire procure-to-pay cycle. Purchase invoices are auto-matched to POs and GRNs (three-way match); mismatches are blocked. Management asks you to rely on this control instead of vouching all invoices. **Required:** How should the auditor respond? **Answer:** The three-way match is an **automated application control**. Because it is automated, if it is operating effectively it operates consistently, so the auditor may test it once/limited times rather than a large sample (benefit of automation, per **SA 330**). BUT reliance is permitted only after: (i) identifying it as an IT dependency and understanding its configuration (**SA 315**); (ii) testing the supporting **ITGCs** — particularly access security (who can change tolerance limits) and change management (whether the matching logic was altered during the year). If ITGCs are effective, test the automated control's operation (e.g., one test transaction / configuration review) and rely, reducing substantive vouching. If ITGCs are weak, do **not** rely — revert to substantive procedures. Document the basis under **SA 230**.

B2. Situation: During ITGC testing you find that 15 users, including two junior accounts staff, have "super-user"/administrator access to the finance module. There is no periodic access review. **Required:** Assess the impact on the audit. **Answer:** This is a deficiency in **logical access controls (ITGCs)**. Excessive/privileged access means automated controls could be overridden and back-end data changed, so **control risk rises** and automated application controls **cannot be relied upon**. Consequences: (a) evaluate whether it is a *significant deficiency* to be communicated to those charged with governance under **SA 265**; (b) increase **substantive testing** (SA 330) and extend journal-entry testing under **SA 240** for management override; (c) consider heightened fraud risk. The auditor moves toward "through the computer" substantive analytics on the full population rather than relying on controls.

B3. Situation: A bank's core system auto-calculates interest on 4 lakh loan accounts daily. There is virtually no paper trail. The audit team proposes reconciling total interest income to a summary report ("around the computer"). **Required:** Comment on the appropriateness and suggest a better approach. **Answer:** "Auditing around the computer" is **inappropriate** here: high volume, complex automated calculation, and negligible audit trail mean input-output reconciliation cannot detect processing errors affecting sub-populations. The auditor should audit **through the computer** using **CAATs / data analytics**: independently **re-perform** the interest calculation on the entire population using GAS (IDEA/ACL) with the loan master data and rate logic, then investigate exceptions. This obtains sufficient appropriate evidence over the full population (**SA 500**) and tests the automated calculation itself. Supporting ITGCs over the rate tables and change management must also be assessed (**SA 315**).

Section C — Past-Paper-Style Descriptive Questions (model answers)

C1. "In an automated environment, the auditor's understanding of IT General Controls is fundamental to relying on automated application controls." Explain, describing the categories of ITGCs. (6 marks)

Model Answer: Under **SA 315 (Revised)**, the auditor must understand the entity's IT environment and controls. Automated application controls operate consistently only if the programs and data are protected from unauthorised change — this assurance is provided by **IT General Controls (ITGCs)**. Hence ITGCs are a *precondition* to relying on application controls: if ITGCs are effective, the auditor may test an automated control on a limited basis and rely on it (**SA 330**); if ITGCs are deficient, the automated control is presumed unreliable and substantive procedures are required.

Categories of ITGCs: 1. **Access Security (logical access):** user provisioning, passwords, segregation of duties, privileged-access restriction, periodic access reviews. 2. **Program Change Management:** changes to applications are requested, tested, approved and moved to production in a controlled manner. 3. **Program Development (SDLC):** new systems/major changes are developed, tested and implemented with proper approvals. 4. **IT Operations:** batch job scheduling, backups, incident and problem management, data recovery. 5. **Data Centre / Network / Physical & Environmental controls** supporting availability.

Effective ITGCs across these domains give the auditor confidence that automated controls functioned throughout the period. Deficiencies are evaluated under **SA 265** for communication to those charged with governance.

C2. Describe how CAATs and Data Analytics assist the auditor in an automated environment, and state the matters to consider before using them. (5 marks)

Model Answer: CAATs (test data, integrated test facility, parallel simulation, generalised audit software) and Audit Data Analytics enable the auditor to obtain **sufficient appropriate audit evidence (SA 500)** more effectively where data is voluminous and electronic. Uses: - Testing the **entire population** rather than a sample (e.g., all journal entries, all vendor payments). - **Re-performance** of automated calculations (interest, depreciation). - Identifying **exceptions, duplicates, gaps in sequences, and anomalies** (duplicate vendor bank accounts, weekend postings). - Analysing **trends and correlations** to sharpen risk assessment under **SA 315**. - **Journal-entry testing** for management override under **SA 240**.

Matters to consider before use: (i) availability, integrity and completeness of the data extracted; (ii) compatibility and access to the client's systems; (iii) IT knowledge/skill of the audit team (using an **auditor's expert per SA 620** if needed); (iv) cost-benefit; (v) confidentiality and controlled use of client data; (vi)

documenting the tools, parameters and results under **SA 230**. Reliability of CAAT output depends on the reliability of source data, so ITGCs over that data remain relevant.

C3. Explain the two approaches — "auditing around the computer" and "auditing through the computer" — and state when each is appropriate. (4 marks)

Model Answer: Auditing around the computer (black-box): the auditor examines inputs and the corresponding outputs and reconciles them, treating the computer processing as a "black box" assumed to be correct. Appropriate only where systems are **simple, low volume, with a clear visible audit trail** and where original documents are available. Limitation: it provides no assurance over the processing logic itself.

Auditing through the computer (white-box): the auditor examines and tests the **actual processing and automated controls** within the system using CAATs, test data and re-performance. Appropriate — indeed necessary — where systems are **complex, high volume, integrated, and have limited paper trail**, so that undetected processing errors could be material. In modern ERP/automated environments, auditing through the computer is generally required to obtain sufficient appropriate evidence (**SA 500**).

Decision Flow — Relying on an Automated Control

Identify IT dependency / automated control
SA 315

Do we intend to
rely on the control?

Yes

Are supporting ITGCs
effective?

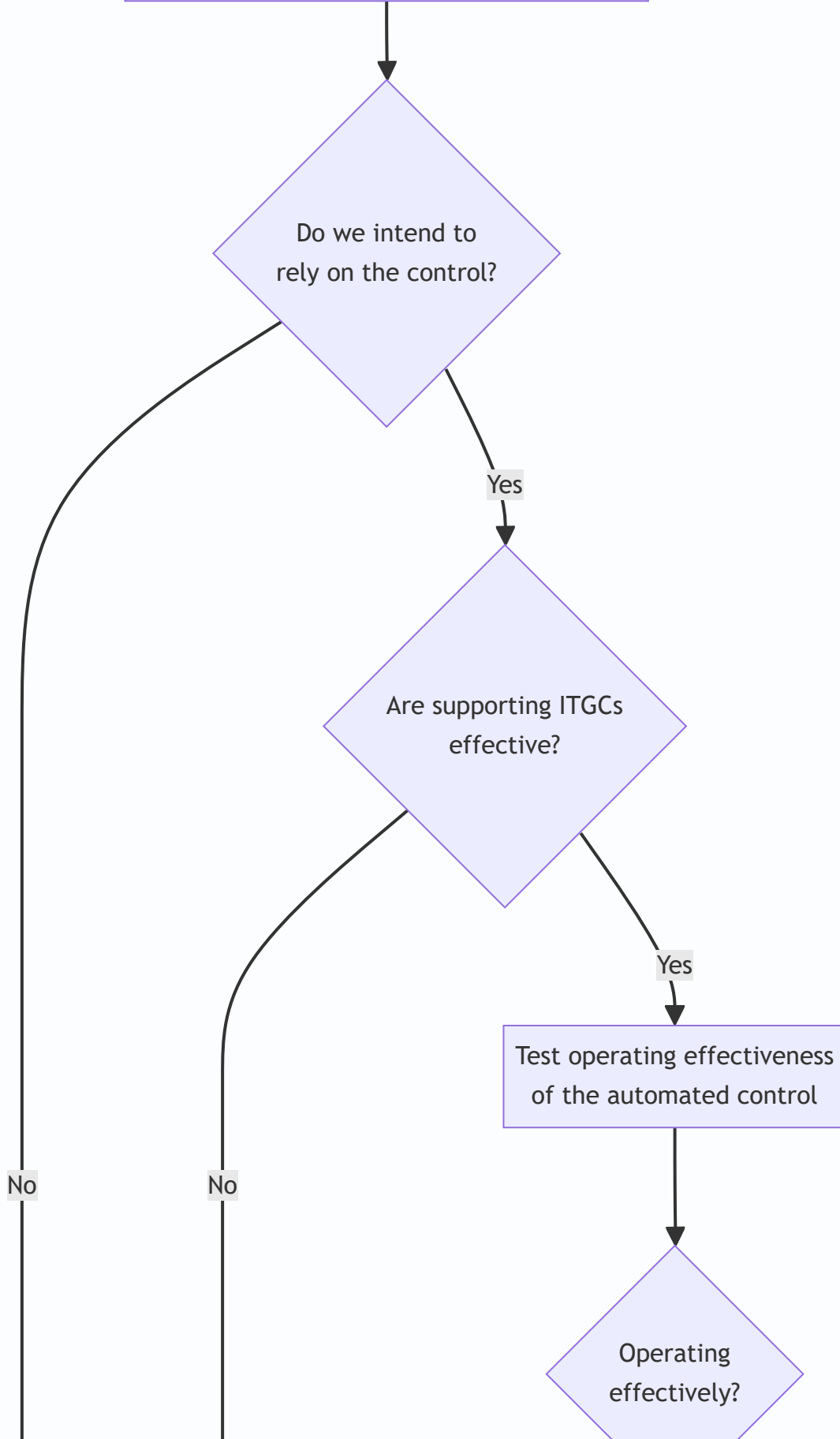
Yes

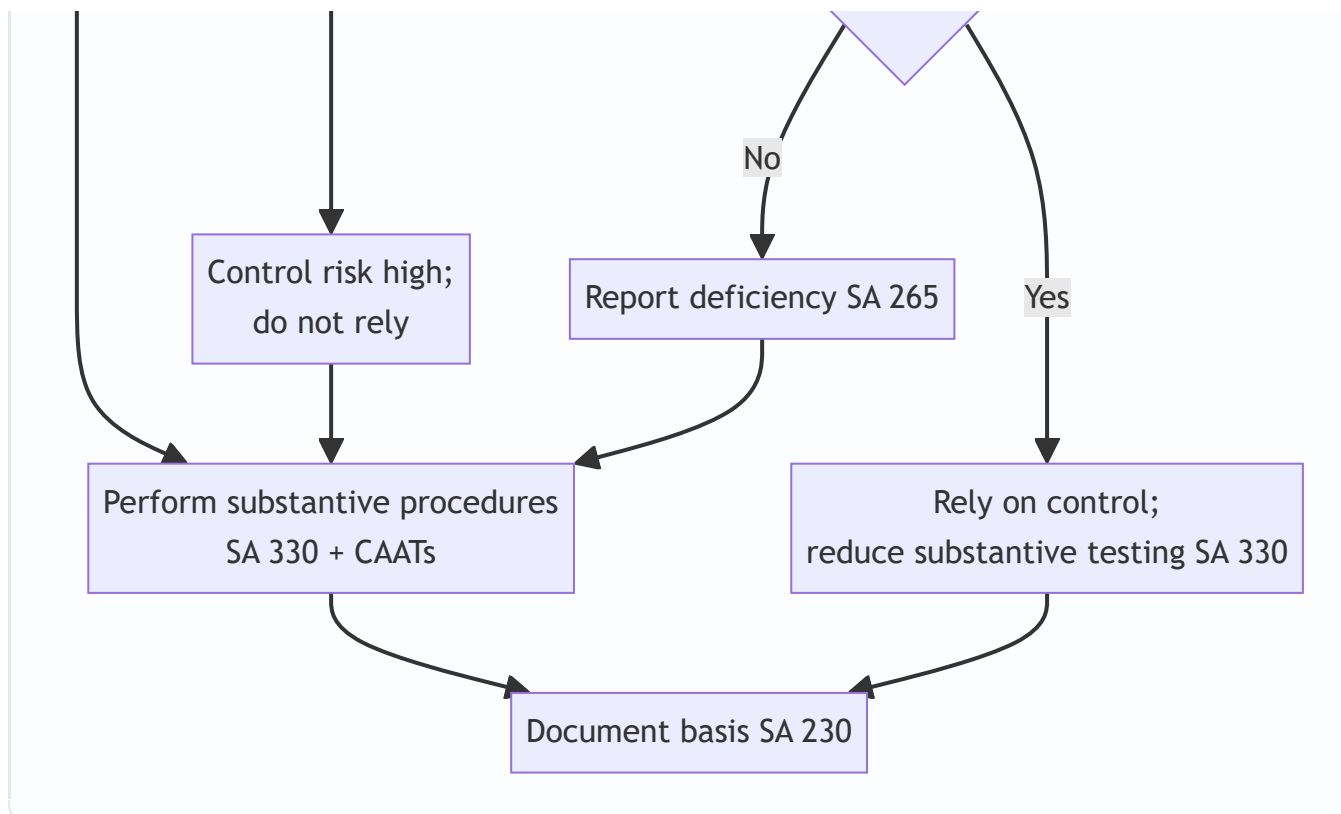
Test operating effectiveness
of the automated control

No

No

Operating
effectively?





Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

D1. Reliance on an automated application control is appropriate only when — A. The control is documented B. Management confirms it works C. The supporting ITGCs are operating effectively D. It is tested every day

Answer: C. Automated controls run consistently only if ITGCs (access & change management) protect the program — the precondition for reliance (SA 315/330).

D2. A three-way match embedded in an ERP is an example of — A. An IT General Control B. An automated application control C. A manual control D. A monitoring control **Answer: B.** It is a control within a specific application over individual transactions.

D3. Which is NOT a category of ITGCs? A. Access security B. Change management C. Three-way match D. IT operations (backup) **Answer: C.** Three-way match is an application control, not an ITGC.

D4. The standard primarily requiring the auditor to understand the entity's IT environment as part of risk assessment is — A. SA 200 B. SA 315 (Revised) C. SA 700 D. SA 610 **Answer: B.** SA 315 (Revised) covers identifying and assessing RMM through understanding the entity, including its information system and IT.

D5. Testing all journal entries for management override in an automated environment is a response required under — A. SA 230 B. SA 505 C. SA 240 D. SA 570 **Answer: C.** SA 240 mandates journal-entry testing to address management override risk; CAATs enable full-population testing.

D6. "Auditing around the computer" is LEAST appropriate for — A. A small firm with manual-style software B. A high-volume bank interest computation with no paper trail C. A single-user cash book D. Low-volume payroll of 5 employees **Answer: B.** High volume, complex processing and no audit trail demand auditing through the computer.

D7. Case Scenario: XYZ Ltd migrated to a new ERP mid-year. The auditor finds that program changes during migration were moved to production without documented testing or approval, and several developers

retained access to the live finance module post go-live. Q: What is the auditor's most appropriate conclusion? A. ITGCs (change management and access) are deficient; automated controls cannot be relied upon and substantive testing must be extended B. Rely on automated controls since the ERP is new and modern C. Issue an adverse opinion immediately D. Ignore, as migration is a one-time event **Answer: A.** Weak change-management and access ITGCs undermine automated controls; the response is to increase substantive procedures (SA 330) and communicate the deficiency (SA 265) — not an automatic modified opinion.

D8. Generalised Audit Software (IDEA/ACL) is best described as — A. An accounting package B. A CAAT used to interrogate and analyse client data C. An ITGC D. A firewall **Answer: B.** GAS is a CAAT enabling recalculation, exception and duplicate identification over full data sets (SA 500).

D9. In the audit risk model, effective ITGCs and application controls primarily affect — A. Inherent risk only B. Control risk C. Detection risk D. Sampling risk **Answer: B.** Strong controls reduce assessed control risk (a component of the risk of material misstatement).

D10. A system-generated aged receivables report used to compute the bad-debt provision is an example of — A. An automated control B. An IT dependency (system-generated report) whose completeness and accuracy must be tested C. A manual control D. An ITGC **Answer: B.** Reports relied on for audit evidence are IT dependencies; the auditor must test the report's completeness and accuracy (SA 500) before using it.

Quick Recall Table

Concept	Standard	One-line hook
Understand IT environment & information system	SA 315 (Revised)	Basis of risk assessment
Responses to assessed risks (control vs substantive)	SA 330	Rely on control only if ITGCs effective
Fraud — management override, journal testing	SA 240	Back-end data change risk; test all JEs
Sufficient appropriate evidence via CAATs/analytics	SA 500	Test 100% of population
Communicate control deficiencies	SA 265	Significant deficiencies to TCWG
Using an auditor's expert (IT)	SA 620	When team lacks IT skills
Documentation	SA 230	Record tools, parameters, conclusions

One-line first principle: In an automated environment, *controls are only as trustworthy as the ITGCs protecting them* — so the auditor first understands IT (SA 315), tests ITGCs, and only then decides between relying on automated controls or auditing through the computer with CAATs to gather substantive evidence (SA 330/500).

Chapter 08 — Company Audit (Companies Act Provisions)

1. The Problem — Why an auditor who is *chosen and paid by the very people he audits* is a contradiction the law had to defuse

Every earlier chapter treated the audit as a technical exercise: gather evidence, assess risk, form an opinion. This chapter asks a colder, more structural question — **who decides whether an audit happens at all, who the auditor is, how long he stays, how much he is paid, and who can throw him out?** Because the answer to *those* questions determines whether the technical work is worth anything.

Return to the founding tension. Shareholders (owners) hand money to directors (managers) and go away. The auditor exists to tell the owners whether the managers' self-report is honest. But now watch the trap spring: in real corporate life it is the **managers** who run the day-to-day company, who interact with the auditor, who prepare the papers he inspects, and who — if left alone — would happily choose a friendly auditor, pay him well for silence, and sack him the moment he frowned at the accounts.

That is the whole problem in one sentence: **the person being watched must not be allowed to control the watchman.** An auditor who owes his appointment, his fee, and his survival to the management he is supposed to police is not independent — he is a hostage with a signature. The financial statements would carry a clean opinion that means nothing, and the owners, banks, employees, tax authorities and the investing public who rely on it would all be deceived by a document that *looks* assured.

So company audit cannot be left to private contract between a company and "some accountant." A private contract would be written by whoever holds the pen — the directors — and it would neuter the auditor. The **Companies Act, 2013 (Sections 139 to 148)** exists to wrench each of these control levers — appointment, tenure, eligibility, pay, removal, powers, permitted work — **out of the hands of the management and place them with the shareholders, an independent process, and the statute itself.** This chapter is the reading of those sections not as a list to memorise, but as a coordinated defence system, where **each section disarms one specific way management could capture the auditor.**

The risk this chapter counters is **auditor capture** — and every provision below is a bolt on a door the management would otherwise walk through.

2. The Core Idea — Independence is not a personal virtue; it is a *structure* the law engineers

Students think of independence as an attitude — "a good auditor is brave and objective." That is naive. Brave people still need to eat, and an auditor who can be starved or fired at management's whim will, on average, bend. The Companies Act does not rely on the auditor's character. It **engineers independence into the surrounding structure** so that even an ordinary auditor is protected enough to say "no."

There are two dimensions of independence the law is protecting, and it is worth naming them because the exam does:

- **Independence of mind** — the state that lets the auditor form an opinion without being affected by influences that compromise judgement.

- **Independence in appearance** — the avoidance of facts and circumstances so significant that a reasonable third party would *conclude* the auditor's objectivity was impaired.

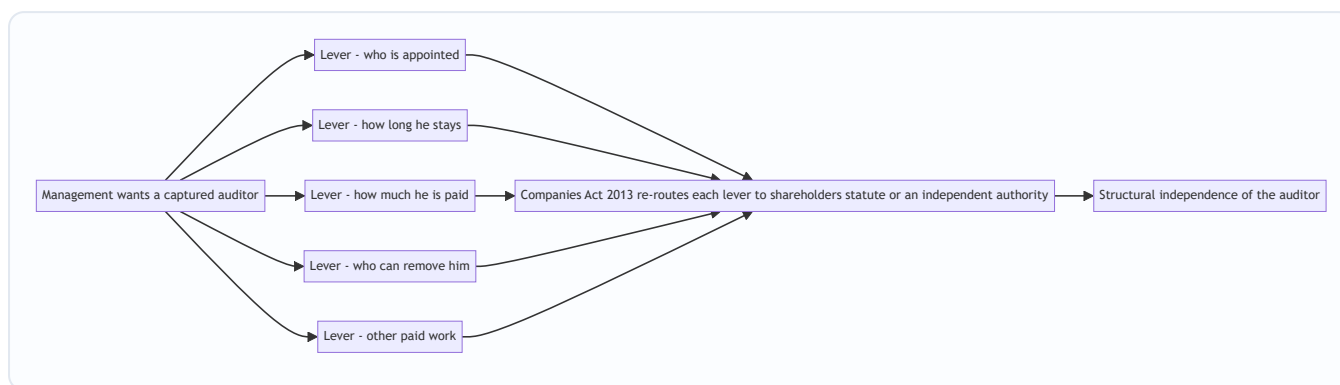
The Act protects both by taking each lever of control that management could pull and re-routing it. The core idea is a single repeated move:

Identify a lever by which management could reward, punish, compromise or silence the auditor → take that lever away from management → give it to the shareholders, to a fixed statutory rule, or to an independent body (NFRA / Tribunal / Central Government).

Lever management would love to hold	How they'd abuse it	The section that removes it	Where the lever is re-routed
Who is appointed	Pick a compliant friend	Sec 139	Members in general meeting (Board only for first/casual)
How long he stays	Keep a captured man forever	Sec 139(2) rotation	Mandatory rotation by statute
Who is <i>eligible</i>	Appoint someone financially entangled with them	Sec 141	Statutory disqualification list
How much he's paid	Bribe with fees / starve with cuts	Sec 142	Fixed by members; disclosed
Who can remove him	Sack him when he objects	Sec 140	Special resolution + Central Government approval
What he can see/ask	Withhold records	Sec 143	Statutory right of access + duty to report
What other lucrative work he does for them	Buy silence via consulting fees	Sec 144	Prohibited-services list
Whether anyone hears him	Bury the report	Sec 145–146	Signing + reading at AGM
Whether he faces consequences	No cost to a lazy/complicit auditor	Sec 147	Punishment / penalties

Read the whole chapter as this table expanded. Every technical rule you are about to meet is one row of it, explained.

Figure 1 — Each control lever is pulled out of management's hands and re-routed; that re-routing IS the independence.



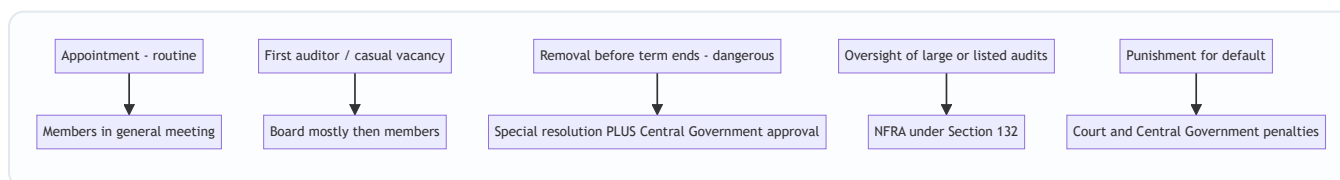
3. Why it's built this way — Three design principles behind Sections 139–148

(a) Public interest, not private contract. A company's accounts are relied on by people who never signed any contract with it — minority shareholders, prospective investors, lenders, creditors, employees, tax authorities, the whole market. Because the *beneficiaries of the audit are the public*, the terms of the audit cannot be a private bargain the directors negotiate. This is why the audit is **compulsory for every company** regardless of size or profit (unlike a partnership, where audit is optional), and why the rules are **statutory and non-waivable**. You cannot contract out of Section 139.

(b) Put the decision with the people whose money is at risk — the members. The default appointer and remunerator is the **general meeting (the shareholders)**, not the Board. The Board acts only in narrow, time-critical gaps (the very first auditor, a mid-term casual vacancy) and even then is often overridden by the members shortly after. The logic is simple: the auditor works *for* the owners *against* the risk posed by managers, so the owners must be the ones who hire, pay and (with extra safeguards) fire him.

(c) Where even shareholders could be dominated, add an independent gatekeeper. In a closely held company the "members' meeting" may itself be controlled by the very directors who are the audit's subject. So for the most dangerous act — **removing an auditor before his term ends** — the Act refuses to trust even the shareholders alone; it demands a **special resolution AND the prior approval of the Central Government**. Similarly, oversight of the largest companies' auditors sits with **NFRA (Sec 132)**, and punishment sits with courts and the government. The further an act could harm the public, the more independent the body that must bless it.

Figure 2 — Authority escalates with the danger of the act; routine hiring rests with owners, dangerous removal needs a state gatekeeper.



4. Full Technical Content — Every section, its rule, and the capture it prevents

Each provision below is given as **the rule → the "why" (the abuse it blocks)**. All references are to the **Companies Act, 2013** unless stated; where a numeric detail should be re-checked against current ICAI

material, it is flagged.

4.0 The map of the sections

Section	Subject	The capture it blocks
139	Appointment (including first auditor, casual vacancy, rotation)	Management choosing/keeping a friendly auditor
140	Removal, resignation, special notice, NFRA action	Sacking the auditor who objects; silent exits
141	Eligibility, qualifications & disqualifications	Appointing someone financially entangled with the company
142	Remuneration	Bribery via fees / starvation via cuts
143	Powers and duties; the audit report; fraud reporting	Withholding records; a toothless report
144	Prohibited (non-audit) services	Buying silence through consulting income
145	Signing of reports	Anonymous/unaccountable opinions
146	Attendance at general meeting	Burying the report from members
147	Punishment for contravention	No consequence for a complicit/negligent auditor
148	Cost audit	Cost records manipulated in regulated industries

4.1 Who must be an auditor — the qualification gate (Sec 141(1)–(2))

Only a **Chartered Accountant** (in practice) can be appointed auditor. A **firm** (including an **LLP**) may be appointed in the firm's name if the **majority of its partners practising in India are qualified CAs**; only the CA partners may act and sign. *Why*: the audit is a technical judgement about the fair presentation of accounts — the law restricts it to a person who has passed the professional gate and is subject to ICAI discipline, so that competence and an enforceable code of conduct sit behind every opinion.

4.2 Appointment of the first auditor (Sec 139(6) and 139(7))

The first auditor bridges the gap between incorporation and the first AGM, when no members' meeting has yet happened.

- **Non-Government company (139(6))**: the **Board** appoints the first auditor **within 30 days of registration**. If the Board fails, the **members** do so at an **extraordinary general meeting within 90 days**. The first auditor holds office **till the conclusion of the first AGM**.
- **Government company (139(7))**: the **Comptroller and Auditor-General of India (C&AG)** appoints within **60 days of registration**; failing which the **Board** within the next 30 days; failing which the **members** within 60 days at an EGM. Also holds office till the first AGM.

Why the Board is allowed here: there is simply no members' meeting yet to make the choice, and a company cannot run even for a day without an auditor of record. So the law lends the power to the Board **temporarily**, but deliberately makes the first auditor's term expire **at the very first AGM**, where the *members* take over — so management's temporary pick cannot harden into a permanent captive.

4.3 Appointment of subsequent auditors (Sec 139(1)) — the real appointment

At the **first AGM**, the **members** appoint an auditor to hold office **from the conclusion of that meeting until the conclusion of the sixth AGM** (i.e., for **five years**), subject to the rules below. The company must obtain the auditor's **written consent** and a **certificate that the appointment is within the limits and criteria of Sec 141** before appointing, and file **Form ADT-1** with the Registrar within **15 days**.

Two points the exam loves:

- **Annual ratification was originally required but the proviso mandating it was omitted by the Companies (Amendment) Act, 2017.** So a five-year appointment now runs its course **without annual ratification by members** (confirm the exact current wording in ICAI material). The auditor is thus not put up for a management-influenced re-vote every year — a genuine independence gain.
- The five-year appointment is **not** the same as rotation; it sets a *term*, while rotation (below) caps *how many such terms* a person may serve.

Why members and not Board: this is the true appointment, and it is placed with the owners — the auditor's principals — so the watchman is chosen by those he protects.

4.4 Rotation of auditors (Sec 139(2)–(4)) — the anti-familiarity engine

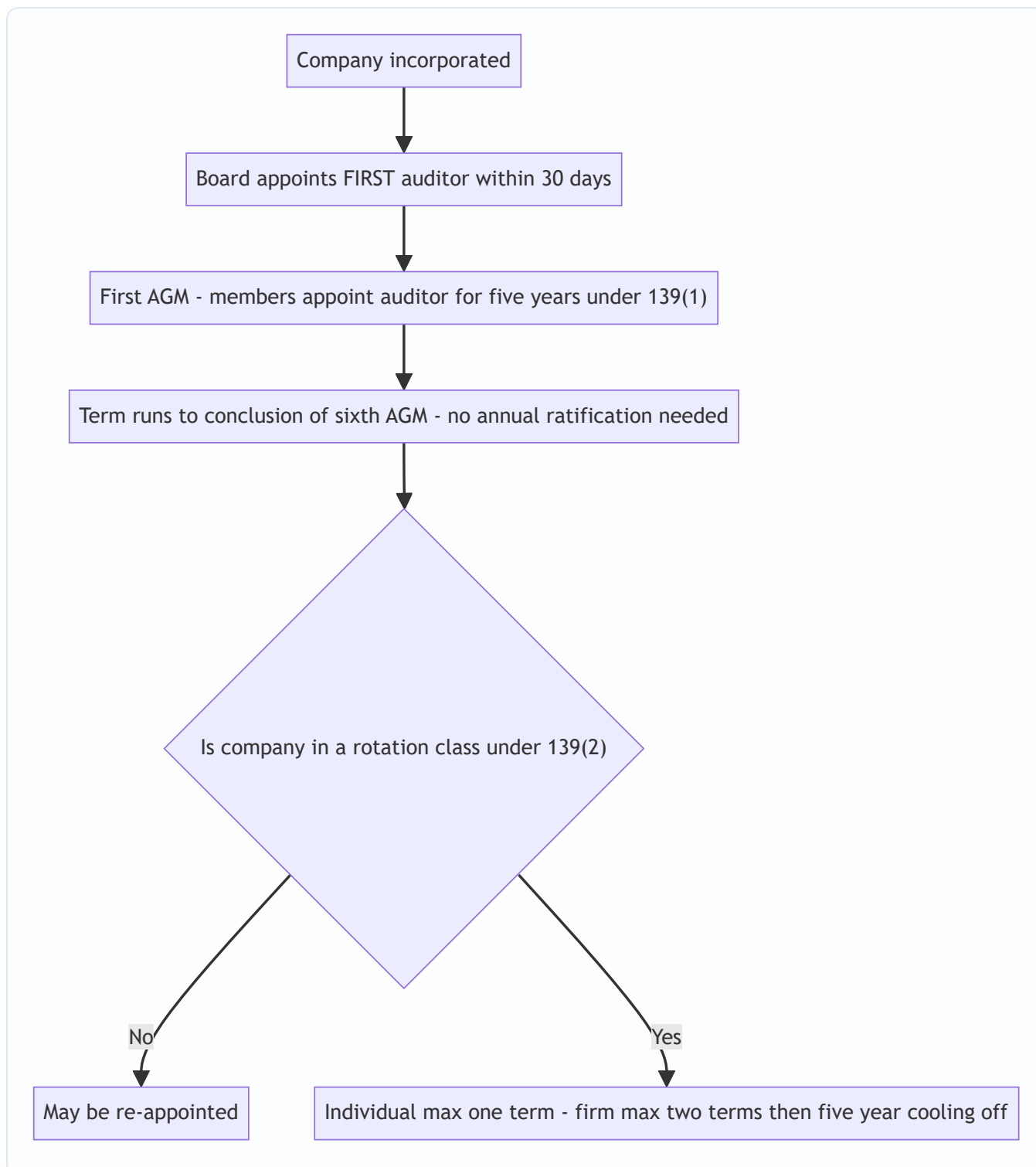
For **prescribed classes of companies** — broadly **listed companies and certain large public/private companies** (thresholds by paid-up capital / borrowings — *confirm current limits in ICAI material*) — mandatory rotation applies:

- An **individual** auditor may not serve **more than one term of five consecutive years**.
- An **audit firm** may not serve **more than two terms of five consecutive years** (i.e., 10 years).
- After the term ends, a **cooling-off period of five years** applies before that individual/firm can be re-appointed in the same company.
- Firms with **common partners** to the outgoing firm are also barred during cooling-off (to stop rotation on paper only).

Why: the deadliest threat to independence over time is the **familiarity/self-interest threat** — a long, cosy relationship where the auditor identifies with management, gets comfortable, and stops challenging.

Rotation forces a **fresh, sceptical pair of eyes** at fixed intervals, and denies management the "our man for life" arrangement. It is prevention built into the calendar, not left to the auditor's willpower.

Figure 3 — Appointment and rotation as a timeline of who holds the pen.



4.5 Casual vacancy (Sec 139(8))

A **casual vacancy** (arising from **death, resignation, disqualification**, etc. mid-term) is filled:

- **Non-Government company:** by the **Board within 30 days**; but if the vacancy is due to **resignation**, the Board's appointment must also be **approved by the members at a general meeting within 3 months** of the Board's recommendation. The appointee holds office **till the next AGM**.
- **Government company:** by the **C&AG within 30 days**; failing which the **Board within the next 30 days**.

Why the special treatment of resignation: a **resignation** is exactly the event that may signal something is wrong — an auditor walking away from a dispute. So the law does not let the Board quietly slot in a

replacement; it drags the choice into the **members' meeting** for approval, ensuring owners are alerted and involved precisely when the exit is suspicious.

4.6 Eligibility and disqualifications (Sec 141(3)) — the financial-entanglement filter

A person is **not eligible** for appointment as auditor if he is entangled with the company in ways that would compromise objectivity. The disqualifications include (key ones — verify the full current list in ICAI material):

- (a) a **body corporate** (except an LLP registered under the LLP Act);
- (b) an **officer or employee** of the company;
- (c) a **partner or employee** of an officer/employee of the company;
- (d) a person (or his relative/partner) who **holds any security or interest** in the company/its subsidiary/holding/associate — a **relative may hold securities up to face value ₹1,00,000** (*confirm threshold*); or is **indebted** to it beyond **₹5,00,000**; or has given a **guarantee** for another's debt to it beyond **₹1,00,000**;
- (e) a person or firm with a **business relationship** with the company (beyond arm's-length professional services);
- (f) a person whose **relative is a director or key managerial personnel** of the company;
- (g) a person in **full-time employment elsewhere**, or an auditor holding appointments in **more than 20 companies** (the ceiling — with specified exclusions);
- (h) a person **convicted of fraud** in the preceding **ten years**;
- (i) a person who **directly or indirectly renders prohibited services under Sec 144**.

Sec 141(4): if a disqualification is **incurred after appointment**, the auditor **vacates office**, and this is treated as a **casual vacancy**.

Why: independence in appearance and in mind both collapse if the auditor has money, employment, family or business skin in the game. If the auditor owns shares, he benefits from a flattering opinion; if he owes the company money, he can be squeezed; if his relative runs it, loyalty splits. The list is a **pre-emptive quarantine** — it removes the conflict *before* it can bias a single judgement, rather than trusting the auditor to resist temptation afterwards.

4.7 Remuneration (Sec 142)

The auditor's remuneration is **fixed by the members in general meeting**, or in such manner as the meeting may determine; the **Board may fix the first auditor's remuneration**. Remuneration **includes** the audit fee plus expenses incurred in connection with the audit and any facility extended, but **excludes** any sum paid for **other services** rendered at the company's request.

Why: fees are a two-edged lever. **Excessive** or contingent fees can *bribe* an auditor into silence; **arbitrary cuts** can *punish* a diligent one. Placing the fee decision with the **members** (the auditor's principals) and requiring **disclosure** keeps management from privately dangling money as reward or threat. The careful separation of audit fees from "other services" fees also foreshadows Sec 144 — the law wants the world to see how much non-audit money is flowing, because that money is where silence gets bought.

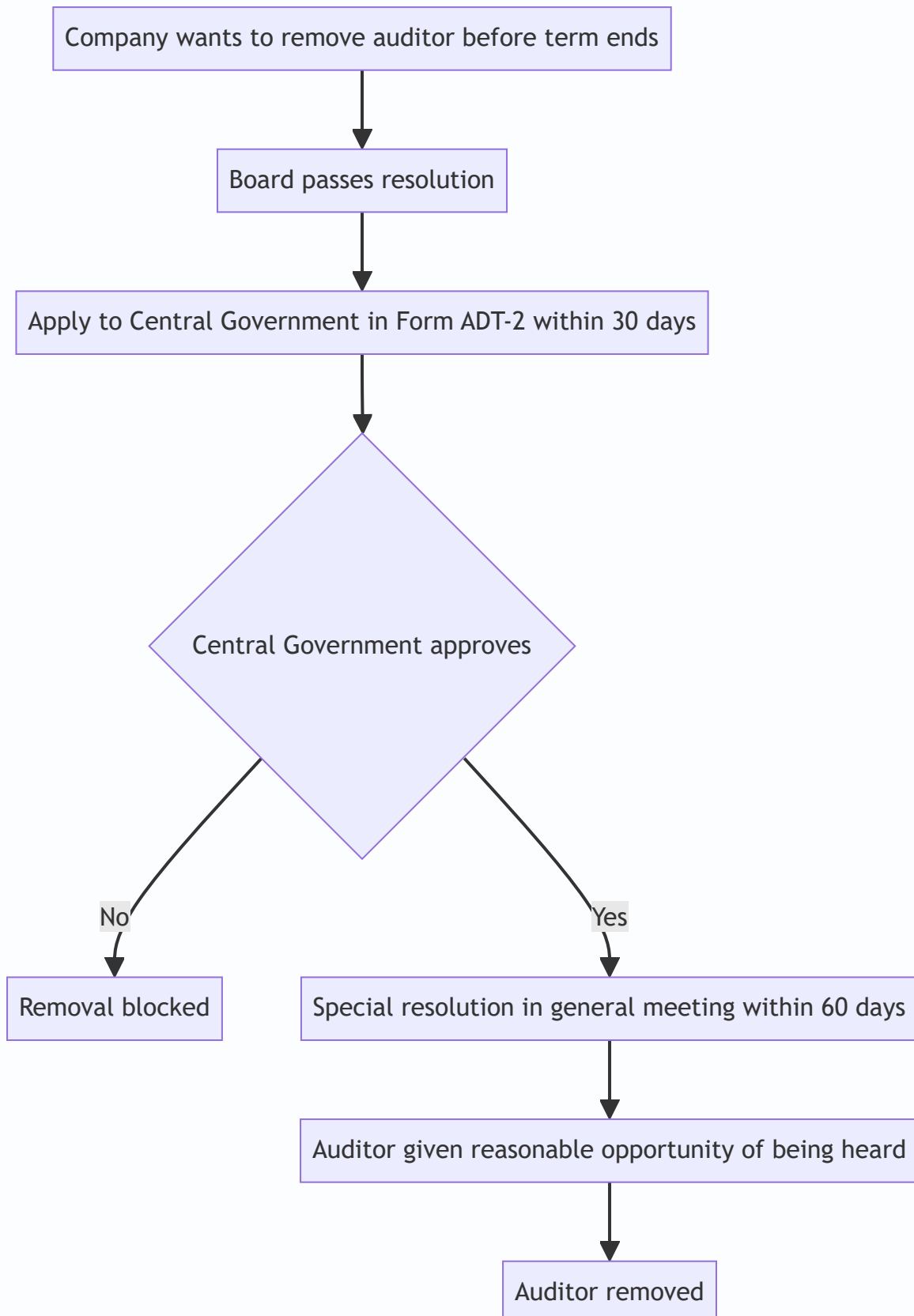
4.8 Removal, resignation and special notice (Sec 140) — the hardest door to open

This is the section that most directly defeats the "sack the auditor who objects" attack.

- **140(1) — Removal before expiry of term:** requires a **special resolution** of the company **AND the prior approval of the Central Government** (application in **Form ADT-2** within 30 days of the Board resolution; special resolution within 60 days of Central Government approval). The auditor must be given a **reasonable opportunity of being heard**.
- **140(2)–(3) — Resignation:** a resigning auditor must file a **statement (Form ADT-3)** with the company and the Registrar (and the C&AG for Government companies) **within 30 days**, giving the **reasons and other facts** relevant to the resignation. Failure attracts a **penalty**.
- **140(4) — Special notice for not re-appointing the retiring auditor:** where a resolution at an AGM proposes to appoint **someone other than the retiring auditor** (or to expressly not re-appoint him), **special notice** is required; the retiring auditor is entitled to **make written representations and have them circulated** to members / read at the meeting.
- **140(5) — Tribunal-ordered removal:** the **NCLT**, on its own or on application (including by the Central Government), may order a **change of auditor** if satisfied the auditor has acted **fraudulently or colluded** in fraud; such an auditor is **debarred for five years** and faces Sec 447 liability.

Why each safeguard exists: - **The double lock on removal (special resolution + Central Government)** exists because premature removal is the classic retaliation against an honest auditor. Even a shareholder vote is not trusted alone, because in a promoter-dominated company the vote *is* management. The **Central Government** is inserted as an independent check that asks: is this a genuine reason, or is an inconvenient auditor being purged? - **The resignation statement (ADT-3)** exists because a silent exit is a wasted warning. If an auditor is leaving because of a dispute over the accounts, the owners and the Registrar deserve to know **why**. Forcing him to record the reasons converts a quiet disappearance into a public signal. - **Special notice + right of representation** exists so that management cannot simply *not re-appoint* an auditor and slide in a friendlier one without the members hearing the outgoing auditor's side. - **The Tribunal power** exists for the opposite failure — an auditor who is *too cosy* — arming an independent body to eject and bar a complicit auditor.

Figure 4 — Removing an auditor before term-end is deliberately made hard; every arrow is a safeguard against retaliation.



4.9 Powers and duties (Sec 143) — giving the watchman eyes and a voice

An auditor with no right to see the records, or whose report no one need heed, would be ornamental. Section 143 arms him.

Powers / rights (143(1)): - A **right of access at all times** to the **books, accounts and vouchers** of the company, **wherever kept**, and to **branch** records. - A right to **require information and explanations** from officers, on matters including (illustratively) whether loans/advances are properly secured and terms not prejudicial; whether transactions are merely book entries; whether personal expenses have been charged to revenue, etc.

Duties — the report (143(2)–(3)): the auditor must report to the members on the accounts examined and on every financial statement laid before the company, stating whether they give a **true and fair view**. Sec **143(3)** lists the matters the report must **expressly state**, including (key ones): - whether he **obtained all information and explanations** necessary; - whether **proper books of account** have been kept and proper returns received from branches; - whether the accounts **agree with the books and returns**; - whether the financial statements **comply with accounting standards**; - **observations/qualifications** having an adverse effect on functioning; - whether any **director is disqualified** under Sec 164(2); - **adequacy and operating effectiveness of internal financial controls** (for applicable companies); - other matters prescribed under **Rule 11** (e.g., pending litigation impact, foreseeable losses on long-term contracts, dividends, and specified disclosures).

Duty to report fraud (143(12)): if, in the course of the audit, the auditor has **reason to believe an offence of fraud** involving the company by its officers/employees is being/has been committed, he must **report it** — to the **Central Government** if the amount is **₹1 crore or above** (via the Board/Audit Committee then Form ADT-4 within prescribed timelines), and to the **Board/Audit Committee** for amounts **below ₹1 crore** (with disclosure in the Board's report). Statutorily mandated fraud reporting made in good faith is **protected** and is **not a breach of confidentiality**.

143(9)–(10): the auditor must **comply with the auditing standards (SAs)**, which the Central Government prescribes (recommended by NFRA/ICAI).

C&AG and Government companies (143(5)–(7)): for Government companies the C&AG may **direct** the manner of audit, receive the report, and conduct a **supplementary audit** and **test audit**; comments of the C&AG are placed before the members.

Why: rights of access exist because you cannot audit what you are not allowed to see — without a statutory right, management could simply withhold the damning ledger. The prescribed report contents exist so the opinion is not a vague blessing but answers **specific public-interest questions** (are the books proper? do they comply with standards? are controls effective?). And **fraud reporting** flips the auditor from a passive reporter to an active whistle-blower, because the people best placed to spot management fraud early are the auditors — the law refuses to let them look away and hide behind "confidentiality."

4.10 Prohibited (non-audit) services (Sec 144) — cutting off the silence-bribe

The auditor (whether individual, firm, or through any associated entity) must **not** render, to the company / its holding / subsidiary, certain **non-audit services**, including: - **accounting and book-keeping**; - **internal audit**; - **design and implementation of financial information systems**; - **actuarial services**; - **investment advisory / investment banking**; - **rendering of outsourced financial services**; - **management services**; and - **any other service prescribed**.

Why: the most modern route to auditor capture is not a crude bribe — it is a **lucrative consulting relationship**. If the audit firm earns huge non-audit fees from the same client, it develops a powerful incentive to keep the client happy and not jeopardise the relationship with an awkward audit opinion — the **self-interest threat**. Worse, some prohibited services create a **self-review threat**: if the auditor *built* the

accounting system or *did* the book-keeping, he would be **auditing his own work** and could never be objective about it. Section 144 severs these entanglements at the root, keeping the audit relationship clean and single-purpose.

4.11 Signing of audit reports (Sec 145)

The auditor (or the CA partner authorised to act) must **sign the audit report**, and any **qualifications, observations or comments** on financial matters that have an adverse effect on the functioning of the company must be **read out at the AGM** and be **open to inspection** by members. *Why*: a signature attaches **personal accountability** to the opinion — the auditor cannot hide behind the firm's name or issue an anonymous blessing. Requiring qualifications to be aired means an **adverse note cannot be quietly buried** in an appendix no one reads; the owners hear the bad news.

4.12 Attendance at general meeting (Sec 146)

All notices and communications relating to any general meeting must be **sent to the auditor**, and the auditor (unless exempted by the company) must **attend** the meeting either personally or through an authorised representative (who must be qualified to be an auditor), and has the **right to be heard** on any part of the business that concerns him. *Why*: the auditor's principals are the members, and the AGM is where they gather. If the auditor could be kept away, management could present the accounts and answer questions with no independent voice in the room. Section 146 guarantees the members can **look the auditor in the eye and ask him directly** — closing the gap through which a captured management would otherwise control the narrative.

4.13 Punishment for contravention (Sec 147)

- **Company and officers in default** who contravene Sec 139–146 face **fines** (company) and **fine and/or imprisonment** (officers) — *confirm current amounts in ICAI material*.
- **Auditor** who contravenes Sec 139, 143, 144 or 145 faces a **fine** (a minimum, scaling up to a cap or four times the audit fee, whichever lower); if the contravention was **wilful and intended to deceive**, **imprisonment up to one year and a higher fine**, and the auditor must **refund the audit fee** and **pay for damages** to the company/others for loss arising from an incorrect/misleading statement.
- In a **firm**, where the **partners acted fraudulently or colluded**, the **liability (civil and criminal) is joint and several** for those partners.

Why: every safeguard above is toothless without a cost for breaching it. Punishment converts the duties from moral exhortations into **enforceable obligations** — it prices in a real consequence for the negligent or complicit auditor and for a management that games the appointment machinery, so that the cheapest path is genuinely to comply.

4.14 Cost audit (Sec 148)

For **specified classes of companies** engaged in the **production of goods or provision of services** (as notified — regulated/strategic industries such as certain manufacturing, utilities, pharma, etc.), the Central Government may direct that **cost records** be maintained and that a **cost audit** be conducted by a **Cost Accountant** (member of ICMAI) appointed by the **Board** (remuneration ratified by members). The cost auditor's report goes to the Board and, in prescribed cases, to the Central Government; the **cost auditor is subject to the same duties and disqualification logic** as a financial auditor, and the **financial (statutory) auditor cannot be the cost auditor**.

Why: in **regulated and price-sensitive industries**, the **cost** at which goods/services are produced is a matter of public interest — it underpins **tariff setting, anti-profiteering, subsidy claims and taxation**. Companies have an incentive to misstate costs (inflate them to justify higher prices/subsidies, or manipulate them for tax). A separate, independent cost audit puts an expert eye on the **cost records** specifically, addressing a risk the financial audit is not designed to police. Keeping the cost auditor **separate from the statutory auditor** preserves independence and avoids self-review across the two mandates.

4.15 Branch audit (Sec 143(8))

Where a company has a **branch office**, its accounts may be audited by the **company's (principal) auditor** or by **another person qualified to be appointed as auditor** — the **branch auditor** — appointed under Sec 139. The **branch auditor prepares a report** on the branch accounts and **sends it to the principal (company) auditor**, who **deals with it in his report in the manner he considers necessary**. For a **foreign branch**, the audit may be done by the company's auditor or by a person duly qualified under the **laws of that foreign country**. The **principal auditor is not liable** for the work of the branch auditor merely by using it, **provided** he deals with the branch report appropriately (mirroring the SA 600 logic on using another auditor's work).

Why: a large company may have branches across the country or the world that the principal auditor cannot physically reach for every count and check. Allowing a **local branch auditor** ensures the branch's records are examined by someone with access, while requiring the report to flow **up to the principal auditor** — who must consciously **consider and integrate** it — keeps a **single point of accountability** for the company-wide opinion. It balances practicality (local coverage) against unity of responsibility (one auditor answers to the members).

5. Applied Scenarios (exam-style)

Scenario A — The friendly re-appointment that never happened properly. *Xylo Ltd, a listed company, has had M/s Rao & Co. as auditors for the last 11 continuous years. The Board proposes them for another year.*
Comment. Analysis: Xylo is a listed company, so **rotation under Sec 139(2)** applies. An **audit firm may serve a maximum of two terms of five consecutive years (10 years)**. Eleven years already breaches the cap; re-appointment is **invalid**, and a **five-year cooling-off** must follow before Rao & Co. (or a firm with common partners) can return. The *reason* the examiner is testing: rotation exists to break the **familiarity threat** that an 11-year relationship epitomises. The Board's comfort with the incumbent is exactly the danger, not a justification.

Scenario B — The auditor who asked too many questions. *During the audit of Kavia Pvt Ltd, the auditor CA P raises concerns about related-party loans. The Board, irritated, passes a resolution at a Board meeting removing him and appoints CA Q the same day. Is the removal valid?* **Analysis:** No. Removal **before expiry of term** is governed by **Sec 140(1)** and requires (i) **prior approval of the Central Government** (Form ADT-2 within 30 days of the Board resolution), (ii) a **special resolution** of members, and (iii) a **reasonable opportunity for the auditor to be heard**. A same-day Board removal satisfies **none** of these. The *reason*: the double lock exists **precisely** to stop retaliatory sacking of an auditor who raises uncomfortable findings — the fact pattern is the textbook abuse the section blocks. CA Q's appointment is void.

Scenario C — The lucrative side deal. *M/s Bright & Co. are statutory auditors of Neon Ltd. Neon also engages them to design and implement its new financial reporting software for a fee three times the audit fee.*

Permissible? **Analysis:** No. **Sec 144** prohibits the auditor from rendering "**design and implementation of any financial information system**" to the audit client. Two threats bite: a **self-interest threat** (the large non-audit fee incentivises keeping Neon happy) and a **self-review threat** (Bright & Co. would later be auditing accounts produced by a system they built). Rendering a prohibited service also **disqualifies** them under **Sec 141(3)(i)**. They must decline the software engagement to remain eligible as auditors.

Scenario D — The quiet resignation. *The auditor of Mango Pvt Ltd resigns mid-year after a dispute over revenue cut-off and simply stops responding. What are the obligations?* **Analysis:** Under **Sec 140(2)–(3)** the resigning auditor **must file Form ADT-3** stating the **reasons and relevant facts** with the company and the Registrar **within 30 days**; failure attracts a **penalty**. The resulting **casual vacancy (Sec 139(8))** must be filled by the Board **and, because it arises from resignation, approved by members in general meeting within 3 months**. The *reason*: a resignation over a cut-off dispute is a **red flag**; the law forces the reasons into the open and pulls the replacement decision to the members, so a suspicious exit cannot be swept aside.

Scenario E — First-year gap. *Zephyr Ltd was incorporated on 1 April; by 15 May no auditor had been appointed. Who acts, and by when?* **Analysis:** Under **Sec 139(6)**, the **Board must appoint the first auditor within 30 days of registration** (i.e., by 30 April). Having missed that, the power passes to the **members**, who must appoint at an **EGM within 90 days**. The first auditor then holds office **until the conclusion of the first AGM**. *Reason:* the temporary Board power is a stopgap so the company is never without an auditor, but it expires at the first AGM where the owners take control.

6. Procedure / Documentation Summary

Before accepting an appointment, the auditor must: 1. Confirm he is **qualified and not disqualified** under **Sec 141** (no security/interest, indebtedness within limits, no business relationship, relative not a director/KMP, ceiling of 20 company audits not breached, no prohibited service under Sec 144). 2. Obtain the company's compliance with **Sec 139** — check whether it is a **rotation-class** company and whether tenure/cooling-off permits appointment. 3. Give **written consent** and a **certificate** that the appointment satisfies Sec 141 limits. 4. Ensure the company files **Form ADT-1** with the Registrar within **15 days**.

Key forms and timelines (memorise the pairing of form to event):

Event	Form	Who files / when
Appointment of auditor	ADT-1	Company, within 15 days
Application for removal before term	ADT-2	Company to Central Government, within 30 days of Board resolution
Resignation statement	ADT-3	Auditor to company & Registrar, within 30 days
Fraud report to Central Government ($\geq ₹1$ crore)	ADT-4	Auditor, within prescribed time

What the auditor documents (SA 230 link): the eligibility check and disqualification declaration; the engagement letter and consent/certificate; the appointment resolution and ADT-1; assessment of rotation applicability and tenure; remuneration approved; any communication on removal/resignation and the reasons; the reasoning behind the report contents under Sec 143(3) and Rule 11; and, where relevant, fraud-

reporting steps under 143(12). *Why*: these are statutory obligations whose **breach is punishable (Sec 147)** — the file must prove each was met.

7. Connections

- **Sec 132 (NFRA)**: the independent oversight body for auditors of large/listed companies — monitoring compliance, investigating misconduct, and recommending accounting/auditing standards. It sits *above* the individual-company safeguards as the systemic watchdog.
 - **SA 200 / Code of Ethics**: the *concept* of independence (of mind and appearance) and the five threats — self-interest, self-review, advocacy, familiarity, intimidation — are the **conceptual layer**; Sections 139–148 are the **statutory hard-wiring** of that concept. Sec 144 = self-interest/self-review; Sec 139(2) rotation = familiarity; Sec 140 double-lock = intimidation.
 - **SA 210 (Terms of Engagement)**: the engagement letter operationalises the appointment made under Sec 139.
 - **SA 240 (Fraud)**: dovetails with the **Sec 143(12)** duty to report fraud.
 - **SA 600 (Using the Work of Another Auditor)**: governs how the principal auditor deals with the **branch auditor's** report under **Sec 143(8)**.
 - **SA 700/705/706 (Reporting)**: the *format and opinion types* of the report whose *contents and signing* are mandated by **Sec 143 and 145**.
 - **Sec 164(2) (Director disqualification)**: the auditor must report on it under Sec 143(3).
 - **CARO (Companies (Auditor's Report) Order)**: a Central-Government order **expanding the matters** on which the auditor must report, layered on top of Sec 143(3).
-

8. Traps & Examiner Tricks

- **First auditor's term**. The first auditor holds office **till the conclusion of the first AGM** — *not* for five years, and *not* till the next Board meeting. Students routinely give him a five-year term.
- **Board's 30 days ≠ members' 90 days**. For the first auditor (non-Govt), the **Board** has **30 days**; only on Board failure do the **members** get **90 days** (at an EGM). Do not merge the two.
- **Rotation counts: individual = 1 term (5 yrs), firm = 2 terms (10 yrs)**. Reversing these, or applying rotation to *every* company (it applies only to the **prescribed classes**), is a classic error.
- **Annual ratification is GONE**. The proviso requiring members to ratify the appointment at every AGM was **omitted by the 2017 Amendment**. Saying "must be ratified annually" is now wrong (confirm in ICAI material).
- **Casual vacancy by resignation needs members' approval**. A casual vacancy is normally filled by the Board within 30 days — **but if caused by resignation**, members must **approve within 3 months**. The resignation carve-out is the tested point.
- **Removal needs BOTH special resolution AND Central Government approval**. Many write only one. Both are mandatory, plus a hearing. Distinguish this from **not re-appointing** a retiring auditor (Sec 140(4)), which needs **special notice** and a **right of representation**, not Central Government approval.
- **Sec 141 thresholds**. Relative may hold securities up to **face value ₹1,00,000**; indebtedness limit **₹5,00,000**; guarantee limit **₹1,00,000**; audit ceiling **20 companies** (with exclusions). Precise figures are

examinable — *confirm current values*.

- **Disqualification after appointment = vacation of office (141(4))**, treated as a **casual vacancy** — not merely "he should resign."
- **Prohibited services are absolute for the audit client (and its holding/subsidiary)**. "But the fee was small / it was a different department" is no defence — Sec 144 is a bright-line list.
- **Fraud reporting threshold. $\geq$ ₹1 crore → Central Government** (Form ADT-4); **$<$ ₹1 crore → Board/Audit Committee** with disclosure in Board's report. Getting the threshold or the recipient wrong is common.
- **Cost auditor $\neq$ statutory auditor**. The **statutory (financial) auditor cannot also be the cost auditor** (Sec 148); the cost auditor is a **Cost Accountant (ICMAI)** appointed by the **Board**.
- **Branch auditor reports to the principal auditor, who "deals with it as necessary"** — **he is not automatically liable** for the branch auditor's work if he handles the report properly.
- **Only members appoint the subsequent auditor**. Board appointment is confined to the **first auditor** and **casual vacancies** (with the resignation caveat). Any exam fact where the Board "appoints the auditor at the AGM" is a trap.

9. First-Principles Recap

Company audit is the shareholders' answer to a problem they cannot solve themselves: the managers who run the company also write the report on the company, and the managers would, if allowed, choose, pay, protect and (when it suited them) silence the very auditor meant to check them. The audit is worthless unless the auditor is independent — and independence is not something the law can order into the auditor's heart, so it **engineers it into the structure around him**.

Every section of the company-audit regime is one lever of control taken out of management's hands. **Who is appointed** goes to the **members** (Sec 139), with the Board allowed only a temporary stopgap for the first auditor and casual vacancies. **How long he stays** is capped by **rotation** (Sec 139(2)) to break the familiarity that corrodes scepticism over time. **Who may serve** is filtered by a **disqualification list** (Sec 141) that quarantines financial, employment and family entanglements before they can bias a judgement. **How much he's paid** is set by the **members** and disclosed (Sec 142), so fees cannot be a private bribe or punishment. **Whether he can be removed** is guarded by a **double lock — special resolution plus Central Government approval** (Sec 140) — because premature removal is the classic retaliation against honesty, and even a promoter-dominated shareholder vote is not trusted alone. **What he can see and must say** is fixed by statute (Sec 143), giving him a right of access and a report that must answer specific public-interest questions, plus a duty to blow the whistle on fraud. **What else he may sell the client** is fenced by the **prohibited-services list** (Sec 144), cutting off the modern silence-bribe of lucrative consulting and the self-review of auditing his own handiwork. **Whether anyone hears him** is secured by **signing and reading at the AGM** (Sec 145–146). And **whether any of it has teeth** is answered by **punishment** (Sec 147). Around the edges, **cost audit** (Sec 148) polices costs in regulated industries the financial audit was never built to check, and **branch audit** (Sec 143(8)) extends reach without fracturing accountability.

Read that way, Sections 139–148 are not ten disconnected rules to memorise. They are a **single coordinated defence against auditor capture**, and once you can name the capture each one blocks, you can reconstruct the whole regime from first principles — which is the only way to answer a fact pattern you have never seen before.

10. Quick-Revision Sheet

Section-to-purpose map

Sec	Rule (one line)	Capture it blocks
139(6)/(7)	First auditor: Board within 30 days (Govt: C&AG within 60); holds office till 1st AGM	Company running without an auditor; temporary pick becoming permanent
139(1)	Members appoint at 1st AGM for 5 yrs (to 6th AGM); ADT-1 in 15 days; no annual ratification	Board choosing a friendly auditor
139(2)	Rotation (prescribed cos): individual 1 term (5 yr) , firm 2 terms (10 yr) , 5-yr cooling-off	Familiarity threat from a lifelong auditor
139(8)	Casual vacancy: Board in 30 days; if by resignation, members approve in 3 months	Quiet insertion of a replacement after a suspicious exit
140(1)	Removal before term: special resolution + Central Government approval + hearing (ADT-2)	Retaliatory sacking of an honest auditor
140(2)/(3)	Resignation statement (ADT-3) with reasons in 30 days; penalty on default	Silent exit hiding a dispute
140(4)	Not re-appointing retiring auditor: special notice + right of representation	Sliding in a friendlier auditor without members hearing the incumbent
140(5)	NCLT may remove a fraudulent/colluding auditor; 5-yr debarment	A captured, complicit auditor
141	Only CA/eligible firm; disqualifications (security/interest, indebtedness > ₹5L, relative director/KMP, >20 cos, prohibited service)	Financial/family/employment entanglement
142	Remuneration fixed by members ; separate from other-service fees	Bribery via fees / punitive cuts
143(1)	Right of access at all times to books/vouchers, incl. branches; require info	Withholding of records
143(3)+Rule 11	Report must state true & fair, proper books, AS compliance, IFC, director disqualification, etc.	A vague, toothless opinion
143(12)	Report fraud: ≥ ₹1 cr → Central Govt (ADT-4) ; < ₹1 cr → Board/Audit Committee	Auditor looking away from management fraud
144	No accounting, internal audit, IT system design, actuarial, investment/mgmt services to client	Silence-bribe via non-audit fees; self-review
145	Auditor signs ; qualifications read at AGM	Anonymous opinion; buried qualifications
146	Notices sent to auditor; must attend AGM ; right to be heard	Keeping the auditor away from members
147	Fines/imprisonment for auditor, officers, company; refund fee + damages; joint & several for colluding partners	No cost for default
148	Cost audit by Cost Accountant (ICMAI) , Board-appointed; not the statutory auditor	Manipulated cost records in regulated industries

Sec	Rule (one line)	Capture it blocks
143(8)	Branch audit by principal or branch auditor; report flows up to principal	Unaudited branches; fractured accountability

Forms: ADT-1 (appointment, 15 days) · ADT-2 (removal application to Central Government, 30 days) · ADT-3 (resignation, 30 days) · ADT-4 (fraud $\geq$ ₹1 cr).

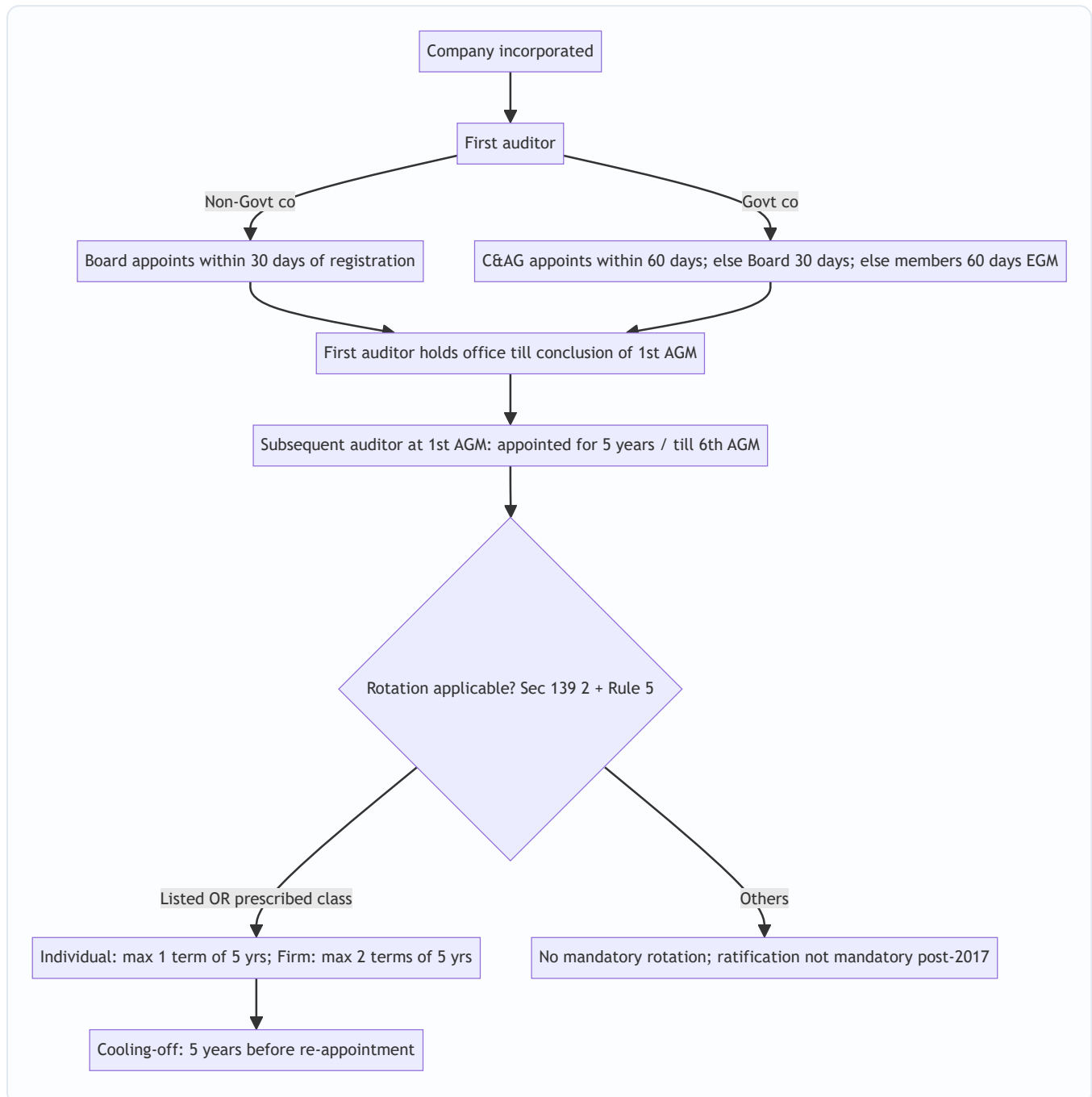
Key numbers: First auditor Board **30 days** / members **90 days** / Govt C&AG **60 days**. Term **5 yrs to 6th AGM**. Rotation **5 / 10 yrs**, cooling-off **5 yrs**. Audit ceiling **20 companies**. Indebtedness **₹5,00,000**; relative security **₹1,00,000**; guarantee **₹1,00,000**. Fraud threshold **₹1 crore**. *(Confirm all current figures/thresholds and rotation-class limits in ICAI material.)*

One-line memory hooks - *The watched must never control the watchman — that is all of 139 to 148. - Members hire and pay; the Board only bridges gaps; the state must bless a removal. - Rotation kills familiarity by the calendar, not by willpower. - Section 141 quarantines the conflict before it can bias; Section 144 cuts the silence-bribe. - A signature is accountability; reading at the AGM is refusing to bury the bad news. - No safeguard has teeth without Section 147.*

Q&A — Company Audit (Companies Act Provisions)

CA Intermediate — Auditing & Ethics. Statutory provisions covered: Companies Act 2013, Sections 139–148 and Section 143 (branch audit under 143(8)); the Companies (Audit and Auditors) Rules, 2014; NFRA Rules 2018. Cross-references: SA 210 (terms of engagement), SA 220/SQC 1 (quality & independence), SA 299 (joint audit), SA 600 (using another auditor's work — branch), CARO 2020, ICAI Code of Ethics.

Appointment & Rotation Decision Tree



Section A — Concept-Check Questions (with answers)

A1. Who appoints the first auditor of a company (other than a Government company) and within what time? Under **Section 139(6)**, the Board of Directors shall appoint the first auditor within **30 days** from the date of registration of the company. If the Board fails, it shall inform the members, who shall appoint the first auditor within **90 days** at an extraordinary general meeting. The first auditor holds office till the conclusion of the first AGM.

A2. How is the first auditor of a Government company appointed? Under **Section 139(7)**, the Comptroller and Auditor-General of India (C&AG) appoints the first auditor within **60 days** of registration. If C&AG fails, the Board appoints within the next **30 days**; on Board's failure, members appoint within **60 days** at an EGM. (A "Government company" and companies owned/controlled by government are covered.)

A3. For how long is a subsequent auditor appointed and what is the ratification position? Under **Section 139(1)**, every company at its first AGM appoints an auditor to hold office from that AGM till the conclusion of its **sixth AGM** (i.e., 5 years), subject to the auditor's continuing eligibility. The requirement of annual **ratification** by members was **omitted** by the Companies (Amendment) Act, 2017; ratification is no longer mandatory.

A4. To whom must the auditor consent/certificate be given before appointment, and what does it certify? Per **Section 139(1) read with Rule 4**, the company must obtain the auditor's **written consent** and a **certificate** stating that the appointment, if made, will be in accordance with the conditions prescribed, that the individual/firm is **eligible** and not disqualified under **Sections 141**, 139 and 144, that the proposed appointment is within the term/rotation limits, and that no pending proceedings against the firm are undisclosed.

A5. State the rotation rule under Section 139(2). For **listed companies and prescribed classes** (Rule 5 — unlisted public with paid-up capital $\geq$ ₹10 crore; private with paid-up $\geq$ ₹50 crore; or companies with public borrowings/deposits $\geq$ ₹50 crore), an **individual auditor** cannot serve more than **one term of 5 consecutive years**, and an **audit firm** cannot serve more than **two terms of 5 consecutive years**. A **cooling-off period of 5 years** applies before re-appointment.

A6. What is the filing requirement after appointment of an auditor? Under **Section 139(1) read with Rule 4**, the company shall file a notice of appointment with the Registrar in **Form ADT-1** within **15 days** of the meeting in which the auditor is appointed.

A7. List any five disqualifications of an auditor under Section 141(3). (a) A body corporate other than an LLP; (b) an officer or employee of the company; (c) a partner/employee of an officer or employee; (d) a person (or his relative/partner) holding **any security or interest** in the company (relative may hold face value up to **₹1,00,000**), or indebted for more than **₹5,00,000**, or having given guarantee/security for third-party indebtedness exceeding **₹1,00,000**; (e) a person whose relative is a director or KMP; (f) a person in full-time employment elsewhere or a person/partner holding audit of **more than 20 companies** (the ceiling under 141(3)(g)).

A8. What is the ceiling on number of audits and how is it computed (Sec 141(3)(g))? A person cannot be auditor of **more than twenty companies** (per partner in case of a firm). Excluded from the count: one person companies, dormant companies, small companies, and private companies having paid-up share capital **less than ₹100 crore** (per the proviso/Rule). The limit of 20 is computed per partner who is not in full-time employment elsewhere.

A9. If a disqualification under Section 141 arises after appointment, what is the consequence? Under **Section 141(4)**, if any of the disqualifications in Section 141(3) is incurred **after appointment**, the auditor shall be deemed to have **vacated office**, and such vacation is treated as a **casual vacancy** (to be filled under Section 139(8)).

A10. How is a casual vacancy filled? Under **Section 139(8)**: (i) in a **non-Government** company, by the **Board within 30 days**; if the vacancy arose due to **resignation**, the appointment must also be **approved by members at a general meeting** within 3 months of the Board's recommendation; (ii) in a **Government** company, by the **C&AG within 30 days**, failing which the Board fills it within the next 30 days. The auditor so appointed holds office till conclusion of the next AGM.

A11. State the procedure and timeline for an auditor's resignation. Under **Section 140(2) read with Rule 8**, a resigning auditor must file a statement in **Form ADT-3** with the company and the Registrar (and with C&AG in a Government company) within **30 days** of resignation, indicating reasons and relevant facts. Non-compliance attracts penalty under **Section 140(3)**.

A12. How can an auditor be removed before the expiry of term? Under **Section 140(1)**, removal before expiry requires a **special resolution** of the company **and prior approval of the Central Government** (application in **Form ADT-2** within 30 days of Board resolution; special resolution within 60 days of CG approval). The auditor must be given a **reasonable opportunity of being heard**.

A13. What is the auditor's right regarding access to records and remuneration fixation? Under **Section 143(1)**, the auditor has a **right of access at all times to the books, accounts and vouchers** of the company (whether kept at the registered office or elsewhere) and is entitled to require information and explanations. Under **Section 142**, remuneration is **fixed by the members** (or in a manner determined at the general meeting); the Board fixes remuneration of the first auditor.

A14. What are the auditor's duties on fraud reporting under Section 143(12)? If an auditor, in the course of performance of duties, has **reason to believe** that an offence of **fraud** involving an amount of **₹1 crore or more** is being/has been committed against the company by officers or employees, the auditor shall report to the **Central Government** (via the Board/Audit Committee within specified days, then **Form ADT-4** to CG within 15 days). Frauds **below ₹1 crore** are reported to the **Board/Audit Committee** and disclosed in the Board's Report (Rule 13).

A15. What non-audit services are prohibited under Section 144? An auditor shall not render, directly or indirectly, to the company/holding/subsidiary: accounting and book-keeping; internal audit; design and implementation of financial information systems; actuarial services; investment advisory and investment banking; rendering of outsourced financial services; management services; and any other prescribed service. This safeguards **independence**.

A16. Which section governs the constitution and functions of NFRA, and which section deals with the Auditing Standards? **Section 132** constitutes the **National Financial Reporting Authority (NFRA)** to monitor and enforce compliance with accounting and auditing standards and to oversee auditors of prescribed (largely listed/large public interest) entities. **Section 143(9)/(10)** requires the auditor to comply with the **Standards on Auditing (SAs)**; until CG prescribes them, ICAI's standards deem to be the standards.

A17. What is the branch audit provision under Section 143(8)? Where a company has a **branch office**, its accounts shall be audited either by the **company's auditor** or by **another person qualified** to be appointed as auditor (a "branch auditor") appointed under Section 139. For a **foreign branch**, audit may be done by the company's auditor or a person **duly qualified under the laws of that country**. The **branch auditor**

prepares a report and sends it to the company's (principal) auditor, who deals with it in the main audit report as considered necessary.

A18. How does the principal auditor use the branch auditor's work? The principal auditor uses the branch report per **SA 600 (Using the Work of Another Auditor)** — the principal auditor remains responsible for the opinion on the company as a whole, considers the materiality of the branch, may visit the branch, and reviews the branch auditor's work but does **not re-audit** the branch. The branch auditor is responsible for compliance with SAs at the branch.

A19. What is a joint audit and which SA governs it? A **joint audit** is where two or more auditors are jointly appointed to audit the same entity. **SA 299 (Revised) — Responsibility of Joint Auditors** governs the **division of work** by mutual discussion (documented), the **coordination**, and liability. Each joint auditor is responsible for the area **allocated to and audited by them**; all are **jointly and severally** responsible for matters decided in common, for undivided work, for compliance with statutory requirements on presentation, and for ensuring the audit is conducted per SAs.

A20. What are the "additional" reporting requirements over and above SA 700 in a company audit? The auditor reports under **Section 143(3)** (e.g., whether accounts give true and fair view; whether proper books kept; branch reports received; internal financial controls adequacy under 143(3)(i); observations having adverse effect; whether the company has adequate/complied with laws) and separately reports under **CARO 2020** (the Companies (Auditor's Report) Order, 2020) for covered companies. Section **143(3)(f)/(h)** deal with qualifications/observations.

Section B — Applied Scenario Questions (situation → audit response)

B1. Situation. XYZ Ltd's Board did not appoint the first auditor within 30 days of incorporation. Three months later, the Board purports to appoint one. Is this valid? **Response.** Invalid. Under **Section 139(6)**, on the Board's failure within 30 days, the **power shifts to the members**, who must appoint the first auditor within 90 days at an EGM. The Board loses its authority once the 30-day window lapses; a belated Board appointment has no legal effect. The correct action is for the members to appoint at an EGM. The company should convene the EGM without further delay.

B2. Situation. An audit firm has completed two terms of 5 years each as auditor of a listed company. The company wishes to re-appoint the same firm because the audit was satisfactory. Advise. **Response.** Not permissible. Under **Section 139(2)**, an audit **firm** in a listed/prescribed company cannot be appointed for more than **two consecutive terms of 5 years**. A **cooling-off period of 5 years** must elapse before re-appointment of the same firm. Further, an outgoing firm cannot circumvent this by re-appointing a firm having **common partners** (the associated/network firm rule). The company must appoint a different firm.

B3. Situation. During the audit of PQR Ltd (a non-Government company), the auditor resigns citing disagreement with management. The Board appoints a replacement within 30 days but does not place it before the members. Comment. **Response.** The Board's appointment within 30 days is correct under **Section 139(8)** for a casual vacancy. However, because the vacancy arose from **resignation**, the Board's appointment is only valid if **approved by the members at a general meeting within 3 months** of the Board's recommendation. Failing member approval, the appointment is incomplete. Separately, the resigning auditor must have filed **Form ADT-3** within 30 days under **Section 140(2)**.

B4. Situation. The auditor of ABC Ltd holds equity shares of face value ₹80,000 in a subsidiary of ABC Ltd. Management argues it is a subsidiary, not the company being audited. Is the auditor disqualified? **Response.**

Disqualified. **Section 141(3)(d)(i)** extends the security/interest bar to the company, its **subsidiary, holding, associate company or a subsidiary of the holding company**. Even a security in the subsidiary triggers disqualification (the relative-holding relaxation of ₹1,00,000 applies only to a **relative** holding, not the auditor himself). The auditor must **dispose of the interest or decline**; if incurred post-appointment, office is deemed vacated under **Section 141(4)**.

B5. Situation. The company auditor, while auditing, forms a reasonable belief that the CFO has committed a fraud of ₹3 crore against the company. Management asks the auditor to keep it internal and adjust the accounts. What must the auditor do? **Response.** Since the amount is **₹1 crore or more**, the auditor **must report to the Central Government** under **Section 143(12) read with Rule 13**: first report to the **Board/Audit Committee** seeking reply within 45 days, then forward the report with the reply (or note absence of reply) to the CG in **Form ADT-4** within **15 days**. The duty is statutory and cannot be waived by management. The auditor also considers the impact on the audit opinion (SA 240) and cannot merely "adjust" the accounts. Failure to report attracts penalty under **Section 143(15)**.

Section C — Descriptive (Past-Paper Style) Questions with Model Answers

C1. "The provisions of the Companies Act, 2013 relating to appointment and rotation of auditors are designed to protect auditor independence." Explain the rotation and cooling-off provisions under Section 139(2). (5 marks)

Model Answer. Section 139(2) mandates rotation for **listed companies and companies of a prescribed class** (Rule 5 of the Companies (Audit and Auditors) Rules, 2014 — unlisted public companies with paid-up capital ≥ ₹10 crore, private companies with paid-up capital ≥ ₹50 crore, and companies with public borrowings from banks/financial institutions/public deposits ≥ ₹50 crore). For such companies: an **individual** auditor may be appointed for **not more than one term of five consecutive years**; an **audit firm** for **not more than two terms of five consecutive years**. A **cooling-off period of five years** applies — an individual/firm that has completed its term(s) is **not eligible for re-appointment** in the same company for 5 years. To prevent circumvention, an audit firm having **common partner(s)** with an outgoing firm is also barred during the cooling-off period. Companies are given a transition period to comply. Members may, by resolution, provide for rotation of the **audit partner and team** at more frequent intervals. These provisions engineer independence by **structurally limiting** long, capture-prone auditor–client relationships (public-interest rationale under Section 132/NFRA oversight).

C2. Discuss the manner of appointment and reporting responsibility of a Branch Auditor under Section 143(8) of the Companies Act, 2013, and the interaction with SA 600. (5 marks)

Model Answer. Under **Section 143(8)**, where a company has a **branch office**, the accounts of that branch shall be audited by (a) the **company's (principal) auditor**, or (b) **another person qualified for appointment as auditor** of the company under Section 139 (the "branch auditor"), appointed under Section 139. For a **branch outside India**, the accounts may be audited either by the company's auditor or by an **accountant duly qualified under the laws of the foreign country**. The **branch auditor** conducts the audit in accordance with the SAs, prepares a **report on the branch accounts**, and forwards it to the **principal auditor**, who deals with it in his report **in such manner as he considers necessary**. Remuneration of the branch auditor is fixed by the company in general meeting or as delegated. The interaction is governed by **SA 600 (Using the Work of Another Auditor)**: the principal auditor remains **responsible for the opinion on the financial statements as a whole**, evaluates the **materiality** of the branch, may issue instructions to

and review the work of the branch auditor, and considers whether the branch auditor's work is adequate — but does **not re-perform** the branch audit. The branch auditor is responsible for compliance at the branch level. Together this preserves a **single, accountable opinion** while allowing distributed audit work.

C3. Explain the disqualifications of an auditor relating to indebtedness, security/interest, and business relationship under Section 141(3), and the effect of Section 141(4). (6 marks)

Model Answer. Section 141(3) lists persons **not eligible** for appointment as auditor. Key financial-independence disqualifications: - **Security or interest [141(3)(d)(i)]** — a person, or his partner or relative, holding **any security or interest** in the company or its holding/subsidiary/associate/co-subsubsidiary. Relaxation: a **relative** may hold securities of face value **not exceeding ₹1,00,000**. - **Indebtedness [141(3)(d)(ii)]** — a person/partner/relative **indebted** to the company (or its holding/subsidiary/associate) for an amount **exceeding ₹5,00,000**. - **Guarantee/Security [141(3)(d)(iii)]** — having given a **guarantee or provided security** in connection with the indebtedness of a third person to the company for an amount **exceeding ₹1,00,000**. - **Business relationship [141(3)(e)]** — a person or firm having, directly or indirectly, a **business relationship** with the company (as prescribed, excluding professional services permitted). - Also: officer/employee of the company [141(3)(b)]; partner/employee of an officer/employee [141(3)(c)]; a person whose relative is a **director or KMP** [141(3)(f)]; person holding **more than 20 company audits** [141(3)(g)]; person convicted of fraud in the last 10 years [141(3)(h)]; a body corporate other than LLP [141(3)(a)]. **Effect of Section 141(4):** if any disqualification is **incurred after appointment**, the auditor is deemed to have **vacated office**, treated as a casual vacancy under Section 139(8). Thus independence is monitored on a **continuing** basis, not merely at appointment.

C4. Describe the auditor's duty to report fraud under Section 143(12) and the thresholds and forms involved. (5 marks)

Model Answer. Under **Section 143(12)**, if in the course of performing his duties the auditor has **reason to believe** that an offence of **fraud** involving the company by its **officers or employees** is being or has been committed, he must report it. **Threshold and route (Rule 13):** - **Fraud ≥ ₹1 crore:** report to the **Board/Audit Committee** within 2 days of knowledge seeking their reply within **45 days**; then forward the report, the reply, and his comments to the **Central Government** in **Form ADT-4** within **15 days** of receipt of the reply (or, if no reply, within 15 days of expiry of 45 days). - **Fraud < ₹1 crore:** report to the **Board or Audit Committee** (not CG), specifying nature, amount, and parties; such frauds are **disclosed in the Board's Report**. Reporting made in **good faith** is not a breach of confidentiality (Section 143(13)). Applies also to cost auditors, secretarial auditors, and branch auditors. **Non-compliance** attracts a **penalty** under Section 143(15). This duty complements — but does not replace — the auditor's responsibilities on fraud under **SA 240**.

C5. Write short notes on: (a) filing forms in a company audit; (b) removal of auditor under Section 140(1). (5 marks)

Model Answer. (a) Forms in a company audit: | Form | Purpose | Timeline | |-----|-----|-----| | **ADT-1** | Notice to Registrar of auditor appointment (Sec 139) | Within **15 days** of appointment | | **ADT-2** | Application to Central Government for approval to remove auditor (Sec 140(1)) | Within **30 days** of Board resolution | | **ADT-3** | Notice of **resignation** by auditor (Sec 140(2)) | Within **30 days** of resignation | | **ADT-4** | Report of **fraud ≥ ₹1 crore** to Central Government (Sec 143(12)) | Within **15 days** of receiving Board/AC reply |

(b) Removal under Section 140(1): An auditor may be removed **before expiry of term** only by a **special resolution** and after obtaining **prior approval of the Central Government**. Procedure: pass a **Board**

resolution, file **Form ADT-2** with the CG within **30 days**; on CG approval, hold a general meeting and pass the **special resolution within 60 days** of receiving approval. The auditor must be given a **reasonable opportunity of being heard**. This layered safeguard prevents management from removing an inconvenient (independent) auditor at will.

Section D — MCQs / Case Scenarios (correct option + reasoning)

- D1.** The first auditor of a non-Government company is appointed by the Board within: (a) 15 days (b) **30 days** (c) 60 days (d) 90 days **Answer: (b).** Section 139(6) — Board appoints within 30 days of registration; else members within 90 days.
- D2.** An audit firm in a listed company can hold office for a maximum of: (a) one term of 5 years (b) **two terms of 5 years** (c) three terms of 3 years (d) unlimited **Answer: (b).** Section 139(2) — firm: two consecutive terms of 5 years, then 5-year cooling-off.
- D3.** Form ADT-3 is filed for: (a) appointment (b) **resignation** (c) removal (d) fraud reporting **Answer: (b).** Section 140(2) read with Rule 8 — resignation statement in ADT-3 within 30 days.
- D4.** Fraud reported to the Central Government in Form ADT-4 relates to an amount of: (a) any amount (b) ₹50 lakh or more (c) **₹1 crore or more** (d) ₹5 crore or more **Answer: (c).** Section 143(12) read with Rule 13 — CG reporting threshold is ₹1 crore.
- D5.** The maximum face value of securities a **relative** of the auditor may hold in the company without triggering disqualification is: (a) ₹50,000 (b) **₹1,00,000** (c) ₹5,00,000 (d) Nil **Answer: (b).** Section 141(3)(d)(i) proviso — relative may hold securities up to ₹1,00,000 face value.
- D6.** Removal of an auditor before expiry of term requires: (a) ordinary resolution only (b) Board resolution only (c) **special resolution + prior Central Government approval** (d) NCLT order **Answer: (c).** Section 140(1) — special resolution plus prior CG approval (ADT-2), with opportunity of being heard.
- D7. Case Scenario.** LMN Ltd (listed) has a domestic branch contributing 40% of turnover. The company's principal auditor did not visit the branch but relied on the branch auditor's clean report and issued a clean opinion on the whole company. The branch report was later found to conceal a material misstatement. Who is responsible for the company-level opinion? (a) Only the branch auditor (b) **The principal auditor for the company-level opinion; branch auditor for the branch report** (c) Neither (d) The Audit Committee **Answer: (b).** Under Section 143(8) and SA 600, the principal auditor remains responsible for the **opinion on the FS as a whole** and must evaluate the branch's **materiality** and the adequacy of the branch auditor's work; a 40% branch is significant, so mere reliance without review may be inadequate. The branch auditor is responsible for the **branch report**.
- D8. Case Scenario.** A Chartered Accountant is already the auditor of 19 companies (excluding small/OPC/dormant and private companies below the paid-up threshold). She is offered two more public company audits. Can she accept both? (a) Yes, both (b) **No — she can accept only one; the ceiling is 20** (c) Yes, ceiling does not apply (d) No — she cannot accept any **Answer: (b).** Section 141(3)(g) — a person cannot be auditor of more than **20 companies** (per partner). With 19 counted audits she has room for only one more; the second would breach the ceiling.
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Quick-Revision Sheet

- **First auditor:** Non-Govt — Board 30 days (else members 90 days EGM); Govt — C&AG 60 days [Sec 139(6)/(7)].
- **Subsequent auditor:** 1st AGM, 5-year term till 6th AGM; **ratification abolished** [Sec 139(1)].
- **Rotation (listed/prescribed):** individual 1×5 yrs; firm 2×5 yrs; **cooling-off 5 yrs** [Sec 139(2), Rule 5].
- **Casual vacancy:** Board 30 days (resignation → member approval in 3 months); Govt → C&AG 30 days [Sec 139(8)].
- **Removal before term:** special resolution + **prior CG approval**, ADT-2, opportunity to be heard [Sec 140(1)].
- **Resignation:** ADT-3 within 30 days [Sec 140(2)].
- **Remuneration:** fixed by members; first auditor by Board [Sec 142].
- **Disqualifications:** body corporate (not LLP), officer/employee, security/interest, indebted > ₹5L, guarantee > ₹1L, relative director/KMP, >**20 audits**, convicted of fraud (10 yrs) [Sec 141(3)]; post-appointment DQ → deemed vacation [Sec 141(4)].
- **Powers/duties:** access at all times; report u/s 143(3); comply with **SAs** [Sec 143(1),(3),(9)/(10)].
- **Fraud reporting:** ≥ ₹1 crore → CG via **ADT-4** (Board/AC reply 45 days, ADT-4 in 15 days); < ₹1 crore → Board/AC + Board's Report [Sec 143(12), Rule 13].
- **Prohibited services:** accounting, internal audit, actuarial, investment advisory/banking, management services, etc. [Sec 144].
- **Branch audit:** company's auditor or qualified branch auditor; foreign branch — locally qualified; report to principal auditor; **SA 600** [Sec 143(8)].
- **Joint audit:** SA 299 — divided work individual responsibility; common matters jointly & severally.
- **Forms:** ADT-1 (appointment, 15 days) · ADT-2 (removal approval) · ADT-3 (resignation, 30 days) · ADT-4 (fraud ≥ ₹1 cr).
- **Connections:** NFRA [Sec 132] oversight of large/listed audits; CARO 2020 additional reporting; ICAI Code of Ethics on independence; IFC reporting [Sec 143(3)(i)].
- **Examiner traps:** ratification no longer needed; belated Board appointment invalid once window lapses; subsidiary/holding interest also disqualifies; cooling-off catches common-partner firms; foreign-branch auditor need not be an Indian CA; fraud < ₹1 cr does NOT go to CG.

Chapter 09 — Audit Report & Opinions

1. The Problem

Rewind to the very first idea of this whole subject. A company is run by managers (directors) who prepare the financial statements. The people who *own* the company (shareholders) and the people who *fund* it (banks, creditors) are not in the room when those statements are made. They cannot see the ledgers, cannot test the cash, cannot walk the warehouse. There is an **information asymmetry**: management knows the truth, the users only know what management chooses to tell them. And management has incentives to flatter the numbers — bigger profit means bigger bonus, higher share price, easier loans.

So a third party — the auditor — is hired to check the statements and vouch for them. Fine. But here is the sharp problem this chapter exists to solve:

The auditor does all the work invisibly. He tests, samples, confirms, recalculates, evaluates — for months. But the user never sees a single working paper. The ONLY thing the user ever receives is one document. If that one document fails to communicate what the auditor actually found, the entire audit was pointless.

The audit report is the sole channel through which months of assurance work reaches the person who needs it. It is the *delivery pipe*. And a delivery pipe has failure modes of its own:

- **The pipe could be vague.** If every auditor wrote the report in his own style — "the accounts seem fine to me" — no user could compare two companies, and no user would know what "fine" actually promised. Ambiguity re-creates the very information problem the audit was meant to kill.
- **The pipe could over-promise.** A casual reader thinks the auditor *certifies* the accounts are 100% correct, that the company is financially healthy, that no fraud exists anywhere. If the report doesn't police these expectations, the auditor gets blamed for things he never claimed — the **expectation gap**.
- **The pipe could hide bad news.** If the auditor found a problem but the report format let him bury it, the report becomes a rubber stamp and trust collapses.
- **The pipe could be all-or-nothing.** Real audits are messy. Often *most* of the accounts are reliable but *one area* is wrong or un-checkable. A crude "pass/fail" report throws away good information — it either whitewashes the one problem or condemns the whole set.

Every rule you are about to learn — SA 700, 705, 706, 701, CARO, the IFC report — is an engineered answer to one of these failure modes of the delivery pipe.

2. The Core Idea

The audit report is a **standardised, structured communication of a conclusion**, engineered so that:

1. **It says one precise thing** — an *opinion* on whether the financial statements give a **true and fair view** in accordance with the applicable financial reporting framework. Not a certificate, not a guarantee — an **opinion**, professionally formed on **reasonable (not absolute) assurance**.
2. **Its wording is largely fixed** so that any user, anywhere, reading any company's report, can decode it instantly and compare across companies. Standardisation is what makes the signal legible.

3. **It has a graded vocabulary of "bad news."** Instead of pass/fail, the auditor has a *dial*: clean → qualified → adverse/disclaimer. The exact position on the dial is chosen by a rigorous logic (materiality × pervasiveness) so the report tells the user not just *that* something is wrong but *how much of the statements you can still rely on*.
4. **It carries side-channels** — Emphasis of Matter, Other Matter, Key Audit Matters — to flag things the user should notice *without* changing the opinion.
5. **It polices its own boundaries** — explicit sections on management's responsibility vs the auditor's responsibility — to shrink the expectation gap.

The mental model: the opinion is a **traffic signal with a diagnostic printout attached**. The colour (opinion type) tells you go/caution/stop; the printout (basis, EOM, KAM, CARO) tells you *why* and *where*.

3. Why It's Built This Way

Ask *why standardise?* Because the value of a signal is inversely related to its ambiguity. A bank lending to 500 companies must read 500 reports. If each is bespoke prose, the bank must forensically interpret each one. If all 500 share the same skeleton — same headings, same opinion sentence structure — the bank reads only the *deviations*. Standardisation converts reading into **exception-spotting**. That is why SA 700 fixes the elements and even the order.

Ask *why an opinion and not a certificate?* Because certainty is impossible and promising it would be a lie. Auditors sample (they can't check every transaction — see the concept of testing and materiality), they rely on estimates made by management about the future, and they work within time and cost limits. To reflect this honestly the profession settled on **reasonable assurance** — high, but not absolute — expressed as an **opinion**. Building the report around the word "opinion" is itself an anti-expectation-gap device.

Ask *why a graded scale of modifications?* Because information is valuable and shouldn't be discarded. Imagine a company whose accounts are impeccable except that inventory in one small branch couldn't be verified. A binary system forces the auditor either to pass it (hiding the gap) or fail it (destroying confidence in perfectly good accounts). Neither serves the user. So SA 705 invents a **middle setting** — the qualified opinion, meaning "everything is fine *except* this one thing." The scale exists to preserve as much good information as possible while quarantining the bad.

Ask *why separate EOM/KAM from the opinion?* Because "look at this" and "this is wrong" are different messages and must not be confused. Sometimes the auditor wants to *direct attention* to a correctly-disclosed but important matter (a major lawsuit, going-concern note) without saying the accounts are misstated. Bundling that into the opinion would wrongly signal a problem. So SA 706 (EOM/OM) and SA 701 (KAM) create attention-channels that are structurally *walled off* from the opinion.

Ask *why CARO and the IFC report bolted on?* Because Indian regulators wanted the auditor to also report on *specific* risk-prone matters (loans, statutory dues, fraud, related parties) and on whether the company's **internal financial controls** actually work — things the true-and-fair opinion alone wouldn't surface. These are India-specific extensions of the delivery pipe.

4. Full Technical Content

4.1 Forming the Opinion — SA 700 (Revised)

Risk it counters: the auditor might sign an opinion without having a coherent basis, or might communicate it in a form the user can't decode.

Standard: SA 700 (Revised), "*Forming an Opinion and Reporting on Financial Statements*." It governs the **unmodified** (clean) opinion and the *architecture* of every report.

How the opinion is formed. Before writing anything, the auditor must **conclude whether he has obtained reasonable assurance** that the financial statements as a whole are free from material misstatement (whether due to fraud or error). To reach that conclusion he evaluates:

- Whether **sufficient appropriate audit evidence** was obtained (per SA 330 on responses to risk and SA 500 on evidence).
- Whether **uncorrected misstatements** are material, individually or in aggregate (per SA 450).
- Qualitatively, whether the financial statements **achieve fair presentation**, including:
 - the selected accounting policies are appropriate and consistently applied;
 - accounting estimates made by management are reasonable;
 - information is **relevant, reliable, comparable, understandable**;
 - disclosures are adequate for users to understand material transactions;
 - the terminology used is appropriate; and
- the statements **adequately refer to or describe the applicable financial reporting framework** (in India, the Companies Act 2013 read with the applicable Accounting Standards / Ind AS).

Only if all this holds does the auditor express an **unmodified opinion**, using the phrase that the financial statements "*give a true and fair view ... in accordance with*" the framework (for a fair-presentation framework). If any of it fails, the opinion must be **modified** under SA 705.

Elements of the auditor's report (SA 700) — in the required order:

#	Element	What it does / risk it addresses
1	Title	"Independent Auditor's Report" — the word <i>Independent</i> asserts the auditor is not management's mouthpiece.
2	Addressee	Normally "To the Members of XYZ Ltd" — fixes <i>who</i> the report is for (the owners, not management).
3	Opinion paragraph (placed FIRST)	Identifies the entity, the statements audited, and states the opinion. Put first so the conclusion isn't buried.
4	Basis for Opinion	States the audit was conducted per SAs, that the auditor is independent under the ICAI Code + Act, and that evidence obtained is sufficient and appropriate. In a modified report this section explains <i>why</i> .
5	Material Uncertainty Related to Going Concern (if applicable)	Per SA 570 — flags doubt about the entity continuing as a going concern.
6	Key Audit Matters (SA 701)	Mandatory for listed entities; those matters of most significance in the current audit.
7	Responsibilities of Management / TCWG	Spells out that <i>management</i> is responsible for preparing true-and-fair statements, for internal control, and for assessing going concern. Directly attacks the expectation gap.
8	Auditor's Responsibilities	Explains reasonable (not absolute) assurance, materiality, professional judgment and scepticism, that fraud may not be detected, going-concern evaluation, etc.
9	Other Reporting Responsibilities	e.g. the CARO report and the Companies Act 143(3) matters.
10	Signature — name of the engagement partner, membership number, firm registration number (FRN) , and UDIN	Personal accountability.
11	Place and Date of the report	The date cannot be <i>before</i> the auditor obtained sufficient appropriate evidence, including approval of the statements by the board.

The order (opinion first, then basis) was a deliberate 2018-era redesign so users see the conclusion immediately.

4.2 Modifications to the Opinion — SA 705 (Revised)

Risk it counters: a single clean/dirty switch would either hide localized problems or destroy trust in good accounts. SA 705, "*Modifications to the Opinion in the Independent Auditor's Report*," provides the graded scale.

Two questions drive everything:

Question 1 — Is there a *reason* to modify? There are only two:

1. **The financial statements are materially misstated** (a *disagreement* — the auditor obtained evidence and concludes something is wrong: a wrong policy, an unrecorded liability, inadequate disclosure). Sometimes called a *problem with the statements*.

2. **The auditor cannot obtain sufficient appropriate evidence** (a *scope limitation / inability* — the auditor doesn't *know* whether it's right: records destroyed, management refuses access, a balance couldn't be confirmed, appointed too late to observe stock count). Sometimes called a *problem with the audit*.

Question 2 — How bad is it? Judge on two axes:

- **Material:** big enough that it *could reasonably influence* the economic decisions of users.
- **Pervasive:** a special, stronger threshold. A matter is **pervasive** if its effects (or possible effects) are: (a) **not confined** to specific elements/accounts of the statements; or (b) if confined, represent or *could* represent a **substantial proportion** of the statements; or (c) in the case of *disclosures*, are **fundamental to users' understanding** of the statements. Pervasive = it poisons the whole picture, not one corner.

The 2×2 decision matrix (memorise the logic, not the grid):

	Material but NOT pervasive	Material AND pervasive
Financial statements are misstated (disagreement)	Qualified opinion ("except for...")	Adverse opinion ("do not give a true and fair view")
Unable to obtain sufficient evidence (scope limitation)	Qualified opinion ("except for the possible effects...")	Disclaimer of opinion ("we do not express an opinion")

The three modified opinions, decoded:

- **Qualified opinion.** "*In our opinion, except for the effects of [the matter], the financial statements give a true and fair view...*" Meaning: *everything is reliable except this one carved-out area*. Used when the problem is material but **isolated** (not pervasive). This is the value-preserving middle setting.
- **Adverse opinion.** "*In our opinion, the financial statements do NOT give a true and fair view.*" Used only when a **misstatement** is both material **and** pervasive — the statements are so wrong that no user should rely on them. Note: adverse arises only from *disagreement*, never from a scope limitation.
- **Disclaimer of opinion.** "*We do not express an opinion on the financial statements.*" Used when a **scope limitation** is so severe (material **and** pervasive) that the auditor couldn't gather enough evidence to have *any* opinion at all. Note: disclaimer arises only from *inability to obtain evidence*, never from disagreement. The auditor is saying "I literally cannot tell you," which is different from "it's wrong."

Presentation rules under SA 705:

- The opinion heading changes to "**Qualified Opinion**," "**Adverse Opinion**," or "**Disclaimer of Opinion**."
- The "Basis for Opinion" heading becomes "**Basis for Qualified/Adverse/Disclaimer of Opinion**," and this section must **describe the matter and, where practicable, quantify the financial effect** (e.g. "had this liability been recorded, profit would be lower by ₹X and liabilities higher by ₹X"). Unquantified qualifications are weak; the standard pushes for numbers.
- For a **disclaimer**, because the auditor has no opinion, the report is trimmed: the Auditor's Responsibilities section is shortened, and the auditor does **not** report Key Audit Matters (there is no opinion to add KAM to — it would be misleading).
- A modification for one matter does **not** stop the auditor from reporting KAM on *other* matters (except in the disclaimer case).

4.3 Emphasis of Matter & Other Matter — SA 706 (Revised)

Risk it counters: the auditor sometimes needs to point at something without implying the accounts are wrong. Confusing "notice this" with "this is misstated" would mislead users. SA 706, "*Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report*," creates two clearly-labelled attention-channels that **do not modify the opinion**.

Emphasis of Matter (EOM) paragraph. Used to draw users' attention to a matter **already presented or disclosed in the financial statements** that is of such importance it is *fundamental to users' understanding*. Two conditions: (a) the auditor is **not** required to modify the opinion in respect of the matter, and (b) the matter is **not** a Key Audit Matter (KAM and EOM are mutually exclusive for the same matter). The paragraph must: - appear under the heading "**Emphasis of Matter**," - clearly **refer to the note in the financial statements** where the matter is disclosed, and - state that the **opinion is not modified** in respect of the matter.

Examples: an uncertainty about the outcome of exceptional litigation; a major catastrophe (flood, fire) that has affected the entity; early application of a new accounting standard with pervasive effect; a going-concern situation that is *adequately disclosed* (though material uncertainty on going concern now has its own dedicated section under SA 570).

Other Matter (OM) paragraph. Used to communicate a matter **NOT presented or disclosed in the financial statements** but relevant to users' understanding of the **audit, the auditor's responsibilities, or the report itself**. Under heading "**Other Matter**." Examples: the prior-year figures were audited by a *predecessor auditor* (and stating so); financial statements prepared for two different frameworks; a restriction on distribution or use of the report.

The crucial distinction: EOM points *into* the financial statements (a disclosed matter); OM points *outside* them (about the audit/report). Neither changes the opinion — that separation is the whole point.

4.4 Key Audit Matters — SA 701

Risk it counters: two companies can both get a clean opinion yet have wildly different risk profiles. A bare "true and fair" opinion is *uninformative about where the audit was hardest*. Users (especially of listed companies) wanted transparency into the auditor's real judgment areas. SA 701, "*Communicating Key Audit Matters in the Independent Auditor's Report*," answers this.

Definition. KAM are *those matters that, in the auditor's professional judgment, were of most significance in the audit of the current period's financial statements*. KAM are **selected from matters communicated to Those Charged With Governance (TCWG)**.

When is it required? KAM is **mandatory for audits of listed entities** (and when law/regulation requires it, or when the auditor otherwise decides to communicate KAM). For unlisted entities it is voluntary. (Under the Companies Act framework, also confirm applicability thresholds in current ICAI material.)

How KAM are chosen — a funnel: 1. Start with all matters communicated to TCWG. 2. Narrow to those that **required significant auditor attention**, considering: areas of **higher assessed risk of material misstatement** or significant risks (SA 315); significant **auditor judgments** relating to areas of management judgment/estimates with high estimation uncertainty; and the effect of **significant events/transactions** in the period. 3. From those, select the ones of **most significance** — those are the KAM.

How each KAM is written. For each matter: (a) describe *why* it was considered a KAM, (b) describe *how* it was addressed in the audit, and (c) refer to the related **disclosure** in the financial statements. Placed under

the "**Key Audit Matters**" heading.

KAM is NOT a substitute: communicating a KAM does **not** replace a required modification (SA 705), does **not** replace a going-concern material-uncertainty section, and does **not** relieve the auditor of describing a matter that should be an EOM. And **a matter giving rise to a modified opinion or a going-concern material uncertainty is by its nature a KAM but is NOT reported in the KAM section** — it's reported in its own (Basis/GC) section, with a cross-reference. When the auditor **disclaims** an opinion, he does **not** report KAM at all.

4.5 Reporting under the Companies Act — s.143 and CARO 2020

Risk it counters: the general true-and-fair opinion doesn't force the auditor to speak on specific fraud-prone or compliance matters that Indian regulators care about. So the Act (s.143) and a delegated order (CARO) mandate *additional, itemised* reporting.

Section 143(2)-(3), Companies Act 2013 — matters the auditor's report MUST state: whether he sought and obtained all information and explanations necessary; whether **proper books of account** have been kept; whether the report on the accounts of any **branch** was received; whether the balance sheet and P&L **agree with the books**; whether the financial statements **comply with the accounting standards**; observations having an **adverse effect** on functioning; whether any director is **disqualified** under s.164(2); whether the company has **adequate internal financial controls with reference to financial statements** and their operating effectiveness (the **IFC report** — see 4.6); and any qualification/reservation. Section 143(12) additionally requires the auditor to **report fraud** (above the prescribed threshold, currently ₹1 crore) to the **Central Government**, and below-threshold frauds to the **Audit Committee/Board**.

CARO 2020 — the *Companies (Auditor's Report) Order, 2020*, issued under s.143(11). It requires a **separate annex** to the auditor's report answering a fixed list of clauses. It applies to most companies but **excludes** certain classes (banking, insurance, s.8 companies, one-person companies, small companies, and certain private companies below specified capital/borrowing/turnover thresholds — confirm exact limits in current ICAI material). CARO 2020 has **21 clauses**; the flavour you must know:

- **(i) Property, Plant & Equipment and intangibles** — records, physical verification, title deeds in company's name, revaluation, benami property proceedings.
- **(ii) Inventory** — physical verification and coverage; working-capital limits above ₹5 crore from banks against current assets and whether returns filed agree with books.
- **(iii) Investments / loans / guarantees** — loans to related parties, terms, overdue amounts, evergreening.
- **(iv) Compliance with s.185 and s.186** (loans to directors, investments).
- **(v) Deposits** — compliance with s.73-76.
- **(vi) Cost records** — maintenance where required under s.148.
- **(vii) Statutory dues** — regularity in depositing PF, ESI, GST, income-tax etc., and dues unpaid on account of disputes.
- **(viii) Unrecorded income surrendered/disclosed in income-tax assessments.**
- **(ix) Default in repayment of loans/borrowings**; wilful defaulter; end-use of term loans; funds raised short-term used long-term.
- **(x) Money raised by IPO/FPO and preferential allotment/private placement** — end use.

- **(xi) Fraud** — any fraud by/on the company noticed or reported; reporting under s.143(12)/ADT-4; whistle-blower complaints considered.
- **(xii)** Nidhi company compliances.
- **(xiii) Related-party** transactions compliance with s.177 and s.188 and disclosure.
- **(xiv) Internal audit** system adequacy.
- **(xv)** Non-cash transactions with directors (s.192).
- **(xvi)** Registration under **s.45-IA of RBI Act** (NBFC), and Core Investment Company status.
- **(xvii)** Cash losses in current and preceding year.
- **(xviii) Resignation of statutory auditors** and whether the incoming auditor considered the issues raised.
- **(xix)** Material uncertainty on meeting liabilities — auditor's opinion on **financial ratios, ageing, expected realisation** vs payment of liabilities within one year (a going-concern-adjacent clause).
- **(xx)** Transfer of unspent **CSR** amount to the Fund / special account.
- **(xxi)** Qualifications/adverse remarks in CARO reports of **consolidated** group companies.

Each clause is reported *favourable/unfavourable with reasons and quantum*; an unfavourable CARO remark does **not** automatically qualify the main opinion but the auditor must consider whether it *should*.

4.6 Reporting on Internal Financial Controls — s.143(3)(i)

Risk it counters: true-and-fair says the *output* (statements) looks right, but says little about whether the *machine* producing them (the control system) is reliable. A company could produce correct figures this year by luck while its controls are broken. Post-Satyam, Indian law wanted assurance on the **controls themselves**.

Requirement. Under **s.143(3)(i)**, the auditor's report must state whether the company has **adequate internal financial controls with reference to financial statements (IFCoFR)** in place and the **operating effectiveness** of such controls. This is guided by the ICAI **Guidance Note on Audit of Internal Financial Controls Over Financial Reporting**.

Nature of the report. It is a *separate report* (an **annexure** to the main audit report), expressing an **opinion on IFC**, and it can itself be **unmodified, qualified, adverse, or disclaimed** based on identified **material weaknesses**. A *material weakness* is a deficiency (or combination) such that there is a **reasonable possibility that a material misstatement will not be prevented or detected on a timely basis**. If a material weakness exists → the IFC opinion is **modified**; the auditor then considers the effect on the **main** financial-statement opinion too.

Applicability nuance: reporting on IFC operating effectiveness is required for all companies under s.143(3)(i), but **certain private companies are exempted** (notably by MCA notification for small/one-person and specified private companies meeting turnover/borrowing conditions) — confirm the current exemption thresholds in ICAI material.

5. Applied Scenarios

Scenario 1 — The unrecorded liability (disagreement, isolated). During the audit of Ceres Ltd, you find a supplier invoice of ₹40 lakh for goods received before year-end that management refused to record, claiming a dispute. You are satisfied the liability is real. Profit before tax is ₹8 crore. The ₹40 lakh understatement of liabilities/expenses is **material** (it distorts profit and payables) but its effect is **confined** to two line items and is not a substantial proportion of the whole — **not pervasive**. → **Reason:** misstatement

(disagreement). **Extent:** material, not pervasive. **Result: Qualified opinion** — "*except for the effects of the non-recording of trade payables of ₹40 lakh...*" The **Basis for Qualified Opinion** section quantifies: payables understated by ₹40 lakh, profit overstated by ₹40 lakh (pre-tax).

Scenario 2 — The missing branch records (scope limitation, pervasive). You are auditing Helios Ltd. Its largest division (60% of total assets and revenue) had its accounting server destroyed by fire; backups are unrecoverable and no alternative evidence (confirmations, reconstructions) is obtainable. You simply cannot audit 60% of the company. → **Reason:** inability to obtain sufficient appropriate evidence (scope limitation). **Extent:** so large it affects a *substantial proportion* of the statements — **pervasive**. **Result: Disclaimer of opinion** — "*We do not express an opinion... because we were unable to obtain sufficient appropriate audit evidence...*" Note: **not** adverse — you don't know the numbers are *wrong*, you just can't verify them. And **no KAM section**.

Scenario 3 — Wrong framework applied throughout (disagreement, pervasive). Nyx Ltd, required to follow Ind AS, has instead prepared its entire financial statements on a cash basis, affecting virtually every line — revenue, receivables, payables, provisions. You disagree, and the effect is everywhere. → **Reason:** misstatement (disagreement). **Extent: pervasive** (not confined; affects the statements as a whole). **Result: Adverse opinion** — "*the financial statements do not give a true and fair view...*"

Scenario 4 — Big lawsuit, correctly disclosed (no modification). Atlas Ltd is defending a ₹200 crore claim; the outcome is uncertain and management has disclosed it fully and appropriately in Note 32, with no provision required yet under the standard. You agree with the accounting and disclosure. → No misstatement, no scope limit → **opinion unmodified**. But the matter is fundamental to users' understanding and is *disclosed in the statements*. **Result: Emphasis of Matter** paragraph referring to Note 32, stating the opinion is not modified. (If the entity is *listed* and this was an area of most significance in the audit, it may instead be reported as a **KAM** — and if so, *not* also as EOM.)

Scenario 5 — Predecessor auditor (Other Matter). You are the newly appointed auditor of Rhea Ltd; the prior-year comparatives were audited by the outgoing firm, who issued an unmodified opinion. You want users to know you didn't audit the comparatives. → Nothing is disclosed *in* the statements about this; it concerns *the audit*. **Result: Other Matter** paragraph stating the corresponding figures were audited by the predecessor auditor.

Scenario 6 — Material weakness in controls, correct numbers. In Selene Ltd, you find that anyone in accounts can post journal entries with no review — a control failure that could allow material misstatement. This year, by testing, you're satisfied the *figures* are actually correct. → **Main opinion:** the statements are true and fair → **unmodified**. **IFC report (s.143(3)(i)):** a **material weakness** exists → **qualified/adverse IFC opinion**, describing the weakness. This shows the two reports are decoupled: clean financial-statement opinion + modified IFC opinion.

6. Procedure & Documentation Summary

Forming and reporting — the sequence: 1. Complete audit procedures; accumulate misstatements (SA 450); obtain **written representations** (SA 580). 2. Evaluate sufficiency/appropriateness of evidence and whether uncorrected misstatements are material. 3. **Decide: modify or not?** Apply SA 705 logic (reason × extent). 4. Consider **going concern** (SA 570) — separate section if material uncertainty. 5. Identify **KAM** (SA 701) for listed entities from matters communicated to TCWG. 6. Determine any **EOM/OM** (SA 706). 7. Draft the report per **SA 700** structure; draft **CARO** annex and **IFC** annex. 8. **Communicate** planned report modifications/KAM to TCWG (SA 260) before finalising. 9. Ensure the **date** is not earlier than the date

sufficient appropriate evidence was obtained (incl. board approval of statements); **sign** with FRN, membership no., **UDIN**; state place.

Documentation the auditor must retain (SA 230): - The **conclusion** on whether reasonable assurance was obtained and the basis for the opinion type chosen. - For each modification: the **reason** (disagreement vs inability), the **materiality/pervasiveness judgment**, and the **quantification**. - The **KAM determination** — matters communicated to TCWG, those requiring significant attention, and how the final KAM were selected (the funnel). - Rationale for any **EOM/OM**. - **CARO** working — evidence supporting each clause conclusion. - **IFC** testing — design and operating-effectiveness tests, identified deficiencies and their classification (deficiency vs significant deficiency vs **material weakness**). - Communications with **TCWG** on the report.

7. Connections

- ← **SA 200** gives us *reasonable assurance* and *materiality* — the two ideas that make the opinion an "opinion" and drive the modification thresholds.
- ← **SA 315 / SA 330** (risk assessment and responses) feed KAM (areas of higher risk) and the IFC report (control testing).
- ← **SA 450** (evaluation of misstatements) determines whether uncorrected misstatements are material → whether to modify.
- ← **SA 570** (going concern) plugs directly into the report as a dedicated *Material Uncertainty* section and can itself trigger a modification.
- ← **SA 260/265** (communication with TCWG; deficiencies) — KAM are *drawn from* TCWG communications; IFC material weaknesses come from SA 265 deficiency evaluation.
- ← **SA 510** (opening balances) and **SA 710** (comparatives) — a problem with opening balances/comparatives can force a modification or an Other Matter paragraph.
- ← **SA 720** (other information) — if the annual-report narrative is inconsistent with the audited statements, the auditor reports it in an *Other Information* section.
- → **Companies Act ss.139-147** (appointment, rotation, powers, duties) — the *authority* to sign this report and the consequences (s.147 penalties) live there.
- → **Ethics / Independence** — the "Basis for Opinion" section *asserts* independence; a breach undermines the entire report.

8. Traps & Examiner Tricks

1. **Adverse vs Disclaimer confusion.** *Adverse* comes ONLY from a **misstatement (disagreement)** that is pervasive — "it's wrong." *Disclaimer* comes ONLY from an **inability to get evidence** that is pervasive — "I can't tell." Examiners give a fact pattern and ask for the exact opinion; identify **reason first** (disagreement vs scope), *then* extent.
2. **Qualified is the answer for both reasons when NOT pervasive.** A scope limitation that is material-but-isolated gives a *qualified* opinion ("except for the possible effects...") — students wrongly jump to disclaimer.
3. **"Material" ≠ "Pervasive."** Pervasive is a *higher* bar with a specific three-part definition (not confined / substantial proportion / fundamental to understanding). A big number isn't automatically pervasive.
4. **EOM does NOT modify the opinion.** A favourite trick: describe a disclosed uncertainty and ask "what opinion?" — answer: unmodified opinion *with* an EOM. And EOM requires the matter to be **already**

disclosed in the statements — if it *should* have been disclosed and wasn't, that's a **misstatement** → **modification**, not an EOM.

5. **EOM vs OM direction.** EOM = matter *inside* the financial statements; OM = matter *outside* them (about the audit/report). Predecessor auditor = **OM**, not EOM.
6. **KAM ≠ modification and ≠ substitute.** A matter causing a modified opinion or a going-concern material uncertainty is described in its **own** section, not the KAM section (though it *is* by nature a key matter). On a **disclaimer**, KAM is **not** reported at all.
7. **KAM only mandatory for listed entities** — don't force KAM onto a small private company.
8. **CARO remark does not auto-qualify.** An unfavourable CARO clause is reported in the CARO annex; the auditor *separately considers* whether the underlying issue also affects the main opinion. They are not automatically linked.
9. **IFC opinion is separate from the FS opinion.** You can have a clean true-and-fair opinion and a *qualified/adverse* IFC opinion (material weakness) simultaneously — Scenario 6.
10. **Report date and UDIN.** The report must not be dated before sufficient appropriate evidence (including board approval) was obtained; the signature block needs **FRN, membership number and UDIN**. Missing UDIN is a real-world (and exam) red flag.
11. **Opinion paragraph comes FIRST** in the revised SA 700 format (before Basis). A common presentation-order trap.
12. **Going concern has its own home now.** Post-revision, a *material uncertainty related to going concern* goes in a dedicated "**Material Uncertainty Related to Going Concern**" section (SA 570), not merely an EOM — provided disclosure is adequate. If disclosure is inadequate → **modify** the opinion.

9. First-Principles Recap

Strip everything away and you are left with one chain of reasoning. Owners can't watch managers, so an auditor is hired to vouch for the accounts. The auditor's *entire* output is one document, so that document must communicate with zero ambiguity — hence a **standardised structure** (SA 700) and a single precise conclusion, an **opinion** of *true and fair on reasonable assurance* (honest about the limits of sampling and estimates). Because reality is messy, the conclusion can't be a binary stamp; it needs a **graded dial** (SA 705) that quarantines bad news by asking two questions — *is the problem a disagreement or an inability?* and *is it isolated or pervasive?* — yielding qualified / adverse / disclaimer. Because the auditor sometimes needs to *point* without *condemning*, two walled-off attention channels exist (SA 706 EOM/OM), and because clean opinions hide where the audit was hardest, listed-company reports carry **KAM** (SA 701). Because Indian regulators want more than true-and-fair, the auditor also answers a fixed checklist of risk-prone matters (**CARO** under s.143) and gives a *separate* verdict on whether the control machine works (**IFC**, s.143(3)(i)). Every element is an engineered fix to a way the delivery pipe could fail. If you can rebuild that chain, you never need to memorise the report — you can *derive* it.

10. Quick-Revision Sheet

Standards map:

Standard	Governs
SA 700 (Rev.)	Forming the opinion + report elements (unmodified)
SA 701	Key Audit Matters (listed entities)
SA 705 (Rev.)	Modified opinions — qualified / adverse / disclaimer
SA 706 (Rev.)	Emphasis of Matter & Other Matter (no opinion change)
SA 570	Going concern → Material Uncertainty section
s.143, Companies Act	Statutory reporting matters; fraud (143(12)); CARO (143(11)); IFC (143(3)(i))
CARO 2020	21-clause annex on risk-prone matters

The decision, in one line: Reason (disagreement vs inability) × Extent (material-not-pervasive vs material-and-pervasive) → opinion.

	Material, NOT pervasive	Material AND pervasive
Misstatement (disagree)	Qualified	Adverse
Can't get evidence (scope)	Qualified	Disclaimer

Opinion phrases: - Unmodified: "...give a true and fair view in accordance with..." - Qualified: "except for the effects / possible effects of... the FS give a true and fair view" - Adverse: "...do NOT give a true and fair view" - Disclaimer: "...we do not express an opinion"

Report elements order (SA 700): Title → Addressee → **Opinion** → Basis for Opinion → [Material Uncertainty —Going Concern] → **KAM** → Responsibilities of Management/TCWG → Auditor's Responsibilities → Other Reporting (CARO/143(3)) → Signature (FRN, M.No., **UDIN**) → Place & Date.

Remember-these switches: - Adverse ← only disagreement. Disclaimer ← only inability. - EOM = disclosed matter *inside* FS; OM = matter *outside* FS (audit/report). - KAM: listed only; a modified-opinion matter goes in its own section, not KAM; no KAM on a disclaimer. - CARO remark ≠ automatic qualification. - IFC opinion is separate and can be modified while the FS opinion is clean (material weakness = reasonable possibility a material misstatement won't be prevented/detected). - Report date ≥ date of sufficient appropriate evidence (incl. board approval). UDIN mandatory.

Diagram 1 — The full opinion decision tree

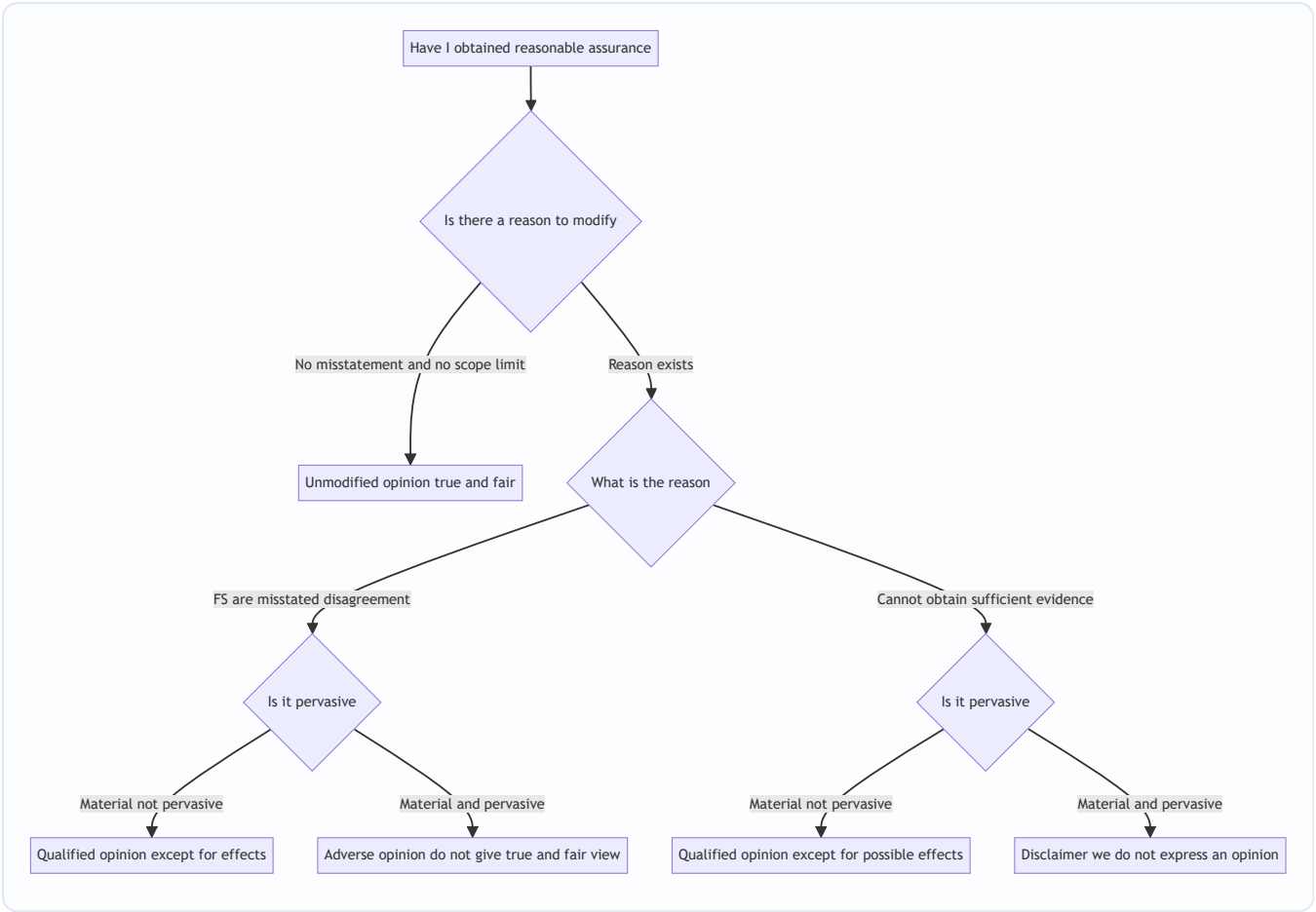


Figure 9.1 — First identify the reason disagreement vs inability then the extent material vs pervasive; the pair fixes the opinion.

Diagram 2 — Where each communication channel goes

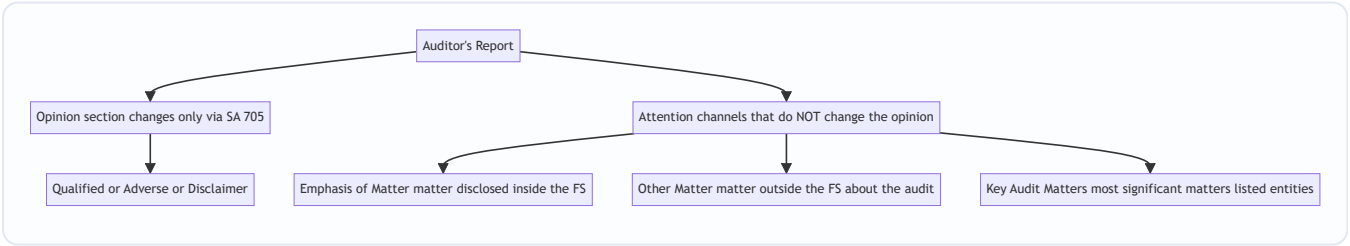


Figure 9.2 — The opinion moves only through SA 705; EOM, OM and KAM are walled-off channels that inform without modifying.

Diagram 3 — Report vs the two Indian bolt-ons

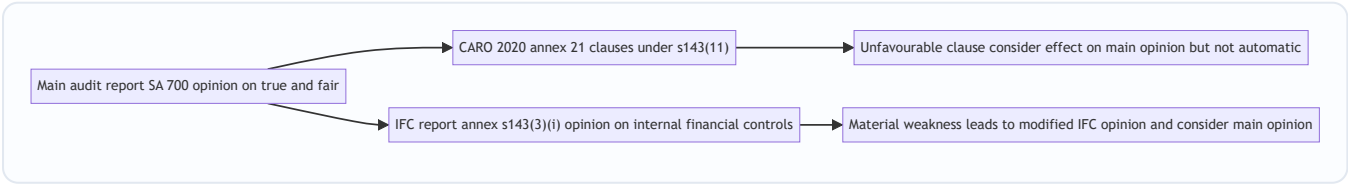
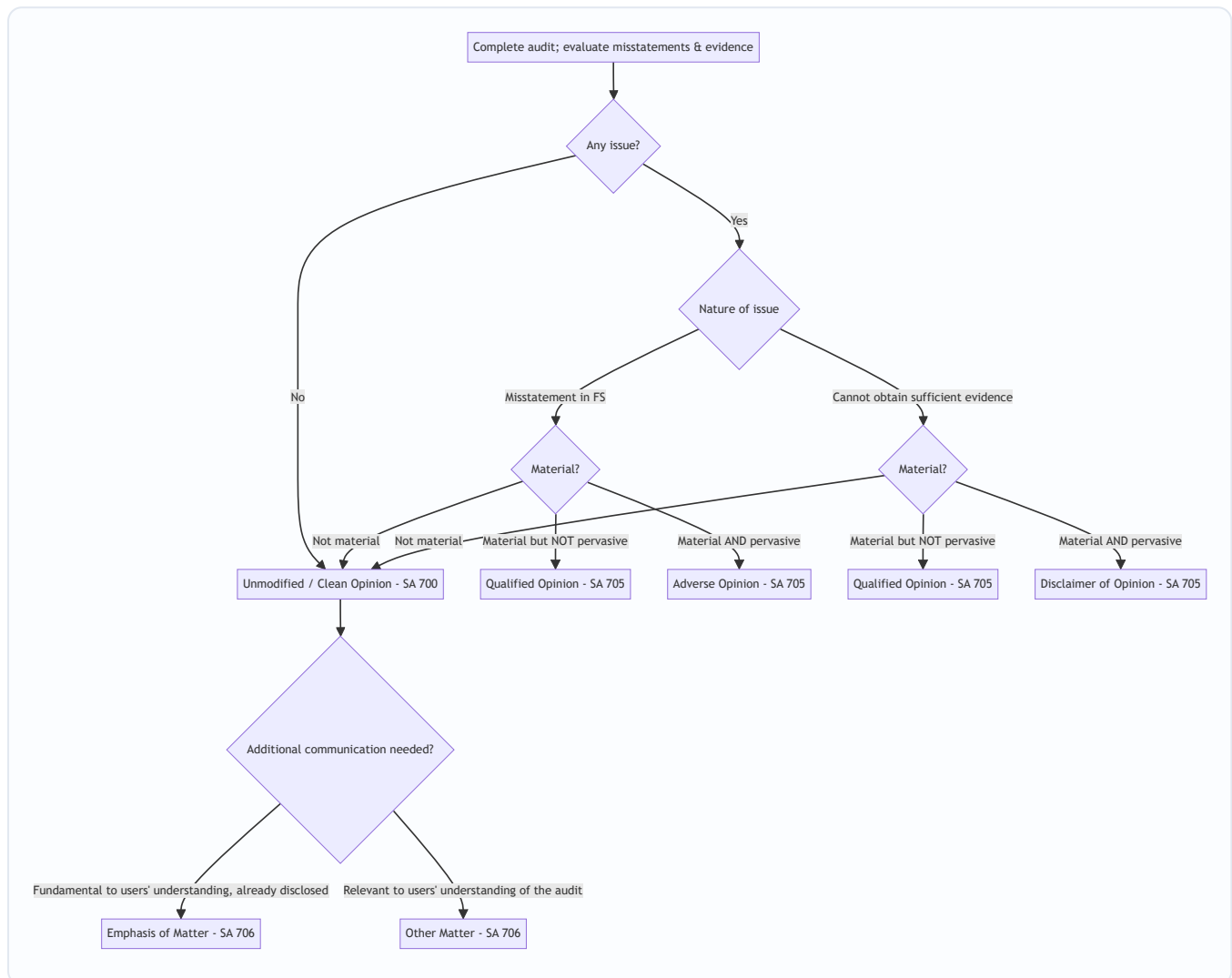


Figure 9.3 — Beyond the true-and-fair opinion Indian law bolts on a CARO checklist and a separate opinion on the control system itself.

Q&A — Audit Report & Opinions

CA Intermediate — Auditing & Ethics. Standards on Auditing covered: SA 700 (Revised), SA 701, SA 705 (Revised), SA 706 (Revised); Sections 143, 134, 129 of the Companies Act 2013; CARO 2020; Section 143(3)(i) read with Rule 10A on Internal Financial Controls.

Opinion Decision Tree



Section A — Concept-Check Questions (with answers)

A1. What is the objective of the auditor under SA 700 (Revised)? To form an opinion on the financial statements based on evaluation of conclusions drawn from audit evidence, and to express that opinion clearly through a written report. The auditor concludes whether reasonable assurance has been obtained that the FS as a whole are free from material misstatement (SA 700, para 6).

A2. On what two things must the auditor conclude before forming an opinion? (i) Whether sufficient appropriate audit evidence has been obtained (per SA 330), and (ii) whether uncorrected misstatements are material, individually or in aggregate (per SA 450). The auditor also evaluates whether the FS are prepared in

accordance with the applicable financial reporting framework, including adequacy of disclosures (SA 700, paras 10–15).

A3. Distinguish "material" from "pervasive." Material means the misstatement (individually or aggregated) could reasonably be expected to influence users' economic decisions. Pervasive (SA 705, para 5) describes effects that are NOT confined to specific elements/accounts, OR if confined, represent a substantial proportion of the FS, OR relate to disclosures fundamental to users' understanding. Pervasiveness decides between Qualified vs Adverse/Disclaimer.

A4. State the three types of modified opinion and the trigger for each. Per SA 705: (i) **Qualified** — material but not pervasive misstatement, or inability to obtain evidence that is material but not pervasive ("except for"). (ii) **Adverse** — material AND pervasive misstatement. (iii) **Disclaimer** — inability to obtain evidence whose possible effects are material AND pervasive.

A5. What is a Key Audit Matter under SA 701 and who must report them? KAMs are those matters that, in the auditor's professional judgement, were of most significance in the audit of the current period's FS; they are selected from matters communicated to those charged with governance (SA 701, para 8–9). Communicating KAM is mandatory for audits of **listed entities'** complete sets of general purpose FS, or when otherwise required by law/decided by the auditor.

A6. Differentiate Emphasis of Matter (EOM) from Key Audit Matters (KAM). An EOM paragraph (SA 706) refers to a matter **already appropriately presented/disclosed** in the FS that is fundamental to users' understanding; it does not modify the opinion. KAM (SA 701) is a communication about audit significance and may include matters not necessarily the most fundamental to users but most significant to the audit. A matter giving rise to a modified opinion or material uncertainty on going concern is NOT communicated as EOM.

A7. Emphasis of Matter vs Other Matter paragraph — the core distinction? EOM relates to a matter **presented or disclosed in the FS**. An Other Matter paragraph (SA 706) relates to a matter **NOT presented or disclosed in the FS** but relevant to users' understanding of the audit, the auditor's responsibilities, or the report (e.g., prior period audited by predecessor auditor).

A8. List the elements of an unmodified audit report under SA 700 (order). Title; Addressee; Opinion; Basis for Opinion; (Going Concern if applicable, SA 570); Key Audit Matters (where SA 701 applies); Responsibilities of Management/TCWG for the FS; Auditor's Responsibilities for the Audit; Other Reporting Responsibilities (e.g., s.143(3), CARO); Signature; Place; Date; UDIN. The **Opinion section is placed first**, followed immediately by the Basis for Opinion.

A9. What must the "Basis for Opinion" section state? That the audit was conducted per SAs; a reference to the section describing auditor's responsibilities; a statement of independence and fulfilment of ethical responsibilities under the ICAI Code of Ethics; and a statement that audit evidence obtained is sufficient and appropriate to provide a basis for the opinion (SA 700, para 28).

A10. What is the reporting duty under Section 143(3)(i) of the Companies Act 2013? The auditor must report whether the company has an **adequate internal financial controls with reference to financial statements** in place and the operating effectiveness of such controls. Applies subject to exemptions notified for certain private companies. IFC reporting is a separate opinion, typically in Annexure B to the main report.

Section B — Applied Scenario Questions (situation → audit response with reasoning)

B1. Inventory overstated; effect isolated. *Situation:* A company values inventory at cost ignoring NRV; the overstatement is Rs. 40 lakh, material but confined only to the inventory line and profit; other areas are correct. *Response:* This is a material misstatement that is **NOT pervasive** (confined to specific accounts). Per SA 705, the auditor expresses a **Qualified Opinion** ("except for the effects of the matter described..."). The Basis for Qualified Opinion paragraph must quantify the effect (inventory and profit overstated by Rs. 40 lakh) where practicable. Opinion section heading changes to "Qualified Opinion."

B2. Management refuses access to a subsidiary's records. *Situation:* The parent's investment in and share of results from a foreign subsidiary is a substantial proportion of the group; the auditor cannot obtain any evidence about it. *Response:* This is an **inability to obtain sufficient appropriate audit evidence** whose possible effects are **material and pervasive** (substantial proportion of FS). Per SA 705, the auditor issues a **Disclaimer of Opinion**. The report states the auditor does not express an opinion and, because of the significance, has not been able to obtain sufficient appropriate evidence. The KAM section is not required when a disclaimer is issued (SA 705).

B3. Multiple pervasive misstatements. *Situation:* Fixed assets, revenue recognition and liabilities are all misstated; the FS as a whole are unreliable. *Response:* Misstatements are both material AND pervasive → **Adverse Opinion** under SA 705. The auditor states the FS do NOT give a true and fair view. A Basis for Adverse Opinion paragraph describes the matters.

B4. A material uncertainty on going concern, adequately disclosed. *Situation:* The company has net current liabilities and defaulted on loans; a material uncertainty exists but is **adequately disclosed** in the notes. *Response:* Opinion is **unmodified**. Per SA 570 (Revised) read with SA 700, the auditor includes a **separate "Material Uncertainty Related to Going Concern"** section drawing attention to the disclosure. This is NOT an Emphasis of Matter and NOT a modification. If disclosure were inadequate → Qualified/Adverse under SA 705.

B5. Restatement note fundamental to understanding. *Situation:* The company restated prior figures for a change following a court order; the note is correctly presented and material to understanding. *Response:* Opinion unmodified. Add an **Emphasis of Matter paragraph** under SA 706 drawing attention to the note, stating the opinion is not modified in respect of this matter. Placed after Basis for Opinion, referencing the specific note.

B6. Prior period audited by another auditor. *Situation:* Comparatives for the prior year were audited by the predecessor auditor. *Response:* Opinion unmodified for current year. Include an **Other Matter paragraph** (SA 706 / SA 710) stating the prior period FS were audited by the predecessor auditor who expressed an [unmodified] opinion on [date]. This concerns the audit, not a matter disclosed in the FS.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Explain the circumstances requiring a modification and how the auditor decides between the three modified opinions." (SA 705) *Answer:* Under SA 705 (Revised), the auditor modifies when either (a) based on evidence, the FS as a whole are **not free from material misstatement**, or (b) the auditor is **unable to obtain sufficient appropriate audit evidence** to conclude the FS are free from material misstatement. The decision then depends on a two-factor judgement: the **nature** of the matter and the **pervasiveness** of

its effects (or possible effects). If material but not pervasive → **Qualified**. If misstatement is material and pervasive → **Adverse**. If the inability to obtain evidence has possible effects that are material and pervasive → **Disclaimer**. Pervasive (para 5) means effects not confined to specific elements, or if confined represent a substantial proportion, or relate to disclosures fundamental to users' understanding. When modified, the opinion section is headed appropriately (e.g., "Qualified Opinion") and a "Basis for [Modified] Opinion" section describes the matter and quantifies effects where practicable.

C2. "Discuss Key Audit Matters — meaning, applicability, and how they are determined and communicated." (SA 701) *Answer:* KAMs (SA 701) are matters that, in the auditor's professional judgement, were of most significance in the audit of the current period. Applicability is mandatory for audits of **listed entities'** complete general purpose FS and where law/regulation requires or the auditor otherwise decides to communicate. Determination (para 9–10) starts from matters communicated to TCWG; from these the auditor narrows to those requiring **significant auditor attention**, considering areas of higher assessed risk of material misstatement or significant risks (SA 315), significant auditor judgements relating to areas of management judgement/estimates with high estimation uncertainty (SA 540), and the effect of significant events/transactions. Each KAM is described in a separate section, referencing related FS disclosures, explaining **why** it was considered most significant and **how** it was addressed in the audit. KAMs do not modify the opinion and are not a substitute for a modification, EOM, or going concern reporting.

C3. "State the auditor's duties under Section 143 and the matters to be reported under Section 143(3)." (Companies Act 2013) *Answer:* Section 143(1) gives the auditor a right of access to books/accounts/vouchers and to require information; specific inquiries (loans on security, book entries prejudicial to interests, etc.) are prescribed. Section 143(2) requires the report to members. Section 143(3) mandates reporting, inter alia, on: (a) whether all information and explanations necessary were obtained; (b) whether proper books of account as required by law have been kept; (c) whether the report on branch accounts was received and dealt with; (d) whether the balance sheet and P&L agree with books and returns; (e) whether the FS comply with the **accounting standards**; (f) observations/comments having adverse effect on functioning; (g) director disqualification under s.164(2); (i) adequacy and operating effectiveness of **internal financial controls with reference to FS**; (j) other prescribed matters (Rule 11 — pending litigations, foreseeable losses on long-term contracts, transfer to IEPF, etc.). Section 143(12) requires **fraud reporting** — frauds above the prescribed threshold to the Central Government, and others to the Audit Committee/Board.

C4. "Distinguish CARO 2020 reporting from the main audit report and note its applicability." *Answer:* CARO 2020 (issued under s.143(11)) requires a statement on specified matters in a **separate annexure** to the auditor's report. It applies to most companies **except** one person companies, small companies, banking/insurance/s.8 companies, and certain private companies within specified capital, borrowing and turnover limits. Unlike the main report (an opinion under SA 700), CARO requires **factual/affirmative answers** on 21 clauses (e.g., property/PPE and title deeds, inventory and working capital limits, investments/loans/guarantees under s.185/186, deposits, cost records, statutory dues, default in repayment to lenders, utilisation of funds raised, fraud noticed/reported, whistle-blower complaints, related party compliance u/s 177/188, internal audit system, resignation of statutory auditors, and financial ratios/going concern). Negative or qualified answers must state reasons.

C5. "Write short notes on Emphasis of Matter and Other Matter paragraphs." (SA 706) *Answer:* Under SA 706 (Revised), an **Emphasis of Matter paragraph** refers to a matter **appropriately presented or disclosed** in the FS that, in the auditor's judgement, is of such importance that it is fundamental to users' understanding. The auditor uses it only if evidence obtained shows the matter is not materially misstated, includes a clear reference to the matter and its location in the FS, and states the opinion is not modified. An

Other Matter paragraph refers to a matter **not presented or disclosed** in the FS that is relevant to users' understanding of the audit, the auditor's responsibilities, or the report. Neither is a substitute for a modified opinion, required disclosures, or going concern reporting. Placement is after Basis for Opinion (and generally after any KAM), with appropriate heading.

Section D — MCQs / Case Scenarios (correct option + one-line reasoning)

- D1.** A material misstatement is confined to one account and is not pervasive. The auditor should issue: (a) Adverse (b) Disclaimer (c) **Qualified** (d) Unmodified **Ans: (c)** — Material but not pervasive misstatement → Qualified Opinion (SA 705).
- D2.** The auditor cannot obtain evidence and the possible effects are material AND pervasive: (a) Qualified (b) **Disclaimer** (c) Adverse (d) EOM **Ans: (b)** — Inability + material & pervasive → Disclaimer of Opinion (SA 705).
- D3.** Communicating Key Audit Matters is mandatory for: (a) all companies (b) **listed entities** (c) private companies only (d) no company **Ans: (b)** — SA 701 mandates KAM for listed entities' complete general purpose FS.
- D4.** A material uncertainty on going concern is adequately disclosed. The auditor's opinion is: (a) Adverse (b) Qualified (c) **Unmodified with a separate GC section** (d) Disclaimer **Ans: (c)** — Adequate disclosure → unmodified opinion + "Material Uncertainty Related to Going Concern" section (SA 570/700).
- D5.** A paragraph referring to a matter NOT disclosed in the FS but relevant to understanding the audit is: (a) EOM (b) **Other Matter** (c) KAM (d) Basis for Opinion **Ans: (b)** — Not presented/disclosed in FS but relevant to the audit → Other Matter (SA 706).
- D6.** Reporting on adequacy and operating effectiveness of internal financial controls with reference to FS is under: (a) s.143(3)(f) (b) **s.143(3)(i)** (c) s.143(3)(g) (d) s.134 **Ans: (b)** — Section 143(3)(i) covers IFC reporting.
- D7.** In an unmodified report, which section appears immediately after the Opinion? (a) KAM (b) **Basis for Opinion** (c) Management's Responsibility (d) EOM **Ans: (b)** — SA 700 places Basis for Opinion immediately after Opinion.
- D8. Case scenario.** During the audit of listed company X Ltd, the auditor found (i) trade receivables overstated by Rs. 12 lakh (material, isolated), (ii) a correctly disclosed litigation note fundamental to understanding, and (iii) valuation of a complex derivative was the area of most audit significance. - The opinion type: **Qualified** — material but not pervasive misstatement (SA 705). - The litigation note treatment: **Emphasis of Matter** — properly disclosed, fundamental (SA 706). - The derivative treatment: **Key Audit Matter** — most significant to the audit of a listed entity (SA 701).
- D9.** CARO 2020 is issued under which provision? (a) s.134 (b) **s.143(11)** (c) s.129 (d) s.139 **Ans: (b)** — CARO 2020 is issued under Section 143(11) of the Companies Act 2013.
- D10.** When an Adverse Opinion is expressed, the auditor states that the financial statements: (a) give a true and fair view (b) **do not give a true and fair view** (c) may give a true and fair view (d) no opinion is expressed **Ans: (b)** — Adverse Opinion asserts the FS do not give a true and fair view (SA 705).
-

Examiner Traps (quick reminders)

- Do NOT use EOM to substitute for a modified opinion or for required disclosures — SA 706 forbids it.
- Going concern material uncertainty (adequately disclosed) = **unmodified** opinion + separate GC section, never EOM.
- Disclaimer arises from **inability to obtain evidence**, never from a known misstatement (a pervasive misstatement → Adverse).
- KAM never replaces a modification; and no KAM section when a Disclaimer is issued.
- Quantify the effect in the Basis paragraph "where practicable" — always mention this.

Chapter 10 — Audit Documentation & Quality Control

1. The Problem

Imagine an auditor signs a report on a company's financial statements. The report is one page. It says, in effect, "*I looked; the numbers are true and fair.*" Two years later something goes wrong — a fraud surfaces, a bank that lent on the strength of those accounts loses money, a regulator opens an inquiry. Everyone now turns to the auditor and asks a single, brutal question:

"Prove you actually did the work."

Here is the trap. Auditing is invisible. Unlike a builder who leaves a bridge, or a surgeon who leaves a scar, the auditor leaves almost nothing physical behind. The *judgement* happened inside the auditor's head. The *procedures* happened across weeks, spread over a team of juniors, seniors and a partner. The *conversations* with management evaporated the moment they ended. If the auditor cannot reconstruct what was done, then from the outside there is **no difference between a diligent audit and a lazy one** — both produce the same one-page report.

This is the first problem: **the work product is invisible, so its quality is unverifiable.**

The second problem sits on top of it. An audit is never done by one person in one sitting. A junior tests bank reconciliations, a senior reviews the junior, the manager reviews the senior, the engagement partner signs. Each layer must be able to *check* the layer below. But you cannot review what you cannot see. If the junior's work lives only in the junior's memory, the senior is reviewing nothing — merely trusting.

The third problem is the deepest. A firm may have a brilliant partner and a reckless one working under the same letterhead. The client, the shareholder, the regulator cannot tell them apart before the fact — they all buy "an audit by XYZ & Co." So the *firm itself* becomes the unit of trust, and the firm must somehow guarantee that **every** engagement, done by **anyone** in its name, meets a minimum standard. One weak audit stains the whole firm's signature.

So we have three linked failures of trust waiting to happen:

- The individual auditor cannot **prove** the work (evidence problem).
- The team cannot **review** the work (supervision problem).
- The firm cannot **guarantee** consistency across engagements (quality problem).

Every rule in this chapter exists to close one of these three gaps.

2. The Core Idea

The core idea is disarmingly simple and worth stating as a single sentence you can carry through the whole chapter:

An audit opinion is only as good as the evidence that the audit was properly done — so the "record of the audit" is itself part of the audit.

Two words do the heavy lifting: **documentation** and **quality control**. They are not two separate topics that happen to share a chapter. They are the *same* answer to the *same* problem, applied at two different levels.

- **Documentation** (SA 230) is how a single engagement makes its invisible work **visible and permanent**. It converts memory, judgement and conversation into a durable file that a stranger could pick up and understand.
- **Quality control** (SA 220 at the engagement level, and **SQC 1** at the firm level) is the system that makes sure the documented work is actually *good* — that competent people did it, that it was reviewed, that independence was protected, that difficult judgements got a second set of eyes.

The mental model to hold: **documentation is the evidence; quality control is the process that the evidence must record**. Quality control says "*a review must happen*." Documentation says "*and here is the proof it happened*." They interlock. A review that is not documented might as well not have occurred (nobody can prove it). Documentation of a process that has no quality-control requirement is just paperwork. Together they answer "*prove you did the work, and prove the work was good*."

Notice the recurring auditing DNA here: audit exists to solve the **trust/agency problem** between management (who prepare the accounts) and users (who rely on them). The auditor is the trusted intermediary. But *who audits the auditor*? Documentation and quality control are the profession's answer — they make the auditor's own work reviewable, so that the chain of trust does not simply dead-end at "trust me."

3. Why It's Built This Way

Before the technical content, understand *why* the architecture looks the way it does. Every design choice is a response to a specific risk.

Why not just trust the auditor's word? Because the auditor has a subtle conflict. The auditor is *paid by the audited* (the company pays the audit fee), and the auditor's own reputation is on the line. When something goes wrong, there is every incentive to say "*of course I checked that*" after the fact. A contemporaneous, dated, un-editable-after-assembly file removes the temptation and the ambiguity. The file speaks; the auditor's later memory does not have to.

Why demand a specific standard of documentation ("experienced auditor with no prior connection")?

Because a private shorthand only the preparer understands proves nothing to a reviewer or a court. The benchmark forces the file to be self-explanatory to an *outsider*. This is the single most tested idea in SA 230 and the reason for its exact wording.

Why put quality control at two levels (firm and engagement)? Because the two risks are different. A single engagement can go wrong because *that* team cut corners — so you need engagement-level control (SA 220): a partner responsible for *this* audit. But engagements can *systematically* go wrong because the *firm* hires badly, trains badly, or tolerates independence breaches — so you need firm-level control (SQC 1): policies that apply to *all* engagements. Fixing one level cannot fix the other. A great partner cannot save a rotten firm; great firm policies cannot save an engagement where the partner ignores them.

Why an independent second review (EQCR) for high-risk engagements? Because the engagement partner is the very person whose judgement is under stress on a tough call — self-review bias means the person who made a decision is the worst-placed to spot its flaw. For listed companies and other high-risk cases, the profession inserts a reviewer who was *not* on the engagement, precisely so the second opinion is genuinely second.

Why fixed retention periods? Because disputes surface *late*. Litigation, regulatory inquiry, tax reassessment — these often arrive years after the report. If the file is destroyed, the auditor is defenceless and the public-interest record is gone. But keeping everything forever is costly and pointless. So the profession fixes a period long enough to cover the realistic tail of disputes and no longer.

Hold this frame: **documentation and quality control are risk-management architecture, not bureaucracy**. Each rule below maps to a risk you can now name.

4. Full Technical Content

This is the exam-complete core. Every requirement is wrapped in the risk it counters. The four pillars are: **SA 230** (documentation), **SA 220** (engagement quality control), **SQC 1** (firm quality control), and **EQCR** (the independent review).

4.1 SA 230 — Audit Documentation

What "audit documentation" means. SA 230 defines it as the record of (a) audit procedures performed, (b) relevant audit evidence obtained, and (c) conclusions the auditor reached. The old term was "working papers"; the file as a whole is the **audit file**. This tri-part definition is deliberate — it forces the file to answer *what did you do, what did you find, and what did you conclude*, which are exactly the three things a sceptic will interrogate.

The purpose (the "why" is examinable). SA 230 lists why documentation matters, and each maps to a Section-1 problem:

Purpose of documentation	Risk it counters
Evidence of the basis for the auditor's opinion	"Prove you did the work" — defends the opinion
Evidence the audit was planned and performed per SAs and law	Regulatory/peer-review challenge
Enables the engagement team to be directed, supervised, reviewed	Supervision problem — the team can check itself
Retains a record of matters of continuing significance to future audits	Efficiency and continuity across years
Enables quality control reviews and inspections (internal and external)	Firm-level and regulatory oversight
Enables the conduct of external inspections per legal/regulatory requirements	NFRA / peer review / QRB inspection
Assists in defending against litigation	The late-dispute problem

The governing standard — the benchmark of "enough." This is the heart of SA 230 and the most common exam hook. Documentation must be sufficient to enable an **experienced auditor, having no previous connection with the audit, to understand**:

- (a) the **nature, timing and extent** of the audit procedures performed (the "what and how much");
- (b) the **results** of those procedures and the audit evidence obtained;
- (c) **significant matters** arising, the **conclusions** reached, and **significant professional judgements** made in reaching those conclusions.

Unpack why each phrase exists. "*Experienced auditor*" — so the standard is not "understandable to the person who wrote it" (that proves nothing) but understandable to a competent peer. "*No previous connection*" — strips away all the context that lived in the original auditor's head; the file must stand alone. "*Nature, timing and extent*" — the three dimensions of any procedure; a file that says "checked sales" without saying *how, when, and how much* is worthless. This benchmark is the operational meaning of "sufficient documentation."

What must be recorded to identify the work (the identifiability rule). Because the file must be reconstructable, SA 230 requires the auditor to record:

- **who performed** the work and the **date** it was completed;
- **who reviewed** the work, the **date**, and the **extent** of review.

Reason: this is the audit trail of the *supervision* itself. It proves not just that testing happened but that the review layers actually operated.

Documenting identifying characteristics of items tested. When recording procedures, the auditor records the **identifying characteristics** of the items tested — e.g., for a sample of purchase orders, the specific PO numbers and range; for a walkthrough, the specific transaction reference. Reason: it must be possible to *re-perform* or *trace back* to the exact items, otherwise "we tested a sample" is unfalsifiable.

Significant matters and professional judgement. The auditor must document discussions of significant matters with management, TCWG and others, including *when* and *with whom*. Reason: oral discussions evaporate; the significant, contentious, judgemental parts of an audit are exactly where later disputes cluster, so those are the parts that most need a written record.

Departure from a relevant requirement (the exception log). If, in exceptional circumstances, the auditor departs from a *relevant requirement* of an SA, the auditor must document **how the alternative procedures performed achieve the aim of that requirement, and the reasons for the departure**. Reason: SAs are mandatory; a documented, reasoned departure is accountable, an undocumented one is a violation.

Matters arising after the date of the auditor's report. If, in exceptional circumstances, the auditor performs new or additional procedures or draws new conclusions *after* the report date, the auditor documents: the circumstances, the new procedures/evidence/conclusions, and *when and by whom* the file changes were made and reviewed. Reason: this is the anti-backdating rule — it prevents silently "fixing" the file after signing.

Assembly of the final audit file. SQC 1 (and SA 230 by reference) requires the auditor to **assemble the final audit file on a timely basis after the date of the auditor's report**. The time limit fixed by SQC 1 is **ordinarily not more than 60 days** after the date of the auditor's report. Reason: assembly is an *administrative* completion — collating, sorting, discarding superseded drafts — **not** a window to do new audit work. Fixing 60 days prevents the file from staying "open" indefinitely (which would let the auditor keep changing conclusions).

Critical distinction (heavily tested): *before* the report date the auditor can still do audit work; the **assembly period (≤60 days after)** is only for administrative completion. After assembly, the auditor **must not delete or discard** documentation before the end of the retention period, and any change/addition must be documented with who, when, why (as above).

Retention period. SQC 1 requires that the retention period for audit engagements is **ordinarily no shorter than seven years from the date of the auditor's report** (or, if later, the date of the group auditor's report). Reason: covers the realistic tail of litigation, regulatory inquiry and inspection. (Note the interaction with law — see Section 7; **confirm the exact interplay with Companies Act record-retention in current ICAI material.**)

Form, contents and extent — what drives "how much." SA 230 says the extent of documentation is a matter of professional judgement influenced by: size and complexity of the entity, nature of procedures, identified risks of material misstatement, significance of evidence obtained, nature and extent of exceptions identified, and the need to document a conclusion not readily determinable from the work itself. The guiding principle: **document enough for the "experienced auditor" benchmark to be met — no more, no less.** Reason: over-documentation wastes cost and buries the significant; under-documentation fails the proof test.

What need NOT be documented (a favourite trap). The auditor need not document *every* matter considered or *every* professional judgement made — only the significant ones. Superseded drafts, notes reflecting incomplete or preliminary thinking, duplicate documents, and copies of documents corrected for typographical errors need not be retained in the final file. Reason: the file records *conclusions and their basis*, not the messy scaffolding used to reach them.

4.2 SA 220 — Quality Control for an Audit of Financial Statements (Engagement Level)

SA 220 sits *inside* the firm's overall system (SQC 1) and asks: for **this specific engagement**, how is quality delivered? The unifying idea: **the engagement partner is responsible for the overall quality of the engagement** and must take the lead on it. Each requirement below is the partner discharging a specific quality risk.

- **Leadership responsibility for quality on the engagement.** The engagement partner sets the tone; quality is not delegated away. Risk: without a single accountable owner, quality falls between chairs.
- **Relevant ethical requirements, including independence.** The partner must remain alert, throughout the engagement, to evidence of non-compliance with ethics, and specifically form a conclusion on **independence** — considering threats, safeguards, and the firm's independence information. Risk: an audit by a non-independent auditor is worthless (the whole point of audit is an *independent* check).
- **Acceptance and continuance of the client relationship.** The partner must be satisfied that appropriate procedures were followed and that the conclusions reached (about integrity of the client, competence and capabilities, and ability to comply with ethics) are appropriate. Risk: some clients should never be accepted; taking on a dishonest or infeasible client poisons the engagement from the start.
- **Assignment of engagement teams.** The partner must be satisfied the team collectively has the **competence and capabilities** to perform the engagement and prepare an appropriate report. Risk: putting unqualified staff on a complex audit guarantees failure.
- **Engagement performance — direction, supervision and review.** The partner directs the team, supervises the work, and reviews it. The rule: **review by more experienced team members of work done by less experienced members.** Risk: the supervision problem from Section 1 — unreviewed junior work is unverified.
- **Consultation.** For difficult or contentious matters, the team must consult (internally or externally), and the partner must be satisfied that consultation happened, that the conclusion was agreed with the party

consulted, and that the conclusion was **implemented**. Risk: a lone auditor over-confident on a hard technical point.

- **Engagement quality control review (EQCR).** For audits of listed entities (and other engagements the firm decides), the partner must ensure an EQCR is appointed, discuss significant matters with the reviewer, and **not date the report until the EQCR is completed** (detail in 4.4). Risk: self-review bias on high-stakes judgements.
- **Differences of opinion.** Within the team, or with the EQC reviewer or those consulted, differences must be resolved per firm policy, and the **report must not be dated until the matter is resolved**. Risk: unresolved dissent buried under a signature.
- **Monitoring.** The partner considers the results of the firm's monitoring process (and any deficiencies flagged) and whether they affect this engagement. Risk: firm-wide problems silently recurring on this file.
- **Documentation (SA 220's own doc requirements — links back to SA 230).** The partner documents: issues on ethical requirements and how resolved; conclusion on independence; conclusions on acceptance/continuance; and the nature, scope and conclusions of consultations. Risk: none of the above is provable unless recorded.

4.3 SQC 1 — Quality Control for Firms (Firm Level)

SQC 1 applies to **firms** performing audits, reviews, and other assurance and related services. Its objective: the firm establishes and maintains a **system of quality control** giving reasonable assurance that (a) the firm and its personnel comply with professional standards and legal/regulatory requirements, and (b) reports issued are appropriate in the circumstances. The system rests on **six elements** — each answering a firm-wide risk.

#	SQC 1 element	Firm-level risk it addresses
1	Leadership responsibilities for quality within the firm (the "tone at the top")	If leadership prizes fees over quality, everyone follows; quality must be led from the top and not undercut by commercial pressure
2	Ethical requirements (integrity, objectivity, professional competence, confidentiality, professional behaviour) including independence	Firm-wide independence breaches — the firm must gather independence data, identify threats, apply safeguards, and enforce rotation where required
3	Acceptance and continuance of client relationships and specific engagements	Taking on clients the firm cannot serve competently, ethically, or that lack integrity
4	Human resources (recruitment, competence, career development, capabilities, performance evaluation, assignment of engagement teams)	Incompetent or under-resourced staff doing audits in the firm's name
5	Engagement performance (consistent quality, supervision, review, consultation, EQCR, differences of opinion, documentation, assembly & retention)	Inconsistent quality across engagements; this element <i>houses</i> the documentation/assembly/retention rules
6	Monitoring (ongoing consideration and evaluation of the firm's system, including periodic inspection of completed engagements)	The system decaying unnoticed — someone must audit the quality-control system itself

Two of these elements deserve emphasis because they carry the specific rules examiners love:

Element 5 (Engagement performance) is where the file lives. SQC 1 mandates the firm to set policies on: completion of engagement documentation in a timely basis, the **assembly of the final file (≤ 60 days)**, the **confidentiality, safe custody, integrity, accessibility and retrievability** of documentation, and the **retention of documentation (≥ 7 years)**. Reason: the firm — not just the individual — must guarantee the file survives, stays confidential, and can be produced. A file that is lost, leaked, or tampered with fails its purpose.

Element 6 (Monitoring) is the "audit of the audit system." The firm must appoint someone competent and with sufficient authority to take responsibility for monitoring, and must perform **cyclical inspection of at least one completed engagement per engagement partner**. Reason: without monitoring, a quality-control *system* is just a document nobody checks; the periodic inspection is how the firm discovers its own weak spots before a regulator does. Deficiencies found must be communicated and remedial action taken.

4.4 Engagement Quality Control Review (EQCR)

The EQCR is the sharpest instrument in the toolkit, so it gets its own treatment.

What it is. An EQCR is an **objective evaluation, by a reviewer who is not part of the engagement team**, of the significant judgements the team made and the conclusions reached in formulating the report. The reviewer is the **engagement quality control reviewer (EQC reviewer)** — a partner, other person in the firm, a suitably qualified external person, or a team of such persons, with sufficient and appropriate experience and authority, and who meets the required objectivity/independence.

When it is mandatory. For all audits of financial statements of **listed entities**. The firm's policies must also require an EQCR for **other engagements that meet the firm's criteria** for review (e.g., high public interest, unusual risk, unusual nature/circumstances). Reason: EQCR is expensive; it is targeted at the engagements where a wrong opinion does the most public damage.

What the reviewer does. The EQC reviewer performs an **objective evaluation** of: the significant judgements made by the team; the conclusions reached (especially the appropriateness of the report); discussion of significant matters with the engagement partner; review of the financial statements and the proposed report; review of selected working papers relating to significant judgements; and evaluation of the conclusions on independence.

The timing rule (the key control). The engagement partner **must not date the auditor's report until the EQCR is complete**. Reason: the whole value of a second review is that it happens *before* the opinion is locked in. A review after the report is signed cannot change the opinion and is therefore worthless as a control.

Why the reviewer must be independent of the team. Because the reviewer's job is to catch the *self-review bias* of the very people who made the judgements. If the reviewer were on the team, they would be reviewing their own decisions — the exact conflict the mechanism exists to break.

Engagement is an audit of a listed entity or meets firm EQCR criteria



Appoint an EQC reviewer who was NOT on the engagement team



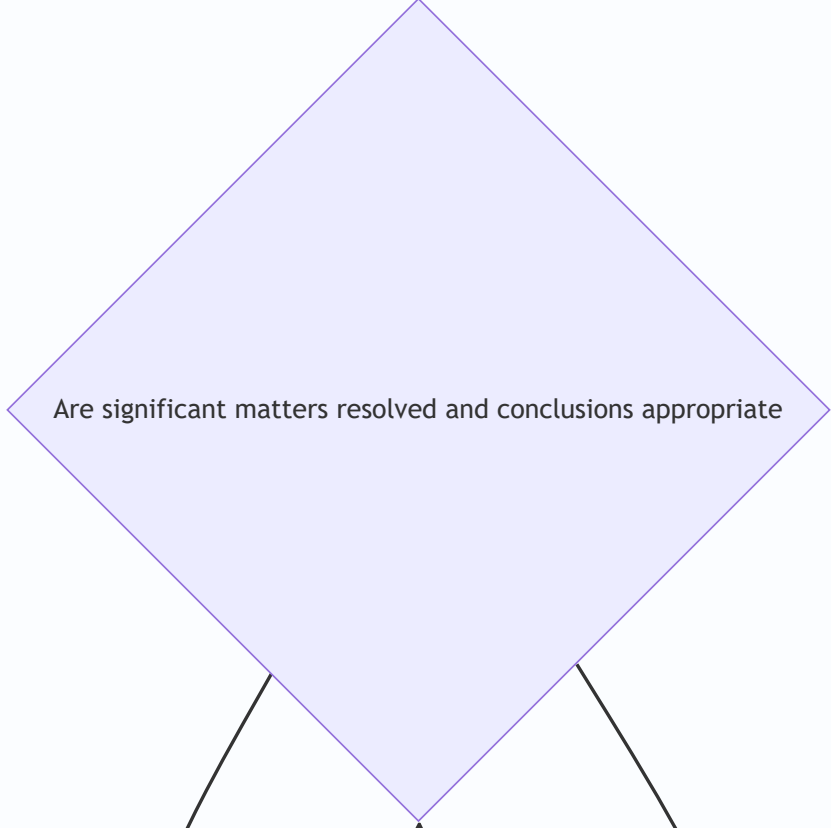
Reviewer objectively evaluates significant judgements and conclusions



Reviewer reviews financial statements, proposed report and selected working papers

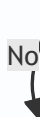


Reviewer evaluates the team conclusion on independence



Are significant matters resolved and conclusions appropriate

No



Resolve differences per firm policy and revisit the work



Yes



EQCR complete



Only now may the engagement partner date the auditor report

Figure 10.1 — The EQCR gate: the report cannot be dated until the independent review is complete.

5. Applied Scenarios

Work these the way the exam frames them: identify the risk, then the requirement that answers it, then the conclusion.

Scenario A — The confident senior with an empty file. CA Raghav, a senior on the audit of Meridian Ltd, tested the entire revenue cycle himself. His working paper says: "Revenue tested, found correct." Two years later NFRA inspects the file. The engagement partner insists the testing was thorough. *Was the documentation adequate?*

Analysis. No. Apply the SA 230 benchmark: could an **experienced auditor with no previous connection** understand the **nature, timing and extent** of procedures, their **results**, and the **conclusions**? "Revenue tested, found correct" reveals none of these — not *which* transactions (identifying characteristics), not *how* they were tested, not *how many*, not *what results* supported the conclusion. The work may well have been done, but SA 230's whole point is that undocumented work is *unprovable* work. The file fails, and the partner cannot defend the opinion. Additionally, there is no record of **who reviewed** the senior's work and **when** — the supervision trail is missing too.

Scenario B — Fixing the file after signing. The auditor of Vault Finance Ltd signed the report on 15 May. On 10 July (56 days later), while assembling the file, a manager realises a key going-concern discussion with the CFO was never written up. She adds a memo dated 10 July recording the May conversation. Separately, on 20 August the auditor *learns of a new fact* about a lawsuit and performs additional procedures. *What are the documentation rules?*

Analysis. Two different things are happening. (1) The 10 July memo falls **within the ≤60-day assembly period** and is an **administrative completion** of documentation — permissible, provided it records the discussion that actually occurred and is not new audit work. It should note who added it and when. (2) The 20 August work is *after* the report date and involves **new procedures/conclusions after the report** — SA 230 requires documenting the **circumstances, the new procedures and evidence and conclusions reached, and when and by whom the changes were made and reviewed**. The auditor must **never delete** the original file contents. This is the anti-backdating architecture in action: the file grows transparently; it is never silently rewritten.

Scenario C — The listed client and the tight deadline. Sterling Industries Ltd is listed. The engagement partner, under pressure from the audit committee to release results, wants to date and issue the report on 28 June. The EQC reviewer has raised a question on the impairment of goodwill and has not finished her review. The partner argues the EQCR can be "wrapped up next week." *Is this acceptable?*

Analysis. No — and this is the single hardest control in the chapter. Because Sterling is **listed**, an **EQCR is mandatory** (SA 220 / SQC 1). The rule is absolute: **the engagement partner must not date the auditor's report until the EQCR is complete**. Dating on 28 June with an open EQCR defeats the purpose of an independent pre-issuance review — a review that cannot change the opinion is no control at all. Moreover, the reviewer's open question on goodwill is precisely a **significant judgement**; if it amounts to a **difference of opinion**, firm policy for resolving differences applies and, again, the report is not dated until resolved. The deadline pressure is real but the sequence is non-negotiable: EQCR complete → then date the report.

Scenario D — The firm with no monitoring (bonus, firm-level). A small firm has excellent partners but has never inspected any completed engagement, arguing "our partners are experienced, we don't need to." *Does the firm comply with SQC 1?*

Analysis. No. SQC 1 **Element 6 (Monitoring)** requires ongoing evaluation of the quality-control system, including **cyclical inspection of at least one completed engagement per engagement partner.** Competence of partners does not substitute for monitoring — monitoring is the mechanism by which the *firm* discovers whether its system is actually working. "Trust the partners" is exactly the un-checked trust the whole architecture is designed to replace.

6. Procedure & Documentation Summary

A compact operational walkthrough — the lifecycle of the file and the quality gates around it.



Figure 10.2 — Lifecycle of the audit file from procedure to retention, with the quality gates in sequence.

Documentation checklist (what a strong file contains):

Item	Requirement source	The "why"
Nature, timing, extent of procedures	SA 230	Reconstructable by an outsider
Identifying characteristics of items tested	SA 230	Re-traceable to exact items
Results and evidence obtained	SA 230	Supports the conclusion
Significant matters, judgements, conclusions	SA 230	Where disputes cluster
Discussions with management/TCWG — when, with whom	SA 230	Oral record made durable
Who performed / who reviewed — names, dates, extent	SA 230	Supervision trail
Departures from a relevant SA requirement — how alternative met the aim, why	SA 230	Accountable, not a violation
Post-report changes — circumstances, new work, who/when	SA 230	Anti-backdating
Conclusion on independence; ethics issues and resolution	SA 220	Independence is the point of audit
Consultation nature, scope, conclusions	SA 220	Proof hard calls got expert input
EQCR completion before report date (where applicable)	SA 220 / SQC 1	Independent pre-issuance check
Final file assembled ≤ 60 days	SQC 1	Administrative closure, not new work
Retention ≥ 7 years; safe custody, confidentiality, retrievability	SQC 1	Survives the late dispute

7. Connections

Documentation and quality control are not an island — they thread through the entire syllabus.

- **SA 200 (Overall objectives).** SA 200 establishes professional scepticism, professional judgement, and sufficient appropriate audit evidence. Documentation is where scepticism and judgement leave a *trace*, and where "sufficient appropriate evidence" becomes provable. SA 230 is SA 200 made auditable.
- **SA 220 ⇔ SQC 1.** These are the same subject at two scales. SQC 1 sets *firm* policy; SA 220 requires the *engagement* to operate within it. SA 220 repeatedly says "the engagement partner may rely on the firm's system (SQC 1) unless information indicates otherwise." Learn them as a pair, not as rivals.
- **Ethics / Independence (Code of Ethics & Companies Act s.141 disqualifications).** Both SA 220 and SQC 1 make **independence** a first-order quality element. The rotation of auditors (**Companies Act s.139(2)**) and the firm-level independence policies of SQC 1 are two enforcement arms of the same idea — familiarity threatens objectivity, so the system forces fresh eyes.
- **Companies Act 2013 record-keeping.** The Act (e.g., books-of-account retention, and the auditor's own reporting under **s.143**) interacts with SQC 1's seven-year retention. The audit *file* (auditor's record) and the *books of account* (company's record) are distinct but both are subject to statutory retention regimes. **Confirm the exact company-law retention interaction in current ICAI/RTP material.**
- **SA 240 (Fraud) and SA 260/265 (Communication with TCWG / deficiencies).** These generate specific documentation obligations — fraud discussions, communicated deficiencies — that flow into the SA 230 file. Documentation is the common downstream repository of nearly every other SA.
- **NFRA / Peer Review / Quality Review Board.** External inspection regimes are the *reason* the file must satisfy the "experienced auditor with no previous connection" standard. The stranger in SA 230 is, in practice, an NFRA or peer-review inspector.
- **SA 230 ⇔ SA 500 (Audit Evidence).** SA 500 says *obtain* sufficient appropriate evidence; SA 230 says *record* it. Evidence not documented is, for accountability purposes, evidence not obtained.

8. Traps & Examiner Tricks

The examiner mines this chapter for precise-number and precise-wording questions. Guard against these:

- **60 days vs 7 years — never confuse them.** **60 days** is the *assembly* period (administrative completion, *after* the report). **7 years** is the *retention* period (how long the assembled file is kept). Both run *from the date of the auditor's report*. Mixing these up is the classic slip.
- **"Assembly" is administrative, not substantive.** A favourite trap: a scenario where, during the 60-day window, the auditor performs *new audit procedures*. That is **not** assembly. Assembly = collating, sorting, discarding superseded drafts. New procedures after the report date trigger the "changes after the report date" documentation rule, not a free extension of the audit.
- **The SA 230 benchmark wording.** The examiner wants the exact phrase: **"experienced auditor, having no previous connection with the audit."** Answers that paraphrase it as "any reader" or "a knowledgeable person" lose the point. And it must understand **nature, timing and extent + results + significant matters/conclusions/judgements** — list all three limbs.
- **"You must document everything" — FALSE.** You document *significant* matters and judgements, not every thought. Superseded drafts and preliminary notes need **not** be retained. A question that pushes

"the auditor failed because he didn't document every single consideration" is testing whether you know the *significance* filter.

- **EQCR is not for every audit.** It is mandatory for **listed entities** and firm-defined high-risk engagements — *not* every client. A trap scenario applies EQCR to a small private company with no such trigger.
- **The EQCR timing rule is absolute.** "The report was dated first and the EQCR finished a few days later" is *always* wrong for a listed entity. Report date **cannot precede** EQCR completion.
- **SA 220 vs SQC 1 level confusion.** If the question is about *firm* policies (recruitment, monitoring, tone at the top, retention policy), it's **SQC 1**. If it's about *this engagement* (this partner, this team, this independence conclusion), it's **SA 220**. Answering "SA 220" for a firm-monitoring question is a level error.
- **Ownership of working papers.** Trap: "the working papers belong to the client because the client paid." **False.** Working papers are the **property of the auditor**. The auditor may, at discretion, make portions available to the client, but the client has no right to them; the auditor must keep them confidential and in safe custody (SQC 1). (Confirm the precise treatment in ICAI's SA 230 guidance.)
- **Departure from an SA requirement.** Trap answer: "the auditor can never depart from an SA." Reality: in *exceptional* circumstances the auditor may perform *alternative* procedures, **provided** he documents how the alternative achieves the requirement's aim and the reasons. The sin is undocumented departure, not departure itself.
- **Monitoring inspection frequency.** The "at least one completed engagement per engagement partner on a cyclical basis" detail is examinable — vague answers ("the firm should review some files sometimes") lose marks.

9. First-Principles Recap

Strip everything back and rebuild it from the three original problems:

1. **The work is invisible → make it visible and permanent.** That is **SA 230 documentation**. The test of "enough" is not the writer's satisfaction but a *stranger's* comprehension — the experienced auditor with no prior connection. Record what you did (nature, timing, extent), what you found (results, evidence), and what you concluded (significant matters, judgements). Record who did it and who reviewed it. Because memory and conversation evaporate, only the file survives to prove the audit happened.
2. **A team must review itself → build the review into the process and the record.** That is **SA 220 engagement quality control**: one accountable partner, competent staff, more-experienced reviewing less-experienced, consultation on hard calls, independence concluded, and — for high-stakes engagements — an *independent* second reviewer (EQCR) whose review must finish *before* the opinion is locked. Self-review bias is broken by putting the second opinion in genuinely different hands.
3. **A firm's signature must mean the same thing every time → govern quality at the firm level.** That is **SQC 1**: six elements (leadership, ethics/independence, acceptance/continuance, human resources, engagement performance, monitoring) that make quality a *system*, not a personal virtue. And the system audits itself through **monitoring**.
4. **Disputes arrive late → keep the proof.** Assemble the file promptly (**≤60 days**, administrative only) and retain it long enough to cover the tail (**≥7 years**), in safe custody, confidential, retrievable — and *never* silently rewritten; post-report changes are documented in the open.

The unifying sentence again: **documentation is the evidence that the work was done; quality control is the process that the evidence must show was good.** One proves *that* you worked; the other proves the work was *worth trusting*. Together they answer the profession's own agency problem — *who audits the auditor?* — with: the file does, the reviewer does, the firm's system does, and the inspector can.

10. Quick-Revision Sheet

Four pillars

Pillar	Level	One-line purpose
SA 230	Engagement	Record the audit so it is provable and reviewable
SA 220	Engagement	Deliver quality on <i>this</i> audit; partner is responsible
SQC 1	Firm	System giving reasonable assurance of quality across <i>all</i> engagements
EQCR	Engagement (high-risk)	Independent objective review of significant judgements before the report is dated

SA 230 must-knows - Definition: record of **procedures performed + evidence obtained + conclusions reached** (formerly "working papers"; whole = **audit file**). - Benchmark: understandable by an **experienced auditor, no previous connection** — the **nature, timing, extent**; the **results**; the **significant matters, conclusions, judgements**. - Record **who performed/date** and **who reviewed/date/extent**; record **identifying characteristics** of items tested. - Document **significant discussions** (when, with whom); document **departures** from an SA requirement (how alternative met the aim + why). - **Post-report changes**: document circumstances, new work, who/when; **never delete** original contents. - Need **not** document every judgement; need **not** retain superseded drafts/preliminary notes.

Numbers (from the auditor's report date) - Assembly of final file: ≤ 60 days (administrative completion only — no new audit work). - **Retention: ≥ 7 years** (safe custody, confidentiality, integrity, accessibility, retrievability). - **Working papers = auditor's property** (client has no right; auditor may share portions at discretion).

SA 220 — engagement partner's responsibilities Leadership on quality · ethics + **independence conclusion** · acceptance/continuance · competent team · **direction, supervision, review** (senior reviews junior) · **consultation** (implemented) · **EQCR where applicable** · resolve **differences of opinion** before dating report · consider **monitoring** results · document all of it.

SQC 1 — six elements 1. Leadership (tone at the top) · 2. Ethical requirements + independence (incl. **rotation**) · 3. Acceptance & continuance · 4. Human resources · 5. Engagement performance (houses **assembly, retention, EQCR, consultation, differences**) · 6. **Monitoring** (cyclical inspection of **≥ 1 completed engagement per engagement partner**).

EQCR — the sharp control - Mandatory for **listed entities** + firm-defined high-risk engagements. - Reviewer is **NOT** on the engagement team (breaks self-review bias). - Reviews significant judgements, conclusions, the report, selected working papers, independence. - **Report must NOT be dated until EQCR is complete.**

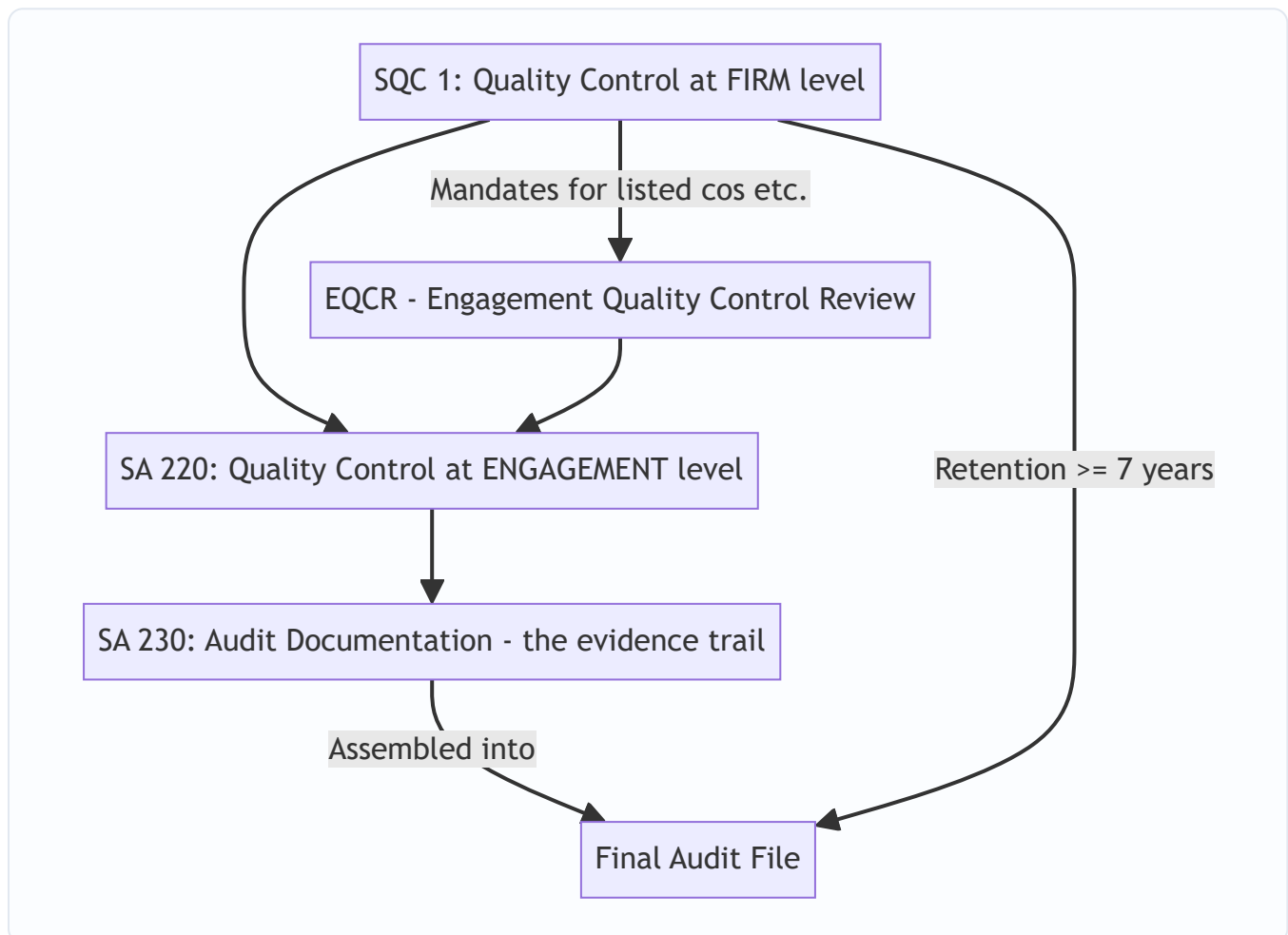
The one sentence: *Documentation is the evidence the work was done; quality control is the process the evidence must prove was good — together they answer "who audits the auditor?"*

Confirm in current ICAI material: exact interaction of SQC 1's 7-year retention with Companies Act 2013 record-retention; any migration references to the newer quality-management framework (SQM 1 / SQM 2 / SA 220 (Revised)) if adopted for your attempt — this chapter states the SQC 1 / SA 220 position per the extant CA Intermediate syllabus.

Q&A — Audit Documentation & Quality Control

Exam-oriented question bank for CA Intermediate, Paper "Auditing & Ethics". Coverage: **SA 230** Audit Documentation, **SA 220** Quality Control for an Audit of Financial Statements, **SQC 1** Quality Control for Firms, and **EQCR** (Engagement Quality Control Review). Standards cited are Indian Standards on Auditing issued by ICAI and provisions of the **Companies Act, 2013**. No invented standards are used.

How the standards fit together



Section A — Concept-Check Questions (with answers)

A1. Define "audit documentation" and state its other common name. Answer: Under **SA 230 (para 6)**, audit documentation means the record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached. Terms such as "working papers" or "workpapers" are also used. It is the tangible record supporting the auditor's opinion.

A2. State the two principal purposes served by audit documentation under SA 230. Answer: Per **SA 230 (para 5)**: (a) it provides evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor; and (b) it provides evidence that the audit was planned and performed in accordance with SAs and applicable legal/regulatory requirements.

A3. What is the "experienced auditor" test in SA 230? Answer: **SA 230 (para 8)** requires documentation sufficient to enable an experienced auditor, having no previous connection with the audit, to understand: (a) the nature, timing and extent (NTE) of procedures performed; (b) the results and evidence obtained; and (c) significant matters, conclusions reached, and significant professional judgments made.

A4. When identifying items tested, what three attributes should the auditor record? Answer: Under **SA 230 (para 9)**, the auditor should record the identifying characteristics of the items tested, the person who performed the work and the date it was completed, and the person who reviewed the work performed and the date/extent of review.

A5. What is the time limit for assembling the final audit file, and where is it fixed? Answer: **SQC 1 (para 82)** requires the final audit file to be assembled on a timely basis, ordinarily **not more than 60 days after the date of the auditor's report**. SA 230 (para 14) reiterates this administrative process.

A6. For how long must audit documentation be retained? Answer: **SQC 1 (para 83)** prescribes a retention period ordinarily **not shorter than 7 years** from the date of the auditor's report, or the date of the group auditor's report, if later.

A7. After the file assembly date, can the auditor delete working papers? Can additions be made? Answer: **SA 230 (para 15)** prohibits deleting or discarding documentation before the end of the retention period. Additions are permitted after assembly, but the auditor must document: the specific reasons for the change, and when and by whom the changes were made and reviewed (**SA 230 para 16**).

A8. Distinguish SA 220 from SQC 1 in one line each. Answer: **SQC 1** deals with quality control at the **firm level** (system of quality control for all engagements). **SA 220** deals with quality control at the **individual engagement level**, and operates on the premise that the firm is subject to SQC 1.

A9. What is EQCR and who performs it? Answer: EQCR (Engagement Quality Control Review) is an objective evaluation, **before the report is issued**, of the significant judgments made and conclusions reached by the engagement team. It is performed by an **Engagement Quality Control Reviewer** — a partner, other person in the firm, suitably qualified external person, or a team, who is **not part of the engagement team** (**SQC 1 para 39 / SA 220 para 7**).

A10. When is an EQCR mandatory? Answer: Per **SQC 1 (para 60)**, an EQCR is required for **audits of financial statements of listed entities**. The firm must also establish criteria to determine whether an EQCR should be performed for **other engagements** presenting higher risk.

A11. List the six elements of a system of quality control under SQC 1. Answer (mnemonic "LEHAME"): (1) Leadership responsibilities for quality within the firm; (2) **E**thical requirements; (3) Acceptance and continuance of client relationships and specific engagements; (4) **H**uman resources; (5) Engagement performance; (6) **M**onitoring. (SQC 1 para 4 / 16.)

A12. What are the fundamental ethical principles the firm must uphold? Answer: Under SQC 1 (ethical requirements element): **Integrity, Objectivity, Professional competence and due care, Confidentiality, and Professional behaviour**. Independence is emphasised for assurance engagements.

A13. Is oral explanation by the auditor a substitute for documentation? Answer: No. **SA 230 (para A16)** states oral explanations by the auditor, on their own, do not represent adequate support for the work performed or conclusions reached, but may be used to clarify or explain information contained in the documentation.

A14. Must every matter be documented? Answer: No. It is neither necessary nor practicable to document every matter considered. **SA 230 (para A7)** — matters of insignificant nature and judgments that are obvious need not be documented; documentation focuses on significant matters.

A15. Name three items SA 230 requires be documented regarding discussions of significant matters.

Answer: The auditor should document (a) the significant matters discussed, (b) with whom and when they were discussed, and (c) how the auditor addressed any inconsistency between information and the final conclusion (SA 230 paras 10-11).

Section B — Applied Scenario Questions (situation → response with reasoning)

B1. Situation: During finalisation, the audit senior realises a photocopy of an important lease deed was not placed on file, though its contents were tested. She wants to obtain the copy two days after the report date but before file assembly. Is this permissible? **Response:** Yes. Obtaining and placing the copy is an **administrative/assembly step**, not a change to conclusions. Under **SA 230 (para 13)**, changes during final assembly that are administrative in nature (e.g., assembling, sorting, cross-referencing, deleting superseded drafts, signing completion checklists) may be made before the file is assembled. Since assembly may occur within 60 days (SQC 1 para 82), placing the copy is proper, provided no new conclusion is being formed.

B2. Situation: After the file was assembled (day 45), the tax authority raises a query and the auditor performs additional procedures on a related-party transaction. What must the auditor document? **Response:** Per **SA 230 (para 16)**, when documentation is added after assembly, the auditor must document: (a) the specific reasons for making the change; (b) when and by whom the additional procedures were performed; and (c) when and by whom they were reviewed. **Existing documentation must not be deleted** (para 15). This preserves the integrity of the original file.

B3. Situation: A firm audits a listed company. The engagement partner wants to sign the audit report immediately after completing fieldwork, without any second-partner review, to meet a deadline. Advise. **Response:** Not permissible. For a **listed entity**, **SQC 1 (para 60)** and **SA 220 (para 19)** mandate an **EQCR before the report is dated**. SA 220 (para 19) states the engagement partner **shall not date the auditor's report** until the completion of the EQCR. The reviewer must objectively evaluate significant judgments and conclusions. The deadline cannot override this requirement.

B4. Situation: An EQC reviewer disagrees with the engagement partner on a significant judgment and the matter is not resolved to the reviewer's satisfaction. What happens? **Response:** Under **SA 220 (para 20 / SQC 1 para 45)**, the report shall not be issued until the matter is resolved through the firm's procedures for dealing with **differences of opinion**. The firm's policies (SQC 1) must provide that conclusions are documented and implemented, and the report is not released until the difference is resolved.

B5. Situation: A newly promoted engagement partner has doubts about the integrity of a prospective client's management but the firm is keen to accept for the fee. Response? **Response:** This engages the **"acceptance and continuance"** element of **SQC 1 (paras 26-33)**. The firm must consider client integrity, its own competence, capabilities, time and resources, and compliance with ethical requirements including independence. **SA 220 (para 12-13)** requires the engagement partner to be satisfied that appropriate acceptance procedures were followed. Doubtful integrity is a ground to decline; fee alone cannot justify acceptance.

B6. Situation: During the audit, junior staff and the engagement partner reach different conclusions on the adequacy of a provision. How should the firm handle it and what should be documented? **Response:** The firm's SQC 1 policies on **consultation** and **differences of opinion** apply (SQC 1 paras 36-38, 45).

Consultation on difficult/contentious matters should occur and the **nature and scope of consultation and conclusions must be documented** and agreed by both the consulted party and the team (SA 220 para 18). The report is not issued until the difference is resolved.

B7. Situation: A firm's monitoring/inspection reveals recurring deficiencies in documentation of sampling across engagements. What action framework applies? **Response:** This is the "**monitoring**" element of **SQC 1 (paras 46-56)**. The firm must evaluate whether deficiencies are (a) instances that do not necessarily indicate the system is deficient, or (b) systemic/recurring deficiencies requiring prompt corrective action. Remedial actions may include training, changes to policies, and communication to engagement partners. If a report may be inappropriate, the firm considers obtaining legal advice.

B8. Situation: The auditor departs from a relevant requirement of an SA because it was not applicable in the circumstances. Is documentation required? **Response:** Yes. Under **SA 230 (para 12)**, if in exceptional circumstances the auditor judges it necessary to depart from a **relevant requirement** in an SA, the auditor must document how the **alternative procedures performed achieve the aim** of that requirement, and the **reasons for the departure**. (Note: this applies to genuine exceptional departures, not to requirements that are simply not relevant.)

B9. Situation: Client requests the auditor hand over the original working papers, claiming they belong to the client since the client paid for the audit. Advise on ownership. **Response:** **SA 230 (para A24)** and SQC 1 confirm that **audit documentation is the property of the auditor**. The auditor may, at their discretion, make portions available to clients provided disclosure does not undermine the audit's validity or independence. The client cannot claim ownership merely by paying the fee.

B10. Situation: A small proprietary firm argues SQC 1 is meant only for big firms and does not apply to it. Correct? **Response:** Incorrect. **SQC 1 applies to all firms** performing audits, reviews of historical financial information, and other assurance and related services engagements, **regardless of size**. However, the **nature and extent** of policies and procedures depend on factors such as firm size, operating characteristics, and whether it is part of a network (SQC 1 para 8, A-guidance on scalability).

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Audit documentation serves a number of additional purposes beyond supporting the opinion." Enumerate these purposes. (SA 230) Model answer: Beyond the two principal purposes (para 5), **SA 230 (para 3)** lists additional purposes: 1. Assisting the engagement team to **plan and perform** the audit. 2. Assisting members responsible for **supervision and review** of the work. 3. Enabling the team to be **accountable** for its work. 4. **Retaining a record** of matters of continuing significance to future audits. 5. Enabling the conduct of **quality control reviews and inspections** (SQC 1). 6. Enabling the conduct of **external inspections** under legal, regulatory or other requirements.

C2. Explain the factors that affect the form, content and extent of audit documentation. (SA 230 para A2) Model answer: Factors include: (a) size and complexity of the entity; (b) nature of the audit procedures to be performed; (c) identified risks of material misstatement; (d) significance of the audit evidence obtained; (e) nature and extent of exceptions identified; (f) the need to document a conclusion not readily determinable

from other documentation; (g) the audit methodology and tools used. Documentation may be recorded on paper or in electronic/other media.

C3. Discuss the requirements relating to assembly, retention, and changes to the audit file. (SA 230 + SQC 1) Model answer: - **Assembly:** The auditor shall assemble documentation in an audit file and complete administrative assembly on a timely basis — **ordinarily not more than 60 days** after the report date (SA 230 para 14; SQC 1 para 82). - **Retention:** Retention period is **ordinarily not less than 7 years** from the auditor's report date (SQC 1 para 83). - **Changes before assembly:** Only administrative changes (sorting, cross-referencing, deleting superseded drafts) are allowed (SA 230 para 13). - **After assembly:** No deletion/discarding before end of retention period (para 15). Additions/modifications require documenting the reasons, and when and by whom made and reviewed (para 16).

C4. What are the six elements of a firm's system of quality control under SQC 1? Explain any two.

Model answer: The six elements are: (1) Leadership responsibilities for quality; (2) Ethical requirements; (3) Acceptance and continuance of client relationships and specific engagements; (4) Human resources; (5) Engagement performance; (6) Monitoring. - **Leadership responsibilities (para 18):** The firm's CEO/managing board bears ultimate responsibility for the quality control system. The firm must promote a **quality-oriented internal culture** and ensure commercial considerations do not override quality. Performance evaluation, compensation and promotion must demonstrate the firm's overriding commitment to quality. - **Engagement performance (paras 34-45):** The firm must have policies ensuring engagements are performed in accordance with standards — covering **direction, supervision and review, consultation** on difficult matters, **EQCR**, resolving **differences of opinion**, and file assembly/retention.

C5. Write short notes on Engagement Quality Control Review (EQCR): meaning, applicability, and matters the reviewer considers. Model answer: - **Meaning:** An objective evaluation, before the report is issued, of significant judgments made and conclusions reached by the engagement team (SQC 1 para 39; SA 220 para 7). - **Applicability:** Mandatory for **listed entities**; the firm sets criteria for other higher-risk engagements (SQC 1 para 60). - **Reviewer's considerations (SA 220 para 20 / SQC 1 para 44):** discussion of significant matters with the engagement partner; review of financial statements and proposed report; review of selected documentation on significant judgments; evaluation of conclusions reached and whether the proposed report is appropriate. The reviewer must be **objective and independent of the engagement team**, and appropriately qualified.

C6. "The auditor shall prepare documentation on a timely basis." Explain why timely preparation is important. (SA 230 para 7, A1) Model answer: Preparing documentation on a **timely basis** (i.e., while performing the work, not long after) helps enhance the **quality** of the audit and facilitates effective **review and evaluation** of the evidence and conclusions **before the report is finalised**. Documentation prepared after the work is performed is likely to be **less accurate** than documentation prepared contemporaneously.

C7. Explain the "Human Resources" element and its sub-component "assignment of engagement teams" under SQC 1. Model answer: The **Human Resources** element (SQC 1 paras 29-33) requires policies giving reasonable assurance that the firm has sufficient personnel with the **competence, capabilities and commitment to ethical principles** to perform engagements per standards. It covers recruitment, performance evaluation, capabilities, competence, career development, promotion, compensation and estimation of personnel needs. **Assignment of engagement teams (para 32):** The firm assigns responsibility for each engagement to an **engagement partner** whose identity and role are communicated to key client personnel, who has appropriate competence, capabilities, authority, and time; and ensures the team collectively has the competence to perform the engagement.

Section D — MCQs and Case Scenarios (correct option + one-line reasoning)

- D1.** Audit documentation should ordinarily be retained for a period not less than: (a) 5 years (b) 6 years (c) 7 years (d) 10 years **Answer: (c).** SQC 1 para 83 sets the retention period at not less than 7 years from the report date.
- D2.** The final audit file should ordinarily be assembled within: (a) 30 days (b) 45 days (c) 60 days (d) 90 days **Answer: (c).** SA 230 para 14 / SQC 1 para 82 — not more than 60 days after the auditor's report date.
- D3.** An EQCR is mandatory for the audit of: (a) All companies (b) Listed entities (c) Only public sector banks (d) Firms with turnover > Rs.50 crore **Answer: (b).** SQC 1 para 60 mandates EQCR for listed entities; firms set criteria for other higher-risk engagements.
- D4.** The "experienced auditor" referred to in SA 230 is a person who: (a) Has worked on the same audit before (b) Is the current engagement partner (c) Has practical audit experience but no previous connection with this audit (d) Is an ICAI inspector only **Answer: (c).** SA 230 defines the experienced auditor as one with no previous connection to the audit, used as the benchmark for sufficiency.
- D5.** Which is NOT one of the six elements of a system of quality control under SQC 1? (a) Monitoring (b) Ethical requirements (c) Leadership responsibilities (d) Statutory audit rotation **Answer: (d).** Audit rotation is a Companies Act, 2013 (Sec 139) matter, not an SQC 1 quality-control element.
- D6.** Oral explanations by the auditor: (a) Fully substitute documentation (b) On their own do not represent adequate support but may clarify (c) Are prohibited (d) Replace working papers for small audits **Answer: (b).** SA 230 para A16 — oral explanations alone are not adequate support but may clarify documented information.
- D7.** Ownership of audit working papers vests with: (a) The client (b) ICAI (c) The auditor (d) Jointly with client and auditor **Answer: (c).** SA 230 para A24 — documentation is the property of the auditor.
- D8. Case Scenario:** CA Ramesh audits XYZ Ltd (unlisted, high-risk due to fraud history). The firm's policy requires EQCR for high-risk clients. Ramesh skips EQCR arguing XYZ is unlisted. Is he correct? (a) Correct, EQCR is only for listed (b) Incorrect, firm's own criteria mandate it here (c) Correct, unlisted clients are exempt always (d) Incorrect, EQCR is required for all audits **Answer: (b).** SQC 1 para 60 requires firms to set criteria extending EQCR to higher-risk engagements; the firm's own policy binds Ramesh.
- D9. Case Scenario:** After assembling the file on day 30, the auditor discovers a computational error in a note and wants to correct the working paper by erasing the old figure. Advise. (a) Erase and overwrite freely (b) Cannot delete; add new documentation stating reason, who, and when (c) Destroy the whole file and restart (d) No action needed **Answer: (b).** SA 230 paras 15-16 — existing documentation must not be deleted; additions require reason, date, and identity of preparer/reviewer.
- D10.** Under SA 230, identifying characteristics of items tested are recorded to: (a) Increase file size (b) Enable identification of the specific items tested and support the audit trail (c) Satisfy the client (d) Replace sampling **Answer: (b).** SA 230 para 9 — recording identifying characteristics allows the team to identify the items selected/tested and enables review and re-performance.
- D11.** SA 220 operates on the premise that: (a) The firm has no quality control system (b) The firm is subject to SQC 1 (c) EQCR is optional for all (d) Documentation is unnecessary **Answer: (b).** SA 220 is built on the premise that the firm is subject to SQC 1 or at least equally demanding requirements.
- D12. Case Scenario:** An engagement partner of a listed-company audit dates the auditor's report on 20th May; the EQCR is completed on 25th May. Evaluate. (a) Valid, EQCR can follow the report (b) Invalid, report

cannot be dated before EQCR completion (c) Valid if partner is senior (d) Invalid only if client objects

Answer: (b). SA 220 para 19 — the engagement partner shall not date the report until completion of the EQCR.

Quick memory hooks

- **60 days** to assemble the file; **7 years** to retain it (SQC 1 paras 82-83).
- **Experienced auditor test** = benchmark for "how much documentation is enough" (SA 230 para 8).
- **NTE + results + significant judgments** = the three things documentation must reveal.
- **SQC 1 = firm level; SA 220 = engagement level; SA 230 = the paper trail.**
- **EQCR = mandatory for listed entities**, report not dated until EQCR done.
- Six SQC 1 elements: Leadership, Ethics, Acceptance/Continuance, Human Resources, Engagement Performance, Monitoring.

Chapter 11 — Professional Ethics & Independence

1. The Problem

Strip away everything decorative about an audit and one uncomfortable fact remains: **the auditor is paid by the very people whose work he is checking**. The company's directors negotiate his fee, sit across the table at every meeting, can decline to reappoint him, and control the flow of information he depends on. Yet the people who actually *rely* on his opinion — the retail shareholder in Coimbatore, the bank about to lend ₹50 crore, the ITC officer, the prospective investor — are nowhere in the room. They never meet the auditor. They cannot verify his working papers. They simply read three or four paragraphs at the end of the annual report and, on the strength of them, part with their money.

This is the **agency problem** dressed in its sharpest clothes. Management has the information; outsiders have the risk. The audit is supposed to bridge that gap — but the bridge is only as trustworthy as the person who built it. And that person has every commercial incentive to keep his paying client happy.

So the reader who refuses to memorise should sit with the real question first: **Why would anyone believe an auditor's opinion at all?** He's not a government official. He's not disinterested. He's a professional running a firm that needs revenue. What stops him from quietly signing whatever keeps the fees flowing?

The answer cannot be "because he's honest," because you cannot verify honesty from the outside. The profession's answer is structural: an audit opinion is only worth reading if the person giving it is **independent** of the outcome and **bound by enforceable principles** that override his self-interest. Ethics, in auditing, is not a soft topic bolted onto the end of the syllabus. It is the *load-bearing wall*. Remove it and the entire assurance edifice — SA 700 opinions, materiality, sampling, the lot — collapses into an expensive formality.

That is the problem this chapter addresses: **how do you make a paid opinion believable to people who cannot check it?**

2. The Core Idea

The core idea is a single sentence you should be able to reconstruct from first principles:

An audit opinion has value only to the extent that its author is independent in fact and in appearance and behaves according to principles that a rational outsider can trust to hold even when the client would prefer otherwise.

Two words in that sentence do the heavy lifting.

Independence answers: *is the auditor free of any interest that would bias the conclusion?* If the auditor owns shares in the client, his wealth rises when the accounts look good — his interest is no longer aligned with the truth. Independence is the machinery that keeps the auditor's self-interest from contaminating his judgement.

Integrity and the other fundamental principles answer: *even where no financial bias exists, will the auditor behave in a way the public can rely on?* Will he tell the truth even when it costs the engagement? Keep client secrets? Refuse work he isn't competent to do?

Crucially, independence is demanded in **two forms**, and understanding *why both* is the conceptual crux:

- **Independence of mind (independence in fact)** — the actual state of mind that permits an unbiased conclusion. This is the substance.
- **Independence in appearance** — the avoidance of facts and circumstances so significant that a *reasonable and informed third party* would conclude the auditor's objectivity was compromised.

A student's instinct is: "surely only the real thing matters — if the auditor is genuinely unbiased, who cares how it looks?" But recall the problem statement. **The user cannot see inside the auditor's mind.** He can only observe circumstances. If the audit firm's partner is the CFO's brother, the shareholder has no way to confirm the audit was actually objective — and rationally, he *won't believe it was*. The moment appearance is compromised, the opinion loses its power to reassure, regardless of the underlying truth. Assurance is a product sold on *credibility*, and credibility lives in the eye of the user. Hence appearance is not vanity; it is half the product.

Everything technical in this chapter — the five fundamental principles, the five threat categories, the safeguards, the Companies Act prohibitions — is machinery built to protect these two things.

3. Why It's Built This Way

Before the rules, understand the design logic. Three structural choices explain almost every specific provision you'll meet.

Choice 1: Principles over an infinite rulebook. You could try to list every forbidden act — "don't own client shares, don't lend to the client, don't marry the CFO..." — but reality generates novel conflicts faster than any list can grow. So the Code of Ethics (issued by ICAI, aligned with the IESBA International Code) is built on a **conceptual framework**: five broad *fundamental principles*, plus a *threats-and-safeguards* method for handling anything the specific rules don't name. The professional is required to *think*, not just look up. This is precisely the temperament of a self-learner: the framework tells you how to reason about a situation the examiner invented that no textbook lists.

Choice 2: Categorise threats by their psychological mechanism. Rather than memorising 200 risky situations, the Code groups them into **five families by why they bias judgement** — self-interest, self-review, advocacy, familiarity, intimidation. Once you understand the *mechanism*, you can classify any new fact pattern. This is the single most exam-productive idea in the chapter.

Choice 3: Layer three defences — the profession's rules, the firm's safeguards, and hard legal prohibitions. Some threats are so severe that no safeguard can reduce them to acceptable levels, so the law simply bans the situation outright (e.g., a statutory auditor holding shares in the company). Others can be managed with safeguards (rotate the engagement partner, add an independent reviewer). The system is deliberately layered because threats vary in severity.

Keep this scaffolding in mind: **principles → threats → safeguards → outright prohibitions**. The rest of the chapter fills it in.

4. Full Technical Content

4.1 The Governing Instruments (know the sources)

Instrument	What it governs	Why it exists
ICAI Code of Ethics (based on IESBA Code)	Fundamental principles, conceptual framework, threats & safeguards, independence for assurance engagements	Makes ethical reasoning enforceable and profession-wide
Chartered Accountants Act, 1949 — Schedules I & II	"Professional misconduct"; disciplinary machinery	Gives the Code legal teeth — breach = misconduct
SA 200	Overall objectives; requires compliance with <i>relevant ethical requirements including independence</i>	Ties ethics into every audit as a precondition
SQC 1 / SA 220	Firm-level and engagement-level quality controls, including independence procedures	Makes the firm, not just the individual, responsible
Companies Act, 2013 — ss. 141, 144, 139(2)	Eligibility/disqualifications of auditors, prohibited non-audit services, rotation	Hard legal backstop for the most dangerous conflicts

Note: confirm the current edition's paragraph numbering in the latest ICAI Code of Ethics, as ICAI periodically revises to track IESBA updates.

The relationship, in one line: **SA 200 says "comply with ethical requirements"; the Code of Ethics says *what they are*; the CA Act and Companies Act make some of them legally binding with penalties.**

4.2 The Five Fundamental Principles — each as an answer to a risk

The Code requires a Chartered Accountant to comply with five fundamental principles. Do not learn them as a list; learn each as **the specific betrayal it prevents**.

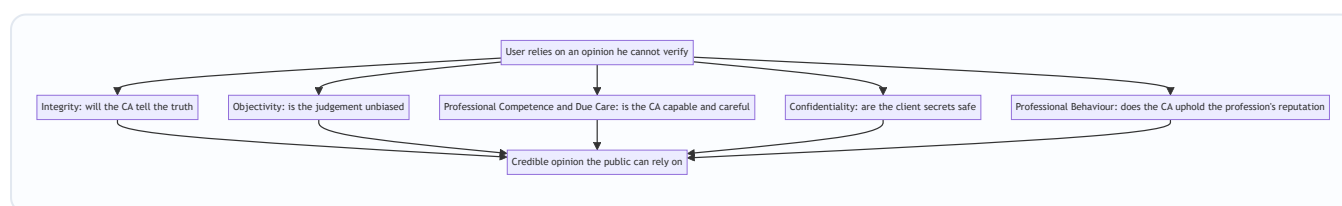


Figure 11.1 — The five fundamental principles, each closing a different gap in the user's trust.

(a) Integrity. To be *straightforward and honest* in all professional and business relationships; it implies fair dealing and truthfulness. *The risk it counters:* the auditor's core deliverable is a truthful statement; if he'll knowingly associate with false or misleading information, the opinion is worthless at the root. Integrity specifically forbids being associated with reports the CA knows to contain materially false, misleading, or recklessly-made statements, or that omit/obscure information. It is the principle that survives even commercial pressure — the one that says *walk away rather than sign a lie*.

(b) Objectivity. To *not allow bias, conflict of interest, or undue influence of others* to override professional judgement. *The risk it counters:* the whole point of an *independent* opinion is that it isn't management's

opinion in disguise. Objectivity is the mental state; independence (below) is the set of circumstances that protects it. A CA must not perform a service if a circumstance unduly influences his judgement.

(c) Professional Competence and Due Care. To *maintain professional knowledge and skill* at the level required to give competent service (keeping up with technical, legislative developments), and to *act diligently* per applicable standards. *The risk it counters:* an honest, unbiased auditor who simply *doesn't know* the applicable Ind AS or misses a required procedure produces a wrong opinion just as damaging as a dishonest one. Competence has two limbs — **attainment** (getting the knowledge) and **maintenance** (CPE, staying current). Due care demands diligent, careful application.

(d) Confidentiality. To *respect the confidentiality* of information acquired through professional relationships and *not disclose it without proper authority* (unless a legal/professional right or duty to disclose exists), nor *use it for personal advantage*. *The risk it counters:* an audit only works if management hands over sensitive data — margins, contracts, litigation. If clients feared leakage, they'd conceal information and the audit would be starved of evidence. Confidentiality is the *lubricant* that makes candid disclosure to the auditor safe. Note the two prohibited acts: **disclosing and using** (even without disclosure — e.g., trading on inside knowledge). It continues **after** the relationship ends and extends to family/social settings.

Permitted/required disclosures (the exam favourite): (i) permitted by law and authorised by the client; (ii) *required by law* — e.g., producing documents in legal proceedings, disclosing infringements to authorities; (iii) *professional duty or right* — e.g., complying with a peer/quality review, ICAI investigation, defending oneself in litigation, or complying with technical/ethical standards.

(e) Professional Behaviour. To *comply with relevant laws and regulations and avoid any conduct that discredits the profession*. *The risk it counters:* the value of a CA's signature depends on the *collective* reputation of "Chartered Accountant." One member's disgraceful conduct — or misleading advertising, or unsubstantiated claims about competitors — debases the currency for everyone. This principle governs solicitation, advertising, and general conduct so the brand stays trustworthy.

4.3 Independence — the special demand for assurance engagements

Independence is *not* one of the five fundamental principles — it is a **distinct, additional requirement** that applies specifically to **assurance engagements** (audits and reviews). Why single it out? Because in assurance work the *entire value proposition* is that the conclusion is unbiased; independence is objectivity's structural guarantee. The Code requires independence in the two forms established in Part 2:

- **Independence of mind** — the state permitting a conclusion without bias, conflict, or undue influence; acting with integrity, objectivity, professional scepticism.
- **Independence in appearance** — avoiding circumstances so significant that a *reasonable and informed third party* would likely conclude integrity/objectivity/scepticism had been compromised.

The test for appearance — the "**reasonable and informed third party**" test — is worth memorising verbatim, because examiners phrase problems around it: *not* "would this actually bias me?" but "would an informed outsider reasonably doubt it?"

4.4 The Five Threats to Independence — mechanisms, not lists

Any circumstance that endangers independence is classified by its **psychological mechanism** into one of five categories. Learn the *why* of each, and you can classify anything.

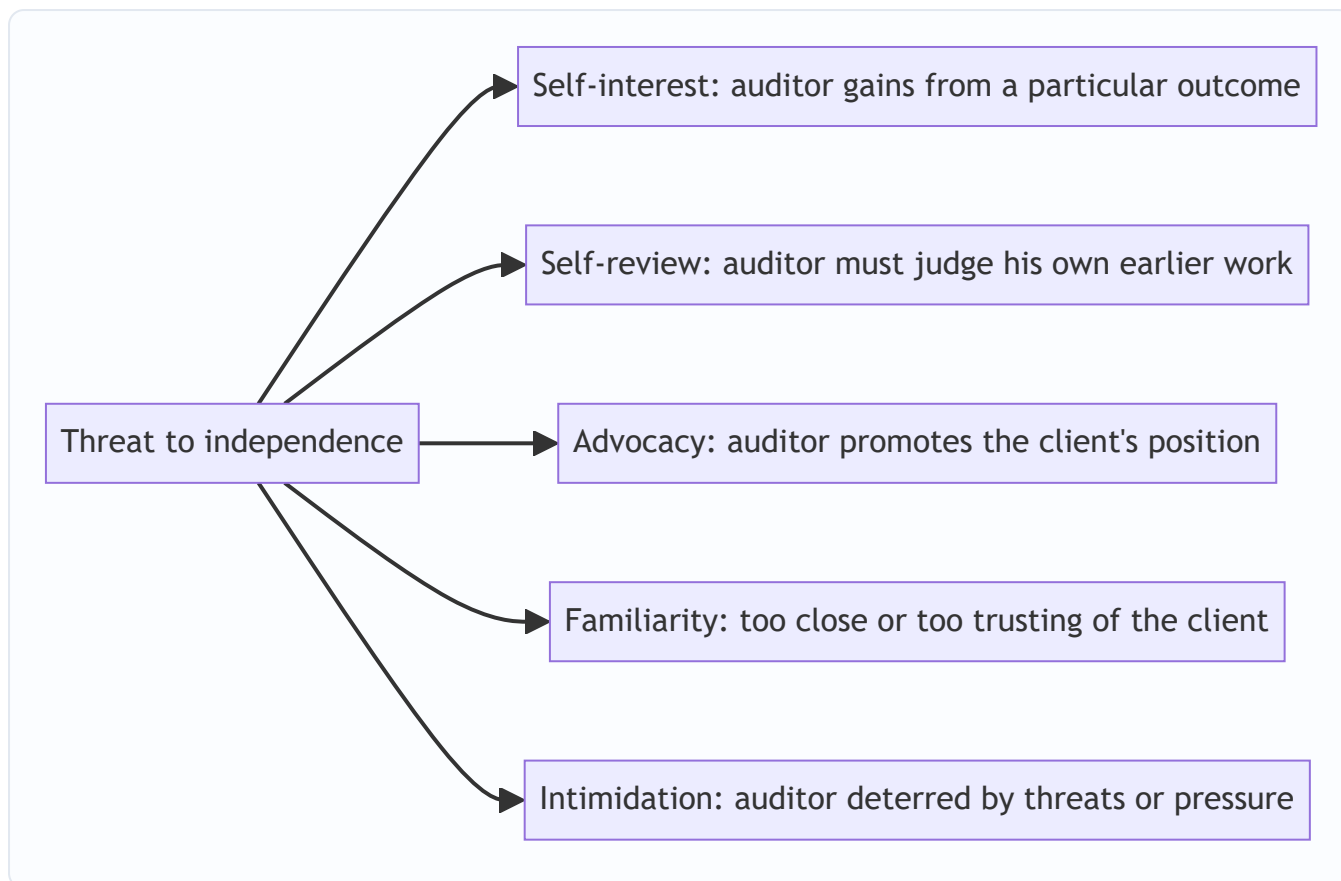


Figure 11.2 — Five threat families, grouped by the mechanism through which each corrupts judgement.

(1) Self-interest threat — "I gain if the numbers look a certain way." *Mechanism:* a financial or other interest of the auditor (or a close family member) aligns his personal benefit with a particular audit outcome, so the incentive to find and report problems is dulled. *Examples:* holding shares in the audit client; a loan to/from the client; **fee dependence** — a single client contributing an undue proportion of the firm's total fees; a contingent fee; a close business relationship with the client; the auditor being offered employment by the client.

(2) Self-review threat — "I'd be marking my own homework." *Mechanism:* the auditor is asked to evaluate, as part of the audit, results of a service *he himself* previously performed. People are psychologically incapable of neutrally auditing their own work — admitting an error means admitting *personal* fault. *Examples:* the firm prepared the client's accounts/financial statements and now audits them; provided bookkeeping, valuation, actuarial, or the design of the internal financial-control system, then audits those very outputs; a former firm member now a director whose decisions the audit must assess.

(3) Advocacy threat — "I've publicly taken the client's side." *Mechanism:* the auditor promotes or champions the client's position to the point where his objectivity as a neutral verifier is compromised — a promoter cannot also be a neutral referee. *Examples:* representing the client in litigation or a tax dispute *against a third party or authority*; promoting/underwriting the client's shares; acting as an advocate for the client in a legal matter material to the financials.

(4) Familiarity threat — "I'm too close to them to be sceptical." *Mechanism:* a long or close relationship makes the auditor overly sympathetic, overly trusting, or emotionally invested, dulling the professional scepticism the audit depends on. *Examples:* a close family member of the audit team in a key position at the client; a long association of senior personnel with the same client (why **partner rotation** exists); a former

partner now in a key management role at the client; accepting significant gifts or hospitality (unless trivial and inconsequential).

(5) Intimidation threat — "I'm afraid of what happens if I don't comply." *Mechanism:* actual or perceived pressures deter the auditor from acting objectively — fear overrides judgement. *Examples:* threat of dismissal or non-reappointment over a disagreement on accounting treatment; threat of litigation; pressure to reduce work inappropriately to cut fees; a dominant, aggressive client personality.

A single set of facts can trigger **more than one** threat. Preparing the client's accounts *and* depending heavily on its fees is *both* self-review *and* self-interest. Examiners love this — always scan all five.

4.5 Safeguards — reducing threats to an acceptable level

A safeguard is an action that eliminates a threat or reduces it to an **acceptable level** (the level at which a reasonable and informed third party would conclude compliance with the fundamental principles is not compromised). The Code groups safeguards into two broad sources:

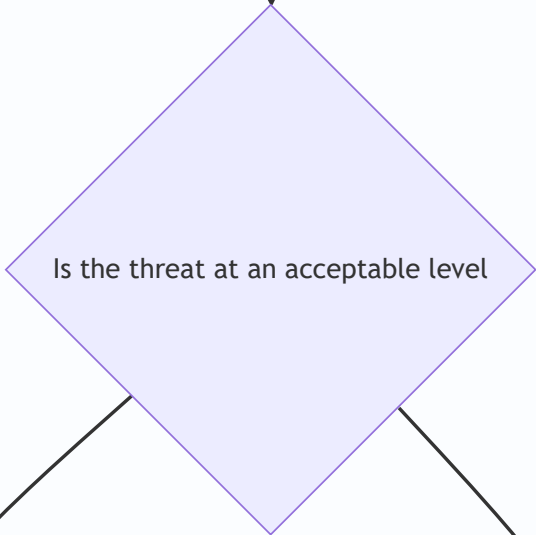
A. Safeguards created by the profession, legislation, or regulation — educational/training/experience entry requirements; CPE requirements; professional standards; monitoring and disciplinary procedures; external review of reports by a legally empowered third party.

B. Safeguards within the firm's own systems and environment — firm-wide (e.g., leadership stressing independence, quality-control policies per **SQC 1**, documented independence policies, rotation of senior personnel, disciplinary mechanisms) and engagement-specific (e.g., an **engagement quality control reviewer (EQCR)** who was not on the team, rotating the engagement partner, using different partners/teams for non-assurance services, consulting a third party such as ICAI).

The evaluation logic is a loop, and it is examinable as a procedure:

Identify a threat to a fundamental principle or independence

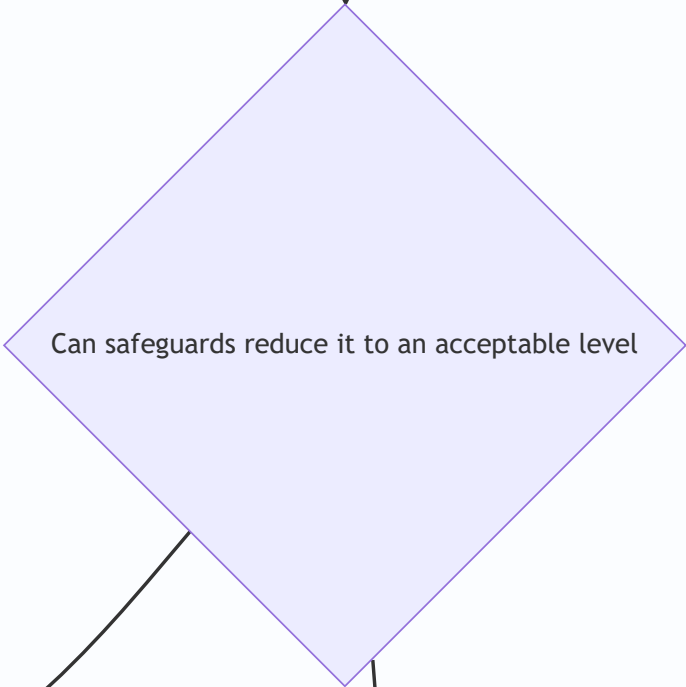
Evaluate its significance



Yes

No

Apply safeguards to eliminate or reduce it



Yes

No

Proceed and document the evaluation

Decline or discontinue the engagement or relationship

Figure 11.3 — The conceptual framework in action: no engagement proceeds while an unacceptable threat lacks an effective safeguard.

The critical takeaway: **if no safeguard can bring the threat to an acceptable level, the only ethical response is to refuse or resign.** There is no "manage it and hope" option.

4.6 The Legal Backstop — Companies Act, 2013 (where safeguards aren't trusted)

For the most dangerous conflicts, Parliament did not leave it to professional judgement — it *legislated prohibitions*. These convert an ethical threat into a legal disqualification. Understand each as a *frozen* threat-and-safeguard decision: the legislature decided the threat is so severe that outright prohibition is the only adequate safeguard.

Section 141 — Eligibility, Qualifications and Disqualifications of Auditor. A person is **not eligible** for appointment as auditor if, among others: - a **body corporate** (except an LLP) — accountability must rest on identifiable professionals; - an **officer or employee** of the company — self-review/familiarity in the extreme; - a partner/employee of an officer or employee of the company; - a person (or his partner/relative) holding **any security or interest** in the company (relatives may hold face value up to the prescribed limit — *confirm current threshold, historically ₹1,00,000*) — a naked **self-interest** threat; - a person indebted to the company beyond the prescribed amount, or who has given a guarantee for a third party's indebtedness beyond the prescribed limit — **self-interest/intimidation**; - a person with a **business relationship** with the company (beyond prescribed exceptions) — self-interest; - a person whose **relative is a director** or in key managerial personnel — **familiarity**; - a person in **full-time employment elsewhere**, or holding audits of **more than 20 companies** (ceiling limit) — competence/due-care; - a person convicted of fraud in the last 10 years — professional behaviour/integrity; - a person who **directly or indirectly renders prohibited services under s. 144**.

Section 144 — Auditor not to render certain services. The auditor (and its network) must **not** provide to the audit client (or its holding/subsidiary) these services, precisely because each creates a self-review or advocacy or self-interest threat too severe to safeguard: accounting and book-keeping; internal audit; design and implementation of any **financial information system**; actuarial services; investment advisory; investment banking; rendering of outsourced financial services; management services; and any other prescribed service. *Map each to its threat*: bookkeeping/internal audit/financial-system design = **self-review**; investment banking/advisory = **advocacy/self-interest**. This is the Companies Act codifying the self-review and advocacy threats.

Section 139(2) — Rotation of auditors (listed companies and prescribed classes). An individual auditor may serve **one term of five consecutive years**; an audit firm **two terms of five consecutive years (max 10)**, followed by a **five-year cooling-off** period during which neither the firm (nor a firm with common partners under the same network) may be reappointed. *Why*: this is the legislative response to the **familiarity threat** — no relationship, however professional, is allowed to run indefinitely.

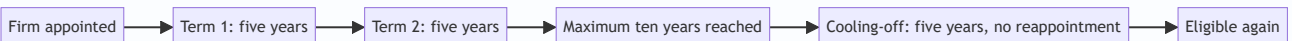


Figure 11.4 — Section 139(2) firm rotation: the familiarity threat, capped and cooled by statute.

Sections 139–148 are covered in depth in the "Company Audit" chapter; here they appear as the *legal embodiment* of the ethics framework. Cross-refer, don't duplicate.

4.7 Fees — a threat hiding in plain sight

Fees deserve their own note because they touch three threats at once. - **Fee dependence / undue proportion:** if one client generates too large a share of total firm income, the fear of losing it (intimidation) and the desire to keep it (self-interest) both bite. Safeguard: monitor the proportion, use an external quality review, reduce dependence. - **Contingent fees** (fees dependent on the outcome or on a result — e.g., "a percentage of the tax you save") are **prohibited for assurance engagements** — they align the fee directly with a particular outcome, a self-interest threat by construction. - **Overdue fees** from the prior year functioning like a loan to the client — a self-interest threat; assess before accepting reappointment.

4.8 The disciplinary consequence

Breach of the Code is not merely frowned upon — under the **Chartered Accountants Act, 1949**, conduct falling within the **First and Second Schedules** constitutes "**professional misconduct**," triable by the ICAI's disciplinary mechanism (Board of Discipline / Disciplinary Committee), with penalties up to **removal of name from the Register** and monetary fines. This legal enforceability is *what makes the ethics believable* — it is the ultimate safeguard standing behind every principle.

5. Applied Scenarios

Scenario 1 — The convenient bookkeeping. *Facts:* CA Meera's firm has audited Zephyr Pvt Ltd for years. To help the small client, her firm also maintains Zephyr's books and prepares its draft financial statements, then audits them. The director says, "You know the numbers best — just sign off." *Analysis:* Two threats. Preparing and then auditing the same financial statements is a textbook **self-review threat** — Meera cannot neutrally evaluate work her own firm produced. Under **s. 144**, providing **accounting and book-keeping services** to an audit client is *prohibited outright* if Zephyr falls within the Act's audit framework — there is *no* safeguard that rescues it. *Conclusion:* the firm must cease providing the bookkeeping service or resign as auditor; it cannot do both. If Zephyr were a client to which s.144 did not apply, the self-review threat would still require robust safeguards (separate personnel, independent review) and may still be untenable.

Scenario 2 — The valuable client. *Facts:* A single listed client, Orion Ltd, contributes 42% of CA Rahul's firm's total fee income. During the audit Rahul finds an aggressive revenue-recognition treatment he believes is wrong. The CFO says, "Push back on this and we'll reconsider the appointment next year." *Analysis:* Three threats stacking. The 42% dependence is a **self-interest threat** (Rahul's firm needs the money) and a **familiarity/self-interest** dependence problem; the CFO's explicit warning is an **intimidation threat**. *Safeguards:* because the threats are severe, professional-level safeguards are needed — an **engagement quality control review** by an independent partner, consultation with ICAI, and reducing dependence on the single client over time. Critically, on the accounting disagreement itself, integrity and objectivity *override* the fee: if the treatment is materially wrong and uncorrected, Rahul must **modify the opinion** (SA 705) regardless of the threat to reappointment. If no safeguard can protect his objectivity, resignation is the ethical floor.

Scenario 3 — The family connection. *Facts:* CA Anjali is offered the statutory audit of Bluewave Ltd. Her brother is the company's Finance Director (a KMP). She reasons, "I'm completely professional; my judgement won't be affected." *Analysis:* This is where the *appearance* test bites. Even accepting Anjali's genuine objectivity (independence of mind), a **reasonable and informed third party** would doubt an audit where the auditor's brother runs the finances — **independence in appearance** is destroyed. Moreover, under **s. 141**, a person whose **relative is a director or KMP** of the company is *disqualified* from appointment — the legislature froze this familiarity threat into a legal bar. *Conclusion:* Anjali is **ineligible**; she must decline. Her personal confidence is irrelevant, because the user cannot see inside her mind — which is the whole reason appearance matters.

Scenario 4 — The confidential tip. *Facts:* During Falcon Ltd's audit, CA Vikram learns of an unannounced merger that will lift Falcon's share price. His cousin asks him for "any good stock tips." *Analysis:* **Confidentiality** prohibits both *disclosing* the information *and using it for personal (or another's) advantage* — even a hint to the cousin, and certainly any trading, breaches the principle (and securities law). No safeguard makes this acceptable; the duty persists even after the engagement ends. *Conclusion:* Vikram must say nothing and use nothing. Silence is the only compliant response.

6. Procedure & Documentation Summary

The examinable *process* for handling any ethics/independence question — reproduce this as your answer skeleton:

1. **Identify** — scan the facts against the five fundamental principles and the five threat categories. Name the threat(s) precisely; note if several apply.
2. **Evaluate significance** — quantitative (e.g., % of fees, size of shareholding) and qualitative (seniority of the person, materiality to the FS). Apply the **reasonable and informed third party** test for appearance.
3. **Check for an outright legal bar first** — is this disqualified under **s. 141**, or a prohibited service under **s. 144**, or a rotation breach under **s. 139(2)**? If so, safeguards are irrelevant — decline/resign.
4. **Apply safeguards** — profession-created and firm/engagement-level (EQCR, partner rotation, separate teams, independent review, ICAI consultation).
5. **Re-assess** — is the residual threat now at an acceptable level? If not, **decline or discontinue**.
6. **Document** — record the threat identified, its evaluation, the safeguards applied, and the conclusion (SQC 1 / SA 220 require this; independence conclusions must be documented). Obtain **written independence confirmations** from engagement team members.

Requirement	Standard/Source	The "why"
Comply with relevant ethical requirements incl. independence	SA 200	Precondition of any credible audit
Firm-level independence policies & monitoring	SQC 1	Makes the firm accountable, not just the individual
Engagement partner to form conclusion on independence	SA 220	Front-line responsibility on each audit
Document threats, safeguards, conclusions	SQC 1 / SA 220	Evidence the framework was actually applied
Written independence confirmation from team	SA 220 / firm policy	Converts a principle into an auditable act

7. Connections

- **To SA 200 (Chapter on basic concepts):** SA 200 lists ethics + independence as *preconditions* of an audit conducted per SAs. This chapter is the content of that precondition.
- **To SA 705/706 (opinions):** Scenarios 2 shows the link — ethical courage is what makes an auditor *actually* modify an opinion when the client resists. Ethics without the willingness to qualify is decoration.
- **To Company Audit (ss. 139–148):** ss. 141, 144, 139(2) are the *legal skeleton* of the ethics framework; study them there in procedural detail, here for their *rationale*.
- **To Quality Control (SQC 1 / SA 220):** safeguards live inside the firm's quality-control system; ethics is operationalised through QC.
- **To Professional Scepticism (SA 200/SA 240):** the *familiarity* threat is precisely the erosion of scepticism; independence protects the sceptical mindset fraud detection needs.
- **To the CA Act, 1949 (Schedules I & II):** the disciplinary enforcement that gives the whole Code its bite.

8. Traps & Examiner Tricks

- **"He's honest, so it's fine."** No — *appearance* is an independent requirement. If a reasonable third party would doubt it, independence fails *regardless* of actual integrity. Scenario 3 is built on this.
- **Confusing objectivity with independence.** Objectivity is a fundamental *principle* (state of mind, applies to all services); **independence** is a *separate additional* requirement specifically for **assurance** engagements. Don't call independence a "fundamental principle."
- **Only spotting one threat.** Fee-dependence + client pressure = self-interest **and** intimidation. Bookkeeping-then-audit = self-review, often + self-interest. Always scan all five.
- **Assuming safeguards can fix anything.** Some situations (s.141 disqualifications, s.144 prohibited services, contingent fees for assurance) admit **no** safeguard — the answer is *decline/resign*, not "apply safeguards."
- **Confidentiality = only 'don't disclose'.** It *also* forbids **using** the information (insider trading), continues **after** the engagement, and has recognised **exceptions** (required by law, professional duty/right). Examiners test the exceptions.

- **Forgetting the enforcement.** Breach isn't abstract — it's **professional misconduct** under the CA Act Schedules, punishable up to removal from the Register. Stating this earns marks.
- **Mislabelling advocacy vs self-review.** Representing the client *against a third party/tax authority* = **advocacy**. Auditing your *own prior work* = **self-review**. Keep the mechanism straight.
- **Relative shareholding.** Relatives *may* hold securities up to a prescribed face-value limit (*confirm current figure in ICAI material*); it is not an absolute zero. But a *relative as director/KMP* is a flat disqualification.

9. First-Principles Recap

Rebuild the whole chapter from the opening problem:

1. An audit opinion is a **paid** opinion, relied on by **outsiders who cannot verify it**. Why believe it?
2. Because two things are guaranteed: the author is **independent of the outcome**, and he is bound by **enforceable principles** stronger than his self-interest.
3. Independence must hold **in fact** (real objectivity) *and in appearance* (because users judge only what they can see — a "reasonable and informed third party").
4. Objectivity is protected by naming the **five ways judgement gets corrupted** — self-interest, self-review, advocacy, familiarity, intimidation — so any new situation can be classified by *mechanism*.
5. Each threat is met with **safeguards**; if safeguards can't reduce it to an acceptable level, you **decline or resign**. No middle path.
6. The most dangerous threats aren't left to judgement — the **Companies Act (ss. 141, 144, 139(2))** bans them outright.
7. The five **fundamental principles** — integrity, objectivity, competence & due care, confidentiality, professional behaviour — each close a distinct gap in user trust.
8. The whole system is credible only because breach = **professional misconduct** under the CA Act, enforceable up to removal from the Register.

If you can narrate those eight steps, you can derive every specific rule rather than recall it.

10. Quick-Revision Sheet

Why ethics is foundational: an opinion is worthless unless its author is independent (in fact + appearance) and principled; assurance is a *credibility* product sold to users who cannot verify.

Five Fundamental Principles (I-O-C-C-P): | Principle | One-line duty | Risk it counters | |---|---|---| |

Integrity | Straightforward & honest | Association with false/misleading info | | **Objectivity** | No bias / conflict / undue influence | Opinion becomes management's in disguise | | **Professional Competence & Due Care** | Attain + maintain skill; act diligently | Wrong opinion from ignorance/carelessness | | **Confidentiality** | Don't disclose *or* use client info | Clients would conceal data | | **Professional Behaviour** | Comply with law; no discredit | Debases the "CA" brand |

Independence (assurance only): *of mind* (real) + *in appearance* (reasonable & informed third party test).
Not a fundamental principle — a separate requirement.

Five Threats (mechanism): | Threat | Mechanism | Classic example | |---|---|---| | **Self-interest** | Auditor gains from an outcome | Shares/loan in client; fee dependence; contingent fee | | **Self-review** | Judging own prior

work | Firm keeps books then audits them | | **Advocacy** | Promoting client's position | Representing client vs tax authority | | **Familiarity** | Too close/trusting | Relative as KMP; long tenure | | **Intimidation** | Deterred by pressure | Threat of non-reappointment |

Safeguards: (A) profession/legislation/regulation — CPE, standards, discipline, external review; (B) firm/engagement — SQC 1 policies, EQCR, partner rotation, separate teams, ICAI consultation. **If none suffices → decline/resign.**

Legal backstop: - **s. 141** — disqualifications (officer/employee, security/interest holder, relative-director, indebtedness, >20 audits, body corporate...). - **s. 144** — prohibited services (accounting/bookkeeping, internal audit, financial-system design, actuarial, investment advisory/banking, management services...). - **s. 139(2)** — rotation: individual 1×5 yrs; firm 2×5 (max 10) + 5-yr cooling-off.

Fees: contingent fees banned for assurance; monitor fee dependence; watch overdue fees (loan-like).

Enforcement: breach = **professional misconduct** under CA Act, 1949 (Schedules I & II) → up to removal from Register.

Answer skeleton: Identify threat(s) → evaluate significance (+ third-party test) → check legal bar (ss.141/144/139) → apply safeguards → re-assess → decline if unacceptable → document.

Verify all monetary thresholds, prescribed limits, and current Code paragraph numbers against the latest ICAI Code of Ethics and Companies (Audit and Auditors) Rules before the exam.

Q&A — Professional Ethics & Independence

CA Intermediate • Auditing & Ethics • Chapter: Professional Ethics & Independence Governing instruments: **ICAI Code of Ethics, Chartered Accountants Act, 1949** (First & Second Schedules), **Companies Act, 2013 (ss. 139, 141, 144), SA 200, SA 220, SQC 1, SA 705/706.**

Section A — Concept-Check Questions (with answers)

A1. State the five fundamental principles of professional ethics under the ICAI Code of Ethics.

Answer: (i) **Integrity** — straightforward and honest in all professional and business relationships; (ii) **Objectivity** — do not allow bias, conflict of interest or undue influence to override professional judgment; (iii) **Professional Competence and Due Care** — maintain knowledge/skill at the required level and act diligently per technical and professional standards; (iv) **Confidentiality** — do not disclose or use client information without authority or legal duty; (v) **Professional Behaviour** — comply with laws/regulations and avoid conduct discrediting the profession. (ICAI Code of Ethics; echoed in **SA 200 para 14.**)

A2. Distinguish "independence of mind" from "independence in appearance".

Answer: **Independence of mind** (independence *in fact*) is the state of mind that permits the auditor to express a conclusion without being affected by influences that compromise professional judgment — allowing the auditor to act with integrity, objectivity and professional scepticism. **Independence in appearance** is the avoidance of facts and circumstances so significant that a reasonable and informed third party would conclude the auditor's integrity, objectivity or scepticism had been compromised. Both are required — appearance matters because the audit opinion is a *paid opinion relied on by outsiders who cannot verify it themselves*; a lost appearance of independence destroys the credibility (and hence the value) of the opinion even if the auditor was in fact unbiased. (**SA 200**; ICAI Code of Ethics.)

A3. Name the five threats to independence and give the one-word mechanism of each.

Answer: (i) **Self-interest** — financial/other interest (e.g., loan, shareholding, fee dependence) pulls judgment; (ii) **Self-review** — auditor evaluates own prior work/output (e.g., books he wrote); (iii) **Advocacy** — auditor promotes client's position, compromising objectivity; (iv) **Familiarity** — long/close relationship makes auditor too sympathetic; (v) **Intimidation** — actual or perceived pressure/threat (dismissal, litigation) deters objective action. (ICAI Code of Ethics.)

A4. What are the two broad categories of safeguards?

Answer: (i) **Safeguards created by the profession, legislation or regulation** — e.g., educational/CPE requirements, professional standards, disciplinary machinery of ICAI, statutory prohibitions (Companies Act ss. 141/144), rotation (s. 139(2)); (ii) **Safeguards in the work environment (firm-wide and engagement-specific)** — e.g., quality control policies under **SQC 1**, engagement quality control review, rotation of engagement partner, using a second partner to review, and consultation. When no safeguard can reduce a threat to an acceptable level, the auditor must **decline or resign** from the engagement. (ICAI Code of Ethics; **SQC 1**; **SA 220.**)

A5. Which section of the Companies Act, 2013 lists disqualifications of an auditor, and give three examples?

Answer: **Section 141** of the Companies Act, 2013 lists eligibility, qualifications and disqualifications.

Examples: (a) a body corporate other than an LLP; (b) an officer or employee of the company; (c) a person holding **any security or interest** in the company, its subsidiary, holding or associate company (relative may hold security up to face value of ₹1,00,000); (d) a person indebted to the company for more than ₹5,00,000, or who has given a guarantee for more than ₹1,00,000; (e) a person in full-time employment elsewhere or who is auditor of more than **twenty companies**. (s. 141(3).)

A6. What does Section 144 of the Companies Act, 2013 deal with?

Answer: **Section 144** prohibits the statutory auditor from rendering certain **non-audit / prohibited services** directly or indirectly to the company, its holding or subsidiary company — including accounting and book-keeping, internal audit, design/implementation of financial information systems, actuarial services, investment advisory, investment banking, rendering of outsourced financial services, and management services. The purpose is to eliminate **self-review and self-interest** threats. (s. 144.)

A7. State the rotation requirement in Section 139(2).

Answer: For prescribed classes of companies (listed and certain other companies per Rule 5), an **individual auditor** shall not be appointed for more than **one term of five consecutive years**, and an **audit firm** for more than **two terms of five consecutive years**, with a **five-year cooling-off** before re-appointment. This is a legislative safeguard against the **familiarity** and **self-interest** threats. (s. 139(2).)

Section B — Applied Scenario Questions (situation → response → reasoning)

B1. Book-keeping done by the auditor. *Situation:* CA P is the statutory auditor of XYZ Ltd. Management requests P's firm to also maintain the company's books of account and prepare the financial statements that P will later audit.

Response & reasoning: P must **decline** the book-keeping engagement. Auditing the financial statements he himself prepared creates a **self-review threat** of an unacceptable level, and for a company it is **prohibited by Section 144** of the Companies Act, 2013 (accounting and book-keeping services to an audit client). No safeguard can reduce this to an acceptable level while P remains statutory auditor. (s. 144; ICAI Code — self-review.)

B2. Fee dependence and intimidation. *Situation:* A single client contributes about 45% of a small firm's total fees. The client hints that unless the auditor accepts a favourable treatment of a doubtful debt, it will change auditors.

Response & reasoning: Two threats operate — **self-interest** (undue economic dependence on one client) and **intimidation** (threat of dismissal). The auditor must **not yield**; professional judgment cannot be traded for fee retention (**Objectivity, Integrity**). Safeguards: reduce dependence, obtain an engagement quality control review by another partner, consult ICAI, and disclose. If the correct accounting is not accepted, the auditor must **modify the opinion** (qualified/adverse per **SA 705**) and, if independence cannot be maintained, **resign**. ICAI guidance flags excessive fee dependence (broadly, gross fees exceeding 40% from one client for firms other than very small ones) as a caution point. (ICAI Code; **SA 705**.)

B3. Relative as KMP — appearance. *Situation:* CA Q is offered the statutory audit of ABC Ltd where his spouse is the Chief Financial Officer.

Response & reasoning: Q must **not accept**. A relative (spouse) being a KMP creates a **familiarity** and **self-interest** threat and destroys **independence in appearance** — a reasonable third party would doubt

objectivity. It also attracts disqualification concerns under **s. 141(3)** (relationship/interest). Decline the engagement; no engagement-level safeguard is adequate. (ICAI Code; **s. 141**.)

B4. Confidentiality and insider information. *Situation:* During the audit of a listed company, CA R learns of an unpublished proposed merger. R's friend asks about the company's prospects, and R is tempted to buy the company's shares.

Response & reasoning: R must **not disclose** the information and must **not trade** on it. **Confidentiality** prohibits using client information for personal advantage; trading on unpublished price-sensitive information also breaches **Professional Behaviour** and SEBI insider-trading law. Client information may be disclosed only with authority or where there is a legal/professional duty (e.g., under law, or to defend in disciplinary proceedings). (ICAI Code — confidentiality; **s. 141/Professional Behaviour**.)

B5. Contingent fee. *Situation:* A client offers to pay the audit fee as a percentage of the profit disclosed in the audited accounts.

Response & reasoning: The auditor must **refuse**. Charging fees based on a percentage of profits/results is prohibited (creates a **self-interest** threat and offends the **Second Schedule / Regulation 192**). Fees must be a fixed professional charge, not contingent on outcomes (except statutorily permitted contingent arrangements). (ICAI Code; CA Act — professional misconduct.)

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "Independence is the backbone of auditing." Explain independence of mind and appearance, and why appearance is essential. (5 marks)

Model answer: The value of an audit is that an **outsider who cannot verify the accounts himself relies on the auditor's opinion**. For that reliance to be justified, the auditor must be independent both in fact and in appearance. - **Independence of mind** allows the auditor to form a conclusion free from bias, conflict of interest, or undue influence — enabling integrity, objectivity and professional scepticism (**SA 200 para 15** requires scepticism). - **Independence in appearance** requires avoiding circumstances so significant that a **reasonable and informed third party** would conclude independence was compromised. Appearance is essential because credibility, not merely correctness, is what users buy: a well-founded suspicion of bias is enough to destroy the opinion's usefulness. Hence the Companies Act reinforces appearance through **s. 141** (disqualifications), **s. 144** (prohibited services) and **s. 139(2)** (rotation).

C2. Explain the five threats to independence with the mechanism of each and one safeguard. (6 marks)

Model answer: | Threat | Mechanism (why judgment bends) | Illustration | Safeguard | |---|---|---|---| | Self-interest | Financial/other interest aligns auditor with client | Shareholding, loan, fee dependence | Divest interest; s.141 prohibitions; rotation | | Self-review | Auditor judges his own earlier work/output | Auditing books he prepared | s.144 prohibition; separate teams | | Advocacy | Auditor promotes client's position | Representing client in a dispute | Decline advocacy role | | Familiarity | Long/close relationship breeds sympathy | Relative as KMP; long tenure | Rotation s.139(2); EQCR | | Intimidation | Pressure/threat deters objectivity | Threat of dismissal or litigation | Consultation; document; resign if needed |

Where no safeguard reduces the threat to an acceptable level, the auditor must **decline or resign**. (ICAI Code of Ethics.)

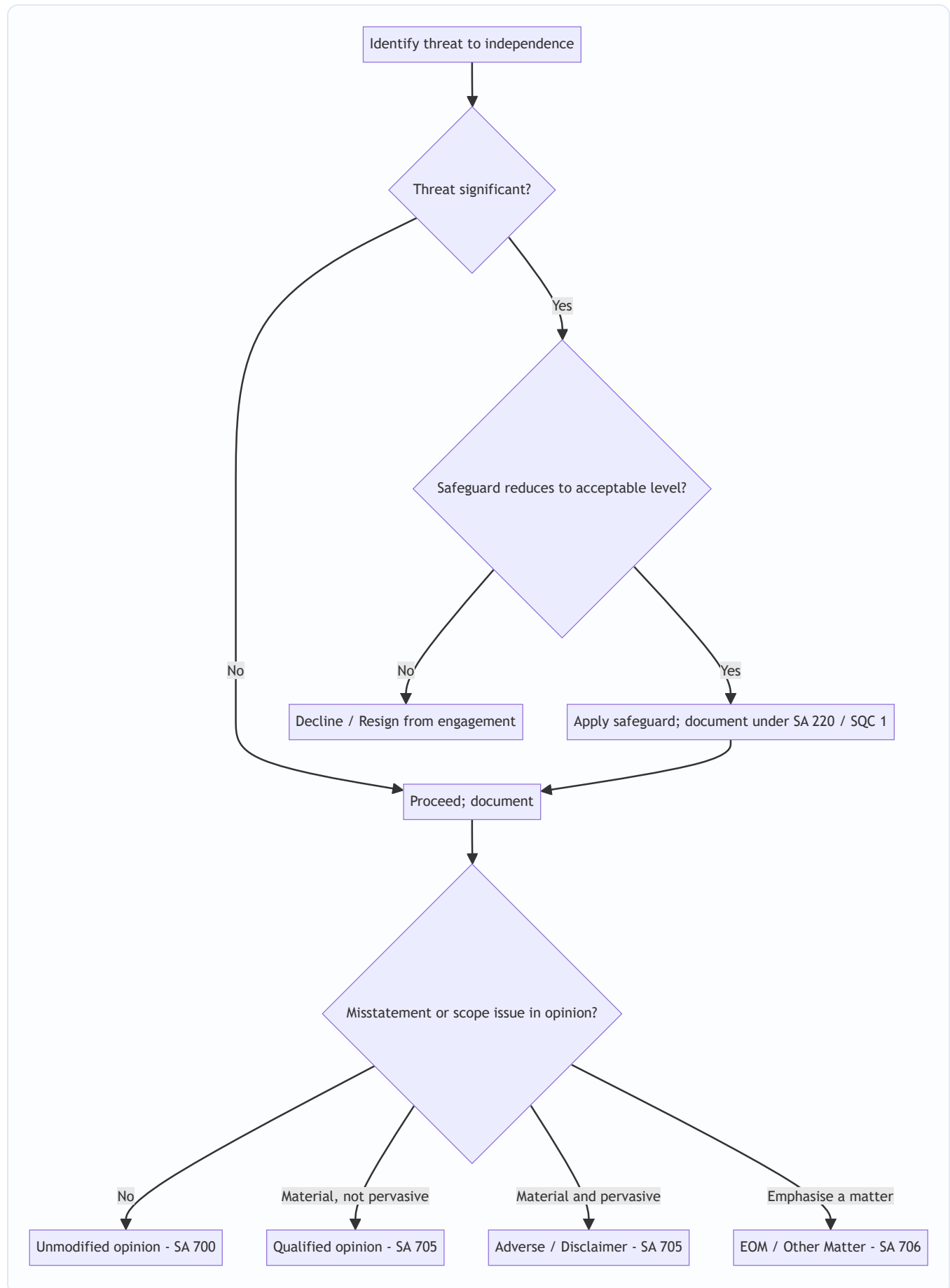
C3. Discuss the safeguards available to counter threats to independence. (5 marks)

Model answer: Safeguards fall into two classes. 1. **Created by profession/legislation/regulation:** entry and CPE education requirements; professional standards (SAs, SQC 1); **ICAI disciplinary mechanism** under the CA Act, 1949; external review; statutory prohibitions — **s. 141** (disqualifications), **s. 144** (prohibited non-audit services), **s. 139(2)** (mandatory rotation and cooling-off). 2. **In the work environment (firm/engagement level):** firm-wide quality-control policies under **SQC 1**; leadership emphasising ethics; **engagement quality control review (EQCR)**; rotating the engagement partner; consulting a second partner or ICAI; documentation of judgments (**SA 220**). The **decline/resign rule** is the ultimate safeguard: if identified threats cannot be eliminated or reduced to an acceptable level by any safeguard, the auditor should not accept or should withdraw from the engagement.

C4. Write short notes on confidentiality and its exceptions. (4 marks)

Model answer: **Confidentiality** requires that a member not disclose information acquired in a professional relationship without proper and specific authority, nor use it for personal advantage or the advantage of third parties. It continues even after the client relationship ends. **Permitted disclosure** arises where: (a) disclosure is **permitted by law and authorised** by the client; (b) disclosure is **required by law** (e.g., production of documents in legal proceedings, disclosure to a regulator); or (c) there is a **professional right or duty** to disclose (e.g., to comply with a peer/quality review, or to defend oneself in ICAI disciplinary proceedings). Unauthorised disclosure is professional misconduct under the CA Act, 1949.

Opinion / Independence Decision Tree



Section D — MCQs & Case Scenarios

- D1.** Which section prohibits the statutory auditor from rendering internal audit services to the auditee? - (a) s. 139 (b) s. 141 (c) **s. 144** (d) s. 143 *Answer: (c) s. 144* — it lists prohibited non-audit services, including internal audit.
- D2.** An auditor auditing financial statements his own firm prepared faces primarily a: - (a) advocacy threat (b) **self-review threat** (c) intimidation threat (d) familiarity threat *Answer: (b)* — evaluating one's own prior output is self-review.
- D3.** Under s. 139(2), an audit firm can hold office for a maximum of: - (a) one term of 5 years (b) **two terms of 5 years** (c) three terms of 5 years (d) 10 years without break *Answer: (b)* — two consecutive five-year terms, then five-year cooling-off.
- D4.** A relative of the auditor may hold securities in the auditee company up to a face value of: - (a) ₹1,00,000 (b) ₹5,00,000 (c) **₹1,00,000 (face value)** (d) any amount *Answer: (c)* — s. 141(3)(d) permits a relative to hold security up to face value of ₹1,00,000.
- D5.** Which is NOT one of the five fundamental principles? - (a) Integrity (b) Objectivity (c) **Independence** (d) Confidentiality *Answer: (c)* — Independence is a concept underpinned by the principles (esp. objectivity), not itself one of the five fundamental principles.
- D6. Case scenario.** CA S is statutory auditor of DEF Ltd (fee ₹2 lakh). DEF also asks S to design its financial information system (fee ₹15 lakh) and, separately, S's brother is a director. Which is correct? - (a) S may accept the IT design work as it is unrelated to audit - (b) **S must refuse the IT-system design (prohibited under s. 144) and address the familiarity/appearance threat from the brother-director** - (c) The fee ratio makes the audit itself illegal - (d) S may accept everything with a disclosure note *Answer: (b)* — designing/implementing financial information systems is a **prohibited service under s. 144** (self-review), and a brother as director creates a **familiarity threat** damaging independence in appearance.
- D7.** If a threat cannot be reduced to an acceptable level by any safeguard, the auditor should: - (a) accept with a lower fee (b) **decline or resign from the engagement** (c) issue a disclaimer and continue (d) ignore appearance and rely on independence in fact *Answer: (b)* — the decline/resign rule is the final safeguard.
- D8.** Professional scepticism is expressly required by: - (a) SA 230 (b) **SA 200** (c) s. 144 (d) SQC 2 *Answer: (b)* — SA 200 requires the auditor to plan and perform the audit with professional scepticism.
-

Quick-Revision Sheet

- **5 Principles:** Integrity · Objectivity · Competence & Due Care · Confidentiality · Professional Behaviour.
- **5 Threats:** Self-interest · Self-review · Advocacy · Familiarity · Intimidation.
- **2 Safeguard classes:** profession/legislation/regulation; work-environment (firm/engagement). **Final safeguard = decline/resign.**
- **Legal backstops (Companies Act, 2013):** s. 141 disqualifications · s. 144 prohibited services · s. 139(2) rotation & cooling-off.
- **Standards link:** SA 200 (scepticism, ethics, independence) · SA 220 & SQC 1 (quality control, EQCR) · SA 705/706 (opinion modifications) · CA Act, 1949 (misconduct & discipline).
- **Answer skeleton:** *Identify threat(s) → assess significance → apply/consider safeguard → if none adequate, decline/resign; if misstatement persists, modify opinion under SA 705.*

Chapter 12 — Audit of Different Entities (Overview)

1. The Problem

Imagine you are handed a single, universal checklist and told: "Use this to audit anything." On Monday you walk into a nationalised bank whose entire balance sheet is *other people's money* lent out to strangers you cannot see. On Tuesday you audit a life-insurance company whose largest liability — the money it owes policyholders decades from now — does not even appear on any invoice; it must be *estimated by a mathematician*. On Wednesday you audit a rural cooperative credit society governed not by the Companies Act at all but by a State law, whose auditor is sometimes appointed by a government Registrar. On Thursday, a charitable NGO that pays no tax *only if* it spends its money the way it promised. On Friday, a two-person partnership firm with no statutory audit requirement whatsoever, that just wants the accounts checked so the partners stop suspecting each other.

Your universal checklist is now useless. Not because auditing principles changed — they did not. **The risks changed. The laws changed. The very purpose of the audit changed.** A bank's central risk is that its loans are worth less than the books claim (credit risk hiding behind "assets"). An insurer's central risk is that its promised future payouts are under-provided (a valuation and actuarial risk). A government body's central concern is not just whether numbers are *true* but whether public money was spent *wisely and with authority* (propriety). A partnership firm may have no legal obligation to be audited at all — so the audit's scope is defined by a private contract, not a statute.

The problem this chapter solves: **one auditing framework, radically different entities.** If you memorise "the audit of a bank" as a list of steps, you will drown — the syllabus spans banks, insurers, NBFCs, government, cooperatives, NGOs, LLPs, sole proprietors and partnership firms. But if you understand *why* each entity's risk profile forces a specific adaptation, you can reconstruct the special considerations for any of them from first principles. That is the promise of this chapter.

2. The Core Idea

The auditor's job never changes: obtain reasonable assurance that the financial statements are free from material misstatement, and report. What changes across entities is the *shape of the risk* — where misstatement is most likely to hide, how large it could be, and what "true and fair" even means for that entity.

The Adaptation Principle: The audit approach is a function of three variables — (1) the entity's dominant business risk (what could go catastrophically wrong with *this* kind of organisation), (2) the governing legal framework (which statute defines the auditor's appointment, powers and reporting duties), and (3) the objective of the audit (truth-and-fairness alone, or also legality, propriety and efficiency).

Everything in this chapter is a working-out of that single equation. When you meet a bank, ask: *what is the dominant risk?* Answer: credit risk — loans that will not be repaid, dressed up as good assets. So the audit *concentrates its firepower on advances and their classification/provisioning*. When you meet an insurer, ask the same question: the dominant risk is under-reserving for future claims, so the audit concentrates on *the actuarial valuation of liabilities*. Same principle, different pressure point.

The legal framework is the second lever. A company auditor draws powers from the Companies Act 2013 (Sections 139–148, covered fully in Chapter 8). But a bank auditor *also* answers to the Banking Regulation Act 1949 and the RBI; an insurance auditor to the Insurance Act 1938 and the IRDAI; a government auditor to the Comptroller and Auditor General (C&AG) under Article 149 of the Constitution and the C&AG's (DPC) Act 1971; a cooperative auditor to a *State Cooperative Societies Act*. The statute decides *who appoints you, what you can demand, and what you must report*.

The third lever is the objective. For most private entities the objective is financial truth and fairness. For government and public-money entities the objective widens to include **propriety** (was the expenditure prudent, was there authority) and **efficiency/effectiveness** (did the money achieve its purpose). This is why government audit is not merely "financial audit" but includes *performance* and *propriety* audit.

Hold those three levers — risk, law, objective — and the rest is detail you can derive.

3. Why It's Built This Way

Why doesn't the law just impose one uniform audit regime? Because auditing is a response to an **agency problem**, and different entities have *different principals and different agents*.

In a company, shareholders (principals) cannot watch the directors (agents) who run the business with the shareholders' money; the statutory audit is the mechanism that restores trust. But a **bank** has a second, more dangerous principal: the *depositor*. A bank runs on leverage — a small sliver of owners' capital supporting a vast tower of public deposits. If the bank's loans quietly go bad and nobody forces recognition, depositors' savings evaporate and the failure can cascade through the whole payment system. Society cannot tolerate that, so a *regulator* (RBI) is inserted as a super-principal, and the audit is bent to serve prudential regulation — hence mandatory income-recognition and asset-classification (IRAC) norms, and an auditor duty to verify them.

An **insurer** collects premiums today for promises maturing far in the future; the principal (the policyholder) is exposed for decades. The single greatest way to defraud or mismanage an insurer is to under-state the liability for those future promises. So the regulatory architecture (Insurance Act, IRDAI) forces an independent *actuarial* valuation, and the audit is built around trusting-but-verifying that actuary.

Government spends *taxpayers'* money; the principal is the entire citizenry and, constitutionally, Parliament/State Legislature. Truth and fairness of accounts is necessary but not sufficient — the citizen also demands that money was spent *lawfully, without waste, and for the intended public purpose*. That is why the Constitution itself (Articles 148–151) creates an independent C&AG, insulated from the executive, and why government audit uniquely includes propriety and performance dimensions.

Cooperatives embody a self-help principle — members pooling resources — and are creatures of *State* law, reflecting the constitutional division of powers. **NGOs/charities** enjoy tax exemption as a *bargain with society*: spend on your stated charitable object and you pay no tax; so their audit focuses on whether receipts were properly applied to that object. **LLPs, partnerships and sole proprietors** are, at the small end, private arrangements where the state has little stake — so statutory audit is thin or absent, and the audit that occurs is largely *contractual*, serving the partners or the taxman rather than a public constituency.

In short: the audit regime is built to match *whose money is at risk and who needs protecting*. The greater the public interest and the more diffuse the principals, the heavier the regulatory overlay on top of ordinary auditing.

4. Full Technical Content

We now go entity by entity. For each: the dominant risk, the governing law and appointment mechanism, the key focus areas, and the special considerations an examiner expects you to know. Throughout, the *Standards on Auditing (SAs)* still apply — SA 315 (risk assessment), SA 330 (responses), SA 500 (evidence), SA 620 (using an expert), SA 700/705/706 (reporting) run underneath everything. What changes is *where the risk concentrates*.

4.1 The unifying diagram

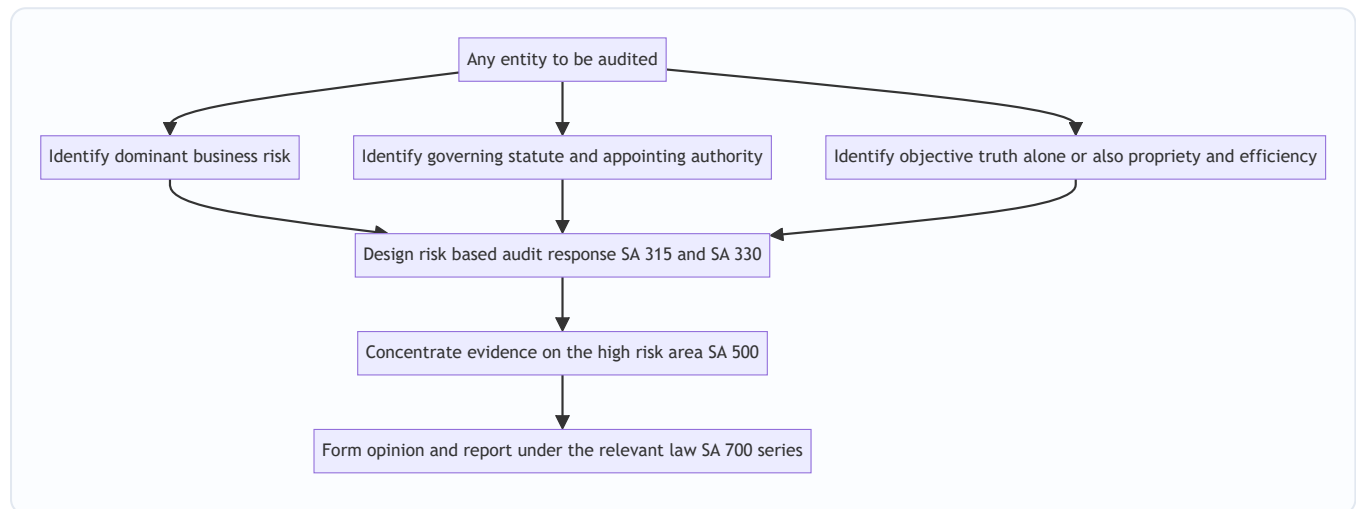


Figure 12.1 — The three levers (risk, law, objective) converge into a single risk-based audit design for every entity.

4.2 Audit of Banks

Dominant risk. Credit risk — that advances (loans) are overstated because bad loans are not recognised as bad. Also treasury/market risk on investments, and heavy reliance on IT systems (Core Banking Solution), making it a computerised-environment audit.

Governing law and appointment. The Banking Regulation Act 1949 governs banking companies; the RBI is the regulator. Auditors of a banking company are appointed by the entity but the appointment requires **RBI approval** (BR Act, and for public-sector banks the framework flows through the C&AG/RBI). This is heavier than an ordinary company appointment under Section 139 — reflecting the public-deposit interest. (*Confirm the exact current appointment mechanics for each bank type in ICAI material, as PSB/private-bank routes differ.*)

Key focus areas. - **Advances — the heart of a bank audit.** Verify that advances are correctly classified per the RBI's **Income Recognition and Asset Classification (IRAC) norms** into Standard, Sub-Standard, Doubtful and Loss assets, and that **provisioning** is adequate. Interest on Non-Performing Assets (NPAs) must **not** be recognised as income on accrual — income recognition on NPAs is on realisation only. This is the single most examinable area. - **Long Form Audit Report (LFAR).** In addition to the statutory audit report, bank auditors submit a detailed **LFAR** in an RBI-prescribed questionnaire format covering assets, advances, systems and controls. - **Investments** — valuation and classification (Held to Maturity, Available for Sale, Held for Trading) per RBI norms. - **Provisioning and CRAR** — capital adequacy (Capital to Risk-weighted Assets Ratio) disclosures. - **Reliance on internal controls and CBS** — with concurrent audit, internal audit and control testing given the transaction volume. - **Branch audit and consolidation** — banks are audited

branch-wise; statutory central auditors consolidate and rely on branch auditors (SA 600, using the work of another auditor).

Special considerations. The auditor's report on a banking company additionally states matters required by the BR Act. Balances with other banks, inter-branch reconciliation, and cash verification are classic control-risk areas.

4.3 Audit of Insurance Companies

Dominant risk. Under-provisioning of policy liabilities (the "reserve" for future claims), premium recognition timing, and claims validity.

Governing law and appointment. The Insurance Act 1938 and the **IRDAI** (Insurance Regulatory and Development Authority of India) regulations govern. IRDAI prescribes the financial-statement formats (Revenue Account/Policyholders' Account, Profit & Loss/Shareholders' Account, Balance Sheet). Appointment of auditors follows IRDAI norms (often joint auditors for insurers).

Key focus areas. - **Actuarial valuation of liabilities.** For life insurers especially, the reserve for future policy liabilities is certified by an **Appointed Actuary**. The auditor uses this actuarial certificate as expert evidence under **SA 620 (Using the Work of an Auditor's Expert)** — evaluating the actuary's competence, objectivity and the reasonableness of assumptions, not re-doing the maths. - **Premium income recognition** — recognised when due; unearned premium reserve for the unexpired risk period in general insurance. - **Claims** — verifying claims incurred, claims outstanding (including IBNR — Incurred But Not Reported), and adequacy of claim provisions. - **Reinsurance** — that ceded/accepted reinsurance and recoveries are properly accounted. - **Investments** — subject to IRDAI investment regulations (pattern of investment, exposure norms). - **Solvency margin** — the insurer must maintain a required solvency margin; the auditor checks the computation.

Special considerations. Segregation of the *policyholders'* fund and *shareholders'* fund; commission and management-expense limits; compliance with IRDAI-prescribed formats.

4.4 Audit of Non-Banking Financial Companies (NBFCs)

Dominant risk. Similar to banks — credit risk on financing/lending — but under a *different* regulatory regime, plus classification risk (is this entity even correctly registered as an NBFC?).

Governing law and appointment. Regulated by the **RBI** under the RBI Act 1934 and RBI's NBFC Directions. NBFCs registered as companies are also under the Companies Act (so Section 139 appointment applies), *plus* RBI-specific duties.

Key focus areas. - **Registration and classification** — verify the NBFC holds a valid Certificate of Registration and is correctly categorised (e.g., Investment and Credit Company, Infrastructure Finance Company, Micro-Finance Institution). The **principal-business criteria** ("50-50 test": financial assets $\geq$ 50% of total assets and financial income $\geq$ 50% of gross income) determine NBFC status. - **Income recognition and asset classification / provisioning** — NBFCs follow RBI prudential norms broadly parallel to banks (NPA recognition and provisioning), though thresholds differ; the auditor checks compliance. - **Public deposits** — whether the NBFC is permitted to and does accept deposits within ceilings; compliance with liquid-asset and credit-rating requirements. - **NBFC Auditor's Report** — the RBI (through its Directions) requires the auditor to submit an **additional report to the Board/RBI** ("NBFC Auditor's Report Directions") certifying matters such as registration, principal business, capital adequacy and net-owned-fund position, and to report exceptions directly to the RBI.

Special considerations. The auditor has a duty, on exception, to report certain non-compliances directly to the RBI — an unusual *third-party reporting* duty flowing from the public-interest overlay.

4.5 Government Audit (C&AG)

Dominant risk / objective. Here the objective *itself* is broader: not only whether accounts are true and fair, but whether public money was spent with **authority (regularity), prudence (propriety), and results (efficiency/effectiveness)**.

Governing law and appointment. The **Comptroller and Auditor General of India** is a constitutional authority under **Articles 148–151**; the office's duties and powers flow from the **C&AG's (Duties, Powers and Conditions of Service) Act 1971**. The C&AG audits the accounts of the Union and States, and audits government companies (under Section 143(5)–(7) of the Companies Act, the C&AG can direct the manner of audit, comment upon, or supplement the company auditor's report, and order a **test/supplementary audit**).

The three limbs of government audit.

Type of government audit	Question it answers	Focus
Financial (regularity) audit	Are the accounts true and fair and expenditure within sanction?	Accuracy, legality, sanction
Propriety audit	Was the expenditure <i>wise, faithful and economical</i> — would a prudent person spend own money this way?	Prudence, avoidance of waste, no undue benefit
Performance (efficiency-cum-effectiveness) audit	Did the programme achieve its objectives economically, efficiently and effectively?	The "3 Es" — Economy, Efficiency, Effectiveness

Key features. - **Audit against provision of funds** (did spending stay within budget/appropriation) and **audit of sanctions** (was there competent authority). - **Propriety audit** is the distinctive feature — it goes beyond legality to *reasonableness*, guarding against extravagance and improper benefit to any person. - The C&AG's reports are submitted to the President/Governor and laid before Parliament/Legislature, examined by the **Public Accounts Committee (PAC)** — closing the accountability loop back to the citizen-principal.

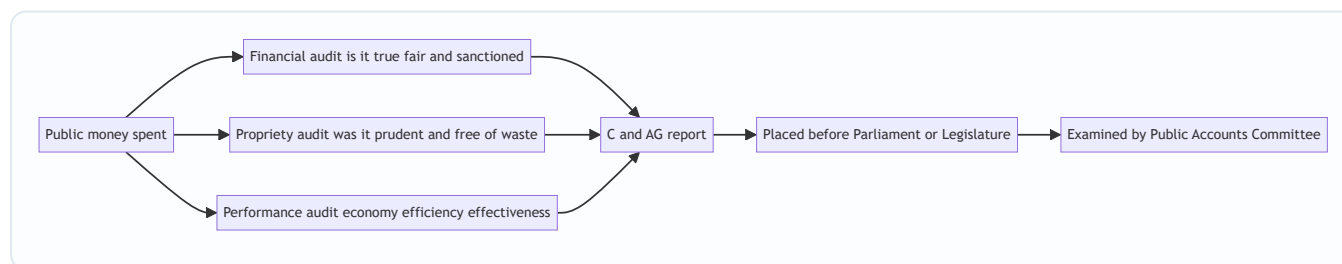


Figure 12.2 — Government audit widens the objective from truth-and-fairness to propriety and performance, ending in legislative accountability.

4.6 Audit of Cooperative Societies

Dominant risk. Member-related risks — proper maintenance of member records, overdue loans to members, and distribution of profits under statutory formula; plus weaker internal controls in small rural societies.

Governing law and appointment. Cooperative societies are governed by the **Cooperative Societies Act 1912** or the relevant **State Cooperative Societies Act** (cooperation being a State subject; multi-State societies fall under the Multi-State Cooperative Societies Act 2002). Crucially, the **auditor is often appointed by the Registrar of Cooperative Societies**, and may need to be from a panel maintained by the Registrar — a different appointment channel from the Companies Act.

Key focus areas. - **Compliance with the Act, Rules and bye-laws** — e.g., restrictions on loans to non-members, limits on borrowing, and the requirement to transfer a portion of profits to a **Reserve Fund** (commonly at least 25% of net profit — *confirm the exact percentage in the applicable State Act/ICAI material*). - **Overdue debts** — classification and reporting of overdue loans is a special reporting requirement. - **Valuation of assets and adherence to cooperative principles.** - **Special report / audit classification** — the auditor awards an **audit classification (grading such as A, B, C, D)** to the society reflecting its overall performance — a feature unique to cooperative audit. - **Distribution of profit** — only after mandatory appropriations (reserve fund, and contribution to cooperative education fund, dividend limits per the Act).

Special considerations. The auditor has powers under the State Act to summon records and persons; the report goes to the Registrar as well as the society.

4.7 Audit of Non-Profit Organisations (NGOs / Charitable Trusts / Societies)

Dominant risk. That receipts (donations, grants) are **not applied to the stated charitable object**, that grant conditions are breached, and that tax-exemption conditions fail. Cash donations and control weaknesses are also high-risk.

Governing law and appointment. Depending on legal form: a **Trust** (Indian Trusts Act / State Public Trusts Act), a **Society** (Societies Registration Act 1860), or a **Section 8 company** (Companies Act 2013 — audit under Section 139 like any company). Tax law adds **Income-tax Act** requirements — registration under Section 12A/12AB and audit report in **Form 10B** where income exceeds the exemption limit. Foreign contributions bring in the **FCRA 2010**, requiring separate accounting and audit of foreign funds.

Key focus areas. - **Application of funds to objects** — the core test: was income spent on the charitable purpose? Grant-utilisation as per donor conditions. - **Receipts** — completeness of donations (especially anonymous/cash donations), corpus vs. general donations (corpus donations are capital receipts). - **Restricted/tied funds** — that funds earmarked for a specific project were used only for it (fund accounting). - **Compliance** — Income-tax exemption conditions, FCRA compliance for foreign contributions, and utilisation certificates for government grants. - **Fixed assets and investments** — that investments are in permitted modes (Income-tax Act Section 11(5) prescribes modes for charitable trusts).

Special considerations. The auditor may need to certify separate statements for donors/regulators; internal control over cash donations is a recurring emphasis.

4.8 Audit of Limited Liability Partnerships (LLPs)

Dominant risk. Ordinary financial-statement risk, but with a *threshold-based* audit requirement — many small LLPs are exempt, so the first question is whether an audit is even mandatory.

Governing law and appointment. The **LLP Act 2008** and LLP Rules. Audit is mandatory **only if** turnover exceeds ₹40 lakh **or** contribution exceeds ₹25 lakh in any financial year. Below both thresholds, statutory audit is not required (though the LLP may voluntarily get audited). (*Confirm current threshold figures in ICAI material as they can be revised.*)

Key focus areas. - **The LLP Agreement** — an LLP is governed by a private agreement among partners; the auditor reads it to understand profit-sharing, capital contribution, partners' rights, and duties (analogous to a partnership deed). - **Contribution and its recording** — verifying partners' capital contributions and obligations. - **Whether audit is mandatory** — checking turnover/contribution thresholds; if voluntary, obtaining a clear engagement letter defining scope. - **Statutory filings** — Statement of Account and Solvency, and annual returns filed with the Registrar (LLPs limit liability, so solvency disclosure protects creditors).

Special considerations. No board/shareholder structure — governance rests on the agreement; the auditor's engagement terms and scope should be clearly agreed (SA 210).

4.9 Audit of Sole Proprietorships

Dominant risk / status. There is **no statutory requirement** under any general law for a sole proprietor's accounts to be audited. Any audit is *voluntary/contractual* (e.g., a bank requires audited accounts for a loan) or arises under a *specific* law — most commonly the **Income-tax Act Section 44AB (tax audit)** when turnover/gross receipts exceed the prescribed limits.

Key focus areas. - **Scope defined by the engagement** — because there is no statute prescribing scope, the auditor must obtain a clear **engagement letter (SA 210)** specifying objective, scope and the proprietor's responsibilities. - **Separation of personal and business transactions** — the biggest practical risk: personal expenses/drawings mixed into business books. - **Tax-audit requirements** — if under Section 44AB, reporting in Form 3CA/3CB and 3CD as prescribed.

Special considerations. No public interest and no statutory backing means the auditor's rights flow from the *contract*, not law — so the engagement terms are everything.

4.10 Audit of Partnership Firms

Dominant risk / status. Like sole proprietors, an ordinary partnership firm has **no statutory audit requirement** under the Partnership Act 1932; audit is voluntary or driven by the **Income-tax Act (Section 44AB tax audit)** or a partner's demand. The purpose is often to *resolve the agency conflict between partners themselves* — each partner is both principal and agent, and an independent audit reduces mutual suspicion.

Key focus areas. - **The Partnership Deed** — the auditor's primary reference document. It governs profit-sharing ratios, interest on capital/drawings, partners' salaries, admission/retirement terms. Verifying that the accounts follow the deed is central. - **In the absence of a deed** — the provisions of the **Indian Partnership Act 1932** apply by default (e.g., equal profit sharing, no interest on capital, no salary to partners). The auditor should know these defaults. - **Division of profits, interest and remuneration** — verified against the deed; remuneration and interest to partners also constrained by Income-tax Act Section 40(b) for tax-deductibility. - **Capital and current accounts of partners** — correct maintenance and adjustment on admission/retirement/death (including goodwill and revaluation).

Special considerations. Because the audit is contractual, the **engagement letter (SA 210)** should define scope, and the auditor should confirm authority (are they appointed by all partners?). The report is addressed to the partners.

4.11 Summary comparison table

Entity	Dominant risk	Governing law / regulator	Who appoints auditor	Signature focus area
Bank	Credit risk — NPA classification & provisioning	BR Act 1949 / RBI	Entity + RBI approval	Advances, IRAC norms, LFAR
Insurer	Under-reserved future liabilities	Insurance Act 1938 / IRDAI	Per IRDAI (often joint)	Actuarial valuation (SA 620)
NBFC	Credit risk under RBI regime; registration	RBI Act 1934 / RBI + Cos Act	Sec 139 + RBI framework	Registration, prudential norms, RBI report
Government	Propriety & performance of public money	Constitution Arts 148-151 / C&AG Act 1971	C&AG	Propriety + performance audit
Cooperative society	Member/overdue & compliance risk	State Coop Act / MSCS Act 2002	Registrar of Cooperative Societies	Overdue debts, reserve fund, audit classification
NGO / Trust	Misapplication of funds vs object	Trust/Societies/Sec 8 + IT Act, FCRA	Per form (Registrar/members/Sec139)	Application to objects, grant/FCRA compliance
LLP	Ordinary; threshold-based audit	LLP Act 2008	Partners (if audit due)	LLP agreement, thresholds, solvency statement
Sole proprietor	None statutory; personal/business mixing	No general law; IT Act 44AB	Proprietor (contract)	Engagement scope, separation of transactions
Partnership firm	None statutory; inter-partner conflict	Partnership Act 1932; IT Act 44AB	Partners (contract)	Partnership deed, profit division

5. Applied Scenarios

Scenario 1 — The bank branch and the evergreen loan. You are auditing a bank branch. A borrower's account shows interest being serviced right up to year-end, so it is classified "Standard." Digging in, you find the branch had sanctioned a *fresh* loan to the same borrower just before year-end, and the borrower used part of it to pay the overdue interest on the old loan. *Question: How do you treat this?* **Answer.** This is "evergreening" — using a new advance to service an old one to disguise a Non-Performing Asset. In substance the original account is not being serviced from the borrower's own cash flows; the "income" is illusory. Under **RBI IRAC norms**, income cannot be recognised on an account that is effectively non-

performing, and the account should be classified per its real status (likely Sub-Standard/NPA) with appropriate **provisioning**. You would also flag the practice in the **LFAR**. The lever at work: *dominant risk = credit risk hidden as a good asset*, and the audit's job is to pierce the disguise.

Scenario 2 — The insurer and the optimistic actuary. A life insurer's Appointed Actuary certifies the policy-liability reserve using a mortality assumption noticeably more favourable than industry experience, which reduces the reserve and boosts reported profit. The management points to the actuary's certificate and says "it's the expert's call." *Question: Can you simply rely on it?* **Answer.** Under **SA 620 (Using the Work of an Auditor's Expert)**, reliance on the actuary is not automatic. You must evaluate the actuary's *competence and objectivity* and, critically, assess the *reasonableness of the assumptions and methods*. An assumption inconsistent with observable experience and IRDAI norms is a red flag; if it materially understates the liability, the financial statements are misstated regardless of the certificate. You would challenge the assumption, seek justification, and if unresolved and material, **modify the opinion (SA 705)**. Lever at work: *dominant risk = under-reserving*, so the audit concentrates on validating — not rubber-stamping — the actuarial valuation.

Scenario 3 — The NGO and the tied grant. A charitable society received a ₹50 lakh government grant earmarked for building a rural school. At year-end, ₹15 lakh of it was spent on the society's general administrative salaries because cash was tight. *Question: What is the audit implication?* **Answer.** This is a **misapplication of restricted funds**. The grant carried a condition (build a school); diverting it to general admin breaches the donor condition, likely triggers a refund/utilisation-certificate problem, and may jeopardise tax exemption if income was not applied to the stated object. Under fund accounting you would ensure the tied grant is separately tracked and disclose the diversion; you would report the non-utilisation/misapplication and its consequences. Lever at work: *dominant risk = funds not applied to object*, the defining risk of NGO audit.

Scenario 4 — Is there even an audit? (LLP thresholds). An LLP has turnover of ₹35 lakh and partners' contribution of ₹30 lakh. The partners ask whether a statutory audit is required. *Answer.* Turnover (₹35 lakh) is below the ₹40 lakh limit, **but** contribution (₹30 lakh) exceeds the ₹25 lakh limit — the test is turnover ₹40 lakh **OR** contribution ₹25 lakh, so **statutory audit is mandatory** because *either* threshold triggers it. A common trap is to check only turnover. (*Confirm current thresholds in ICAI material.*)

Scenario 5 — Propriety in government. A government department, within its sanctioned budget and with competent authority's approval, spends ₹2 crore refurnishing officers' lounges with luxury imports. Every rupee is *legally* sanctioned. *Question: Is there anything for the C&AG auditor to say?* **Answer.** Yes. Even though the expenditure passes the **regularity** test (legal, sanctioned, within budget), **propriety audit** asks whether a *prudent person spending their own money* would incur this — the test of economy and avoidance of extravagance. Lavish, disproportionate spending of public money invites a propriety comment even when strictly legal. This is precisely why government audit adds the propriety limb beyond ordinary truth-and-fairness.

6. Procedure / Documentation Summary

Across all these entities, the *engine* is the same risk-based methodology; only the fuel (the risk area) differs. A practical sequence:

1. **Engagement & appointment check (SA 210).** Confirm you are validly appointed under the *correct* statute (RBI approval for a bank; Registrar panel for a cooperative; partners' authority for a firm) and,

where audit is contractual (proprietor, partnership, voluntary LLP), obtain a precise **engagement letter** defining scope.

2. **Understand the entity and its regulatory framework (SA 315).** Identify the dominant risk and the governing law before designing anything — the whole chapter in one step.
3. **Design responses (SA 330)** concentrated on the pressure point: advances for a bank, reserves for an insurer, application-of-funds for an NGO, deed-compliance for a firm.
4. **Use experts where the risk is technical (SA 620)** — actuary for insurers, valuers where needed — evaluating, not outsourcing, the judgement.
5. **Gather sufficient appropriate evidence (SA 500)** on the concentrated area; use another auditor's work where structure demands it (SA 600 for bank branches).
6. **Check entity-specific compliance:** IRAC norms and LFAR (bank); solvency margin and IRDAI formats (insurer); registration and RBI report (NBFC); reserve fund, overdue debts and audit classification (cooperative); Section 12AB/Form 10B and FCRA (NGO); thresholds and Statement of Account & Solvency (LLP); Section 44AB (proprietor/firm).
7. **Form and express the opinion (SA 700 / 705 / 706)** in the format and to the addressee the *relevant law* prescribes — plus special reports (LFAR, C&AG comments under Section 143(5)-(7), NBFC auditor's report to RBI, cooperative report to Registrar).
8. **Documentation (SA 230).** Retain evidence that the risk assessment was *entity-tailored* — this is what an examiner and a reviewer look for.

7. Connections

- **Chapter 8 (Company Audit, Sec 139-148):** The Companies Act framework is the *default*; bank, insurer, NBFC and Section 8 company audits *build on top of it* with regulatory overlays. Section **143(5)-(7)** links the ordinary company auditor to the **C&AG** for government companies — the bridge between company audit and government audit.
- **Chapter on Risk (SA 315/330):** This entire chapter is an application of risk-based auditing — "identify the dominant risk, respond to it."
- **SA 620 (Using an Expert):** Central to insurance (actuary) and relevant wherever valuation is technical.
- **SA 600 (Using the work of another auditor):** Directly relevant to branch audits of banks and consolidation.
- **SA 210 (Terms of engagement):** Load-bearing wherever audit is *contractual* — proprietors, partnerships, voluntary LLP audits.
- **Reporting chapter (SA 700/705/706):** Every entity ends in an opinion, but the *format and addressee* are set by the entity's own statute.
- **Ethics chapter:** Independence pressures are acute where the regulator inserts itself (banks/insurers) and where the auditor owes duties to *third parties* (RBI/Registrar), sharpening the objectivity requirement.

8. Traps & Examiner Tricks

- **"NPA interest as income."** The classic bank trap: recognising interest on a Non-Performing Asset on accrual. It must be recognised **only on realisation**. Watch for evergreening disguising an NPA (Scenario 1).

- **LLP threshold — OR not AND.** Audit is required if turnover exceeds ₹40 lakh **OR** contribution exceeds ₹25 lakh. Candidates who check only turnover miss it (Scenario 4).
- **"Legally sanctioned so nothing to report" in government audit.** Wrong — **propriety** audit can still comment on extravagance even when spending is legal (Scenario 5). Don't confuse regularity with propriety.
- **Blind reliance on the actuary/expert.** SA 620 requires evaluating competence, objectivity and *reasonableness of assumptions* — the certificate is not a shield (Scenario 2).
- **Wrong appointing authority.** A cooperative auditor may be appointed by the **Registrar**, a bank auditor's appointment needs **RBI approval** — not the plain Section 139 route. Examiners test whether you know the correct channel.
- **Sole proprietor / partnership "statutory audit."** There is **no statutory audit** under general law; don't assert one exists. Any audit is contractual or under Section 44AB of the Income-tax Act.
- **Corpus vs. general donation (NGO).** Corpus (tied to capital) donations are **capital receipts**, not income — misclassifying them inflates income and can distort the "application to object" test.
- **Cooperative reserve fund %.** Often tested; a portion of profit (commonly at least 25%) must go to the Reserve Fund before distribution — *confirm the exact figure in the applicable Act*.
- **NBFC "50-50" principal-business test.** Financial assets $\geq 50\%$ of total assets *and* financial income $\geq 50\%$ of gross income — both limbs, not one.
- **Confusing regulator with appointer.** RBI *approves/regulates* bank auditors; IRDAI regulates insurers — but that is different from who formally *appoints*. Read the question precisely.

9. First-Principles Recap

Strip everything away and one idea remains: **audit is a response to an agency problem, and the response is shaped by whose money is at risk.** Where the principal is a diffuse, vulnerable public — depositors, policyholders, taxpayers — society inserts a *regulator* and bends the audit toward that regulator's prudential and public-interest concerns. Where the principal is a small circle of private parties — partners, a proprietor — the state steps back and the audit becomes a *contract* serving those parties (or the tax authority).

From that single seed you can regenerate the whole chapter: - A **bank** lives on public deposits and leverage → its killer risk is hidden bad loans → the audit concentrates on advances, IRAC classification, provisioning, and reports to the RBI's world (LFAR). - An **insurer** owes the future → its killer risk is under-reserving → the audit concentrates on the actuarial valuation via SA 620. - **Government** spends the citizen's money → truth alone is not enough → add **propriety** and **performance**, guaranteed by a constitutionally independent C&AG. - **Cooperatives** are State-law self-help bodies → Registrar-driven appointment, member/overdue focus, audit classification. - **NGOs** trade tax exemption for spending on their object → the audit tests *application of funds*. - **LLPs, proprietors, partnerships** are increasingly private → audit is threshold-based or purely contractual → the *agreement/deed and engagement letter* become the auditor's compass.

You never memorised nine audits. You learned *one* — risk-based assurance — and watched it deform to fit nine different pressure fields.

10. Quick-Revision Sheet

- **Master equation:** Audit approach = $f(\text{dominant risk, governing law, objective})$. Derive everything from this.

- **Bank:** BR Act 1949 / RBI; appointment needs **RBI approval**; focus **advances** → **IRAC (Standard/Sub-Standard/Doubtful/Loss) + provisioning**; **no income on NPA except on realisation**; submit **LFAR**; branch audits + SA 600.
- **Insurer:** Insurance Act 1938 / IRDAI; killer risk **under-reserving**; rely-but-verify **Appointed Actuary via SA 620**; premium recognition, IBNR, reinsurance, **solvency margin**; policyholder vs shareholder funds.
- **NBFC:** RBI Act 1934 / RBI (+ Companies Act); check **Certificate of Registration** and **50-50 principal-business test**; prudential NPA norms; **additional NBFC auditor's report to RBI**, exception-reporting duty.
- **Government (C&AG):** Constitution **Arts 148-151**, C&AG Act 1971; three limbs — **financial (regularity), propriety, performance (3 Es: economy, efficiency, effectiveness)**; Section **143(5)-(7)** link for govt companies; PAC accountability.
- **Cooperative society:** State Coop Act / MSCS Act 2002; **appointed by Registrar; Reserve Fund** appropriation (commonly $\geq 25\%$ — confirm), **overdue debts, audit classification (A/B/C/D)**.
- **NGO/Trust:** Trust/Societies Act or **Sec 8 company; Income-tax 12A/12AB + Form 10B, FCRA** for foreign funds; core test = **application of income to object**; corpus donation = capital receipt.
- **LLP:** LLP Act 2008; audit if **turnover > ₹40 lakh OR contribution > ₹25 lakh** (confirm figures); read the **LLP Agreement; Statement of Account & Solvency**.
- **Sole proprietor: No statutory audit**; only voluntary or **Sec 44AB tax audit**; scope = **engagement letter (SA 210)**; watch personal/business mixing.
- **Partnership firm: No statutory audit** under Partnership Act 1932; voluntary or **Sec 44AB**; primary document = **Partnership Deed** (defaults under the Act if none); verify profit division, interest, remuneration (Sec 40(b) for tax).
- **Cross-cutting SAs:** 315/330 (risk), 500 (evidence), 620 (expert — insurer), 600 (another auditor — bank branches), 210 (terms — contractual audits), 700/705/706 (report).
- **Top traps:** NPA interest on accrual; LLP threshold is **OR**; propriety comment survives legal sanction; no statutory audit for proprietor/firm; Registrar vs Sec 139 appointment; blind reliance on actuary.

Flag for confirmation in ICAI material: exact LLP thresholds, cooperative reserve-fund percentage, precise bank-auditor appointment mechanics by bank type, and current NBFC categorisation — these are periodically revised.

Q&A — Audit of Different Entities (Overview)

Exam-oriented question bank for CA Intermediate *Auditing & Ethics*. Every question is immediately followed by a complete model answer citing the relevant Standard on Auditing (SA), Companies Act 2013 section, or governing statute. Standards cited are genuine (SA 200, SA 210, SA 250, SA 299, SA 315, SA 402, SA 500, SA 570, SA 580, SA 610, SA 700 series). No standard has been invented.

Section A — Concept-Check Questions (with answers)

A1. What is the single unifying idea behind "audit of different entities"? Model answer: The core objective of every audit is constant — to express an opinion on whether financial statements give a true and fair view (Companies Act 2013, Sec. 143; SA 200). What changes across entities is the *governing statute, the applicable financial reporting framework, and the entity-specific risk areas*. The auditor tailors risk assessment (SA 315) and audit procedures (SA 500) to the entity's legal form and business, but the assurance framework itself is unchanged. This is why the chapter is called an "overview" — it maps how one audit engine is fitted to many legal chassis.

A2. Which law governs the audit of a banking company and what is the auditor's special reporting duty? Model answer: The Banking Regulation Act 1949 (read with the Companies Act 2013 and RBI directions) governs bank audits. Under Sec. 30 of the Banking Regulation Act, accounts must be audited, and the auditor reports additionally to the RBI. The auditor must specifically examine income recognition, asset classification and provisioning (IRAC norms), and comment on whether transactions noticed were within the bank's powers. Key focus: advances (NPAs), and the Long Form Audit Report (LFAR).

A3. Under which statute is an insurance company audited, and what is unique about its accounts? Model answer: The Insurance Act 1938 and IRDAI (Preparation of Financial Statements) Regulations 2002 govern insurer audits, alongside the Companies Act 2013. Unique features: a Revenue Account (Policyholders' A/c) separate from the Profit & Loss (Shareholders' A/c), actuarial valuation of liabilities (life insurers), and unexpired-risk reserves. The auditor relies on the appointed actuary's certificate for policy liabilities — treated as work of a management's expert, evaluated under SA 500.

A4. Are NBFCs subject to the Companies Act audit, and what extra report is required? Model answer: Yes. An NBFC is a company, so the statutory audit under Sec. 143 of the Companies Act 2013 applies. Additionally, RBI's Non-Banking Financial Companies Auditor's Report (Reserve Bank) Directions require the auditor to submit a separate report to the RBI stating whether the NBFC is engaged in NBFI business, holds a valid Certificate of Registration, meets net owned fund and prudential (IRAC/provisioning) norms.

A5. Distinguish the C&AG audit of a government company from a normal company audit. Model answer: Under Sec. 139(5)/(7) of the Companies Act 2013, the auditor of a government company is *appointed by the C&AG*. Under Sec. 143(5)–(7), the C&AG can issue directions to the auditor, conduct a supplementary audit, and comment upon or supplement the audit report. The statutory auditor's report is therefore subject to C&AG's supplementary audit — a two-tier assurance not present in ordinary company audits.

A6. Does a cooperative society follow the Companies Act for its audit? Model answer: No. A cooperative society is audited under the relevant Cooperative Societies Act — the Central Multi-State Cooperative Societies Act 2002 or the applicable State Cooperative Societies Act — not the Companies Act 2013. The

Registrar of Cooperative Societies appoints/empanels auditors. Special features: examination of overdue debts, classification of members, observance of the 25% reserve-fund transfer, and adherence to bye-laws.

A7. What framework governs the audit of an NGO / charitable trust? Model answer: NGOs may be constituted as a Sec. 8 company (Companies Act 2013), a public trust (Indian Trusts Act / State Public Trusts Act), or a society (Societies Registration Act 1860). Audit is also triggered by Sec. 12A/10(23C) of the Income-tax Act 1961 (Form 10B/10BB) and by FCRA 2010 for foreign contributions. The auditor focuses on whether income was applied to charitable objects, corpus vs. general donations, and grant utilisation.

A8. Is the audit of an LLP compulsory? State the threshold. Model answer: Under the LLP Act 2008 read with Rule 24 of the LLP Rules 2009, audit is mandatory only if turnover exceeds Rs. 40 lakh or contribution exceeds Rs. 25 lakh in a financial year. Below both thresholds, statutory audit is not compulsory (though a tax audit under Sec. 44AB may still apply). The auditor verifies the LLP Agreement, partners' contributions, and designated-partner compliance.

A9. What determines the scope of audit for a sole proprietor or partnership firm? Model answer: There is no statutory audit under any company law for a sole proprietorship or an ordinary partnership; the audit is *voluntary* and its scope is fixed by the engagement letter / the partnership deed (SA 210). The audit may nonetheless be mandated by the Income-tax Act (tax audit u/s 44AB). For partnerships the deed is the primary document — governing profit-sharing, interest on capital, and admission/retirement adjustments.

A10. Which SA governs reliance on a service organisation (e.g., an NBFC's outsourced loan-processing)? Model answer: SA 402, *Audit Considerations Relating to an Entity Using a Service Organisation*. The auditor obtains an understanding of the services and their effect on internal control, and may rely on a Type 1 / Type 2 report from the service auditor to assess design and operating effectiveness of controls.

Section B — Applied Scenario Questions (situation → audit response with reasoning)

B1. *A bank branch you are auditing has classified a loan as "standard", but interest has not been serviced for 120 days. Management resists reclassification. What do you do?* Model answer: Under RBI's IRAC norms, an account is a Non-Performing Asset (NPA) once interest/principal is overdue for more than 90 days. At 120 days the loan must be classified sub-standard with the mandated provision. This is a *misstatement*. Apply SA 450 (evaluation of misstatements) — request correction; if management refuses and the amount is material, modify the opinion under SA 705. Reasoning: asset classification directly affects income recognition and provisioning, the highest-risk area in a bank audit; the auditor cannot subordinate a regulatory norm to management preference.

B2. *In a life-insurance audit, policyholder liabilities rest entirely on the appointed actuary's valuation certificate. How do you audit that figure?* Model answer: The actuary is a management's expert. Apply SA 500 (para 8): evaluate the actuary's competence, capability and objectivity; understand the field of expertise; and assess the appropriateness of the actuary's work as audit evidence — the data used, assumptions and methods. The auditor does not re-perform the actuarial valuation but tests input data and reasonableness. Reasoning: reliance is permitted but not blind; ultimate responsibility for the opinion remains with the auditor.

B3. *A newly registered NBFC has a Certificate of Registration but its Net Owned Fund has fallen below the RBI-prescribed minimum at year-end. What is your response?* Model answer: The NBFC Auditor's Report Directions require the auditor to report to the RBI whether the NOF requirement is met. Since it is not, the auditor must

state this exception in the separate report to the RBI. Additionally, consider whether the shortfall creates a going-concern doubt under SA 570 (a regulatory breach may threaten continued operations/licence). If material uncertainty exists and disclosure is adequate, include a *Material Uncertainty Related to Going Concern* paragraph under SA 570; if disclosure is inadequate, modify the opinion.

B4. *You are the statutory auditor of a government company. After you sign your report, the C&AG's supplementary audit surfaces an understatement of provisions. Can C&AG override you?* Model answer: Yes, in effect. Under Sec. 143(6) of the Companies Act 2013, the C&AG may conduct a supplementary audit within 60 days and comment upon or supplement the auditor's report; these comments are placed before the AGM. The statutory auditor's report is not the final word for a government company. Reasoning: the two-tier structure ensures public accountability of government funds; the auditor should cooperate and provide working papers.

B5. *An NGO received a foreign grant of USD 50,000 for building a school, but Rs. 8 lakh of it was spent on staff salaries not connected to the project. What audit action follows?* Model answer: This is a potential violation of FCRA 2010 (utilisation of foreign contribution only for the sanctioned purpose) and a matter of grant conditions. Apply SA 250 (*Consideration of Laws and Regulations*): identify the non-compliance, evaluate its effect on the financial statements and on utilisation certificates, and communicate with those charged with governance (SA 260). If the misapplication is material and unadjusted/undisclosed, modify the opinion; also report separately in Form FC-4 utilisation certification. Reasoning: for NGOs, *application of funds to stated objects* is the central assertion.

Section C — Past-Paper-Style Descriptive Questions (with model answers)

C1. "The nature of the entity dictates the audit approach even though the audit objective is constant."

Discuss with three illustrations. (5 marks) Model answer: The objective under SA 200 — reasonable assurance and a true-and-fair opinion — is invariant. But SA 315 requires understanding the entity and its environment, including the applicable financial reporting framework, so the *approach* varies: 1. **Bank** — governed by the Banking Regulation Act 1949; the auditor concentrates on advances, IRAC classification, and files an LFAR; income recognition is reversed on NPAs. 2. **Insurer** — governed by the Insurance Act 1938 / IRDAI regulations; the auditor evaluates the appointed actuary's liability valuation (SA 500) and the segregation of policyholders' and shareholders' funds. 3. **Government company** — the C&AG appoints the auditor (Sec. 139(5)) and can supplement the report (Sec. 143(6)). Thus statute-driven risk areas reshape planning, materiality, and reporting while the assurance framework stays the same.

C2. Explain the appointment and reporting framework for auditors of government companies under the Companies Act 2013. (5 marks) Model answer: - **Appointment** — Sec. 139(5): the auditor of a government company (or a company controlled by the Central/State Government) is appointed by the C&AG within 180 days of the commencement of the financial year. Sec. 139(7) covers the *first* auditor — appointed by C&AG within 60 days of registration; failing which, by the Board within 30 days; failing which, by members. - **C&AG directions** — Sec. 143(5): the C&AG may direct the manner in which accounts are audited; the auditor must report accordingly, including any directions and their action taken and impact. - **Supplementary audit** — Sec. 143(6): C&AG may conduct a supplementary audit within 60 days of receipt of the report and comment upon/supplement it. - **Test audit** — Sec. 143(7): C&AG may order a test audit. Conclusion: government-company audits carry a statutory second tier of oversight absent in private-sector audits.

C3. Write short notes on special points in the audit of a cooperative society. (4 marks) Model answer:

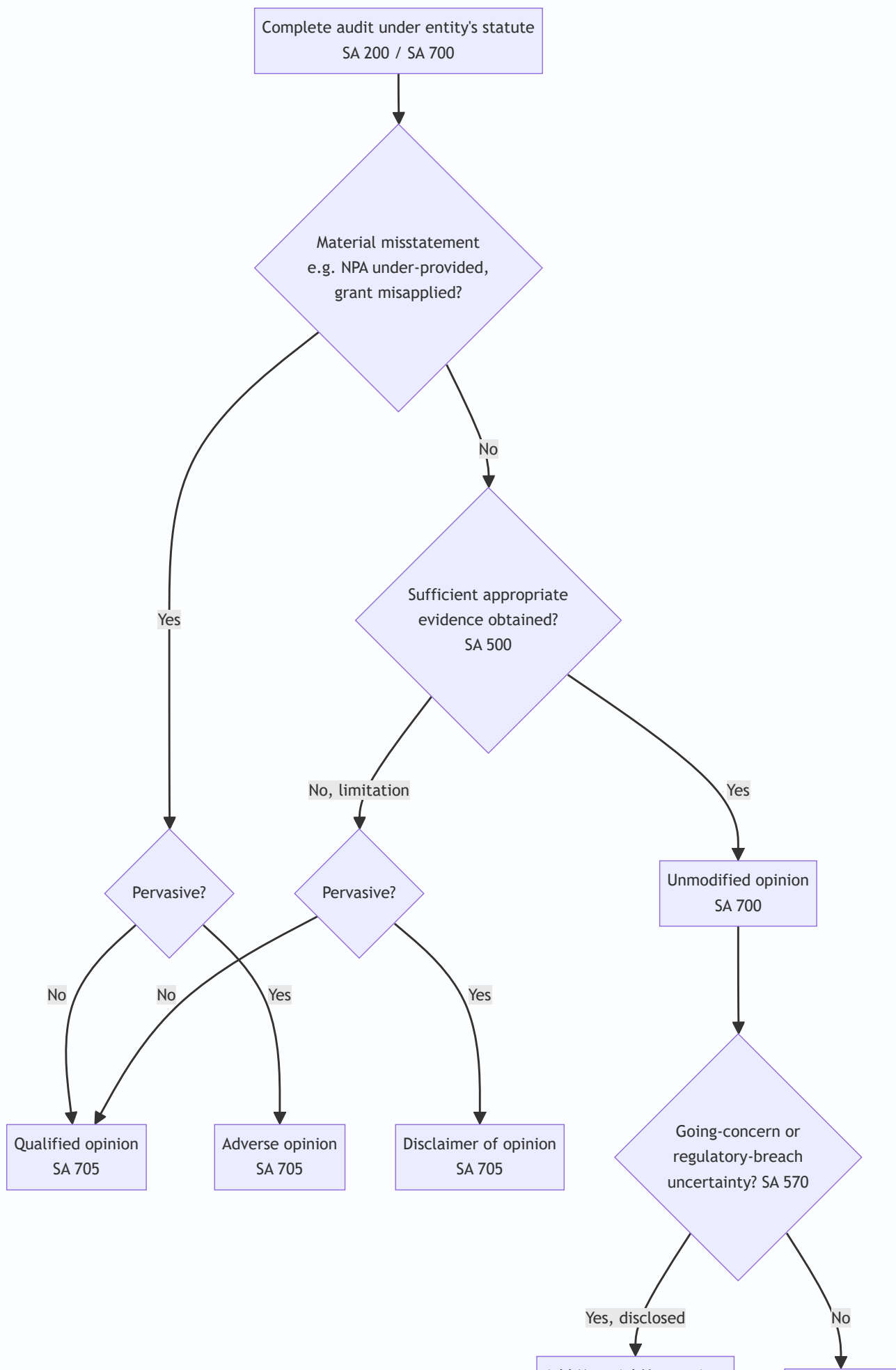
Under the applicable Cooperative Societies Act (Central Multi-State Act 2002 or State Act), the auditor should: (a) verify that the society operates within its **bye-laws** and the Act; (b) examine **overdue debts** and classify them (bad, doubtful, good), assessing their effect on profit; (c) check compliance with the mandatory transfer of at least **25% of net profit to the reserve fund** and restrictions on dividend/bonus; (d) verify **membership** records and that loans are given only to members (subject to permitted exceptions); (e) ensure investments are only in modes permitted by the Act; (f) report on the **classification of the society** (audit classification A/B/C/D) as required by the Registrar.

C4. Discuss the auditor's use of an expert and internal audit function in specialised-entity audits. (4 marks) Model answer: Two Standards operate: - **SA 500 & SA 620** — where valuations require specialised skills (actuarial reserves in insurance, property valuation, loan-book modelling in NBFCs), the auditor may use an **auditor's expert** (SA 620) or evaluate a **management's expert** (SA 500 para 8), assessing competence, capability, objectivity, and the appropriateness of the work as evidence. - **SA 610** — where an entity has an internal audit function (common in banks and large NBFCs), the auditor evaluates it for objectivity, competence and systematic approach before using its work; the auditor cannot use internal audit for matters involving significant judgement, and *sole responsibility* for the opinion remains with the statutory auditor.

C5. State the audit checkpoints for an LLP and a partnership firm, contrasting the two. (4 marks) Model answer: - **LLP** — statutory audit under LLP Act 2008 + Rule 24 only if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh. Checkpoints: the LLP Agreement (profit-sharing, contribution), designated-partner DIN/compliance, filing of Form 8 and Form 11, and that limited-liability boundaries are respected. -

Partnership — no statutory audit under any company law; audit is voluntary or triggered by Sec. 44AB of the Income-tax Act 1961. Scope is set by the engagement letter (SA 210) and governed by the **partnership deed** — interest on capital, remuneration, and settlement on admission/retirement/death. Contrast: the LLP audit has a statutory threshold and registry filings; the partnership audit is contractual, with the deed as the controlling document.

Opinion / Reporting Decision Tree



Section D — MCQs and Case Scenarios (correct option + one-line reasoning)

- D1.** An asset in a bank becomes an NPA when interest/principal is overdue for more than: A) 30 days B) 60 days C) 90 days D) 180 days **Answer: C.** RBI IRAC norms fix the NPA threshold at 90 days of overdue.
- D2.** The auditor of a government company is appointed by: A) The Board B) Members in AGM C) The Comptroller & Auditor General D) The Central Government **Answer: C.** Sec. 139(5) of the Companies Act 2013 vests appointment in the C&AG.
- D3.** Audit of a Limited Liability Partnership is compulsory when turnover exceeds: A) Rs. 25 lakh B) Rs. 40 lakh C) Rs. 1 crore D) Rs. 2 crore **Answer: B.** Rule 24 of the LLP Rules 2009 sets the turnover threshold at Rs. 40 lakh (or contribution > Rs. 25 lakh).
- D4.** Policyholder liabilities of a life insurer are valued by the appointed actuary; the auditor treats this under: A) SA 610 B) SA 500 (management's expert) C) SA 299 D) SA 402 **Answer: B.** The actuary is a management's expert evaluated under SA 500 para 8.
- D5.** A cooperative society must transfer to its reserve fund at least: A) 10% of net profit B) 15% of net profit C) 25% of net profit D) 50% of net profit **Answer: C.** The Cooperative Societies Acts mandate a minimum 25% transfer of net profit to the reserve fund.
- D6.** An NBFC's auditor must submit an additional report on prudential norms to: A) SEBI B) The Registrar of Companies C) The Reserve Bank of India D) IRDAI **Answer: C.** The NBFC Auditor's Report (Reserve Bank) Directions require a separate report to the RBI.
- D7. Case scenario.** CA Meera audits "GreenLeaf Trust", a Sec. 8 company registered under Sec. 12A of the Income-tax Act. She finds Rs. 3 lakh of general donations treated as corpus without any written direction from donors. The most appropriate action is: A) Ignore, as amount is small B) Treat as corpus per management view C) Reclassify to income and assess impact on 85% application, communicate to TCWG D) Resign immediately **Answer: C.** Only donations received with a specific written direction can be corpus (Sec. 11(1)(d)); mis-classification affects the 85%-application test — evaluate under SA 250 and communicate under SA 260.
- D8. Case scenario.** During a bank branch audit, the branch relies on a centralised outsourced CBS data-centre for interest computation. The auditor should primarily apply: A) SA 570 B) SA 402 C) SA 580 D) SA 610 **Answer: B.** SA 402 governs audit considerations where the entity uses a service organisation.
- D9.** For a government company, the C&AG may conduct a supplementary audit within: A) 30 days B) 45 days C) 60 days D) 90 days **Answer: C.** Sec. 143(6) allows supplementary audit within 60 days of receipt of the audit report.
- D10.** In a joint audit of a large NBFC, the division of work and responsibility among joint auditors is governed by: A) SA 220 B) SA 299 C) SA 600 D) SA 610 **Answer: B.** SA 299 (Revised), *Joint Audit of Financial Statements*, governs responsibilities of joint auditors.
- D11. Case scenario.** An LLP has turnover of Rs. 32 lakh and partner contribution of Rs. 30 lakh. Is statutory audit required? A) No, both below limits B) Yes, contribution exceeds Rs. 25 lakh C) Yes, turnover exceeds Rs.

40 lakh D) Only if partners demand **Answer: B.** Audit is triggered if *either* turnover > Rs. 40 lakh or contribution > Rs. 25 lakh; contribution of Rs. 30 lakh crosses the limit.

D12. Written representations from management on the completeness of related-party or grant transactions are obtained under: A) SA 505 B) SA 580 C) SA 530 D) SA 700 **Answer: B.** SA 580 governs written representations.

Quick-Revision One-Liners

- **Bank** → Banking Regulation Act 1949; NPAs (90 days), IRAC, LFAR.
- **Insurer** → Insurance Act 1938 / IRDAI; actuary's valuation (SA 500); two revenue streams.
- **NBFC** → Companies Act 2013 (Sec. 143) + separate RBI report; NOF, CoR, prudential norms.
- **Government company** → C&AG appoints (Sec. 139(5)); directions (143(5)); supplementary audit (143(6)); test audit (143(7)).
- **Cooperative society** → Cooperative Societies Act; overdue debts, 25% reserve, bye-laws, audit classification.
- **NGO** → Sec. 8 company / trust / society; Sec. 12A + Form 10B; FCRA for foreign funds; application to objects.
- **LLP** → LLP Act 2008; audit if turnover > Rs. 40 lakh or contribution > Rs. 25 lakh; LLP Agreement.
- **Sole proprietor / partnership** → no company-law audit; voluntary or Sec. 44AB tax audit; deed/engagement letter (SA 210) sets scope.
- **Cross-cutting SAs** → SA 200, 210, 250, 299, 315, 402, 500, 570, 580, 610, 700/705.